ACC Ltd. (ACC)

Conference call transcripts, oldest-first. 12 call(s). Generated 2026-06-08.

Call: May 2023

(no extractable text — likely a scanned image PDF)

Call: Nov 2023

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6th November, 2023

To

National Stock Exchange of India Limited

Scrip Code: ACC BSE Limited

Scrip Code: 500410

Sub: Transcript of Earning Call pertaining to the Un-audited Financial Results of the Company for the Quarter and Half year ended 30th September, 2023.

Dear Sir/ Madam,

In continuation of our letter dated 29th October, 2023 regarding Analyst/Institutional call scheduled on 01st November 2023, the transcript of the earnings conference call on the Un-audited Financial Results (Standalone & Consolidated) for the quarter and half year ended 30th September, 2023 is uploaded on the website of the Company at www.acclimited.com .

The Web link to access above transcript is as under - Investor Presentations | ACC Limited | India's Most Preferred Brand .

The said transcript is also attached.

Kindly take the above on your records.

Thanking You,

Yours Faithfully,

For ACC Limited

Hitesh Marthak
Company Secretary & Compliance Officer
Encl: as above

“Ambuja Cements & ACC Limited
Q2 FY 24 Earnings Conference Call”
November 01, 2023

MANAGEMENT : MR. AJAY KAPUR – CHIEF EXECUTIVE OFFICER –
AMBUJA CEMENTS & ACC LIMITED
M R. VINOD BAHETY – CHIEF FINANCIAL OFFICER –
AMBUJA CEMENTS & ACC LIMITED
M R. CHARANJIT SINGH – HEAD INVESTOR RELATIONS
– AMBUJA CEMENTS & ACC LIMITED

MODERATOR : MR. VAIBHAV AGARWAL – PHILIPSCAPITAL INDIA
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Ambuja Cements Limited and ACC Limited, hosted by PhilipsCapital India Private Limited.
As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vaibhav Agarwal from PhilipsCapital India Private Limited. Thank you and over to you Mr. Agarwal.
Vaibhav Agarwal: Thank you, Michelle. Good afternoon, everyone. On behalf of Philips Capital India Private Limited, we welcome you to the earnings call for the quarter and half year ended 30, September 2023 for Ambuja Cements Limited and ACC Limited. On the call, we have with us Mr. Ajay Kapur, CEO, Mr. Vinod Bahety, CFO, and Mr. Charanjit Singh, Head Investor Relations at Ambuja Cements Limited and ACC Limited.
I will now hand over the floor to Mr. Charanjit Singh for his opening remarks and management presentation which will be followed by interactive Q&A. Thank you and over to you, Charanjit.
Charanjit Singh: Thanks, Vaibhav. Good afternoon, everyone. Thank you very much for taking out the time to join our Q2 results call. Without taking any further time, requesting Mr. Ajay to provide a quick overview on the performance of ACC and Ambuja for Q2 and HY FY '24 and thereafter, we will open the line for questions. So, over to you, Mr. Ajay.
Ajay Kapur: Thank you, Charanjit. Warm greetings to everyone. Thank you for joining us today. It is my pleasure to share with you the operational and financial performance of Adani Group's cement business for the quarter ended September '23.
The fourth quarter post the change in management has been yet another important milestone for our progress and transformative journey on operational efficiencies, nurturing business synergies, and business excellence which have significantly improved key business matrices.
Let me provide you key highlights on the consol performance of the second quarter ended 30, September '23 as well as half yearly ended 30, September ‘23 of FY ‘24 and share insights on the way forward.
To begin with the revenue, this quarter on a Y-o-Y, we registered a revenue of INR7,424 crores, a jump of 4.1%. The realization for the quarter was INR5,334 per ton, which is a jump of 0.9%, largely driven by a strong focus on our micro market management strategy, expansion of dealer network, blended cement as a mix of total sale volumes maintained at 89%, premium products as a percentage of trade sale volume has increased by 0.8% to 23.4%, compared to same quarter in previous year.
Talking about the cost. Operational cost for the quarter at INR4,682 per ton shows a decline of 11.8% on a Y-o-Y basis. This is attributable to 33% decline in energy cost driven by better fuel management which resulted in reduction of kiln fuel cost by 38% to INR1.82 per 1,000 kcal from INR2.93 same period last year. The transportation cost is at INR1,377 per ton, which is

3.1% decline Y-o-Y on account of footprint optimization. The direct dispatch to customers has further increased by 5 percentage to 49 percentage in the current quarter. The rail coefficient has gone up by 2% to 28%.
The new operating business model led us to increased focus on improving business parameters resulting in reduction of other expenses. This now stands at INR829 per ton, a 13.5% reduction on a Y-o-Y basis. With the improvements mentioned on both revenue and cost front, EBITDA

excluding other income for the quarter came in at INR1,302 crores, which is a jump of 298% Y-o-Y. EBITDA p

er ton excluding other income for the quarter was INR995 implying a jump of
291% Y-o-Y. EBITDA margin expanded by 12.9% to 17.5% on a Y-o-Y basis.
The capex spent of INR1,101 crores for the quarter was achieved from internal accruals and cash in hand. As on 30, September, '23, the consol cash and cash equivalent in the company's books was INR11,721 crores. During half yearly ended 30, September, ‘23, revenue is up 6.44% at INR16,137 crores. EBITDA excluding other income for the quarter came in at INR2,969 crores which is a jump of 107% on a Y-o-Y. On a per ton basis, it was INR1,042 implying a jump of 95% on a Y-o-Y basis. EBITDA margin too expanded by 8.9 percentage to 18.4% on a Y-o-Y basis.
Now coming on stand-alone performance of Ambuja Cements for the second quarter, 30, September, ‘23, on a Y-o-Y basis, net revenue is up 8% at INR3,970 crores in line with the volume growth of 7.3%. EBITDA excluding other income came in and jumped by 147% to INR773 crores. EBITDA excluding other income per ton stood at INR1,020 showing a jump of 130%. EBITDA margin expanded by 11% to 19.5%. We had a robust PAT growth of 364% to INR644 crores.
The same results on a stand-alone for half year, ended 30, September, on a Y-o-Y basis, net revenue up at 13.4% at INR8,700 crores in line with volume growth of 15.4%. EBITDA excluding other income jumped by 72% at INR1,722 crores. EBITDA excluding other income on a per ton basis was INR1,031 showing a jump of 49%. The margin expanded by 6.8% at points at 19.8%. We had a robust PAT growth by 8.5% to INR1,289 crores.
The company won several awards and accolades for its overall outstanding work. Ambuja has been recognised amongst the iconic brands of India, 2023, for the second year in a row. Gare Palma coal mine under Ambuja Cements secured 11 accolades at the Annual Mine Safety Fortnight and Inter-Regional First-Aid Competition, hosted by SECL at Bilaspur.
Several of our plants and grinding units were recognised at the 24th National Awards for Excellence in Energy Management by CII for their exceptional dedication to energy efficiency and sustainability. Ambuja Cements, Bhatapara, Maratha, Farakka, Nalagarh and ACC's Jamul, Sindhri and Madukkarai were recognised.
Ambuja Cements Bhatapara plant has also been honoured as first runner-up for the CII Award for Excellence in Safety, Health and Environment, 2023. Ambuja Vidyaniketan, Ambuja Nagar, our school, secured the first runner-up position at the International Model United Nations held in Kerala.

Now let me share with you the progress that we have made on our long-term strategy plan that I have shared with you in May ‘23 at the time of full year results of FY ‘23. First, our new capacity addition. In my strategy update, I highlighted that to reach a cement production capacity of 140 million by FY ‘28, we will add around 40 million of new clinker capacity, thereby implying around 10 new cement kilns. In line with our plan, Ametha integrated unit in Madhya Pradesh has been commissioned, enhancing the clinker capacity by 3.3 million tons per annum.
For doubling the capacity of grinding facilities to 140 million by FY ‘28, we are targeting around 35 new grinding units. Of these, two units are mapped to the upcoming clinker facility at Bhatapara of 4 million tons. These include one unit at Sankaren, Kolkata, one at Farakka. Another two units are mapped to Chandrapur clinker facility. These include one unit at Jalgaon and one at Amravati. Another grinding unit is being set up at Salai Banwa in Uttar Pradesh.
For the new facilities of 4 million at clinker at Bhatapara apart from equipment which has been ordered, civil execution work has started on ground. Expected completion is by quarter 2 FY ‘26. For its corresponding grinding unit at Sankaren and Farakka, order has been placed on EPC vendor and piling work has also started at the

site. Expected completion of these units is by
quarter 3 FY ‘25.
For the new facility of 4 million tons clinker line at Maratha in Chandapura, LOI has been placed on EPC vendor. Site development and pre-project work has also been started. EC and CT approval are expected in this quarter. Expected completion by quarter 4 FY ‘26. Each of these kiln lines will have 42 megawatt of waste heat recovery and provision for utilizing 50% alternate fuels in the kilns.
At our Salai Banwa grinding unit in Uttar Pradesh, ground breaking activities have already been done. Expected completion is by quarter 1 FY ‘26. We will continue to provide progress updates of new orders and also the progress on individual projects on an ongoing basis.
Status on Sanghi acquisition. On 3, August, Ambuja Cement announced acquisition of Sanghi

Industries at an enterprise value of INR5,000 crores to be fully funded through internal accruals. Seller's CPs are in the progress of completion and the acquisition is expected to close in quarter 3, current year. This acquisition would help us to accelerate Ambuja's goal of 140 million ahead of 2028 and reinforce its position as a leader in construction material sector.
Now sharing an update on the structural initiatives to become the cost leader in the Indian cement industry. In my last call and also in our strategy presentation, I have guided for a total cost reduction of over INR400 per ton under three broad segments, which are energy cost, freight and forwarding cost and other costs.
Let me first discuss on the progress made to reduce our energy cost. Our waste heat recovery capacity at the time of takeover was 40 megawatts which we are now targeting to increase to 170 megawatts by March ‘25. As of FY ‘23 end, we managed to increase the capacity to 70 megawatts. At present the waste heat recovery capacity stands at 90 megawatts.
I also mentioned that we are considering installation of 200 megawatts of captive renewable power generation. The construction of the facility has already started in Khavda in Gujarat and

is expected to be ready by end of current financial year. On multiple occasions, I have highlighted that we want to be self-sufficient on our coal requirements with captive coal supplies. As a result, we started bidding for coal mines in the auctions being conducted by the Government of India. Besides the 1.3 million captive coal mine at Gare Pelma which Ambuja has since 2018, we have won the bid for a 2 million ton coal mine in Dahegaon Gowari in Maharashtra. The two mines together would cater to around 40% to 50% of our current coal requirement.
On account of these initiatives and reduction in fuel prices globally, our power and fuel costs have reduced by 33% to INR1,425 per ton in Q2 FY ‘24 from INR2,134 per ton in Q2 FY ‘23, the last reported quarter before our takeover.
The second cost item is freight and forwarding cost. There are three focus areas for cost reduction here. First, reduction in lead distance. Second, warehouse footprint optimization. And third, railroad mix optimization. We are targeting to reduce the average primary road lead distance to about INR100 kilometers. When we took over the company, this was INR175 in Q2 FY ‘23, which has been reduced to INR165 in the current quarter. For Ambuja stand-alone in the last quarter, it was at INR174 kilometers and for ACC, it was INR153 kilometers.
We have made progress on warehouse optimization as well and increased the direct dispatches from 44% to 49% on a Y-o-Y basis. With focus on green cost reduction in logistics, we have ordered 25 bulk rakes. These trains will enable safe and cost-effective transportation of fly ash from thermal power plants to our facilities. The costs are reducing mainly driven by detailed route planning at micro-market level and adherence to our L1 source, renegotiation on commercial terms, GP

S and technological measures. On account of these initiatives, our
logistics costs have reduced by 3.1% to INR1,377 per ton in Q2 FY ‘24 from INR1,421 per ton in Q2 FY ‘23, the last reported before our takeover.
Talking about the third cost item, the other cost, our business is now being run as a single entity with a single executive team and a streamlined employee hierarchy, thereby removing the role of redundancies between Ambuja and ACC. This streamlining has led to reduction of other costs by 13.5% to INR829 per ton in Q2 FY ‘24 from the earlier INR958 per ton on a Y-o-Y basis.
To secure our limestone supplies, we have won bids for 10 new mines with one in Odisha, one in Maharashtra, two in Gujarat, one in Madhya Pradesh and five in Rajasthan. Together, these limestone reserves are estimated to have a total of 584 million tons of limestone reserves. We have put a good discipline on the working capital, which has helped in improvement in working capital and operating cash flows, helping us continued increase in cash and cash equivalents.
In conclusion, we have made strong strides both operationally and financially in the recent quarter, a testament to our consistent efforts and strategic planning. We continue to generate significant cash to finance our expansion and pay dividends to our shareholders. Your trust and support have been our guiding force. Thank you for believing in us.
Moderator: Thank you very much, sir. We will now begin the question-and-answer session. We will take the first question from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: Yes, good afternoon, sir. So my question was regarding your guidance on INR400 per ton reduction in cost. Where are we as of like now we completed one year, where are we versus the INR400 per ton reduction from company specific initiatives?

Ajay Kapur: Yes, good question, Pratik. If you saw when we took over the companies, unfortunately, those were the quarters, number one transition quarters, so not the best time to compare with. Number two, the energy costs were very high during that period. If I normalize that and if you really see the structural efforts we are putting in, I think in my opening, I gave a very detailed explanation on how on all the three legs we are moving. Waste heat recovery, we already ordered 175 megawatts of waste heat between ACC and Ambuja.
We've already ordered 200 megawatts of green. We've already acquired a new coal mine in addition to the one which was running and is now being run at full capacity. We are already focusing on logistics and I've shown you how the direct dispatches have increased. I think each of these levers have already yielded some returns. The full spectrum of these results, plus our additional strategy on long term contracting our own wagons, which I spoke, I think over a period of next 12 months to 36 months, you will see a play of further improvement on the cost from the current level.
Prateek Kumar: I was just asking that how much of that INR400 maybe like, INR100 has come already or INR50 has come already based on whatever is operation in terms of various capex projects, so that was my question?
Ajay Kapur: I would say straight away 3% to 11% waste heat. So that much extra straight away comes on the power. Coal, we are already seeing also some strategies working with the Group companies. You've seen our power and fuel costs are getting optimized. The whole play of ACC and Ambuja using the best lowest cost models, increasing direct freight. So logistics cost also, while there has been a general inflation, we are seeing the cost has been arrested. So I would say already a part of it is coming in. But I think a large part of it will come in over the next 12 months to 36 months.
Prateek Kumar: Sure, sir. My second question is on your capex projection, you have given a detailed l

ine on the
expansions in your presentation. So there is nothing related to the grinding unit on related to Maratha, clinker line which was given in the presentation, right? Which will be given -- the details will be given later or something?
Ajay Kapur: Yes. Actually Maratha will have, I think I also mentioned, I don't know in my opening that there will be two grinding units. I think I mentioned Amravati and I mentioned Jalgaon in my speech. It is not captured here. But we will come out with the next detailed presentation where we will upload those as well. But there is one at Jalgaon, one at Amravati, 2 million plus 2 million, 4 million.
Moderator: Thank you. We'll take the next question from the line of Navin Sahadeo from ICICI Securities. Please go ahead.
Navin Sahadeo: Hi. Good afternoon and thank you for the opportunity. Also, thank you for the detailed presentation. I think every quarter the incremental details are really helpful. I'll ask two

questions. One is about the strategy that the company has for Sanghi Industries in the sense that since the acquisition is about to complete, but have we started utilizing these assets on a tolling basis or like, trying to feed the market?
Because I understand this capacity is large, but we are operating at very low utilization. So what we are gathering from the market is that ACC brand, which is not present in Gujarat, can be like, being made an entry to leverage on the Sanghi's entire capacity. So that is part of the question that what is the strategy, if you may request? Also, there was a plan to increase to 15 million tons.
Will that also on time in two years or how should one look at that? Overall, Sanghi, your comments on Sanghi? Thank you.
Ajay Kapur: Thank you, Navin. I think what I would do is Sanghi, as I mentioned in my opening, we're expecting to conclude the transaction in quarter 3. I think it's fair that since we're in the process of acquisition, I don't speak about a potential company which is still not part of our ecosystem. But I can tell you two things. Number one, Ambuja and ACC continue to remain our two main brands wherever we operate. That's our current stated strategy. Therefore, post-acquisition of Sanghi, Ambuja and ACC would continue to remain two brands which would be used to improve the output and reach from the Sanghi plant. That's the first set of answers.
The second set of answers, how will we expand? The Sanghi acquisition has two underlying strategies. First, it is a great asset at a great location and is very synergistic within our own ecosystem. Number two, it has 1 billion tons of limestone reserve, which allows us to increase clinker capacity in a very good location to help us cater to the West Coast. So I think both the strategies are very much part of our plan. And post-acquisition, once it's complete, we'll come up and state a very clear, laid out plan. I can assure you all the plans are ready with us.
Navin Sahadeo: Great. That's helpful. Sir, the second question was about the capex timelines and you mentioned

this unit-wise. But frankly, are we moving a little slow consciously? I mean, just trying to understand it because Maratha and Bhatapara units, I think were announced as six months back. And now we are sometime around April or May of ‘23, if I'm not wrong. And now we're looking at these completing towards end of FY ‘26.
That's like nearly three years timeline. So is there a challenge with these clearances? Is that the reason why we are moving a little slow? Because what we gather or in our experience, typically two years or rather less than that is more than enough typically for such units to come on board?
Ajay Kapur: So basically, Bhatapara, we already have an environment clearance. So I believe that will be a little ahead of time. Maratha public hearing has been done. We are in the process of securing the EC. But notwithstanding that, all the ordering work has been completed. Whatever we can do, we are already doing it.
So I think Bhatapara will be ahead of time. All grinding units you'll find are also coming ahead of time. So there we are taking about year and 1.5 years about, it think, 18 months to 16 months. Again, some places there's a piling work. Wherever ECs are available, we are going fast. Wherever ECs are not available, that is what has taken some time.

Navin Sahadeo: I appreciate. The only thing I was referring to the clinker…
Ajay Kapur: The land and the resource and all are in place. That's the positive news.
Moderator: Thank you. We'll take the next question from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.
Sumangal Nevatia: Yes, good afternoon, sir. Thank you for this opportunity. The first question on the volume growth this quarter. So if you look at consolidated volume growth is around 2.3%, which just for a few of our peers reporting industry growth appears to have been upwards, almost double digit industry growth. So if you could just explain what is the reason? Why, we have not been able to match the industry growth and the market share loss continues?
Ajay Kapur: So, Sumangal, we had not a very good July month. As you know, large part of our capacity north in Himachal, it was seriously flooded. It had some supply chain impact in the month of July. I think we also had very heavy monsoons in the central India. So this is the two very big markets for ACC and Ambuja combined. Post that, I think we had good two months and again, October, we are seeing a very healthy, double digit growth in top line. So I think it was more -- a very strong impact of July rubbing on our quarter 2 numbers.
Sumangal Nevatia: Okay, I understand. Second question with respect to the grinding unit announcements from Jalgaon, can we assume that this is beyond FY ‘26, given that things are not yet finalized?
Ajay Kapur: So we believe these grinding units from today should take 24 months. That is what I think, because the basic engineering, basic designs, they are very standard and we are very advanced stages of closing these sites. So I think 24 months from today.
Moderator: Thank you. We'll take the next question from the line of Ashish Jain from Macquarie. Please go ahead.
Ashish Jain: Hi, sir. My first question is a follow-up of the question from the earlier participant. Is it possible to give some sense of the cost savings out of that INR400? How much is already there till this quarter? I know you spoke about that a larger part is going to come, but any rough cut number just to have a starting point for us?
Ajay Kapur: The way to look at it is, we were making INR1000 per ton EBITDA margin on an average over the last two years before acquisition, right. Then came a period of very uncertain synergy, which I think impacted everybody, including us. Then we launched our initiatives. So what we have to -- we have reset the whole clock.
Our target EBITDA would be closer to INR1,450, which is what I have laid out in my strategy update also. We are still not there because some things have played out, some things will play out in time to come, in addition to the volume growth. So on a waste heat recovery, if I were to say, if 175 was 100%, we are at 90. So you can, we are almost 50% there.
On coal mines and coal strategy, we are about 30%- 40% there. Another 60% more improvement will happen. And then on other expenses, if you have seen, we already shaved off about 100,

about 10% of the cost, which is translating to about 10% per ton, directly impacting, helping us in the EBITDA.
What has not helped is obviously the prices have remained constant. Had the prices moved with the normal trends, you would have already start

ed seeing some of the better upsides. So I think
these are the three things. Logistics, I believe there is still ample room for us to improve. We have reduced about 3%- 4%. I think, I would say another INR100- INR150 per ton over the next six months- 12 months, you will see on logistics as well. So if you add all that, then you hit a figure of INR400 or maybe even slightly higher than that.

Ashish Jain: So just one small follow-up. Other expenses, shall we believe, has played out completely within that INR400 number or there could be more in other areas? Because that is something which is completely in your hand in a way?

Ajay Kapur: I think it's a constant journey of excellence. Whatever you leave it stable, it will either go up or go down, right? So we try not to have it go up. We have done a lot of optimization, but we also have stabilization of the current organization, preparing it for the growth. My focus is also on those two areas.

So when it comes to sales and marketing, we are actually adding a lot of people, increasing our footprint, putting more resources on the field. At the same time, optimizing wherever there were redundancies. A little bit more room is always there for us to improve.

Moderator: Thank you. We'll take the next question from the line of Rahul Gupta from Morgan Stanley. Please go ahead.

Rahul Gupta: Hello. Thank you for taking my questions. Sorry, my first question again is on cost optimization. So just to put it simply, costs per ton has improved by around INR650 versus September quarter last year. So how much of this INR650 is part of the INR400 cost optimization that you are talking about? So that's my first question.

Ajay Kapur: So Rahul, I think interestingly I've got three of my colleagues on the call have asked me the same question, but with a different opening. Whether my answer can be different, I don't think it will be different because you understand where I'm coming from. You have to shave off the general energy prices which have come down for everybody.

So I would let's say about 30% or 20%- 25% cost for power and fuel has come down for everybody. I would say additional 10% is coming out or 15% is coming out from our own work, which is largely wasted recovery. Own coal mine improved production. Better mix of various five or six kinds of fuels that we can use and improved focus on alternate fuels and green energy. Green energy will still play out after March of '24 and we will keep this open because we are still thinking a lot more on that direction. So we'll come back to you on that. Waste recovery is still as I said from 90 megawatts to 175 megawatts. The remaining 60 megawatts- 70 megawatts have still to be commissioned. Each megawatt of waste heat gives you a cost of INR1 versus a grid cost of INR6 and captive sometimes at INR6.50 or INR7. So that saving is still to translate.

The whole saving on logistics is still to come in. I would say about 25%- 30% has come in. 70% more has to come in. So of the INR400, you can say about INR100 has come in, INR300 more to go. But by the time, I hit the figure of INR400, this INR400 will get increased to INR500. Because the end goal target is INR1,450- INR1500 EBITDA per ton.

Rahul Gupta: Got it. This is very helpful. My second question is, if we look at Ambuja consol volumes term, can you help us understand, how one should look at over the next couple of years given a large part of the new plant commissioning would not come in before the end of fiscal '25? Would you continue to lose market share or this was just a one-off quarter?

Ajay Kapur: As I said, July was a negative month for us because of the season extent. October interestingly has been a very good month for us. We are looking at a double digit sort of a number. So the answer lies there. By the way, Sanghi is being acquired by Ambuja. So clearly 6.6 million

clinker
with a very little investment straightaway can go up to 10 million cement.

That further improves your footprint in some of the core markets where we have very good positions, where we perhaps feel we under supplied today. Those markets are namely Gujarat, most of the Gujarat, Mumbai, parts of Maharashtra and down south. So if you take all that, these markets where we are actually under supplied and there is a great demand.

So easily market share will come up. Ametha, we have just fired the kiln. The cement mill will also come in this quarter. That will give us additional one million. There is a group company have put up a one million grinding station in the Dahej. That's another one million. That will also give us additional grinding capacity. And then the first set of grinding units of Sankrail and Farakka would come up over the next year and a half.

So that will give us the next set of. In addition, we are also looking at Bhatinda in Punjab, where we are doing a deep bottle necking project. So that will give us one million in Punjab. We are also looking at Sindri in Jharkhand for ACC, another 1.6 million. If you add all this together, to do a growth of 10% to 12% in line with the industry or slightly better in markets where we have an acquisition, should not be a problem for us.

Moderator: Thank you. We'll take the next question from the line of Ritesh Shah from Investec. Please go

ahead.
Ritesh Shah: Yes. Hi, sir. Thanks for the opportunity. A couple of questions. Sir, first is, can you please repeat on basically the orders that we have placed and if you could highlight, like, are we looking at KHD, FLS or any of the Chinese equipment suppliers?
And sir, you did indicate a few plants where we have placed orders, but any specific update on likes of Mundra where we were looking at around 3.8 million ton or has it been more to -- It was always under Adani Cementation. That's the reason, why it's not there right now?
Ajay Kapur: So Mundra we have actually put up in our presentation a GU of 4.5 million and actually by it's a typo error, we have put a GU of another 2.4 million. It is basically an IU of clinker capacity of 2.25 million or 2.4 million and cement capacity of 4.5 million. And it is being put up under Ambuja.

Ritesh Shah: Okay.
Ajay Kapur: Sorry. Mundra we have put up 4.6 million. That's right. And Marwar is another 2.4 million. That's right. So that's under, that is being put up under Ambuja. Mundra unit.
Ritesh Shah: Both under Ambuja, right? Marwar obviously and Mundra as well, right?
Ajay Kapur: Yes.
Ritesh Shah: Can you please repeat on the order placement, sir? It was not clear.
Ajay Kapur: So we have already placed orders for Bhatapara, Maratha, Sankrail, Farakka and LOI has also been issued for another five grinding units. I think some of them are already featuring in this list.
And we have placed order on TCDRI, China.
Ritesh Shah: This is helpful. And sir, my second question is in the presentation, we do indicate long-term tie-up for key raw materials. Can you please highlight this? Does it include fly Ash as well as Slag, if it is there? And what are the terms that we are looking at over here? And lastly, sir, structure simplification. Can we see Ambuja-ACC as a single unit from a market standpoint? Any timelines over there? Thank you so much.
Ajay Kapur: Okay. On the long-term tie-ups of raw materials, clearly you are right. One is Fly Ash, one is Slag. Slag, as you know, there are only a few companies. So wherever we are bidding, we are trying to secure longer term. Not so long term, but I think in Fly Ash, because there are government plants also.
And in the past, we have had long-term tie-ups. So we are looking at long-term tie-ups. The terms are very transparently determined because either there is a public auction done by a government entity or again, there is a EOI done with a listed Indian entity in the private sector.
And the third is within our group, which again, being a RPT, we go through a EOI process and a transparent, what do you call, tendering. But whatever we do, what we are looking at is -- which plant is the best fit for location.
And then also making some investments in loading and unloading, because that is something that was missing earlier, putting our own fleet of railway wagons that allows us seamless connectivity. And more importantly, when you have that well-planned connectivity and source to consumption plant, you end up optimizing. I think beyond that, we can take it up one-on-one.
But I think needless to say, these are all going to be highly value-accretive and are part of my INR400 plus plan.
Moderator: Thank you. The next question is from the line of Jashandeep Singh from Nomura. Please go ahead.
Jashandeep Singh: Hi, sir. Thanks for the opportunity. Yes. My first question is a booking question. You said 170 million ton of WHRS is coming. So since both the companies are still separate legal entities, can you tell us how much is coming in which company?
Ajay Kapur: Yes. So we have waste heat. We'll have 129 in Ambuja and about 86 in ACC.

Jashandeep Singh: And what will be the current status of these, sir?
Ajay Kapur: Current as on September, Ambuja is 60 and ACC is 30. When I said 90.
Jashandeep Singh: And sir, you said INR1,450. So what is the timeline you are thinking of? By this, you can comfortably achieve that. Is it by end of FY '25 or beyond that?
Ajay Kapur: Sorry, what was the question? Can you repeat it?
Jashandeep Singh: Yes. So you said a sustainable EBITDA of INR1,450 to INR1,500 per ton. That is something you are looking at?
Ajay Kapur: 36 months from now, because you understand, I have to complete some of the new kilns, which

are lower cost. That's also part of the strategy. I have to complete the new Gus, which will help me enable better go to market and thereby reduce my lead distance. I have to see the culmination of my long term raw material contracts.

And then finally, I have to complete the current stage of waste heat recovery and green and also some of the optimization projects which are also laid out in my presentation. Many cooler projects have taken up which were ignored earlier. We are also looking at the best power mix at each plant using our group expertise. So all those things will play out over 12 months to 36 months. Maybe earlier, but I think you can take 36 months as the last upper limit of that.

Jashandeep Singh: So from today, you are saying a sustainable bid of INR1,450 to INR1,500 per ton. And sir, my last question is on ACC. So we have seen post the transition period also, Ambuja has recovered to the previous EBITDA level. You are saying around INR100 is included that. But in ACC, we are not seeing any recovery happening.

The first quarter was somewhat good. So what is going wrong or what is lagging in ACC, which we are seeing in Ambuja, but ACC is lagging behind. So we see utilization levels are higher than when coal used to be there. So there is nothing on the operation front. So why is ACC a bit still perplexed?

Ajay Kapur: No, if you look at the cost factors…

Jashandeep Singh: Cost factor, the synergies are both the same for both the companies.

Ajay Kapur: See, with the ACC and Ambuja always had a gap of about 4% to 5% in the margin, traditionally. Actually, last year, September, ACC had actually gone pretty low. It's almost like a negative or zero margin, when we acquired the business. From there to now, the movement has been, I would say, has been structurally in the right direction. And I believe in time to come, see, we are buying the same coal for both the companies.

We are buying the same raw material. The cost benefits are going equally to both the companies. The sale

s and the pricing is also driven by the same set of leaders. So I believe the catch-up will be even sharper in time to come. ACC did have legacy plants in the past. And we are structurally looking at each of the legacy plants. And either those plants would be replaced by new kilns next

door or we are going to either make investment or if nothing else, we will mouth ball them. So I think we are very clear, we want to increase our performance.

In fact, an answer to many of you asked me on the growth. Besides, of course, a bad July and some hit in our core markets, we are also looking at wherever there were bad trade practices, where we found there were leakages or there was lower EBITDA sales happening from some plant. We have curtailed those in order to improve our efficiency because that's what will stay with us. And that's the only way you can get to a much better level of performance.

Moderator: Thank you. The next question is from the line of Shyam Sriram from Franklin Templeton. Please go ahead.

Shyam Sriram: Yes. Hi. Thanks for this opportunity. Very healthy operating performance at Ambuja. My question is somewhat on similar lines to the prior participant. Now, when we compare ACC and Ambuja at the unit EBITDA level, the gap between ACC and Ambuja has widened this quarter at EBITDA per ton. This quarter, it has become INR345 per ton, which was earlier around the 220-mark last quarter.

Now, while I do understand why this is one should not look to from a quarter-to-quarter perspective, are there any business reasons for this EBITDA unit EBITDA gap widening from an ACC perspective? If you can share any thoughts on that? Any regional mix or any other business reasons attributable to this?

Ajay Kapur: I think one is, of course, the market mix of Himachal, as I said, had serious flooding. ACC has one unit in Gagal, not many grinding units. Ambuja is well integrated. It has four grinding units in North. Roper, Bhatinda, Dadri, then Roorkee. Whereas, ACC entire grinding is in Gagal. And then they have a tolling arrangement with another company, Asian. So, I think to that extent, they got hit little more severely with that.

Other than that, East also we saw a little bit of a demand slowdown. Bihar, East, some of these markets. ACC is very strong there. So, I think that also adds something on the sales footprint. Other than that, I do not think there were any major concerns. And I also don't have any major concerns going forward.

Moderator: Thank you. The next question is from the line of Amit Murarka from Access Capital. Please go ahead.

Amit Murarka: Hi, good afternoon. First, I wanted to check what was the MSA sales volume in the quarter?

Vinod Bahety: So, Yes. Amit, hi. Vinod here. In terms of MSA between Ambuja and ACC, together it was 2.4 million. Ballpark 1.2 million each, sales from Ambuja to ACC and sales from ACC to Ambuja.

Amit Murarka: And could you also give a split of clinker and cement in this? Like how much of clinker from

ACC to Ambuja and vice versa?
Vinod Bahety: It was largely cement only. So, almost 95% of this volume would be cement only.
Ajay Kapur: Largely cement.

Amit Murarka: Got it. And with Amita commissioning, given that Amita like has much higher clinker and grinding, how will the utilization of the clinker happen between Ambuja and ACC?
Ajay Kapur: So, we have already put in additional 1.5 million grinding at Tikaria ahead of time. So, I think we will use that fully. Besides, some of the units of Ambuja in East have the grinding capacity available. So, I think we should be able to absorb this clinker very profitably by realigning the clinker and also further optimizing the MSA.
Amit Murarka: Sure. Also, coal advances, could you provide the status of that?
Ajay Kapur: The coal advance in Amb

uja had already become zero in the last quarter. ACC, it has already become zero in the current quarter. It's fully squared off.
Amit Murarka: And I see in the balance sheet cash flow that the receivables seem to have gone up in one inch even though the volume seems to be the same as what we did in Q4. So, why would that be?
Management: So, basically Amit, if you compare Q1, Q2, we have improved on the working capital when it comes to March versus September. That is a factor of the year-end closing versus the half-year closing. Otherwise, we don't see any concern. My receivables are at 12 days of the overall set turnover. So, that is... And in fact, if you see my payables, we have improved over there. So, effectively, I've improved on my working capital on an overall basis.
Amit Murarka: Sure. And the last question is on Sangi. Once the deal is completed, generally, what would be the sales strategy? Would that be like a purchase from Sangi on an MSA basis because Ambuja and ACC are much stronger brands or would you continue to sell under the Sangi brand?
Ajay Kapur: I think, clearly, as I said earlier, we have a strategy in place. We would continue to run our company's cement business for Adani through Ambuja and ACC brands. Of course, we have leverage of using any regional brands as and when we acquire, like this one. But I think the market would also expect us to be selling an Ambuja brand or ACC brand. We'll use those. How we would structure it, I think we have a very good experience of structuring between Ambuja and ACC. As and when Ambuja acquires the completion of Sangi, we would use more or less similar arrangement as we are already doing for Ambuja or ACC.
Moderator: Thank you. The next question is from the line of Aman Agrawal from Equirus Securities. Please go ahead.
Aman Agrawal: Thank you for the opportunity. Sir, my question is on the demand situation in the eastern region. We have been hearing for some softness for quite a few quarters now. At the same time, the upcoming capacities in east is one of the highest among all the regions in India. Do you think there is a reason to worry about the utilization levels in east or is this anything of temporary sort?
Ajay Kapur: The east also saw a very good base effect over the last, if you saw, 12 months. East was having a very good, in certain months it was even growing two digits. So sometimes it is also the base effect. The current last couple of months, east had serious monsoons. And of course, currently we are reeling out of the Puja, Diwali time. Puja, as you know, has a very strong sales impact in

east. I expect post November, December, east should go back to its normal 8%-10% demand growth. Earlier times, it was growing at about 15%-16%. That is my guess.
Moderator: We will take the next question from the line of Shyam Sriram from Franklin Templeton. Please go ahead.
Shyam Sriram: Hi. One follow-up here. On these other expenses, line items, you did explain on this EBITDA GAAP and some business reasons. But other expenses for ACC seems to have been higher than Ambuja, that is one part? And the other one on the housekeeping question, for ACC, the receivables seem to have moved quite a bit higher as compared to March. And you did talk about March being year closing. But the receivables have substantially shot up for ACC per se. Any reasons that can be attributed there? Thank you.
Ajay Kapur: Yes. So, basically on the other expenses -- your question was on ACC, it is not showing the same trajectory as Ambuja, right?
Shyam Sriram: Correct.
Ajay Kapur: I think one other expense was the technical know-how fees, I think which both the companies were paying 1% to [Astral Olsen]. They have both reduced that. I think I am asking Vinod to just bring out the finer details of what you are asking me right now.

On the second question was on receivable

s, I think by and large in the market, both the
companies have a debtors' balance of -- we were at about 11 days last year. We have gone up by one day. And this is also reflecting in the market. We are a very trade-focused business. We still continue to sell almost 85% to 86% sales and trade. ACC is more or less there.
And when you have to increase volume in trade, the rest of the industry is much, much lower here. Sometimes you have to give a little bit of credit in the market. That is purely on the trade side. But Vinod wants to add something more.
Vinod Bahety: Shyam, again, actually it is a factor of March versus September. Otherwise, I see that in ACC as well, the receivables are in this range of 10 to 12 days for the trade sales. And for the non-trade, it is in the range of 30 to 45 days. And then there is this element of MSA. So earlier, we would settle the sales intercompany in a week or 10 days' time. But now, just to avoid multiple entries, we do it once in a month and at the end of the month.
Hence, you will find that the receivables at the end of September will be a little higher for sale to Ambuja, but otherwise, nothing of any per se unusual item here.
Shyam Sriram: Absolutely. Just one follow-on, if I may. Because the MSA volumes a little bit obscure the actual underlying working profitability picture for ACC, would it be possible to share what will be ACC's production numbers per MSA? And how do we think of the revenue split on what ACC produces and sells?
Charanjit Singh: Shyam, I see 10 people on the call as of now. So in the interest of time, we will take this question offline, if that's okay with you.

Moderator: The next question is from the line of Mangesh Bhadang from Centrum Broking. Please go ahead.
Mangesh Bhadang: Sir, a couple of questions from my side. Firstly, almost 12 million tons of grinding capacity is getting commissioned in the second half of FY25. But the clinker -- associated clinker is coming in, say, post-second quarter. So is it right to assume that most of the volume growth from these expansions should follow in FY26 only?
Ajay Kapur: No. So we always have some clinker available in our system. And [Ametha], as we already commissioned, that is 3.3 million. And we believe we can still take out a little more. Most of these kilns, as you know, we generally optimize another 10%. Our existing kilns also have a residual capacity. There is some capacity still in Chanda. So I think we will be able to meet the growth targets of about 10% to 12% per annum on the current basis.
Grinding units are easier to bring forward. And some of these grinding units are also brought ahead of the time because if you can use the current clinker and produce cement from it that is even more value-accretive for us. Salai Banwa is a plant we are bringing up in Uttar Pradesh.
We already have an EC. We already have the land. We are now already starting the work at the site. That is 2 million will help immediately in our central region. So I think those are the measures we are taking. You will always find clinker units coming up a little delayed versus the grinding unit.
Mangesh Bhadang: And the second question is, what could be the capex -- actual capex for ACC and Ambuja for the next two years?
Ajay Kapur: So I think the larger capex, I can give it to you, but final bifurcation will be difficult to give you now. The current year, we have by and large about 7,500, of which ACC is about 2,500, Ambuja is about 5,000.
Moderator: Thank you. The next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: Hi. Thank you, a couple of questions on capacity. You mentioned in your opening remarks achieving 140 million tons before FY28 and ordering 10 kilns. If you look at your own targets and guidance, you are talking about 3 kilns by the end of FY26. Does it

mean 7 kilns through
organic growth in FY27 and first half of FY28? And what gives you the confidence given these new kilns are taking 2.5 years that you would be able to commission 7 kilns in FY27 and FY28?
Ajay Kapur: Basically, all the kilns we are talking about are coming at current locations, which are largely brownfield -- in fact, mostly brownfield, other than maybe one odd. Number one. Number two, now we also have Sanghi in the ecosystem. So the moment Sanghi comes in, it's already there are 2 kilns producing, capable to produce 6.6 clinker, which I believe can easily go up to 7.2 clinker.
One new kiln there adds straight away from 7 plus 4, you know, 11 million, 12 million clinker.
What I have to do is from the current 40 million clinker, I have to add another 40 million clinker.
I think, you know, Ametha just got commission 3.3. I already mentioned about 3 kilns, that's 12.

If you add Sanghi 6.6, which is actually 7, add another Sanghi at another 4, we are almost, I think, 70% there already. I need to just open up 2 new sites of 4 million each and I'm done.
Moderator: Ladies and gentlemen, due to time constraint, we'll take only 2 questions, which is from the line of Prateek Maheshwari from HSBC. Please go ahead.
Prateek Maheshwari: Thank you, sir, for the opportunity. Sir, I have a question on the MSA. You just made a comment that there is still some room left to kind of optimize it. I'm looking at your last 8 quarters of data, it seems like your MSA volumes have increased from 1.5 lakh tons a month to upwards of 8 lakh tons per month.
So, just looking at the existing capacity base, how much is the opportunity to kind of further improve on the MSA or this MSA improvements will happen after the commissioning of new capacity? That's question number one. Sir, also I wanted to understand on the coal…
Ajay Kapur: It's question number one because, you know, if you heard, that's 2%, 3%. This is the last, I think, if I'm not mistaken, last or one more. But MSA currently with the current footprint minus Ametha is already optimized. Once Ametha comes in, next set of optimization will happen.
But believe me, what is MSA? MSA is saying Master Supply Agreement between two entities to continue to optimize. So, when we add [Killen] and Ambuja, that Killen will have a clinker of 4 million, it will use for Ambuja and ACCC both and vice versa.
Moderator: Thank you, sir. Ladies and gentlemen, this will be the last question for today, which is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi: Yes. Hi, sir. Good afternoon. My question pertains to first on the capex, which you mentioned Ambuja 5,000. So, this is beyond the Sanghi acquisition, right?
Ajay Kapur: Yes.
Rajesh Ravi: Okay. So, first half number has been quite low. So, second half, you're looking at an accelerated capex?
Ajay Kapur: Yes.
Rajesh Ravi: And ACC, how much is among the list with capex, which you have mentioned, I assume most of them are happening in Ambuja?
Ajay Kapur: Yes. Except for Salai Banwa, it's happening in ACC. Sindri, I don't know whether it's in this list, but it's happening in ACC. It is there in the list. All the waste feed and all the optimization capex of ACC plants are happening in ACC, Ambuja plants in Ambuja. Sanghi, of course, is happening.
Rajesh Ravi: So, next year also, it will be around similar capex, 7,000 to 8,000 crores?

Ajay Kapur: I think so, yes. We will have to continue because some of it will be the current capex rolling in, some of it will be the fresh capex, which will start in, and some of it will be the next stage of growth, which I'll announce in time to come, to come to our 140 million target.
Charanjit Singh: So, Rajesh, we will give the guidance at the year-end for the next FY.
Rajesh

Ravi: Great. And also, could you share the clinker production number in 1H for both the companies, ACC and Ambuja? And also, what is the status on the Sanghi's buyback?
Ajay Kapur: Just give me a sec. I need to just pull out the number. Clinker production, first half? So, we have done. You want breakup company-wise or I can give you the full entity? 17.4 million tons of clinker has been produced in the first half.
Moderator: Thank you, sir. Ladies and gentlemen, that was the last question for today. I now hand the floor over to Mr. Charanjit Singh for closing comments. Over to you, sir.
Charanjit Singh: So, thank you once again for joining the call. For any queries which have been left unanswered feel free to reach out to me. I will be happy to respond to any of the pending queries. Also looking forward to having another fruitful session after Q3 results in January, so, thank you very much, and good day, everyone.
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of PhillipCapital India Pvt. Ltd., that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2024

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3rd February , 2024

To

National Stock Exchange of India Limited

Scrip Code: ACC BSE Limited

Scrip Code: 500410

Sub: Transcript of Earning Call pertaining to the Un -audited Financial Results of the Company for the Quarter and Nine months ended 31st December , 2023 .

Dear Sir/ Madam,

In continuation of our letter dated 27th January , 2024 regarding Analyst/Institutional call scheduled on 31st January 2024 , the transcript of the earnings conference call on the Un -audited Financial Results (Standalone & Consolidated) for the quarter and nine months ended 31st December , 2023 is uploaded on the website of the Company at www.acclimited.com .

The Web link to access above transcript is as under - Investor Presentations | ACC Limited | India's Most Preferred Brand .

The said transcript is also attached.

Kindly take the above on your records.

Thanking You,

Yours Faithfully,

For ACC Limited

Hitesh Marthak
Company Secretary & Compliance Officer

Encl: as above

“Ambuja Cements Ltd., ACC Ltd., and Sanghi Industries Ltd. Q3 FY24 Earnings Conference Call”

January 31, 2024

MANAGEMENT : MR. AJAY KAPUR – CEO, ACIL
MR. VINOD BAHETY – CFO, ACIL
MR. CHARANJIT SINGH – HEAD, INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY24 conference call of Ambuja Cement, ACC, and Sanghi Industries hosted by Antique Stock Broking.

As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touch - tone phone. Please note th at this conference is being recorded.

I now hand the conference over to Mr. Charanjit Singh – Head, Investor Relations. Over to you, Mr. Singh.

Charanjit Singh: Good evening ladies and gentlemen. Thank you very much for taking out time to join this call. On behalf of Adani Cement, a very warm welcome to all of you.

Before I hand over the call to Mr. Ajay Kapur for his opening remarks, I will make a request that kindly limit your questions to one or a max of two, and then you can reenter the question queue.

On this side, we have Mr. Ajay Kapur and Mr. Vinod Bahety – the CEO and the CFO – to answer your questions. We will go for around an hour, so hopefully we will manage to answer all your questions. But in case something gets left, then kindly feel free to r each out to the IR post the call.

Over to you, Ajay Ji .

Ajay Kapur: Good afternoon to all of you. Warm greetings. Thank you for joining us today. It is my pleasure to share with you the Operational and Financial Performance of Adani Group's cement business for the Quarter Ended 31st December 2023.

To begin with, the Consolidated Quarterly Y-o-Y performance :

We registered a revenue of Rs. 8,129 crores, a jump of 3%. This is largely driven by a strong focus on our micro market management strategy and expansion of dealer network. Blended cement as a mix of total sales was maintained at 87%. Premium products as a percentage of trade sales volume increased to 22%.

Operational cost for the quarter was at Rs. 4,526 per tonne, shows a decline of 10%. This is attributable to 21% decline in energy cost driven by better fuel management, which resulted in reduction of kiln fuel by 25% to Rs. 1.84 per 1,000 kcal from Rs. 2. 45.

The transportation cost declined by 1% to Rs. 1,297 per tonne on account of footprint optimization. The direct dispatch to customers has further increased to 52% from 50%. The rail coefficient stands at 26%.

Other expenses stand at Rs. 777 per tonne. With the improvements mentioned on both revenue and cost, EBITDA grew by 70% at Rs. 1,732 crores and EBITDA per tonne at Rs. 1,225, implying a jump of 65%. EBITDA margin expanded by 8.4 percentage points to 21.3%.

The CAPEX spend of Rs. 1,048 crores were achieved from internal accruals and cash in hand.

As on 31st December, the consolidated cash and cash equivalent in the company's books stood at Rs. 8,591 crores. The reduction in consolidated cash was on account of acquisition of Sanghi Industries, resulting in cash outflow of Rs. 3,801 crores.

Now, looking at the 9 months Y -o-Y performance :
Revenue is up 5% at Rs. 24,266 crores. EBITDA grew at 91% at Rs. 4,701 crores. On a per -tonne basis, it was Rs. 1,103, implying a jump of 82% and EBITDA margin too expanded by 8.7 percentage points to 19.4%.
Now, coming to standalone performance of Ambuja for the quarter ended 31st December on a Y-o-Y basis :
The revenue is up 8% at Rs. 4,440 crores, in line with the volume growth of 6%. EBITDA jumped by 33% to Rs. 851 crores. EBITDA per tonne stood at Rs. 1,043, a jump of 26% and EBITDA margin expanded by 3.7 percentages to 9.2%. We had a robust PAT growth of 39% to Rs. 514 crores.
Speaking of the last 9 months' standalone performance on a Y -o-Y basis :
Net revenue is up 11% at Rs. 13,139 crores, in line

with volume growth of 12%. EBITDA
jumped by 57% at Rs. 2,573 crores. EBITDA on a per -ton basis was Rs. 1,035, a jump of 40% and margin expanded by 5.7% at 19.6. We had a robust PAT growth of 16% to Rs. 1, 802 crores.
Now, let me share with you the progress that we have made on our announced long -term strategic plan:
Firstly, on our new capacity additions, in line with our plan to add around 40 million tonnes of new clinker capacity, Ametha integrated unit in Madhya Pradesh has now been commissioned, enhancing the clinker capacity by 3.3 million tonnes. Acquisition of Sanghi has increased our clinker capacity by another 6.6 million tonnes. With these 2 additions, we have already added 10 million tonnes of clinker out of 40 million tonnes, as we had planned. Now, our total clinker capacity stands at 51 million tonnes.
For doubling the capacity of grinding facilities to 140 million tonnes by FY28, we are targeting around 35 new grinding units. 1 million tonne of grinding unit at Ametha has now been commissioned. Acquisition of Sanghi has increased our grinding capacity b y 6.1 million tonnes. Further acquisition of remaining stake in Asian Concrete & Cements Private Limited has increased our grinding capacity by another 1.5 million tonnes. Our grinding capacity now stands

at 77.4 million tonnes. Another 2 units are mapped to the upcoming clinker facility of Bhatapara of 4 million tonnes. These include one at Sankrail and one at Farakka in West Bengal. Another 2 units are mapped to Chandrapur clinker facility of 4 million to nnes in Maharashtra. These include 1 unit at Jalgaon and one at Amravati.
Other grinding units which are being set up are Salai Banwa in Uttar Pradesh, Sindri in Jharkhand, and Marwar in Rajasthan. All these units are expected to get commissioned by FY26 end. Additionally, we would be also setting up grinding units at Hoshiarpur in Punjab, Warisaliganj in Bihar, and Pune in Maharashtra to be commissioned by FY27.
For the new facilities of 4 million tonne clinker at Bhatapara, 30% of civil execution work is now complete and major equipment dispatch has also commenced. Expected completion is by quarter 4 of FY25. For its corresponding grinding unit at Sankrail and Fa rakka, order has been placed on EPC vendor, and 80% of the filing work has been completed at the site. Expected completion of these units is by quarter 3 of FY25.
For the new facility of 4 million tonne clinker line at Maharashtra in Chandrapur, LOI has been placed on the EPC vendor. Site development and pre -project work has already been started. EC approval is expected in this quarter. Expected completion is by qua rter 2 of FY26. Each of these kiln lines will have 42 MW of waste heat recovery and provision for utilizing beyond 30% alternate fuels. We also placed orders on EPC basis for grinding units at Salai Banwa in Uttar Pradesh, 2.4 million tonnes; Sindri, 2.4 m illion tonnes, in Jharkhand. At our Salai Banwa grinding unit in Uttar Pradesh, groundbreaking activities have already been done.
We will continue to provide progress updates of new orders and also the progress on individual products on an ongoing basis .
Now sharing an update on the structure initiatives to become the cost leader in the Indian civil industry:
In my last call and also in our strategy presentation, I have guided for a total cost reduction of over Rs. 400 per tonne.
Let me first discuss on the progress made to reduce our energy cost :
Our waste heat recovery capacity at the time of takeover, last year, September 2022, was 40 MW, which are now targeting to increase to 186 MW by March 2025. At present, the waste heat recovery capacity stands at 119 MW. We have recently announced installat ion of 1,000 MW of RE energy, which is expected to get commissioned by FY26 and would ensure that 60% of our power requirements would

be through green power. This would help in reducing the power cost
by Rs. 90 per tonne on the expanded capacity by FY28.
On multiple occasions, I have highlighted that we want to be self -sufficient on our coal requirements with captive coal mines. As a result, we have started bidding for coal mines in the

auctions being conducted by the Government of India. Besides the 1.3 million captive coal mine at Gare Palma, which Ambuja has since 2018, we have won the bid for the 2 million tonne coal mine in Dahegaon -Gowari in Maharashtra. The 2 mines together would c ater to around 40% to 50% of our current coal requirements. Our power & fuel costs have decreased by 21% to Rs. 1,353 per tonne in quarter 3 of FY24 from Rs. 1,702 per tonne in quarter 3 of FY23, driven by better fuel management and structure initiatives u ndertaken. These initiatives include an increase in share of AFR and waste heat recovery in fuel and power mix. Share of AFR in fuel mix has improved to 9.1%, which was 7.1% at the time of acquisition. Share of waste heat recovery in power mix has increase d to 12.7% from 3.4% at the time of acquisition.
The second cost item is freight & forwarding cost. These are 3 focus areas for cost reduction here. First reduction in lead distance; second, warehouse footprint optimization; and third, rail - road mix optimization. We are targeting to reduce the average pr imary lead distance to about 100 km. Lead distance in the current quarter was 284 km versus 291 km at the time of acquisition. For Ambuja standalone, in quarter 3 of FY24, it was 277 km, and for ACC, it was 295 km.
We have made progress on warehouse optimization as well and increased the direct dispatches from 50% to 52% on a Y -o-Y basis. With a focus on cost reduction in logistics, we have ordered 11 General Purpose Wagon Investment Scheme, rakes of seven of which h ave already been delivered, and the rest are expected to be delivered by the end of the current financial year. These trains will enable cost efficient clinker movement from the mother plants. Apart from these, we have also ordered 26 BCFC rakes for safe a nd cost -efficient transportation of fly ash from thermal power stations to our facilities. The cost reduction is mainly driven by detailed route planning at each micro market level and adherence to our L1 source, renegotiation on commercial terms, GPS and technological measures, and today, 98% of our fleet leaving the plant is now tagged with the GPS system. On account of these initiatives, our logistics costs have reduced to Rs. 1,297 per tonne in quarter 3 of FY24 versus Rs. 1,310 per tonne in quarter 3 o f FY23.
To secure our limestone supplies, we have also won bids for 10 new mines with one each in Odisha, Maharashtra, and Madhya Pradesh, two in Gujarat, and five in Rajasthan. Together, these limestone reserves are estimated to have a total reserve of 586 millio n tonnes of limestone.
And with the acquisition of Sanghi, we are optimizing the infrastructure at the site that would enable efficient transportation of cement from the plant to the jetty through mechanized conveyor belts. Along with other basic infrastru cture updates, we are expecting a modest CAPEX of Rs. 200 crores to improve the efficiency at the Sanghi plant. The master Supply Agreement has been signed between Ambuja and Sanghi and ACC and Sanghi that would enable in improving the utilization of Sanghipuram unit from the current 25% to 30% to 75% to 80% in the near future. Improved utilization levels would enable us to transform the company from EBITDA negative to EBITDA positive within a very short span of time.
In conclusion :

We have made strong strides, both operationally and financially in the recent quarter, a testament to our consis

tent efforts and strategic planning. We continue to generate significant cash to finance our expansion and pay dividends to our shareholders. Yo ur trust and support have been our guiding force. Thank you for believing in us.
I will now request my colleague, Vinod, our CFO, to also start the initial remarks.
Vinod Bahety: I also just want to exert my jubilance in terms of some of the important parameters. For this quarter, we have achieved EBITDA on a consolidated basis per metric ton of Rs. 1,225 which is highest amongst the peer group. Our EBITDA margin of 21.3% is among st the highest in the industry. Our rating is reaffirmed to triple A level, stable, long term. Our highest PAT margin of 13.4% in the industry. Net worth is lifetime high at Rs. 42,824 odd crores. And in terms of cash and cash equivalents at R s. 8,500 odd crores, we are again in the highest category.
From a trade sales perspective, the percentage is again the highest. And from premium cement sales, our percentage is again very high. If you see in 9 months, the cost reduction which is achieved almost at 10%, we were almost at Rs. 4,700 per tonne to Rs. 4,800 per tonne in December last year and now we are at close to Rs. 4,300. This Rs. 400 per tonne which has been

saved is again the cost reduction which has been highlighted.
And, if you see the investor deck also, there were some feedbacks to bring in more and more information. So, this time we have covered lots of additional information in our investor deck. I am sure people would have gone through it, all of you. And, we are open to questions now.
Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
The first question is from the line of Indrajit Agarwal from CLSA India. Please go ahead.
Indrajit Agarwal: My first question is on Sanghi. Congratulations on the acquisition. Post to the acquisition, would Sanghi as a brand cease to exist? Would the entire volumes be sold under MSA to ACC Ambuja or that brand will also exist?
Ajay Kapur: The simple answer is we have already shifted the entire sales in the brands of Ambuja and ACC. And that is very well received in the market. So, Sanghi as a brand we are not using.
Indrajit Agarwal: My second question is actually on CAPEX ; if you can help us with the guidance of CAPEX for FY24, FY25, and FY26 and the split between Ambuja and ACC on this.
Ajay Kapur: If you see our investor deck, we have loaded Slide # 29. All the details are there. We have, as I mentioned also in my opening, 2 -line 8 million tonne clinker and 19.6 million cement. In addition, there are 5 new grinding stations. I know this question will also come later, so I'm attempting an answer now on ly so that perhaps another question on the same I'll answer. In Amravati and Jalgaon, the land acquisition is currently in active progress. We expect this to be

completed and EC also by December 2024. And therefore, after that, in about 14 months, the project should be on. Hoshiarpur in Punjab, the land has been purchased. Public hearing has been completed. We are already in an advanced stage. I think we should ge t the EC by March 2024. After that, again in around 14 to 15 months, the project should be live. The Bihar grinding unit Warisaliganj, land is already available. Public hearing also completed. The EC timeline is March 2024. After that, 14 to 15 months for project completion. And in Pune, the land is identified, under progress. Like Amravati and Jalgaon, we should get the EC by December 2024, and after that, another 12 to 14 months. This is the status of the new 5 grinding units which have been announced tod ay in addition to 19.5 which we have already announced with the timelines.
Indrajit Agarwal: And how will we source clinker here?
Ajay Kapur: We h

ave a clinker at ACC Wadi. We are doing some debottlenecking there. Maharashtra we have anyway put up a clinker line of 4 million. That can easily produce 6.5 million tonnes of cement. And you can see the 3 grinding units are coming in there – Pune, A mravati, and Jalgaon. Regarding Bihar, we are putting a new line at Bhatapara, which can again produce with slag and composite cement, closer to 7 million of which 4 million is in Bengal and the remaining, as I mentioned, in Bihar and some of th e other areas. So, more or less well balanced clinker across. Obviously, very soon you will also hear from us the next set of clinker lines. I can tell you a lot of work is already being done, but in today's call, I am not going to announce new clinker lin es, but rest assured, a lot of work has already been done there.
Vinod Bahety: And Indrajit just to also preempt another question, for the December quarter, Sanghi, it was only 25 working days, which is part of the results. And just to also highlight, the entire integration process has gone very well ahead of the plan. And in the Ma rch quarter, you will see some good volume jump coming from Sanghi itself, which I am expecting to be almost a million tonne for the 3 months compared to less than 0.2 million for the December quarter. At Sanghi, this volume expansion is on th e back of the brand strength of Ambuja and ACC as well as the overall distribution strength of both the companies. And hence it makes more relevant to use Ambuja and ACC.
Moderator: The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar: My question is, if you can explain the cost hit which we had during this quarter because of which the EBITDA per tonne has got hit during the current quarter? Is it related to buying clinker from ACC or from outside? And what part of it is extraordinary when you say you took a 12% clinker shut down during the quarter?
Ajay Kapur: Basically, we had 3 big kilns of Ambuja, which are about 40% of our clinker. They were under routine maintenance, and one had an unscheduled breakdown. As a result, the clinker production was less, and therefore, the cost absorption was on a lower volume. I think that's the main principal reason. Other than that, I don't see anything. That should come back in the following quarters .

Prateek Kumar: What would be the cost associated with this? Why I ask is most of your peers have reported Rs.

200 improvement in EBITDA per tonne. ACC is also higher on a standalone basis at least. Your consolidated number actually looks quite good. But your standalone numbers of Ambuja are looking sort of flattish on unit EBITDA. All that loss got booked in ACC in terms of more clinker purchased from ACC, and a result ACC results have improved significantly during the quarter?

Ajay Kapur: One question always asked to me in the past was that ACC and Ambuja had a big lag. And we always said that we are running both companies with the same set of lens. We have seen ACC performance certainly going up. If you see standalone, Ambuja volumes are pretty good, I would say. It is just that absorption has happened because some clinker capacities were not running. As a result, our cost for Ambuja for this particular quarter is slightly higher. But I think this should catch up. About Rs. 100 per tonne is a catch -up, I would expect.

Vinod Bahety: Just to put some numbers, let us say in September, on standalone Ambuja was Rs. 1,020 per tonne on EBITDA. And as you rightly said, this shutdown and also higher clinker of the inventory which has been consumed, close to about Rs. 150 per tonne to Rs. 200 per tonne which has affected Ambuja. If I normalize it, it would be close to Rs. 1,200 odd which is also a Rs. 200 jump in the EBITDA. So, Prateek, just to give you the numbers, this higher cost of the shutdo

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of almost say 40% capacity cost ed me almost Rs. 50 per tonne. Then the inventory of clinker, which I consumed, the opening stock if you see also, the difference in the change in the inventory, earlier it was positive, this quarter it is negative because I have consumed more inventory of the opening stock, which has cost me almost Rs. 30 to Rs. 40. And then higher sales of the traded goods, when it comes to Ambuja, there has been a higher proportion. And I will explain to you on the MSA part, which also costed another Rs. 30 to Rs. 40. So , close to Rs. 150 odd has been impacted for Ambuja standalone EBITDA. Otherwise, it would be closer to Rs. 1,200 per tonne on a normalized basis.

Ajay Kapur: Also, on our MSA, one good news is that we have been able to maximize the synergies between the two companies. As a result, that volume has taken a significant improvement. When you consolidate at Ambuja level at Holdco level, you find that the margins ar e now really shooting up. That's a very good news, I would say, because the interest rate improvement for MSA volume itself has been substantial uptick for the consolidated company which is Ambuja.

Prateek Kumar: Just one clarification. In Q4, this Rs. 150 should swing back, right?

Vinod Bahety: Yes, for sure. In fact, therefore, we have also highlighted in our press release that the benefits will come in the coming quarters, immediately in Q4 itself.

Moderator: The next question is from the line of Raashi Chopra from Citigroup. Please go ahead.

Raashi Chopra: Sir, my first question is on the cost side. You would mention that the costs will improve by about Rs. 400 per tonne based on all the efficiency parameters, etc. How much of that is already done and how much more can come?

Ajay Kapur: Raashi, if you see my opening, we already have saved some because of the increased share of waste heat. By March, you will see a substantial improvement in the RE because 200 MW is getting commissioned. Let's say on 30% to 32% factor, 60 MW of RE would be available to us. Then next year, as I mentioned, we are further going to add waste heat recovery. So, I think in the journey of Rs. 400 and our EBITDA already at consolidated level is now nearing Rs. 1,200, you can see improvement happening pur ely on efficiency. But I believe another Rs. 300 will come over the next 12 to 24 months.

Vinod Bahety: Raashi, what Ajay Ji has highlighted is some of the important investments which we are making in terms of the renewable power, WHRS, and also in terms of the raw materials procurement, for example, whether it comes to gypsum, whether it comes to fly ash, putting CAPEX for fly ash handling system or putting facility of synthetic gypsum, these all are going to give us the visibility of at least a couple of hundred crores of cost reduction in the coming quarters. We are very confident of achievin g our Rs. 1,450 guidance which we had given in the initial period. I think we are very much on the exit of FY24, we should be moving towards that.

Raashi Chopra: Your EBITDA per tonne guidance keeping in mind that the price hikes that happened over the course of the last few months have kind of reversed, etc., this is really only a cost advantage we are all talking about, right?

Ajay Kapur: Yes. I don't want to get into the price debate and discussion because it's a very dynamic one first of all. So, it's not right for me to comment there. I was, therefore, commenting only that you have seen when we put up our strategy roadmap in May last ye ar, from then till now, we had guided about Rs. 400+ cost improvement on a static price line. Of that, I said another Rs. 300 should flow in over the next 12 to 24 months. What are the levers? Rs. 90 per tonne will straightaway come from waste h eat and green power when fully implemented, another Rs. 50 to Rs. 60 will co me from logistics, and another Rs. 50 to Rs. 60 will come from footprint optimization, and the last Rs. 50 will come from the raw material procurement. This still doesn't have the play of our own fuel management. I think that will be on top. So, I am very comfortable that I will exceed that guidance which I have given and there is no question of…. We are very much progressing in that direction.

Raashi Chopra: Sorry, I missed that. 90 was waste heat recovery and green, 50 -60 logistics, 50 was raw material, and what was the other 50?

Ajay Kapur: Footprint optimization; where you have new grinding stations, your cost associated with the market tends to improve. And straightaway the one lever which hits first is the lead distance. Every kilometer per tonne if you take Rs. 4 or Rs. 5, the decrease i n cost is substantial.

Raashi Chopra: Just one more question. Sir, currently, your grinding cement capacity is 77.4 and clinker is 51. And in the immediate visibility, based on the announced expansions, you have cement going to 110. I know you said you want to detail clinker, but at 110 cement base, how much clinker do you expect to have?

Ajay Kapur: Again, as I said, then I will have to give you a number which I rather come out with a proper guidance. And with the details as we have loaded on our website today…. Allow us some time. I can assure you, just to give you some comfort, at Sanghi itself, we have a billion tonne of limestone. Likewise, there are multiple sites where work is going on. Land has been acquired, EC applications have been filed. I want to announce when my EC application for a mother plant is already in my hand. So, just wait for some time.

Raashi Chopra: On a consolidated basis, from a volume growth perspective, FY 2025 -26, how do you first look at that?

Ajay Kapur: Let me only give you a number right now, a growth number for Indian demand, should be about 7% to 8%. I am very confident about that. I think our normal existing capacities should get that number. And our new capacity that we have acquired and also some of the markets that we have acquired with those capacities, tha t should give us a number on top of the normal 7% to 8%.

Vinod Bahety: Raashi, straightaway we have added almost 15% of the capacity, where we were 67.5% and today we are at 77.4%. That will definitely add up to my overall volume when the full blown up strategy comes on the capacity which we have acquired. Now, you can just do the math. This will definitely be better than the industry growth for Ambuja consolidated.

Moderator: The next question is from the line of Rahul Gupta from Morgan Stanley. Please go ahead.

Rahul Gupta: I have two questions. First, out of this 2.9 million tonne of MSA sales, can you help me understand how much would be to ACC on net basis?

Vinod Bahety: Rahul, in terms of this 2.9 million tonnes, 1.7 comes from ACC to Ambuja and 1.3 comes from Ambuja to ACC.

Rahul Gupta: My second question is a bit related to strategy. How is the group thinking now with respect to ACC and Sanghi consolidation into Ambuja? Is it that they would continue to keep the 3 companies separately listed eventually? Any color on this would be very h elpful.

Ajay Kapur: Rahul, you would appreciate, at this moment if there was any comment, I would have already commented in the press release or in our media statement. Give us some time. We will come back to you with a more coherent and clear strategy on that. For ACC Ambuj a, we are very clear. Right now, we are running it as 2 companies. However, you have seen the MSA volume. The MSA volume in this quarter has been the highest and the biggest and that is already showing in the result margin for the consolidated e ntity. As far as Sanghi is concerned, we have just acquired. We are still in the process of finishing certain steps. Step #1 i

s to finish our open offer.
Step #2 would be to integrate. Again, there are 4 or 5 steps before I can answer the question you have raised. But allow us some time. We will come back to you on that.

Rahul Gupta: Just a followup on this. Is it fair to say that the net MSA volumes of around 2.9 million tonnes or 3 million tonnes would be the way to go forward with?

Ajay Kapur: I think at this moment, this volume is all right. But don't forget that every year we are adding 10% to 15% new capacity. As the new capacities get added, until such time, the 2 entities remain the way they are. We will always keep optimizing the footprin t. And that's where the value is coming in. And you are seeing for yourself that at a Holdco level, we have seen a margin uptick coming because of consolidation and because of MSA. So, I would say the full strategy is playing out beautifully wel l.

Moderator: The next question is from the line of Bharat Shah from ASK Investment Managers. Please go ahead.

Bharat Shah: Kapur Saab, last year we had a detailed discussion about the strategic roadmap and some of the contours in terms of the cost and other things are beginning to get visible. But I wanted to take an opportunity and check with you as to what your overall visi on of the industry Ambuja combines plays under that and some of the more tangible guideposts in terms of volume, profitability, and capital efficiency over a 3 to 5 years' time frame? I am aware of the roadmap that you had drawn and indicated, but my personal opinion is that maybe this is probably the Indian cement industry's one of the best periods ahead. This is my personal understanding. But I would like to have some more clarity from your end as to how you view it and Ambuja combines plays u nder that overall opportunity for the industry.

Ajay Kapur: Bharatji, thanks. I think you asked me very very interesting questions. They are also strategic and future oriented. Let me attempt answers. First of all, our position is very clear. We want to grow and we want to have an end state roadmap which our Chair man had given us this vision of doubling the capacity from the day we acquired the companies, from 67.5 to 140. I have already in my PR today released the number of 110 million, of which ten has already been acquired, which has already taken to 77.5 in 1 year. Work on multiple others has already started, but a very clear roadmap with names we have given up to 110 million. That clearly is a work in that direction. On the cost leadership, you are seeing the margins improve. You have also seen the turnaround in the company of ACC under Adani leadership; it's a complete turnaround. Today, ACC EBITDA margin is nearing 1,000. And when we acquired it, it was almost negative a year back. Now, coming onto how I see the next 3 to 5 years, I believe the EBIT DA per tonne of Ambuja consolidated should be in the realm of Rs. 1,450 plus. That guidance stays firmly in place. And this guidance is not basis price. This guidance is firmly based on cost. And I am very confident this will come. And it will be further s upported with a larger volume from the current 77.5 to 140. We should be selling 120 million tonnes by March of 2028. I am very confident we should be able to get to that number. I think that itself will tell you the position, the valuation, and the financ ial matrices, because that will also give me a ROCE of closer to 19%, with an EBITDA margin of 25% to 26%, other things remaining equal. That's what I have put out in the public space. That's what I like to further reiterate and also mention that a lot of actions on the ground are happening across our sites. I hope I have answered your question, Bharatji.

Bharat Shah: But return on capital employed of 19% to 20%, would you not regard it as a little less ambitious? Because, today's Indian cement indu

stry is placed in the global context on many qualitative parameters and is much more distinguished than before. Industry i tself has consolidated.

Underlying demand drivers in terms of real estate, housing, and infrastructure, all that appear to be robust. And it looks very clear that the industry which has grown in the last 20 years at 6% to 7% per annum in volume terms should do a lot better on a l arger base in the next 20 years. Therefore, consolidation of the industry, improvement of the practices, very clearly the global level capability and capacity emerging, and the opportunity highway and our stringent focus on internal efficiency and raising the bar there, 19% to 20% in a consolidated industry for a lead player, would you not regard it as somewhat underwhelming?

Ajay Kapur: Bharatji, one thing I didn't mention. This is on static prices. My entire strategy which I had laid out then and I am again laying out today, I have not considered a healthy price increase in this. If there is a price increase, as you rightly mentioned, w ith the demand supply gap narrowing, the upside could be much higher. But in the interest of time, I would suggest we can engage offline and we can have a much more nuanced discussion on it.

Moderator: The next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: I missed the number on the cost that is there in this quarter. What is the cost per kcal basis for the 3rd quarter and your expectation for the 4th quarter?

Ajay Kapur: 1.84 I think is the fuel cost I gave. And we expect the cost to more or less trend in the same format because we expect much more smart buying on pet -coke prices.

Vinod Bahety: Just to add, Devesh, you are right. What we have seen in this quarter, December, is that the pet -coke has been subdued in terms of the overall prices which have come down almost like if I compare, say 20 odd percent, from $140 per tonne to almost $115 per tonne. There is a lag effect with coal. And now, for example, we are seeing a good trend of softening of the coal prices for this quarter and definitely it should help. As you know that my basket of coal is actually improving in terms of dome stic more as compared to import. And we also definitely have put 3 lakh tonnes of opportunity buy when it comes to pet -coke from Saudi Aramco. That is definitely going to help me in the coming quarters.

Devesh Agarwal: On Sanghi, you mentioned 1 million tonne volume in the next quarter itself, in the running quarter. That implies 75% utilization. So, what are your plans to increase capacity at 10 million tonnes that you mentioned and what would be the markets that you a re targeting from the Sanghi plant?

Ajay Kapur: Sanghi plant will initially target Gujarat and Maharashtra markets. And in time to come as the full strategy plays out, it will go down south as well to markets of Kochi and Mangaluru. But it will cover the entire Gujarat; it will cover parts of Maharasht ra, most of the coastal parts; and it will also then go down south.

Devesh Agarwal: And target to increase from 6 to 10 million tonnes?

Ajay Kapur: That, I will lay out in my roadmap, as I mentioned. In the next set of kiln announcements, you will also hear of Sanghi kiln.

Devesh Agarwal: And one final question. What are the timelines for the balance of warrant money that is likely to come from the promoters?

Vinod Bahety: Devesh, as you know that the timelines are somewhere mid of April and that is when the promoter group will be able to highlight on that part. So, as of now, no comments on that.

Moderator: The next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Two questions; one on CAPEX an

d second on the sustainability of fixed cost reduction. On CAPEX , if you could first share the actual cash outflow that you are estimating because what I also see is while your clinker addition which you have given so far is about 10.25; 8 already announced and 2.25 at Mundra; and total grinding is almost 32 million tonnes, it does appear even from an FY27 year perspective, it could be higher on the grinding and lesser on the clinker front.

Ajay Kapur: As I mentioned earlier on the clinker, very soon you will hear the next set of clinker capacities. I am waiting for the public hearings to be done. I expect these to be done by June. Post that, you will hear our next set of kilns for which most of the lan d is in our possession. These are brownfield assets. Limestone reserves in our possession; land in our possession; only public hearing we are awaiting. Therefore, some places we have to build. This has always happened as we expand. Sometimes the grinding will be ahead, sometimes the clinker will be ahead, but we are very confident. These projects, since they are brownfield, should be able to get from the time of EC approval to the plant commissioning, outer limit would be 18 to 20 months.

Vinod Bahety: Navin, if you are preempting in terms of the overall capital management plan around this CAPEX , then we have done our math, and for any intermittent, any M&A outgo; otherwise, all our CAPEX is well planned, aligned with the cash flows what we are expecting from the business. And if there is any requirement for any additional opportunity, definitely our balance sheet is very very strong and very healthy, debt free as of now. So, that is capab le to handle that part.

Navin Sahadeo: The second question was about the sustainability of fixed cost reduction. Because, we have seen in the case of ACC particularly and also in the case of Ambuja, fixed cost – at least the staff expenses and in case of ACC, even the other expenses – we have seen a significant reduction. Just wanted to get a sense are these more sustainable or it had probably some element of one -off or it could be volatile going ahead?

Ajay Kapur: I think there is no one -off per se. I would say the entire strategy, as we had laid out last year, is now playing out in full potential. There is lean management, there is single management. And of course, we have also volume. As it kicks in, you will find the fixed cost journey at least will not go ha ywire from where it is. It will only get slightly improved further. But I don't see any

major uptick in the cost going forward. And some of the cost in Other Expenses, we are also now investing in brands. I think that part I would say was under invested; in future, we will invest a little more. But other than that, I think it is more or less in place. I don't see any major concerns going forward either way.

Vinod Bahety: Navin, interestingly, this one -off question has been coming every quarter, and every quarter we have been sustaining in terms of the cost, which actually shows that last 4 quarters from almost a 10% reduction and if you start from looking at March to Dece mber 2023, the trend is very very clear. And in all our investor presentations, we are highlighting all the components of the cost. And further, we have now highlighted what are the efficiencies, improvements, CAPEX . So, only from here, there will be improvement.

Ajay Kapur: And, of course, the annual bonus, as you know, kicks in in the April quarter. So, they could always be a little bit of a natural payout of bonuses. That's the only thing which would happen going forward.

Moderator: The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: Firstly, I appreciate the granular details on various aspects in the presentation. My first question is on the volume growth part. If you look at the last 4 quarters, our volume growth on a consolidated basis has been just 2.5% to 2.6% excluding the Sangh i volumes versus peers that have grown by early teens. I just want to understand from the last 4 quarters, what are the key reasons why we are lacking the growth and losing market share and some future guidance on this aspect.

Ajay Kapur: For the current quarter, I believe the industry growth is about 3.5%. We are more or less in line with the industry growth. Within that if you see, Ambuja's standalone is about 6%. So, it's a little better than the industry growth. And also, of course, in this quarter, you had a very bad November. So, some of those issues also had an impact on the rest of the industry. And there are some elections, I think, in this quarter. I think, going forward, as I mentioned, the industry growth should be ab out 6%. At the base level, all our units should be able to get plus that and all the incremental volumes that we are adding in the system plus the catch -up, as you rightly mentioned, should also help us. And I can only give you that in January, we are seei ng very robust numbers for the entities. So, I am very confident that, going forward, we should have a healthy growth.

Vinod Bahety: And also in terms of our capacity realizations, we are amongst the highest in the peers at 77 odd percent which means with every increasing capacity, one can just expect that the volume expansion will be proportionately growing with that. That is a straig htforward math.

Sumangal Nevatia: I missed the CAPEX number. Is it possible to share what is our full year CAPEX latest guidance for FY24 and FY25 as well?

Vinod Bahety: Let's go with the overall. Again, I would reflect you on the 140 million tonnes of plan which is staggered into the next 4 years. And as I highlighted, 80% of this, we will be achieving by FY27. And when I do a complete math, I am generating an EBITDA of close to Rs. 8,000 crores to Rs. 10,000 crores which we will be generating and the business itself will be throwing a healthy cash of Rs. 5,000 crores to Rs. 6000 crores, net of taxes and all. So, from an overall CAPEX outflow perspective, eac h year we are expecting a Rs. 4,000 crores to Rs. 5,000 crores outflow staggered over the next 3 -4 years. For FY24, we are expecting Rs. 3,500 crores overall outflow. So, this quarter we will see a good CAPEX outflow as well. But Sanghi will be adding to the incremental requirement. However, as I mentioned, from an overall capital management plans and perspective, the numbers which we are discussing with you, these are all without any incremental borrowings at this stage. These are all basis the healthy cas h flows and the existing treasury on the books, which will be self -sustaining. And the EBITDA which is highlighted to you doesn't factor in the potential jump on the basis of the price realizations improving. This is the cost leadership journey which we ha ve achieved. And any further improvement on the market which we have highlighted will only be adding to my EBITDA. The business is generating a good healthy cash flow and which will maintain my CAPEX plans. Broadly, as I said, Rs. 5,000 crores to Rs. 6,000 crores from a cash outflow perspective and from a commitment perspective, Rs. 8,000 crores to Rs. 10,000 crores a year you can expect.

Moderator: The next question is from the Line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Sir, my first question is on the arrangement with Adani Cement's Dahej plant. I think in the presentation, you have mentioned that you have entered into an arrangement. Can you please explain that?

Ajay Kapur: Like we do a master supply agreement between Ambuja and ACC since it's a related party, we have done a similar arrangement with Dahej unit of Adani Cemen

tation, wherein we use it like a toll manufacturing. We give them clinker, convert it into cement, and take it at the ex -factory gate, and sell it in both Ambuja and ACC brands. More or less a similar arrangement as we have done with all our entities, including now Asian which ACC has acquired in the north.

Amit Murarka: This is cost plus 10% arrangement similar to, let's say, what we saw in Sanghi or it's a different arrangement?

Vinod Bahety: Since this is on a pure tolling basis, this will not be cost plus 10%. It will be on the basis of tolling charges per metric tonne, which is close to about Rs. 300 to Rs. 350 per tonne.

Ajay Kapur: In this case, in Sanghi, Sanghi is producing clinker and billing us on cost plus. Plus we are taking the entire investment. We have given loans at a very market -friendly pricing versus what they were getting earlier. And their entire brands are from Ambuj a and ACC. In this case, we are using the grinding unit purely as a tolling unit. So, we have to mitigate the entire cost and then we buy it on a price, more or less the same formula as we do for ACC and Ambuja.

Vinod Bahety: I stand corrected. Yes, this is on a sales basis only, similar to what we have adopted. It's not on a tolling, sorry. It is on a sales basis which we have adopted for Sanghi and ACIL. It is on a

similar principle.
Amit Murarka: There would be some double counting of volume then, right? When you sell clinker, you would be booking as clinker sale and then cement sold externally will again be booked as sales.
Vinod Bahety: No, it will not be double counting.
Amit Murarka: You will sell clinker to Dahej, right? And then they will sell cement to you?
Vinod Bahety: Yes. In this case, for example, we will only factor in the sale of the cement which will be there from our side. And in the cost, it will also come as a purchase of cement. Basically, that is how it will be. But there will not be any per se double account ing.
Amit Murarka: When we sell the cement externally, that will come as cement sales as well?
Vinod Bahety: Yes, I will be selling and then I will be buying. Delta is mine.
Amit Murarka: Also, on your ACC, if you could just help us understand like there has been quite a bit of volatility in the numbers there. We saw Q1 being good, Q2 again being weak, Q3 has again been good, thankfully though. Now, can we expect a Rs. 1,000 EBITDA profile to sustain and in fact hopefully improve from there? If you can just dwell into that a bit.
Ajay Kapur: Basically, ACC movement has been…. You're right; March quarter was 554, December 2022 was 496. Sequentially, you have seen from June from 800 to September it had a dip. And then it has again gone up. I would say it is more stable now. A lot of inefficienc ies in the system have been addressed and we are also addressing the tail -end plant. I think that is also helping. On top, we are also doing footprint optimization. And this is a question, if you all recall, that was asked that why there was suc h a big margin gap between the 2 entities? And I think that strategy is now playing up.
Amit Murarka: So, we can now hope for a Rs. 1,000 profile to sustain basically at ACC?
Ajay Kapur: Yes, we are also hoping for the same.
Moderator: The next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: There are a couple of questions. One, on the new capacity expansion you have announced of 2.5 million clinker and 10 million cement, w hich entity would that come under? Some Adani Cement, I guess. But can you talk about where all these capacities settle?
Ajay Kapur: All the capacities that I have announced, the 2 clinker lines are coming in Ambuja, Slide # 29. Bathinda is in Ambuja; Bhatapara is in Ambuja; Maratha, of course, is Ambuja; Sankrail is

Ambuja; Marwar is Ambuja; Farakka is Ambuja; Sindri is ACC; Salai Banwa is ACC; Mundra is Ambuja. And of the new capacities that are coming in, all of them are in Ambuja.
Satyadeep Jain: I just wanted to ask given ACC also has a lot of cash on the books, what is the thought process behind adding all these capacities in Ambuja and not ACC?
Ajay Kapur: As I mentioned, I have yet to announce the new set of cement kilns. And, in time to come, you will hear expenditure planned over there as well from ACC.
Satyadeep Jain: Thank you for all the detailed slides you have put out; it's very informative. Just wanted to ask on power. Obviously, under Adani Cement, Ambuja is doing all the power commissioning and execution by itself whereas you have Adani Green and Adani Power – they have the experience. What's the thought behind doing it in -house? And also, when you are building a Rs. 1.3 savings, can you maybe talk about what kind of grid power cost you have assumed for that kind of savings?
Ajay Kapur: We have taken around an average Rs. 7 grid power cost. That is basis this working. I think the details are given in Slide # 43. And then if you really look at the mix, it's not just green, it's also waste heat recovery. The grid we have calculated for FY 27 -28 is around Rs. 8.50, CPP Rs. 8.28, and waste heat about Rs. 1.4. And that's how we have worked out this saving.
Satyadeep Jain: CPP seems very high. Because you are building on this green energy which is going to be solar that would be mostly during the day. So, during the evening, you are going to replace the grid with captive coal plant. Is that correct? And would that mean that you ramp up and ramp down the coal plant? During the day, you shut down coal and during the evening, you start it?
Ajay Kapur: What we have done is, basically, on a technical minimum, the captive power plants will be run during the night. And during the day, the solar would be drawn. And we have taken a lot of help from our colleagues in the Green and also in our distribution and part of planning the strategy.
Satyadeep Jain: Because of that ramp up and ramp down, you assumed more than Rs. 8 cost for CPP. Is that correct? Otherwise, that cost seems very high.
Ajay Kapur: No, CPP cost basically will also go up because we have taken some assumptions in the cost of coal going forward. That's the reason. We have taken the trend of the past few years; 2% to 3% inflation we have taken for the purpose of our modeling.
Satyadeep Jain: Why Ambuja is executing this and why not Adani Power given their capabilities in that.
Vinod Bahety: A good point and good observation. It is an investment from Ambuja on its balance sheet because this is like a strategically important investment from my cost to my ESG requirements and all. And Adani Green which is the group's leader in the green power, they are helping us to

implement it. A large part of this green power is coming in Khavda where Adani Green has sizable, as we all know, ongoing projects and wherein they are giving us some part of this out

of this Khavda location. Of course, they are helping us in terms of implementing and executing this project. But strategically, it is important from Ambuja's perspective. As I highlighted, it's a long-term requirement for me and also helps me in my overall larger ESG standards.

Moderator: Ladies and gentlemen, due to paucity of time, we will take that as our last question. I will now hand the conference over to Mr. Charanjit Singh for closing comments.

Charanjit Singh: Thank you everyone, and thanks for taking out time. For any leftovers, you can directly reach out to me after the call. Looking forward to another engagement after Q4 results. Good day.

Moderator: On behalf of Antique Stock Broking Limited

, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

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7th May, 2024

To

National Stock Exchange of India Limited

Scrip Code: ACC BSE Limited

Scrip Code: 500410

Sub: Transcript of Ea rning Call pertaining to the A udited Financial Results of the Company for the Quarter and year ended 31st March, 2024 .

Dear Sir/ Madam,

In continuation of our letter dated 20th April , 2024 regarding Analyst/Institutional call scheduled on 2nd May 2024, the transcript of the earn ings conference call on the A udited Financial Results (Standalone & Consolidated) for the quarter and year ended 31st March, 2024 is uploaded on the website of the Company at www.acclimited.com .

The Web link to access above transcript is as under - Investor Presentations | ACC Limited | India's Most Preferred Brand .
The said transcript is also attached.
Kindly take the above on your records.
Thanking You,

Yours Faithfully,

For ACC Limited

Manish Mistry
Company Secretary & Compliance Officer

Encl: as above

Ambuja Cements, ACC, and Sanghi Industries
Q4 FY 24 Earnings Conference Call'
May 02, 202 4

MANAGEMENT

MR. AJAY KAPUR
CHIEF EXECUTIVE OFFICER MR. VINOD BAHETY
CHIEF FINANCIAL OFFICER
MR. DEEPAK BALWANI – HEAD INVESTOR RELATIONS
MODERATOR
MR. VAIBHAV AGARWAL – PHILLIPCAPITAL INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call for the quarter and year ended 31st March 2024 of Ambuja Cements Limited, ACC Limited, and Sanghi Industries Limited. hosted by Phi llipCapital India P rivate Limited. As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from Phillip Capital India Private Limited. Thank you and over to you sir.

Vaibhav Agarwal: Thank you Michelle, good afternoon everyone. On behalf of Phi llipCapital India Private Limited. We welcome you to the earnings call for the quarter and full year ended 31st March 2024 for Ambuja Cement Limited and its listed subsidiaries ACC Limited and Sanghi Industries Limited . I would like to mention on behalf of Ambuja Cement and its subsidiaries that certain statements that may be made or discussed on this conference call may be forward looking statements related to future developments and which are based on current management expectations. These statements are subject to a n umber of risks, uncertainties and other important factors which may cause actual developments and results to differ materially from the statements made. Ambuja Cement and its subsidiaries assume no obligati on to publicly update or alter these forward looking statements whether as a result of new information or future events or otherwise.

I will now hand over the call to Mr. Deepak Balwani, Head Investor Relations at Adani Group's Cement business. Thank you and over to you Deepak.

Deepak Balwani: Thank you Vaibhav. Good afternoon everyone. Thank you very much for taking out time to join Adani Cement quarter fo ur FY24 Earnings Call . On behalf of Adani Cement , a very warm welcome to all of you. On this side we have Mr. Ajay Kapu r, Chief Executive Officer and Mr. Vinod B ahety, Chief Financial Officer. Before I hand over the call to Mr. Ajay Kap ur for his opening remarks, requesting you all to kindly limit your questions to a maximum of two and then re -enter the question queue. Over to y ou Ajayji.

Ajay Kapur: Thank you Deepak. Good afternoon to all of you. I extend a warm welcome to each of you for joining us in our quarter 4 and FY24 Earnings Call of Adani Group's Cement business for Ambuja, ACC and Sang hi. We continue to strengthen our position as a market leader in the cement industry. Our strong operational and financial performance are testament to our business model's flexibility and solid foundation. Adani Cement is becoming stronger over time with an intense commitment towards capacity expansion through both organic and inorganic routes along with efficiency improvement initiatives.

Adani Cement's current market share is about 14% plus with an internal target to hit 20% by FY28. To begin with, I would like to share some of the head level highlights before diving into the specifics. In April 24, Ambuja Cement successfully completed the acquisition of state -of-the-art 1.5 million ton grinding unit at Tuticorin in Tamil Nadu. This will help strengthening our market share in southern markets. We have increased our capacity by 17% since acquisition through organic and inorganic growth tran slating to 11.4 million tons. 142 million tons of new

limestone reserves secured in Q4 FY24, total reserves reaching 7.8 billion tons. In FY24, Ambuja and ACC both achieved all time highest annualized PAT.

In Q4 FY24, Ambuja achieved the highest ever clinker and cement

sales over the last 20 quarters.

Capacity growth from the current 78.9 million tons to 140 million tons will be met through both internal accruals and opening cash flows. We will continue to r emain debt free. 4 million tons of clinkering and 4.8 million tons of cement capacity is expected to commence by Q4 FY25.

The promoters have fully subscribed to the warrants program in the company by further infusing INR8,339 crores in April 24, thereby i nfusing a total amount of INR20,000 crores. Promoters

have further increased their stake i n the company by 3.6% to 70.3%.
With strong balance sheet and cash position, this further strengthens and accelerates our growth journey. The consolidated quarterly Y -o-Y performance, we reported a revenue of INR8,894 crores, a jump of 12%. This is driven by a strong focus on our micro -market management strategy, expansion of dealer network, blended cement as a mix of total sales maintained at 86%, premium products as a percentage of trade sales increased to 24%.
Operational cost for the quarter is at INR4,345 per ton, shows a decline of 9%. This is driven by 13% decline in energy cost, owing to better fuel management, which resulted in reduction of kill-in-fuel cost by 17% to INR1.84 from INR2.21 per 1000 kcal. The transportation cost declined by 8% at INR1,280 per ton on account of footprint optimization, secondary lead distance reduced by 4 km to 48, the direct dispatch to customers has been maintained at 54%. Other expenses were marginally reduced at INR699 per ton.
With the improvements mentioned on the revenue and cost front, the EBITDA grew by 37% at INR1,699 crores. EBITDA per ton grew by 17% at INR1,026 and the margin expanded by 3.5% to 19.1%. The Master Supply Agreement volume stood at 3.4 million tons against 2.4 million tons, an increase of 42%. You have to further look at the Master Supply Agreements which the companies have entered with Sanghi and for the quarter, Sanghi to Ambuja was 4.2 lakh tons and Sanghi to ACC was 2.5 and that itself is additional volu me gain whi ch has come in from these MSAs.
As on 31st March 2014, the consolidated cash and cash equivalent stood at INR15,999 crores. With the warrants money of INR8,339 received in April, our total cash and cash equivalent currently is at INR24,338 crores. Now looking at the full year FY24 Y -o-Y performance, revenue up 7% at INR33,160 crores. EBITDA up 73% at INR6,400 crores. EBITDA per ton grew by 60% at INR1,081. EBITDA margin expanded by 7.4% to 19.3%. Tax expenses in FY24 is higher mainly for reversal of tax provision of INR150 crores in FY23 for 80IC benefit.
In the best interest of time, I will not discuss the standalone financial performance of the listed companies separately as they are available on the stock exchanges. I will share with you the progress we have made on our announced long term strategic plan . For doubling the capacity of grinding facilities to 140 million tons by FY28, we are targeting 35 new grinding units.
With acquisition of 1.5 million of Tuticorin in Tamil Nadu, our grinding capacity now stands at 78.9 million tons. Another 3 units are mapped to the upcoming clinker facility at Bhattapara in

Chhattisgarh of 4 million tons. These include 1 unit each in Sankarel and Farakka in Bengal and Warisaliganj in Bihar.
Another 2 grinding units are mapped to Chandrapur clinker unit of Maratha Cement of 4 million tons. These include 1 unit at Jalgaon and 1 unit at Amravati in Maharashtra. Both of them would be 2 million each. Other grinding units which are being set up are at Salai Banwa in Uttar Pradesh, Sindh ari, Marwar in Rajasthan and Mundra in Gujarat. All these units are expected to get commissioned by the end of FY26. Additionally, we would also be setting up grinding units at Hoshiarpur in Punjab and Pune in Mahara shtra to be commissioned

by FY27.
For the new facilities of 4 million ton clinker at Bhattapara, 67% of the civil work is now complete and receipt of major equipment has also commenced. Expected completion is by Q4 FY25. For its corresponding grinding units at Sankarel and Farakka in Bengal, 52% civil work and 40% respective for both the units have been respectively done.
Expected completion of these units is by Q3 FY25. For the new facility of 4 million ton clinker line at Maratha in Chandrapur, contract has been awarded on EPC vendor, project execution work started. Expected completion is by Q2 FY26. These kiln lines will have 42 MW of waste heat recovery and provision for utilizing 30% alternate fuels in the kilns. We have placed orders on EPC basis for 2.4 million ton grinding units at Salai Banwa and 1.6 million ton grinding unit at Sindhri. Project execution work at b oth the sites has started.
Out of the total capex, all our kilns will be brownfield and the grinding units will be a mix of greenfield 53% and brownfield 47%. Now, I will share with you some of the key initiatives being taken for becoming a cost leader in the cement business. Secur ing major raw materials at cost competitive prices and efficiency and productivity improvement capex will further help in cost optimization by 8% to 10%.
First, let me discuss the steps we have taken to lower our energy cost. Our waste heat recovery capacity at the time of takeover was 40 MW in September '22, which we are now targeting to increase to 186 MW by March '25. Currently, the WHRS capacity is at 134 MW. We have earlier announced our investments of 1000 MW in RE, which is expected to get commissioned by FY '26 and would ensure that 60% of our power requirement would be met through green power. This would help in reducing the power cost by INR90 per ton by FY '28.

First phase of 200 MW is getting commissioned at Khavda in Q1 FY '25. As previously explained, to meet our requirements, we aim to have captive coal supplies. As a result, we are bidding for coal mines in the auctions being conducted by the government. Besides the 1.2 -million -ton captive mine at Gare Palma in Ambuja, we have won and bid for 2 -million -ton coal mine in Dahegaon Gowari in Maharashtra and another mine of 2 million ton at Lama Tola in Madhya Pradesh. These three mines together would cater to about 50% of our current requirement. A high share of coal from captive mines and opportunity to buy imported pet coke will further lower our fuel cost.

Besides this, within the group, we are also working on other options and I believe with that, in the next 12 months' time , we should be able to secure 80% to 90% of our coal through our own

captive sources. Driven by better fuel management and structural initiatives undertaken, our power and fuel costs have decreased by 13% to INR1,219 per ton in Q4 FY '24 from INR1,404 per ton in Q4 last year. These initiatives include an increase in share o f AFR and WHRS.

The share of AFR in fuel mix has improved to 10.6% from 8.7%. Share of WHRS in power mix has increased to 13.5% from 9%. The second cost item is the freight and forwarding costs. There are three focus areas for cost reduction here. Reduction in lead distan ce, warehouse footprint optimization and railroad mix optimization. We are targeting to reduce the average primary road lead distance to about 100 km. Primary lead distance in the current quarter was 276 km versus 271 and secondary lead 48 versus 52.

So, you can see though marginal but improvements. To further optimize our costs in logistics, we have ordered 11 GPWIS rakes of which 8 have been delivered and the rest are expected to be delivered by the end of Q1 FY '25. These rakes will enable cost eff icient clinker movement from the mother plants. In addition to these, we have also ordered 26 DCFC rakes for safe a

nd

cost-effective transportation of fly ash from thermal power plants to our facilities. We expect 10 rakes to be delivered in the current fi nancial year.

Because of these initiatives, our logistics cost has been reduced by 8% to INR1,280 per ton in Q4 FY '24 from INR1,389 in the same quarter last year. To secure our limestone supplies, we have won bids for 15 new mines with total reserves reaching 7.8 billi on tons. On ESG, we are committed to net zero by 2050 for Ambuja and ACC. With near -term targets validated by SBTi, 60% of power sourced will be from green power by FY '28 which will help us to reduce carbon footprint.

Ambuja is 11 times water positive, establishing leadership in water governance. Reached an impressive 8x plastic negativity for Ambuja through co -processing of plastic waste in cement kilns. Ambuja and ACC put together used more than 21 million tons of wa ste derived resources in FY '24, embracing circular economy.

We have pledged to plant 8.3 million trees by 2030. Ambuja and ACC created societal values for more than 4.6 million people by contributing to fields like healthcare, education, employment and sustainable livelihood. We are optimising the infrastructure a t Sanghi that would enable efficient transportation of cement and clinker from the plant to the jetty through mechanised conveyor belts.

Now looking at the industry outlook, the government's push for affordable housing, increased budgetary allocation to infrastructure and construction, the shift to green energy, demand supply dynamics and greater consolidation all indicate a positive outlo ok for the Indian cement industry. We expect higher utilisation over the next five years since demand is expected to grow at a rate of 8% to 9% faster than the capacity expansion rate. In conclusion, as I mentioned this earlier at multiple occasions, Adani cement will benefit from accelerated growth, lower cost and group synergies, all of which will contribute to lead the market and achieve sustainable performance in the near future.

So with this, before going for Q&A, I will request Vinod to also give some opening insights.

Vinod Bahety: Thank you Ajayji. Good afternoon friends, wonderful to again connect with all of you on another fulfilling quarter with lots of good actions on the business as well as the balance sheet which Ajayji has well highlighted. Most importantly, the completion o f the warrant programme wherein we also received INR 8400 crores in April. This year , we have reported the highest ever PAT in the history of Ambuja at INR4738 crores. We have also touched net worth of closer to INR 51,000 crores and if I add the money of warrants in April, it is closer to INR60,000 -odd

crores. We have also achieved the highest cash position so far and as of now say almost INR24,000 -odd crores.
In terms of fixed assets, my balance sheet is again very strong and including CWIP, I am almost at say INR 27,000 crores. Now with this healthy balance sheet supported by all the improvement in the KPIs , we have already targeted to achiev e almost INR530 a ton further reduction for which we are investing and target to achieve by FY'28. So we are fully geared up well on growth and supported by all the enablers which I have highlighted in my investor deck as well. FY '25, I will be exiting with capacity of almost 86 million tons. In '26, we should achieve 100, 120 in FY27 and finally 140 million tons in FY '28 . So that is how the overall narration on the growth as well as the cost factors which we want to achieve relentlessly . We look forward to the Q&A. Thank you.
Moderator: Thank you very much sir. The first question is from the line of Navin Sahdev from ICICI Securities. Please go ahead.
Navin Sahdev: Thank you for the opportunity. Two questions. First, of course, is on the capacity expa

nsion plan
and it is very reassuring every single time that the company has maintained the target of 140 million tons in terms of cement grinding. But honestly, sir as an analyst my fear is about on the clinker expansion front because except for about 8 million tons of clinker that we are already pursuing there is not much announcement on the clinker front.
Even the Mundra unit, I'm saying is not yet given a specific date or a milestone or if it has been received or not. So if you could just throw some light as to how the clinker capacities will stack up as you gave the cement capacities that will be far mor e reassuring and will help us take that into account?
Ajay Kapur: So, Navin, what I have refrained from saying is till I have the EC in my hand, I generally don't speak about kiln lines. But let me make it very clear. Three locations, one in West, one in North and one in South, 4 million, 3 kilns we are ready to place or ders as soon as we have the EC. And this is not so far in distant future. I'm talking of only a quarter or two at the most. And interestingly, at all the locations the entire land is in our possession, the leases are in our possession. I'm just waiting for the EC.
Navin Sahdev: Understood. This is great. Sir, my second question then was…
Ajay Kapur: Basically, what I have told you is 12 million clinker which technically can produce 20 million plus cement.
Vinod Bahety: So, just to add to that, Navin our target is to reach almost 76 million tons of clinker by end of FY28 sorry 82 million tons of clinker when I look at 140 million tons. And a good part of this

is almost 80% will be brownfield expansions which again is very assuring. And only 20% will be Greenfield, for which also a substantial part of limestone and land is already in possession. So, we have a complete clear outline over this clinker expansion. So, when we say cement it is imbibed that clinker is also parallelly expanding. It's not like we are going to purchase clinker and produce the cement. It is inherently inbuilt over there.
Navin Sahdev: Yes. My second question, sir, then was on the Sanghi. And I'll just have like because there has been a fundraise announcement recently with a commitment of INR2,200 crores . So, in terms of basically what is the overall game plan for Sanghi here? Is it growth capex? Also, quickly just want to mention here that we came across recently an environment clearance related document where a company has applied for a 10 million ton c linker and a similar 10 million ton cement at Sanghi. So, just wanted t o understand what is the overall game plan for Sanghi?
Ajay Kapur: So, Navin, let me first handle the game plan for Sanghi. Sanghi has a great location. That's the reason we invested in that asset. It has a fantastic fitment of footprint within our ecosystem, especially our West -South corridor. Currently, we have two kiln s which can produce 6.6 million as per the rated capacity. As I speak to you as you know the kiln needed refurbishment. So, we are doing that. This whole process will be over by H1 of this year. Our plan is to run both the kilns flat out in H2 literally at 100% and I think that is the first game plan at Sanghi.
The second game plan at Sanghi is we will be putting up in time to come two more kilns of 4 million each and that will then make it one of the largest single location, lowest cost plants. And of course it will have its own adjoining grinding stations and cement linked bulk grinding units, oblique terminals which Ambuja already has. So, that is in short the game plan. The issue you are talking of 2200 is basically to get the ICD which Ambuja has earlier given to Sanghi, to give it back to us. It is more cos t efficient and financially a much better structure. That's the reason we are doing it, in short.
Vinod Bahety: And ju

st to add, Navin, and good to share with all of you that Sanghi already has been rated now AA. The rating has been upgraded from D to AA. And the journey is to become AAA for Sanghi as well like Ambuja and ACC. And therefore, what Ajayji has highlighted that this ICD when I repay from my preference shares that will help us to move into the league of AAA for Sanghi as well. And that was our commitment to the investors of Sanghi in terms of improving the overall balance sheet and financials. We are in this journey.
Moderator: Thank you, sir. The next question is from the line of Rahul Gupta from Morgan Stanley. Please go ahead.
Rahul Gupta: Hi, thank you for taking my question. I have two questions. So first question, taking the Sanghi game plan forward, based on your comment is it fair to say that you target something like 5 million ton from Sanghi in fiscal 25 and secondly, how should one l ook at Sanghi profitability from here?
Ajay Kapur: So to answer one question is a simple answer. Yes, 5 million is something minimum we will do, number one. As you know, we have done an MSA with Sanghi in the current format and that MSA is in the public domain.

For the current year nothing changes there. I think as and when we make a change to that MSA, we will come back to you. The MSA basically you can look at the website.
Vinod Bahety: It is approximate 9% EBITDA margin for Sanghi.
Ajay Kapur: It leaves 9% margin for them and rest, since we are selling in our brands of Ambuja and ACC that margin is then retained in Ambuja and ACC.
Rahul Gupta: Great, this is very helpful. So my second question is more from the industry perspective. We saw industry prioritized volumes at the expense of prices during the fourth quarter. And given you and another large player have talked about cost -saving initiatives over the medium term. Is it fair to say that margins expansion will be led by cost control and cement prices may remain sluggish for longer despite a strong demand outlook? Any color on this will be helpful?
Ajay Kapur: It's a very interesting question, Rahul, and you know why I'm saying it because end of the day there are two separate streams. One is the stream on cost and productivity. As you know many of our initiatives post taking over by Adani have been accelerated at 10x the speed. I think the companies were lagging behind in versus worthy competition on waste heat, on some of the other initiatives which needed to be invested. And then growth, of course. So we are clearly focused on being the lowest cost.
That's also the Adani DNA. You look at any of our Adani companies in each of the sector we are the lowest cost and highest productivity. And thereby it also renders us highest EBITDA. So that having said, cement industry also is an industry where brand and price and the segments you choose to play have a sizable role. I think Ambuja and ACC are both iconic brands. Both of them are placed at the highest end, as we call it A or A plus pricing. On top, we have within the trade segment in ACC even higher than 30% premium product, but on an average level between both the companies, we are still more than 25% premium products and we are targeting much higher volumes coming from there. That is an area which keeps us a little away from day to day commodity wars.
But yes as more capacity comes in and if the sentiment is a little down it can have an impact on pricing. I believe this is going to get improved because I think post elections we'll see a much more robust program. And I believe GDP should be 7% and cement should play 1.2 to 1.3 times. We did an asset check in the last five years and we again proved that cement has again started behaving 1.2 to 1.3 times. So if cement demand is about 8%to 9% irrespective of cost, I don't think cost is something we're going to pass on.

It's meant also to help us grow the business. So
pricing I think should be stable. It should not go down and it should only improve from here.
Moderator: Thank you. The next question is from the line of Rashi Chopra from Citigroup. Please go ahead.
Rashi Chopra: Just on the cost side, you've made a mention in the presentation and today that you're expecting the cost to come down by about INR500 by FY28. So is it coming off like this current base? And if yes, how is that broken up amongst the various heads?

Ajay Kapur: So Rashi, this is a very interesting question. What I will do is rather than deep diving into there may be at least 100 line items to get to that number. I will not go there. It's also not right for me to go there. What we are basically looking at, I'll give you the heads up. One heads up is coal mines which I just mentioned in the opening. I think that's going to be a game changer for us. Number one.

Number two, I mentioned about long term procurement of critical raw materials. We are also targeting a sizable percentage coming through long term agreements. We are also investing in railway wagons which help us to streamline day to day vagaries of increa sing raw material prices.

Once I have secured the source and I also secured the transportation, the cost is more or less stabilised and in raw materials, a large part of transportation cost is the transportation cost. So we are getting a fix over there. The third and a very importa nt area is the power cost. We already mentioned in the beginning about INR100 per ton or I believe it will be plus 100 coming out of our massive programme of investing 10,000 crores in green and waste heat. So today the power cost is about INR6.75 paisa. O ver the next 5 years this will come down to about INR4.50 or so. And that itself you can work out is about INR150 a ton purely on cement. When you then bring it back on per ton it might get adjusted, but purely in production it will be about INR150.

Logistics is another area as we improve our footprint in the country an d also put up more grinding units 35 of them and constantly focus on going direct.

We are using digital in a big way. I think today our company is perhaps the highest GPS enabled in the ecosystem, in the large sector, not just cement. So we have absolute visibility of where our fleet is going. And with that we are able to see 10% to 15% logistics cost optimisation. I believe logistics would be a big number out of this 500 plus. Let's say 40% will come from logistics and other services and about 55 to 60% will come from manufacturing and associated adjacencies which I mentioned.

Vinod Bahety: So Rashi, also if you look at it, like when we took over in somewhere September 2022, our cost metrics somewhere like on an overall total cost basis per ton we were at almost INR 5,300 a ton which this quarter, for example, you will see on cement it is INR 4,170 a ton. So we have almost brought it down by 20%.

And this journey from INR 4170 to 3,640, INR 530 is a 12.5%. Whatever the idea which Ajayji has given 12.5 % is strongly believed we will be able to reach another reduction. So from 20% in the last 15 months, 18 months to another 12.5%. There is a complete clearly outlined roadmap for this. And hence my balance sheet is strong enough to make all those strategic investments which will bring these savings.

Ajay Kapur: So you can calculate I mean this is an answer also for other potential questions. We are at an EBITDA per ton of upwards of INR1050 or closer to INR1100. These cost initiatives that we are seeing these are on account of structural changes . So you are straight away looking at a 1500 plus number with the end state.

Rashi Chopra: Got it. Thank you. So j

ust continuing on this, for example, in this quarter as well your fuel cost is on a sequential basis, not year -on-year. On a sequential basis, the fuel cost is flattish, but you have seen a decline in the power and fuel cost per ton of cement. So have we seen the benefits of green energy etcetera kind of efficiencies also come in on a sequential basis quarter -on-quarter?

Ajay Kapur: Yes. In fact, I mentioned that in the opening also if you see, our percentage of green energy has improved, number one. Our AFR percentage is also shot up by a couple of percentage points. And then efficiencies at the plant have also increased. We had also launched a new kiln in Ametha of ACC. I think it's already running at 100% plus capacity utilization. It's an efficient new plant. All these initiatives are also helping us. And plus we ha d after taking over we had also introduced many initiatives including putting new coolers, new clinker coolers and equipment. Those are also now showing results in improved efficiency parameters.

Vinod Bahety: But, Rashi, perhaps I just want to clarify to you that when you say flattish, in fact, we have reduced our power and fuel on a per -ton basis almost by 10% efficiency. I hope I answered Rashi.

Moderator; Thank you. The next question is from the line of Prateek Kumar from Jeffries. Please go ahead.

Prateek Kumar: Yes, good afternoon, sir. Thanks for the opportunity. My first question is on your detail like on cost and capex timelines on a five -year basis. Capex you have talked about also on, like, I think yearly basis. Is it possible to also give out like cost decline estimate on a yearly basis, maybe broad -based, but not very specific?

Ajay Kapur: That played much forward -looking Prateek, but I can only tell you, you can see sequentially every quarter we have been. What I gave you, heads -up numbers, wasted capacity, I spelled out in my opening. It is going up this year. So straightaway, you know, wasted is at INR1, INR1.10 paisa. That's going to bring down the cost. I also spelled out in this quarter we are commissi oning 200 megawatts solar. So it will be available for the nine months or maybe 10 months for this year.

You can calculate. That's another cost item. I also mentioned about bringing in additional 10

rakes for fly ash transportation. That will be additional source for saving our cost. And I think by the end of the year we will also be commissioning state -of-the-art new kiln and also three new grinding stations. In addition to the ongoing program of capex, which was launched earlier, I think some of that will also bring in the savings.
I think we will still do a very tight management of fuel cost. We won a lot of good auctions in the domestic auctions that were, you know, done, both for kiln fuel and CPP fuel. So a large part of our coal cost is already secured in those auctions. So that gives us a fairly good assessment of our costs going forward. I hope I've answered your question, Prateek.
Prateek Kumar: Yes. And one last question on your capex. So annual capex expectation. So this year we did INR4500 crores on organic. I think 2500 on organic. So total 70,000 was in 7,000 in line with your guidance. Does the number remain the same for annual capex guidance?

Ajay Kapur: We are actually having a very big plan for capex for this year. But that includes everything because of buying new railway wagons, also ongoing programs for efficiency. So I would say our total capex would be for growth alone, if you're asking, would be in the range of about INR5,000 crores to INR6,000 crores . Purely growth.
Vinod Bahety: Purely growth, around INR7,500 crores , which we have planned for the current year. And it is all on from our operating cash flows is what we are targeting. So the work is of INR20,000 crores of the funds received fro

m the warrant, we keep it for strategic initiatives. But as an important underlying statement that whatever the yearly capex is, we intend to largely use the internal accruals and the operating cash flows.
Ajay Kapur: And some part of it will also be spent for completing our ongoing green initiative. As you know, by FY '25 mid, sorry FY '26 mid, we are targeting completing the remaining 800 megawatts of wind and solar. So that also will need some investments besides the clinker line and the grinding units I mentioned and the railway wagons, which we are in the process of procuring and efficiency improvement projects, including opening new coal mines.
Moderator: Thank you. The next question is from the line of Ashish Jain from Macquarie. Please go ahead.
Ashish Jain: Hi, sir. Good afternoon. So my first question is in the clinker capacity. Vinod sir spoke about 82 million ton clinker by 2028. So today we are 54 and, you know, shall we think that 8 million ton that is announced and 8 million ton that we will do in Sanghi. So that takes us to arou nd 70 million tons. Apart from that, there's 12 more million ton that we would be doing, which is what you spoke about 4 million ton into three. Is that the broad number?
Ajay Kapur: Yes. So basically, no, no. What I will tell you is what we have announced. We have announced already two new kilns of 4 million each. Plus, I said I'm ready to go with three new kilns, one in west, which you can take Sanghi, one in north, one in south. Tha t is 12 million. That is immediately where the ECs are being awaited. In addition to that, the ECs applications have been filed parallelly. I may get a few more ECs by this year or beginning of next year. We have, interestingly, the land and re quisite limestone secured at all the locations for this 140 million. If you ask me, I'm ready for 175 million. So it should not be a worry.
Ashish Jain: Okay. Got it, sir. And so secondly, I may have missed this number. Did we kind of highlight that the INR500 cost reduction that we are talking about is benchmarked to a Q4 number, which was at INR4185 per ton cost?
Ajay Kapur: For the FY, FY is a better number to take. FY '24 is a full year number that reflects the 12 month averaging out. You take FY '24 number and then say the end state number is what we have given. We have given an end state number. You look at that end state number rather than, you know, 500. And I highlighted the pillars of that journey. And I'm 110 perc ent confident that that journey will be made before time.
Ashish Jain: And sir, the end state is 3650, right?
Ajay Kapur: Yes, please.

Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: Hi. Good afternoon. On Sanghi, I wanted to check what is the volume for Sanghi? Like you mentioned, 0.67 MT was done as MFA between Ambuja and ICC. But what is the total volume?
Vinod Bahety: So far, March quarter, Sanghi, in terms of clinker, we have produced 0.7 million tons. And in terms of cement, we have 0.8 million tons. But just to also add to this, wherein in March quarter, the line, the kiln number two was non -operational. But now from this quarter, both the kilns are

going to be operational. And sooner we are going to achieve 17,500 TP D per day. And as Ajayji mentioned, we are looking forward to achieve 5 million tons of clinker for this fiscal. So Sanghi, I hope numbers are now very clear and we have repeated again. This is how the numbers will stack up for this year.

Ajay Kapur: Around 5 million benchmark you can take for the current year because we are stabilizing the kilns in the first half. Second half, both the kilns will be running flat out.

Amit Murarka: Also, under the MSA , there is a 9% EBITDA margin. But I see in Q4, Sanghi's EBITDA margin is

20.5%. So I just wanted to understand where is this disconnect coming from, given that the incremental volume by Sanghi was only 0.1 million tons?

Ajay Kapur: So it's basically Sanghi had a write -back of discount provision. There was a fuel cost lower. Then there was also a lower fixed cost. And there was some provision write -backs. All this was about INR33 crores . That is why you saw a little bit of an upbeat. And this is done on a quarterly basis, the MFA formula. The price was much lower, the cost of production, versus the next quarter. So I think you are seeing that. But largely, these are some one -offs, which is good for them.

Amit Murarka: Of course, of course. Also, there was some debottlenecking as well in Sanghi, besides the clinker line. So that debottlenecking, I believe, was expected to get completed faster. So is there any update on that?

Ajay Kapur: So basically, we believe versus 6.6 million clinker. These are still our numbers. We'll know after the current refurbishment program is over. I think the kilns should be able to produce 7 million plus clinker. I think that is what will really help us. We r eally don't need so much of cement grinding, debottlenecking there, because we will be using this clinker for some of our grinding stations.

We have recently acquired a Tuticorin 1.5 million unit, as you know. So this clinker will be used for that. We also have a group within the group, an asset in the Dahej. We will be using for that, plus, of course, our other facilities.

Vinod Bahety: And just like also to add to this, in terms of debottlenecking, all of you would know that the evacuation in Sang hi, in terms of the jetty, you will be happy. Now we have reached already a draft of 4.5 meters, which is improved from 2 meters earlier. Now we are able to handle larger vessels compared to in the past. So this important opportunity of evacuation will help us in

overall debottling of Sang hi. And this draft will further improve as things go forward. So we will be able to handle. We are targeting almost more than 10,000 DWT of vessels down the line.

Amit Murarka: Got it. Also, just a last question on the strategy around the Gujarat market. So this incremental volume that is coming from Sangi to you, and which will only grow in FY '25, like which regions will it go to, like the 5 million ton that you're talking abo ut?

Ajay Kapur: We will use, as I mentioned, Sangi clinker and cement, both would be used. Clinker would also be used in the second half more towards the Tuticorin new grinding unit. We are also using Sangi clinker for our Dahej grinding unit, which is in Gujarat. Plus we are using the volumes right up to Baroda part and also in Saurashtra and Kutch.

Moderator: Thank you, sir. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Hi, sir. Thanks for the opportunity. So my question is pertaining to ELT and cost drivers. Sir, can you indicate what is the sort of clinker factor that we are looking at, two, three years out? I think it's around 0.6 right now. Just a related question, how do we look at composite cement as well as calcined clay over here? That's the first question.

Ajay Kapur: So, Ritesh, you're right. Our clinker factor is hovering around 0.6. ACC is slightly lower because they use slag in east. Ambuja is slightly higher, but an average of 0.55 to 0.6 is what we would target. As you know, as we move larger volumes and also cover more parts of the country, we will have to also service the large infra -markets, whereas you know the req uirement is of OPC cement. That's also the reason in this quarter also we had a little shift in Ambuja on OPC. In time to come, we will h ave to also cater for that segment.

Having said that, on the other hand, we'll have to continue to find ways and means to imp

rove

our clinker factor on the regular products. So I think that's a journey we'll have to traverse as we go. Composite cement is a very good quality. I think it has a mix of both slag and fly ash. Wherever we are able to secure good slag at the right price, because as you know, slag grinding also has a higher cost element to it. At the same time, if you are able to get a mix which is a cost - effective mi x, that is what generally determines our product strategy on composite cement.

Vinod Bahety: So that's also a very interesting point you have highlighted and gives me an opportunity to cover more here on the ESG part. So first, our slides have given to you that we are ahead of 2030 in

terms of achieving our plans of SDP. But importantly, for all our incremental projects, these capacities which we are discussing on increasing the volume, all our new capacities are in -built with WHRS. They are in -built with AFR. They have proper railway infrastructure facilities. Let us say typically a kilo of 4 million will have 21 megawatts of WHRS. It will have 30 percent of AFR. That is our desired number. The overall efficiency on heat value is als o going to be sizable. We will have a green power which we have set at 60%. So this will add up to the ESG drive what Ambuja and HSE and Sanghi are working on. And I am very confident that we will be having a very high score of ESG down the line.
Ritesh Shah: Sir, if you could just comment on culture and trade, does it feature anywhere on the plans or is it more a storyline at this point?

Ajay Kapur: At this moment, to be very honest, one or two industrial trials have been done by some people. We are studying it. We are also partnering with a few institutions. We will have to do more work on it to be honest. It has not been done on a commercial scale y et.
Ritesh Shah: Okay, fine. And sir, my second question is on cost. Sir, you have indicated on the logistic cost. But could you comment on the mix on road, rail and sea? I think Vinod ji did touch upon a higher draft. So what is the percentage of volumes that we moved vi a sea last year at a consult basis and how it could change over the next two to three years? And the second question was on fuel cost. I think we have given a number of INR1.75 for full year. Is that how one should grade it given we have alread y logged in the volumes?
Ajay Kapur: So we should be looking at another INR4 paisa to INR5 paisa improvement over there on the fuel side. On the logistics, basically if you see, we are currently hovering at about 27% rail. I think the rail coefficient would more or less remain where it is bec ause our volumes are going up.
And some plants are better served through road logistics. So more or less this is what it will remain. And sea will change once the Sanghi sea infrastructure changes in time to come. I think that needs a little bit of a different game plan. And we are wor king on it. I think I will come back and talk to all of you about it once we are fully ready with that. Because that needs a very different game. That will take about 18 months to play out. There I think there will be a very different logistics model on th e west coast. And I think that will have a sizable impact on our freight cost.
Moderator: Thank you, sir.
Vinod Bahety: We have a ballpark. I think sea freight we can expect around say 10% by next after 24 months. 24 months, yes, please go with the next question.
Moderator: Thank you, sir. The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.
Sumangal Nevatia: Hi, good afternoon, sir. Thank you for the chance. My first question is on the broad corporate structure. We are now having three separate listed cement companies. So what's our long -term strategy here? Do we intend to keep running three separate companie

s? And in the light of MSA,
I mean, are large part of the benefits already captured? Or a potential some bit of consolidation could have further benefits on the cost side or some synergy side?
Ajay Kapur: So, Sumangal, I can handle first the second question and then I'll come to the first one, which is MSA. MSA, I think from the time when we started to where we are, I would say we almost reached a level where it is operating by default. Right. We have compl ete logarithms and computer systems and programs. The lowest cost plant serves the market and the highest EBITDA yielding route is what works. So I think that's what we are trying to achieve.
Number one. I think the Sanghi is a new entrant. And so that will take one year to stabilize, which I believe should happen already. It's already working very beautifully well. So other than that, I don't think there is any further comment on MSA side. I' ll make one comment for

everybody. You know, you will find going forward, I would encourage all of you to look at Ambuja results as a console only because my job as a CEO for the entire outfit is to get the best out of all. And when I squeeze the juice of each of the entities and get the maximum benefit for my shareholders is when you see the console results of Ambuja and not necessarily individual entities. So I think that's where you're seeing the play of MSA really playing out in full potential.
I'm now answering your first question on the corporate structure. I think as a management team, we are one team which is running the show. So therefore, in terms of sharpness, focus, timelines

from the time we make a decision to execution, I think there i s no bureaucracy. We work pretty sharp as one entity, even though we have three legal entities. For the reasons known to all of you, I cannot comment any further on next steps. But I can only tell you, whenever we are ready for any further next steps, we w ill come out transparently as per law.
Sumangal Nevatia: Understood. That's very useful. My second question is on our market share target. This 20% I believe is basically from our organic capacities in organic expansion. So if I just do some rough math, from currently around 14% to 20% in a 6% -10% kind of a gro wing market also, we will require a high team kind of growth on the sales volume over the next 4 -5 years. So practically, I just want to understand how is the bottom -up plan or strategy here? Can we practically achieve this kind of high gr owth from existing capacities without really distorting or deflating the prices in the market? Some thought process here would be helpful.
Ajay Kapur: So two things. Number one, we have a program to put 140 million. So I am very confident we would be ahead of the curve on that program. Our utilization levels for both the companies have never gone below mid -80s. And actually, large part of our plants are operating at 90%, 95%. So as soon as we have a plant, it takes about a year. Like I just mentioned, Amitabh plant came in central region, ACC Amitabh. We have produced 300,000 tons in the month of April clinker, which annualizes 3.3 million, wh ich is its peak capacity, so more than the peak capacity. So typically, it takes 8 months to a year to have full stabilization.
Both the companies have a very strong dealer -distributor network. We have over 1 lakh channel partners. We are investing more in the brands, and you would see that the renewed focus and thrust. We are increasing our technical and field force. And we are m aking sure that our product quality remains top. So I think these are the three fundamentals when you want to increase market share. And also in many markets, we are under -supplied. Now recently, we have taken a grinding station in Tamil Nadu. So we are un der-supplied there.
I believe it should not be very difficult f

or us to ramp up very fast. Likewise, in South, we have been actually losing market share because we don't have capacity. As soon as we put up new capacity there, ACC has a tremendous brand name in many parts of South. And we should be able to ramp up. Same is the case in Uttar Pradesh, parts of central India, where we have very strong brand image. Gujarat has been our core market.
Maharashtra has been our core market. I believe we should be able to increase our market share. Last quarter numbers is a good reflection because this is a question asked to me every quarter. I think we have grown at about 17%, which is much more than the industry growth. And we have

not really disturbed the markets because we still play within our premium segments. So I believe India will grow, number one.
And number two, with that, with the capacity coming in every year in one or two regions, not across all the country, we should be able to spread the risk and also capture market share. But the good part is India is growing and we are growing along with th at.
Moderator: Thank you, sir. The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.
Indrajit Agarwal: Hi, sir. Thank you for the opportunity. A couple of questions. First, again, on the industry, right? So you have been growing much ahead of most of the peers. But if you look at some of the larger guys, they have also had double digit growth. So who do you think is losing market share? And what happens to them going ahead? Do you think the smaller players become less and less relevant in the next three years, five years?
Ajay Kapur: I think it's very difficult for me to comment on, relevance of smaller players. But I can only comment that eventually in the long term, you will find if you have a right cost structure, if you have the right architecture of distribution points, if you hav e a well laid out strategy of how you want to service your various segments. IHB is one segment which is we call largely trade in the cement trade and non -IHB generally we call it non -trade.
But it's not that simplistic. It's further, micro marketing at each and every level. So you have largely housing, which has mass housing, small housing, individual housing. And then you have infra where you have government and you have within government, you have railways, roads, bridges, highways, metros, so on and irrigation. And then you have ICI, the buildings and commercial. I think for each of the segment you will have to have a strategy.
The companies which will have a good strategy here, the companies which will have the right product mix, the companies which also will be the lowest cost, I believe are the companies which will be able to take full advantage of cement sector, which intere stingly today is 104 and 20 million tons per head per capita is still 270. World average is 500. I think in time to come, just to meet the 8% growth every year, we need about 40 million tons of new capacity to be added.
So I think it's very difficult for m e to say who will be relevant or not, but the one who will be

relevant will be able to do all these things.
Vinod Bahety: So Inderjit, just to also add, I think this is like now industry in terms of consolidation, the scale, size and efficiency are very important factors and those with stronger balance sheets have the ability to invest on the efficiency capex's and the growth. I think that those definitely will have good plans of cost -led leadership and improving the, expanding the margins. When I look at like my numbers, September 22, when we took it over, again, my volume was at 12.5 million tons for the quart er. And then this time when we hit 16.6, but when I look at my margins, they've only expanded. And that is precisely the journey which is going to be down the line in a much more amplif

ied manner. Hence, you can figure it out who will be able to better catc h on this opportunity and who will be perishing on it.

But definitely Ambuja and ACC and Sanghi as a group are sitting on a huge, stronger balance sheets to make those investments and opportunities.
Indrajit Agarwal: Thank you. My second question is on the coal blocks that we have won. Historically, what we have seen is Indian coal cannot cater to the kilns given that they are generally low calorific value. So the coal mines that we have won, are they sufficient or adequate for kilns or these are just for blending purpose? How do you see that?
Ajay Kapur: No, they are 100% for the kilns. The good advantage is we have Gare Palma IV, which is the mine Ambuja won in 2018. One of the reasons why Ambuja has also been able to show a good reduction in coal cost is because we are using coal from this mine. Most of our mines are underground mines. In fact, when we are planning our future, we are looking at G5, G6, G7 quality of coal for the kiln and about lower quality for captive power plants. Some mines are very interesting where I can do both.
In one seam I am able to get coal which is very good for captive power and at other seam I can get coal for the kiln. This is where I believe we are very lucky, very fortunate. We are part of an ecosystem, a platform called Adani, where we have some of th e smartest guys who are running coal mines, who understand coal.
And my coal team and the group and the coal team in the cement, the fuel management team, when they interact with each other, I think the learnings and lessons of running multiple coal mines as MDOs, trading, I think this is where it really helps us havin g a very sharp -shooted strategy. Every coal mine that we win or we plan, it goes to the asset test of what quality, what grade. And generally by rule we don't like to wash because we believe lot of wastage happens there. We try straight away work on good q uality coal.
Moderator: Thank you, sir. This will be the last question for today, which is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: Hi, thank you. Couple of questions. One on the entire strategy for south. You can understand part of growth this is Sanghi cement directed to south. When you look at Sanghi itself at a floating terminal of the cost of Kochi, and now Tuticorin strategies. I just wanted to understand some strategic point was comparing Kochi floating terminal.
In Tuticorin you don't, Adani port doesn't have its own port. So how do you plan to get cement in south strategically and what cost can you get, especially if you use somebody other, some other company's ports? That's the first question.
Ajay Kapur: So Satyadeep, thanks for the question. If you recall, even before we became part of Adani Parivar, Ambuja cement was a pioneer in spearheading the entire coastal sea transportation. Way back in 90s, we had set up our own port in Mulduarka in Gujarat, Ambuj a Nagar.
Deep sea with a multiple which could also take Handymax vessels. We have a jetty in Mumbai. We have a jetty in Cochin. We have a jetty and terminal in Bangalore, all deep sea. So we have good knowledge both in Ambuja and we have a solid knowledge within the group. First ship of

clinker being loaded from Sanghi is already getting ready to come to Tuticorin, carrying 50,000 plus tons of clinker.
It will land at the Tuticorin port. All arrangements have been made. The costs are perfect. And from the unit is about a couple of kilometers. I think about 20 kilometers, 30 kilometers away. And it works pretty efficient because the ship size is 55,000 t ons. But it becomes pretty efficient when we move that. Number one. Number two, we a

lso have a power plant close by where our
group has already in advanced stages of acquisition.
And that assures us a fly ash, which is one of the biggest costs, as when you make cement, 35% coming at a very low cost fly ash, an assured cost. That makes Tuticorin already a very, very viable proposition. Cochin, you've forgotten, Ambuja already has a bulk cement terminal already.
In Bangalore, Ambuja already has a bulk cement terminal. And I think our strategy of Sanghi, as I mentioned, in time to come, I'll come out and make a full disclosure as it pans out. But it will have multiple, grinding stations. The Hage is already one, w hich I mentioned. Tuticorin is the second one I mentioned. In addition, we are in the process of finalizing and getting ready with a few more. So I think that will play out pretty efficiently.
Moderator: Thank you, sir. Ladies and gentlemen, due to time constraint, that was the last question for today.
I would now like to hand the conference over to Mr. Vaibhav Agarwal for closing comments.
Over to you, sir.
Vaibhav Agarwal: Yes, thank you. On behalf of Philip Capital India Private Limited, we would like to thank the management of Ambuja Cements, ACC Limited and Sanghi Industries for their time on the call.
And we also thank all the participants for joining the call.
Michelle, we will now conclude the call. Thank you very much, sir.
Moderator: Thank you, members of the management.
Vaibhav Agarwal: Thank you all.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Philip Capital India Private Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.
Thank you.
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Note: This transcript has been edited to improve readability
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7th August , 2024

To

National Stock Exchange of India Limited

Scrip Code: ACC BSE Limited

Scrip Code: 500410

Sub: Transcript of Earning Call pertaining to the Unaudited Financial Results of
the Company for the Quarter ended 30thJune, 2024.

Dear Sirs / Madam,

In continuation of our letter dated 24th July, 2024 regarding Analyst/Institutional
call scheduled on 31st July, 2024, the transcript of the earnings conference call on
the Unaudited Financial Results (Standalone & Consolidated) for the quarter ended 30th June, 2024 is uploaded on the website of the Company at
www.acclimited.com
. The said transcript is also attached herewith.
The Web link to access above transcript is as under -
Investor Presentations | ACC
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Kindly take the above on your records.

Thanking You,

Yours Faithfully,
For ACC Limited

Manish Mistry
Company Secretar y & Compliance Officer
Encl: as above

Ambuja Cements, ACC, and Sanghi Industries
Q1 FY25 Earnings Conference Call
July 31, 202 4

MANAGEMENT

MR. AJAY KAPUR
CHIEF EXECUTIVE OFFICER MR. VINOD BAHETY
CHIEF FINANCIAL OFFICER
MR. DEEPAK BALWANI – HEAD INVESTOR RELATIONS
MODERATOR
MR. JASHANDEEP SINGH – NOMURA

Moderator: Ladies and gentlemen, good day and welcome to the Ambuja Cement Limited Q1 and FY25 Earnings Conference Call.
As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Jashandeep from Nomura. Thank you and over to you, sir.
Jashandeep Singh: Thank yo u. Good afternoon, everyone, and thank you for joining the call.
Without much ado, I will transfer the call to Mr. Deepak Balwani - Head of Investor Rela tions.
Mr. Deepak, over to you.
Deepak Balwani : Than k you, Jashandeep. It is indeed my pleasure to welcome all of you to Ambuja's Earnings Call for Quarter 1 FY25.
Ambuja Cement Limited , along with its listed subsidiary ACC and Sang hi, is one of India's leading cement companies and a member of the diversified Adani Group, the largest and the fastest growing portfolio of diversified sustainable businesses. I hope you all had a chance to go through our financial results, investor deck and the press releases which are now available on the company website and on stock exchanges.
Joining us on this call , Mr. Ajay Kap ur - Chief Executive Officer and Mr. Vinod B ahety - Chief Financial Officer.
I would now like to invite Ajay ji for sharing his valuable insights on the quarterly performance .
Over to you, Ajay ji.
Ajay Kapur : Thank you, Deepak. Good afternoon to all of you. I extend a warm welcome to each of you for joining us in our quarter one FY25 Earnings Call of Adani Group's cement business for Ambuja, ACC and Sang hi.
We continue to strengthen our position as a market leader in the cement industry. Adani Cement is becoming stronger overtime with an intense commitment towards capacity expansion through both organic and inorganic groups along with efficiency improvement initiatives. Adani Cement's current market share is about 14% with an internal targ et of 20% for FY28.
To begin with, I would like to share some of the high -level highlights before diving into specifics. Our current cement capacity is 89 million tons which includes ongoing Penna acquisition. This will help in strengthening our market share in Southern markets. We have increased our capacity by 32% since acquisition through both organic and inorganic growth translating to 21.4 million tons. 275 million tons of new limestone reserves h ave been secured

in the 1st Quarter FY25. Capacity growth from the current 89 million tons to 140 million tons will be met through internal accruals and operating cash flows. We will continue to remain debt free during this journey. 4 million ton clinkering and 6.4 million ton cement capaci ty is expected to be commissioned in FY25.
The consolidate d quarterly Y-o-Y performance, we have achieved a revenue of Rs. 8,311 crores.
This is driven by a strong focus on our micro market management, expansion of dealer network, blended cement as a mix of the total sales volumes maintained at 86%, premium products as a percentage of trade volume increased by 200 basis points to 24%. On the cost , for the quarter was at 4,437 per ton showing a decline of 3%. This is driven by 13% decline in energy cost owing to better fuel management which resulted in reduction in kiln-fuel by 17% to Rs. 1.73 paisa from 208 paisa per 1000 kilocal. The transportation cost declined by 8% at Rs. 1,323 per ton on account of footprint optimization, the secondary lead distance reduced by 9 kilometers to 46 kilometers and the direct dispatches to customers increased by 4 % points to 55 %. With

the
improvement mentioned on the cost f ront, EBITDA stoo d at Rs. 1,280 crores at a margin of 15.4% and EBITDA per ton of Rs. 807.
As on 30th June, the consolidated cash and cash equivalent stood at Rs. 1 8,299 crores.
Approximately , Rs. 6,000 crores have been utilized out of which Rs. 3,300 crores towards our organic and inorganic growth mainl y for Tuticorin grinding unit acquisition, ongoing CAPEX program and P enna acquisition , dividend outflow of Rs. 630 crores and balance towards working capital which includes higher receivables during this quarter, higher inventory, lower payables, income tax payout, etc. In the best interest of ti me, I will not discuss the standalone financial performance of the listed company separately as they are available on our stock exchanges.
Now , I will share with you the progress we have made on our announced long -term strategy plan. As we plan to expand our cement capacity to 140 million tons by FY28, we are pacing well

to achieve the stated target. This has also resulted into higher cash outgo as informed above. With the ongoing acquisition of Penna Cement, our operating cement capacity now stands at 89 million tons. We are on course to commission our 4 million tons clinker unit at Bhat apara in Chhattisgarh an d the associated grinding units at Sank rail and Farakka, West Bengal and Sindri in Jharkhand by the end of this financial year . The grinding unit of Salai Banwa in Uttar Pradesh to be commissioned in Quarter 1 of FY26 and Brownfield expansion of Bat hinda grinding unit in Punjab and Marwar Mun dwa grinding unit in Rajasthan to be commissioned in Quarter 2 FY26. With commissioning of these projects, we shall be reaching cement capacity of 100 million tons by Quarter 2 FY26 and that indeed will be a great day f or us to hit the first 100. Further cli nker unit of 4 million tons at Maratha in Maharashtra and grinding units of Wari saliganj, Bihar ; Kalamboli unit expansion in Maharashtra ; Mundra in Gujarat and Dahej grinding unit expansion in Gujarat are also expected to be commissioned by the end of FY26 enabling us to reach 112 million tons cement capacity by FY26. We have also identified 14 additional grinding unit projects for which land acquisitions and statutory approvals are under progress which shall enable us to reach 140 million tons b y FY28. For the new facilities of 4 million tons clinker line at Bhatapara, 80% of civil work is now co mplete and major equipment

has been received at the site. Expected commissioning is by quarter 4 FY25. For its corresponding grinding unit in Sankr ail and Farakka , West Bengal, civil work of 66% and 60% respectively have been completed and major equipment has been received at the site. Expected completion of these units is quarter 3 FY25.

For the new facility of 4 million ton s clinker line in Maratha in Chand rapur, contract has been awarded on EPC vendor , 25% major equipment ordering done by the EPC partner. Project execution work started . Expected commissioning is by Quarter 2 FY26. These kiln lines will have 42 megawatts of waste heat recovery and provision for utilizing 30% alternate fuels in these kilns. The new facilities of 2.4 million ton grinding unit at Salai Ban wa in Uttar Pradesh , 11% civil work is now complete, and delivery of major equipment commenced at site expected completion is Quarter 1 FY26. Major equipment ordering for roller piers at Bat hinda grinding unit and Fly Ash grinding unit , blending system at Kalamboli has also been completed.

Now , I will share some of the key initiatives being undertaken for becoming a cost leader in the cement business :

Securing major raw materials at cost competitive prices and efficiency and productivity improvement CAPEX will further help in cost optimization by 8 % to 10%. First, let me discuss the steps we have taken

to lower our energy cost. Our waste heat recovery capacity at the time of takeover around September 22 was 40 megawatt which we are now targeting to increase to 186 megawatts by March 25. Currently , the WHRS capacity is at 165 megawatts. We have earlier announced our investments of 1000 megawatt in RE whic h is expected to be commissioned by FY26 and would ensure that 60% of our power requirement would be through green power. This would help in reducing the power cost by 90 per ton by FY28. The first phase of 200 megawatt is getting commissioned as I speak t o you in Quarter 2 FY25.

As previously explained to meet our requirements, we aim to have captive coal mines. As a result, we are bidding for coal mines in auctions being conducted by the Government of India. A higher share of coal from captive mines and the opportunity to buy imp orted pet coke will further lower our costs of fuel. Driven by better fuel management and structure initiatives undertaken, our power and fuel cost have decreased 13% to Rs. 1,304 per ton in Quarter 1 FY25 from Rs.1,501 per ton in Quarter 1 FY24. These ini tiatives include an increase in the share of AFR and WHRS. The share of AFR in fuel mix has improved to 9.3% from 7%. The share of WHRS in power mix has increased to 15.1% f rom 11.5%.

The second cost item is freight and forwarding cost. There are three focus areas of cost reduction here, reduction in lead distance, warehouse optimization and railroad mix optimization. We are targeting to reduce the average primary road lead distance by about 100 kilometers over a period of time. Primary lead distance in the current quarter was 270 versus 275 and secondary lead was 46 versus 55. To further optimize our cost in logistics, we have ordered 11 GPWIS rakes of which 9 have already been delivered and the rest are expected to be delivered by the end of Quarter 2 FY25. These rakes will enable cost efficient clinker movement from the mother plants. In addition to these, we have also ordered 26 BCFC rakes for safe and cost efficient

transportation of Fly Ash from thermal power plants to our facilities. We expect 10 rakes to be delivered in the current fiscal year .

We will also introduce EV trucks in a few select groups which will be started by Quarter 2 FY25. Because of these initiatives our logistics cost have reduced by 8% to Rs. 1,323 per ton in Quarter 1 FY25 fro m Rs. 1,436 per ton in Quarter 1 FY24. To secure our license supplies in Quarter 1 FY25, we have won bids for another 2 mines having reserves of 275 million tons. On ESG, we are committed to net zero by 2050 for Ambuja and ACC with near term targets val idated by SBTi. 60% power source d will be from green power by FY28 which will help us to reduce carbon footprint. Ambuja is 11x water positives, establishing leadership in water governance, reached an impressive 8 times plastic negativity for Ambuja through co -processing of plastic waste in 7 kilns . Ambuja and ACC put together use more than 5.7 million tons of waste derived resources in Quarter 1 FY25, embracing circular economy. We are pledged to plant 8.3 million trees by 2030. Ambuja and ACC created societal values for more than 4.6 million people by contr ibuting to fields like healthcare, education, employme nt and sustainable livelihoods.
We are optimizing the infrastructure at Sang hi that would enable efficient transportation of cement from the plant to the jetty and through mechanized conveyor belts and then using the marine and sea route. On the industry side, cement demand during FY24 stood higher by 7 %-8% at 422 million tons and is likely to grow at 7% to 9% in FY25 to around 450 million tons driven by strong correlation with GDP growth and rising demand from housing and infrastructure sectors. The government aims to invest US $3 trillion in infrastructure a nd housing

development through ongoing housing for all scheme s, National Infrastructure Plan, PM Gati Shakti National Master Plan and others. An outlay of 11.11 lakh crores for capital expenditure has been allotted in budget FY25 which represents 3.4% of GDP. Phase 4 of Pradhan Mantri Gram Sadak Yo jana will be launched to provide all weather connectivity to 25,000 rural habitations. We believe all these measures are expected to bring buoyancy in the cement demand.
To conclude , as I mentioned earlier at multiple occasions , Adani Cement will benefit from accelerated growth, lower costs and group synergies all of which will contribute to lead the market and achieve sustainable performance in the near future. The pace of CAPEX has increased which will help to achieve targeted growth ahead of time. With this , I now hand over to my colleague , my CFO - Vinod Ba hety.
Vinod Bahety : Thank you, Ajay ji. I think Ajay ji has already covered in detail, but a few points from my side , another sustainable quarter and sustainable EBITDA in an otherwise subdued industry condition and I strongly believe this has been possible on back of the strength of cost leadership, which last 8 quarters we have been working on. Better fuel management is reflected in the results and in the coming quarters, the benefit of green power, we will see which will start from August onwards and that will further accentuate our position of strength in terms of cost optimization. Our focus on digitization, ESG, and productivity , both machines and manpower will give commendable results in coming quarters. Ongoing expansions in parallel at almost more than

10 sites which Ajay ji has referred to which are at various different levels will see commendable progress in our organic growth plans, while the integration of P enna this quarter will give us immediate results as part of our inorganic growth.
So with this, I will pass on to Deepak and to the coord inator in terms of Q&A, please.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rishi Kothari from P i Square Investments. Please go ahead.
Rishi Kothari : What is the bi furcation of our cement supply to private sector and public sector?
Ajay Kapur : So Rishi, hardly at an industry level, we consume about 64% -65% cement for housing, all kinds of housing. Large component is individual housing, and then it goes into commercial residential.
About 23% -24% of cement gets consumed by infra. In this segment, it is largely government, but also in some cases, you have private players who are doing BOT projects. So I think large part of your questi on gets answered in this segment . And the last segment is about 15%, which are commercial institutions , I think this is largely private sectors because government seldom is here in this area. So I think to answer your question, the infra segment is 24%. In this, a large part of it is also government, but also some big companies who are also doing BOT projects, road projects, bridge projects, etc. I hope I have answered your question.
Rishi Kothari : In general, 70 %-75% overall we have a public infrastructure supply and rest is on our private sector supply , is it?
Ajay Kapur : Of the 24% of the total demand, which is for the infra segment, a large part of it is government, but also a lot of it is done by private companies.
Vinod Bahety : Rishi that is a reverse what you have told. So it is like actually 75 %-80% is private, and 20 %-25% is actually public. When you say public, it is like government -driven infrastructure projects and all .
Moderator : Thank you. The next question is from the line of Nav in Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo : So two quick questions. Sir, f irst, on the green power bi t, you said that fi

rst phase of the 200
megawatt is a little de layed in my view and I think it is coming now in Q2. So wanted to understand , does that mean that the entire 1000 megawatt project gets delayed because the earlier guidance for that was Q1 FY26? And just related to this, how much should the CAPEX distribution? I would rather request Vinodji to give this breakup on entire CAPEX through green power and other for 25 and 26. That is my first question ?
Vinod Bahety : So in terms of your first question, our June '25 , which is Q1 of FY26 , remains very much firm there. In terms of the first 200 megawatt, which is now coming in August, and almost 650 megawatt, we are targeting by March 25, and another, say, 150 by May 25, which will actually complete to almost 1,000 megawatt by 1st Quarter of FY26. In terms of the CAPEX, as you

would recall, close to Rs. 6,000 C r is the overall outlay for this 1,000 megawatt initiative, and out of which close to 1,500 already has been invested, and balance 4,500 will be incurred in the coming next 12 months, out of which another Rs. 500 C r is expected by September, and so on and so forth. But as we move in the coming quarters, lots of this completion will be happening as I mentioned and therefore, the CAPEX will be incurred as well , let us by say June 26. I would also give you an insight so that you are aware of this, that out of this 1000 megawatt, close to 160 megawatt is win d and close to 840 is actually solar, and which also if I have to give you further details and to the larger analysts and all, 300 megawatt is actually in Rajasthan and out of the solar 840 and the rest 540 is in Gujarat and also the 160 megawatt of wind is also in Gujarat. Khavd a is the one where we are putting up this large investment.
Navin Sahadeo : Sir, my second question then was about the Penna acquisition , so would want to understand because from the presentation I see there is some delay in the timeline for the Jodhpur unit. I think we were targeting around May -June next year , but there seems to be some delay both in Krishna patnam and the Jodhpur unit so to say , and also in the same breath want to u nderstand how should one look at getting th is Penna acquisition in our numbers in the sense you said it will complete by Q2, s o just wanted to understand w ill second half then should see full benefit of the acquisitions for us and will Ambuja Cement as a br and be launched in South India?
Vinod Bahety : So I will cover on the acquisition part and then Ajayji can chip in on the rollout of the brand. So far as the status of acquisition is concerned, it is in very fairly advanced stages. So I would say that in a fortnight kind of thing, we are targeting to achieve full closing. And therefore you will definitely get the benefit of integration in Q2 a nd Q3 will be where it will be 100% available for the quarter. So that is on the status of the acquisition. Now, so far as the brand strategy is conc erned, over to Ajay ji.
Ajay Kapur : So what we are going to do is clearly once this integration is done, we believe there is a synergy between our Adani Group plants, especially ACC plants in South and the P enna units. I think in our earlier call, which we done at the time of acquisition, we also laid out the rationale for the investment and also the upt ake we will get it both on volume and cost. And as part of the strategy to enter South, we will be playing with our Ambuja and ACC brands. We will also be using Penna , wherever we feel that can add value for us to penetrate the market. So we will be using all the three brands, Ambuja, ACC and P enna .
Vinod Bahety : And Navin, I missed to answer your question on the CAPEX part, both Krishna patnam and Marwar project of Pe nna very much remains intact on the timelines and therefore no concerns from our side on any delay over

there.
Navin Sahadeo : So just one bit here, Pen na as a brand continues to stay with us, so continue to use that?
Vinod Bahety : Yes, as a brand that remains in the company which we have acquired.
Ajay Kapur : So we will use this to the extent of our sales requirements. But as you know, we have strong brands of Ambuja and ACC. ACC has a very strong positioning in large parts of South. Ambuja

also has a very good presence in especially AP region. So we wil l play on our strengths and ensure that the fastest ramp up and capacity utilization is enabled at the highest price and als o the lowest cost. That will be our objective .
Moderator : Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah : Couple of questions. First one is , sir, what do you make of consolidation in the space? Also, would you like to highlight the underlying levers which are driving this frenzy , say for Amb uja or for the wider industry?
Ajay Kapur : I think it is a very interesting question. We are looking at Quarter 1 demand and sales. The share

of top 5 companies has come to 60 % versus some 45 odd percent in 2018. So I think just by the size and scale, we are already see ing consolidation happening. I think it is always good as we mature as an industry that you can either have organic growth or inorganic. We are doing both, I can speak more for Adani Group. You have seen we rolled out a program of 140 million and that program did not have any acquisitions. However, having said that, whenever a good opportunity has come in, whether it is Sang hi, whether it is Asian, whether it is the Tuticorin grinding unit we acquired from My Home , or whether it is Penna, which we are acquiring, which on top of cement assets of 10 million operating, 4 million to be built, we also have 2.5 million of bulk cement terminals, 5 terminals, and a position in Sri Lanka, and a shipping infrastructure in the entire Eastern corridor. If you look at all this, I think what we have done is we have used very wi dely our resources to acquire good assets in the markets which are fitting perfectly well with our growth strategy and we have not at all gone in a rampant expansion , but we have gone in a very structured expansion. I think you use the word frenzy, I don't think there is any frenzy. All businesses use the money very carefully and whatever money we use, we have to ensure we get the returns for that. Maybe, Vinod , you want to add something?

Vinod Bahety : No, I think, Ritesh , it is also preempting in terms of, and which I can actually highlight for our acquisition of Sang hi and Penna , I am sure you also have your own math, which is actually coming below $90 a ton. Therefore, in terms of acquisition , I think we have been very careful, methodical, and in a structured manner, which we are doing. And I think both organic and inorganic is going very well for us.

Ajay Kapur : Our inte rnal target for new growth is less than $80. In fact, the target given to operating team is to further drive it down by another $5 -$10. Therefore, acquisition also for us has to meet some tough internal checks. And whenever we feel that it makes sense, build versus buy, we apply that very diligently. And so far we have been very responsible. You have seen , we have grown 35%, but we have grown profitably. We have reduced our cost substantially. We have committed to reduce the cost by about Rs. 550. We are well on track. All initiatives are structural initiatives, be it green power, be it waste heat recovery, be it own coal mines, be it long -term contracting, be it restructuring of logistics, be it taking some very bold steps in the market, which included warehouse optimization, which included more going direct. I think we have taken all those brave steps and I am very happy that my team i

n Adani Cement business is diligently working towards this. And on top of it, now we are driving a very big initiative, which is digitization. Whatever

we do, we want to do it in a digital manner because the company will become so big , there is no other way we can have strong performance other than through digital means.

Ritesh Shah : Sir, my second question is what do you make of limestone lease expiries cum 2030 with respect to Ambuja, ACC and wider industry ? And how do you think will this have a bearing on consolidation and profit pool overall for the industry?

Ajay Kapur : Very good question, Ritesh. So let me answer first for Adani G roup, then I will jump on the larger industry. So for us, we have about 19 leases which will come up for renewal by 2030. Most of them are in ACC. However, out of those 19, by the time we hit 2030, we will have only 11 of them left because the remaining would have already lived their lives. So our strategy would be to use the limestone from them during this period. Of the 11, there are only three sites. We have alternate plan ts in place. And I think as per the law, the right of refusal rests with the current player. Other than that, I think we are in the same ship as anybody else because this is the rule of law and we have to all abide as per the government of India's mining laws. On a larger issue, a lot of representations have been made by FIMI, by ASSOCHAM, CII, I believe also from the cement industry, individually all of us have also made in various fora and forums. I believe in some cases for public sector enterprises , government has relaxed some norms. So this is something to be discussed. I think we also made a n appeal to the NITI Aayog and I think people are seized off it. We will have to find a way to how best we can comply with the requirement at the same time, not have a disruption. But you can see for us, it is not too much. We have today with P enna coming in 50 operating sites in Adani Cement of which only 4 sites will have leases which are coming in 2030 , so not a major concern for us.

Vinod Bahety : So just to reemphasize that for Ambuja Nil leases for 2030 expiry, industry level it is 25%, ACC the percentage is much lesser. So therefore, at Adani Cement level, we are well placed compared to the others.

Ritesh Shah : Sir, you indicated that at Ambuja level, there is not much of lea se expiries which are there as compared to the industry which is the 23%. What this would essentially mean that the cost curve inflation for the rest of the industry will be significantly high as compared to Ambuja , now if the cost curve for the industry increases more than us, the pricing will increase and hence our profitability pool technically should move up ?

Ajay Kapur : So I think Ritesh, I have to thank you that you have given the answer to your own question, do

I have to even answer anything?
Ritesh Shah : Right, the idea was to understand how are you looking at this particular scenario? Like is there something which will drive consolidation?
Ajay Kapur : I don't think this will drive consolidation. This is known to the whole industry. And some leases are coming for renewal in 2030. But there i s a law that after 50 years, all leases have to come back for renewal. So this journey will continue as India moves forward. The cement capacity in India, according to me, will hit a billion tons. If it is not in too distant a future, I can see it already

by next 7-8 years. We are already at 420 -430 million. And to double itself to 900 or 1 billion is not such a big time. It will double very fast. And for that, we need limestone. We will certainly be making representations to the government. And I am sure there will be some way out. There is still s

ome couple of year ’s time we have for that.
Vinod Bahety : But what happens, it happens with the whole industry.
Moderator : Thank you. The next question is from the line of Jyoti from Nirmal Ban g Equities. Please go ahead.
Jyoti : I have two questions. One is, when do we see San ghi completely optimizing or rather ramping up in terms of capacity? By when and when can we expect like 85% or 90% from Sanghi Cement happening ? Second is, with the Ultratech becoming almost like 180 million tons and their focus only on being, taking the capacity minimum at 70% utilization , will actually keep the prices muted and that will be a drag on the industry for the entire FY25. FY26, things could even don't know how it is going to pan out. What is your view on that?
Ajay Kapur : So let me first answer your question on Sang hi. We are progressing very well on Sang hi. As of now, we are also seeing a substantial improvement in our volumes that we sell in the Gujarat state. This is almost like double the volumes we are doing because of Sang hi, number one . Number two , Sangi has two kilns, o ne was the earlier kil n and the second one they only set up 3-4 years back. Both the kil ns in the plant we have put on the major refurbishment program. This was part of our acquisition strategy , was budgeted in our acquisition cost. I believe this whole program will come to an end by end of October or at the most mid of November. After that I believe the last quarter of current FY, we should be hitting more or less full utilization of the clinker. And then the next level of investments in Sang hi would be at our jetty and the shipping infrastructure which also we have done first level dredging. I believe we have to watch this monsoon. Immediately after monsoon , the next set of investments would be made. So that is the question one of. And also we are considering connecting of some wind investment into Sang hi because it is in a very right region. We have a lot of land. I think in time to come, we will come back and talk to you more once we have signed that contract.
Vinod Bahety : And this will be over and above 1000 megawatt
Ajay Kapur : Yes, t his. So we are already running one program of 1000 megawatts. At Sang hi, we might make further investments so that plant becomes very cost efficient. Wind, as you know, comes at around less than Rs. 4 and the current cost over there is more than Rs. 7-Rs. 7.5. So there is a clear Rs. 3-Rs. 3.5 up side on the power cost. So your second question is a more important one. I don't want to comment on my competition . That is not right . I can comment on cement industry at large . Prices have taken a toll on this quarter , multiple reasons , one the industry growth was a little tippet largely on account of elections and then of course , overall dragged almost 2 months in multiple elections and rain started early June. So that had an impact. We have seen that all over. You have not seen a very healthy increase. And on top of the volumes and some new plan ts which have come in, I think it has clearly added on some competitive pressures in the market.

You are right. As we speak to you, July has again had a very high rainfall , but I think post -Diwali again this year, and with all the budgetary grants and also announcements, I read immediately post-budget, a lot of analyst reports came out and people are saying at least 4 % to 5% additional demand growth in cement can happen once these projects see a fruition. So I think the good news is on the demand side , we will again be back to 7 %-8% growth. There is always an overhang of about 100 -150 million tons of c ement capacity in India. So no one player can be responsible for too much. I think it is there at the large country level. What is important to see if we have 8% -9% demand growth , every year we will add

about 40 million tons of additional
demand. I think over a period of time and then if you go geography wise, you will still find some geographies which are about 78 %-79% utilized and some geographies which may be 65% , like

I am saying South India. So you have to basically cut and paste and look at India in pieces , not as one piece.

Jyoti : Sir, subsequent to that question again two things , one is do we see high maintenance cost being built up in the second quarter because usually monsoons is the time where most of the plants go for maintenance . So obviously there will be a huge inventory buildup and therefore again a high cost of raw material in the second quarter as well which will again take a beating on the EBITDA better? And second thing is , the 1st Quarter was not such a great quarter still ACC has done 10.2 million tons in terms of volume which I believe is a significant number ?

Ajay Kapur : So basically as you see when you see our presentation which is loaded on our website , you have ACC numbers, you have Ambuja numbers, you have Sanghi numbers. We have an MSA under which both ACC and Ambuja, we use each other's facilities and try and optimize our distribution and cost to serve under which you have seen ACC is a high growth, but if you see at console Ambuja level, the growth is with CLC as we call it, cement and clinker, 3% and cement standalone is about 1%. So I think basically mo re the market has been mellowed as I mentioned, the industry demand also, I am not looking at more than 1%-1.5% for this quarter. So we are more or less in line with the industry demand. Prices have taken a knock and that knock is straight away reflected in the EBITDA per ton. Some part of it, we have mitigated with our power and fuel cost, with our freight cost. Y ou have seen raw material cost slightly higher. This is on account of clinker purchases. I believe as part of the Pe nna acquisition and one of th e reasons of that is also Pen na will give us very go od quality and low -cost clinker to our grinding units in South, including Tuticorin, including T hondeb havi, including Madukarai of ACC. And I think that you will see uptake coming in once P enna comes to play and therefore, the cost of this quarter will get mitigated.

Jyoti : And s ir, the other one which I asked in terms of this quarter for maintenance costs, do we expect plants shutting down , so again, we will have an inventory buildup ?

Ajay Kapur : We have 14 plus kilns. Each kiln has to take its scheduled 20 -day shutdown. Some of them have happened in the previous quarter. One of them was not to happen, and therefore you have seen a little bit extra. Rest of them will happen from now till December, b ut I don't see any worry on that count.

Moderator : Thank you. The next question is from the l ine of Prateek Kumar from Jefferies Group. Please go ahead.

Prateek Kumar : My first question is on your cash position. So you mentioned out of 60 billion drop in cash position, 33 billion was towards expansion and related initiative. Penna related payment, is it done already on the balance sheet in 1st Quarter ?

Vinod Bahety : In terms of P enna , so like in June quarter, P enna is not on the cash outflow , but Ajay ji has also covered, a major part of the outgo is on account of the CAPEX s. And on top of it, you have a payment of dividend, which is for the year, was paid out , which is closer to say Rs. 600 odd crores. Then you have tax outgo and on top of it, the Tutico rin acquisition goes up to for Rs. 415 crores, which has actually gone over there. And what we have also seen that, while as I mentioned, that like in subdued quarter from our overall industry perspective, it also results into buildup of inventory and also buildup of receivables. And therefore, you have seen some uptake in the overall say working c

apital. But good part is a heavy outflow on the CAPEX actually is a positive thing given that the overall organic growth is now getting good momentum. In my initial answers to the questions , I highlig hted how now speedi ly things are moving on the green power, which will see a good outflow of almost like Rs. 4,500 Cr in next 12 months. So that is overall from an out flow perspective. As of now, we are sitting on closer to Rs. 18,300 cores of cash and cash equivalent on Ambuja console .

Prateek Kumar : And generally what is the expectation for full year CAPEX’s of around Rs. 3,500 crore outflow for?

Vinod Bahety : For full year CAPEX, Prateek, w e have a target of closer to Rs. 10,000 crores both the growth CAPEX as well as the maintenance CAPEX and after factoring in the Penna outflow and after factoring in the CAPEX outflow and with the overall operating cash flows, our expected end year cash and cash equivalent will be closer to Rs. 10,000 odd crores. And as I mentioned, that this will actually, after the outflow for the P enna and the CAPEX, so there will be still a healthy cash and cash equivalent of closer to Rs. 10,000 crores.

Moderator : Thank you. The next question is from the line of Rahul Gupta from Morgan Stanley. Please go ahead.

Rahul Gupta : Couple of questions. So just taking the previous participants' question forward, so we saw around 20 billion sequential decline in cash position for ACC as well , so is it more driven by a buildup of inventor y and higher working capital outgo ? Can you just please help us give breakdown of this Rs. 20 billion ?

Vinod Bahety : Same again, like both ACC and A mbuja , and for Sanghi as well , on a consolidated when I am highlighted, the factors are the same, more or less. Even in ACC, we have seen a good buildup on CAPEX as well as of course, on the working capital as well, and dividend and tax. These are like key component, which also reflects for ACC. It reflects more on the CAPEX part for Sang hi,

and also more on the CAPEX part for Ambuja as well as the working capital. So th ese are the key factors, which actually have seen the outflow.

Rahul Gupta : No, I understand that. So the reason I asked this question is, we are not seeing any material CAPEX plan for ACC at least in the near term. So what specifically is driving this large Rs. 2,000 crores ?

Ajay Kapur : Earlier we had highlighted ACC is building up a n office building in Ahmedabad and we are also putting up an office in Delhi. So that is like one CAPEX is coming in the books of ACC and on top of it, some of the investments w hen we acquired the Rajpura unit and when we also are modernizing the Wadi unit, you will see line items there in terms of the CAPEXs . So in September, when you will actually see the balance sheet of ACC, you will actually be able to see those numbers.

Rahul Gupta : My second question is more on your strategy. We have ACC as a listed subsidiary, we have Sanghi as a listed subsidiary and now Pen na would come under Ambuja as well , so can you just help us understand what the management strategy is from here on with respect to consolidating everything into one entity? How should we look at all these companies going from here?

Ajay Kapur : So as far as we had some subsidiaries, not subsidi aries, sister concern in the group that we already rolled a plan to merger with Adani Cementation and Adani Industries. It basically has limestone leases in Gujarat. It has a cement grinding unit and a land parcel for a jetty in Mumbai, Raigarh a nd it also has a grinding unit of Dahej and also an expansion going on at the same. So that is Phase 1 that cleans up and brings it i nto one pocket. As far as Penna is concerned, it is acquired through Am buja and at the end of the completion it will become a wholly owned subsidiary of Ambuja. It won't be

a listed entity. So to that extent, we have to deal with it differently. Today, we don't have a mandate to speak about that since it is currently under acquisition. As far as Ambuja and ACC are concerned, I have repeated time and again that as of now, we run our cement business as one management organization. All the advantages, synergies, we are driving through the MSA and MSA has now reached a level where we are far higher than what we were two years back. And I am very happy that teams are working together , one procurement, one sales, one operations, one finance, one digital, so on and so forth. So I think to that extent, and yet we have brands in the market which are separate. As of now, we have no such plans. Whenever we have something to announce, we will certainly come out and talk about it.

Rahul Gupta : So just to understand this clearly, so right now the company does not have any plan to take ACC and/or Sanghi private and the compan y will have three different listed companies as of now and we don't have any clarity on that right now ?

Vinod Bahety : No, absolutely. As Ajay ji highlighted, when the clarity emerges, it will be also informed to you. So obviously, when things fructify , you are the first person to be informed, as we assured. I think we will just move on this point now and at the right, when things move, we will inform the markets.

Moderator : Thank you. The next question is from the line of Pulkit Pathani from Goldman Sachs. Please go ahead.

Pulkit Pathani : Sir, my first question is on capital allocation. Given the fact that you have a stated policy that your growth is going to be either internal accrual funded, there will be no debt involved, the fact that we are putting in quite a large sum of money behind these solar power plants, and the fact that we are talking about the industry also growing quite meaningfully, and I am sure we are going to want to match up with that market share , why is it that the focus is to install a green power when you can actually get it from multiple sources including our group companies? So just wanted to understand what is the thought behind putting so much money in renewable power when we can actually buy it from outside? That is question number one ?

Ajay Kapur : Pulkit , very good question. When we took over the business and we laid out a certain roadmap, one of the strategic lever s, see cement is one of the highest CO2 emitters. On one end we have 2050 zero -net target , 2030 we have a target to reduce our CO2 emissions , I think for the entire cement business to about sub 400 or around 400. We have to mitigate those as part of our ESG responsibility. Globally in Europe and all , there is carbon tax, zero tax, it is not there today, but someday it can also come. So we have to be very aware that as a responsible company, we do things which are not only environment c ompliant, but also cost effective. With this strategy and with this investment of 6,000 crores, which my colleague just explained, we are going to also get a benefit of close to Rs. 100 pe r ton on the cost of production thereby improving the EBITDA and thereby improving my performance. Now as far as our expansion CAPEX and growth CAPEX is concerned, the company over a period of time targets reduction of cost by about 550. Green is about Rs. 100 of that 550. There are other initiatives also which includes waste heat recovery which I spoke in my opening. We are already hitting by the end of this year 180 which we started was only 40 and our end state would be more closer to 300 by the time we hit FY28 on waste heat alone. So it is not just the solar we are also working on. Solar is something which pays by itself. The return on investment is sharper, improves the performance and then on an average, the run rate at which we estimate we are going t

o deliver our EBITDA and bottomline
at the same time, the cash burn we will have for our new expansion , we believe over the next 5 years, we would have adequate cash this year after acquiring 14 million of assets, and building another 10 million, 24 million, we would still have a cash left of about Rs. 10,000-Rs. 1 1,000 crores because next year we will also be adding from our operating and thereby we still have a healthy cash flow as we move around. So we have done that math, Pulkit, and it makes perfect sense for us that to turn green, to turn lowest cost, and I think to turn lowest cost is the only license to expand your capacity and we want to deliver on both accounts.
Pulkit Pathani : Sir, my second question is , we have done about Rs. 800-Rs. 810 EBITDA per ton this quarter and bas ed on the target we have to get 3,650 cost. We are looking at about Rs. 800 EBITDA per ton improvement from here on. Any sense on whether this is based on some assumption on pricing because I think while you are doing a lot on cost, I think pricing is something that has been disappointing in general. So I am just trying to get to ask which could look a little steeper based on where the industry stands as we speak ?

Ajay Kapur : So clearly , you picked up the right question. What has happened is, prices today, for most of the companies have fallen anywhere between 5% and 6% and the same has been the trend for us as well. So for this quarter the price has fallen more like Rs. 370-Rs. 3 80 a ton versus that EBITDA has fallen by 200. So part of it we have mitigated through volume and cost and part of it is directly reflected in the EBITDA decline. Now , this price is the lowest price I believe in the last 36 months in most of the markets especially in some of the markets where there is extra capacity. I believe going forward the trend will change again after Diwali which happens every year because right now we are in monsoon and then we should again go back to the normal pricing. Our estimate of 550 cost is independent of price because cost is something that is in my hand, price is something which is more discovered in the marketplace. Like you have seen in this quarter it has taken a beating. It has also taken a beating becaus e of tepid demand which I mentioned largely on account of elections and early monsoon.
Moderator : Thank you. The next question is from the line of Ashish Jain from M acquarie . Please go ahead.
Ashish Jain : Sir, on this Rs. 550 cost savings that we have been talking about, how much of it is only there? Is it possible to quantify that?
Ajay Kapur : So Ashish, when we started the journey way back in September, our cost was more like Rs. 4,800 odd, which was brought down in the first year to Rs. 4,400. And currently as you can see, we were still at Rs. 4,400 odd. So I think some part of it has already come in, but some part of it is currently projects under play. So what is under play is full utilization of our waste heat recovery and so the number was September we were at Rs. 4,844, FY23 we were at Rs. 4,740 and FY24 we were at Rs. 4,184. So from that Rs. 4184 we are targeting Rs. 530. It will come from basically freight, it will come from power and fuel, it will come from raw material, and it will also come from optimizing our other fixed costs and other expenses. So I think that i s the journey. You have the numbers with you all the 3 years.
Ashish Jain : Just two clarifications on that. One, earlier in the call, did you say that the secondary lead distance we plan to reduce by 100 kilometers?
Ajay Kapur : Yes, I said that , but that will happen by FY2 8-29 when I have a full play of 140 million and also, when we started, we were at about 34 units, 35 locations. We will end this year by 50 plus locations. As the number of locations increase, especially the grinding

and you ship your clinker
by railway wagons, some of which are owned by us, thereby giving us also advantage on on-time service and also savings because of this initiative. We then distribute cement at a radius of about 100 kilometers and that is how this number was calculated and we are very much tracking that. Plus the sea transportation, which we will enter, this will really increase us. And this is for the primary, not for the secondary, p rimary lead, I am saying will get reduced.

Moderator : Thank you. The next question is from the line of S umangal from Kotak Securities. Please go ahead.

Sumangal : First question is on the volume growth. So if you look at a growth around 6.6% at console level, it is still much lower than the peers who have reported could be the case of higher utilization. So just want to understand by when do we expect these losses to kind of reverse given the capacity expansion is more back -ended in FY25, should we expect markets again starting from 26 only?

Ajay Kapur : Sumangal, last quarter, if you saw, we had a 17% growth in volume, which I think was pretty much in line or better than the industry. In this quarter, we had two markets where we suffered volume losses. You will also find from our investor deck that we have loaded because we give now break up even region -wide. Basically, East region and South region is the two areas where we were losing out on volume growth. We gained market in North, we maintained market in center, and we gained market share in West. In the East and South, we had a little bit of a capacity constraint this quarter. As I mentioned, there was one unscheduled shutdown and therefore, even though utilization was higher in East, we are still not able to recover fully. So I believe this should get corrected from the current quarter.

Sumangal : And just one clarification. This office building CAPEX , can you share details? What is the exact amount and is it being shared by the group companies, some details on this ?

Vinod Bahety : No, so like, we are constructing a full -fledged cement house in Ahmedabad and this will be almost closer to Rs. 600 to Rs. 700 crores and another office which we are constructing as a regional office is in Delhi and that would also stand below Rs. 500 odd crores. So together , let us say about Rs. 1,000 odd crores will be the two buildings coming up both in Ahmedabad and Delhi.

Moderator : Thank you. Next question is from the line of Prateek Maheshwari from HSB C. Please go ahead.

Prateek Maheshwari : Sir, first question I had on the prices. So sir, if I look at the two quarters, cement prices or your elevation size is down about 11%. So my question was, sir, now in the quarters ahead, you will be looki ng to ramp up on your Sanghi Industries' Asset and also on the Penna. So wou ld you see that with ramp up of such asset, the prices could also further see some pressure or are you seeing the bottom is there now in this price ?

Ajay Kapur : So Prat eek, from my perspective, I think our prices were down about 5 %-6%, not 11 %. We can separately connect and see where it is coming from. That is what we have reported and that is what it is. Prices today, as I mentioned, for all companies you have seen sequential decline. It is also, as I said, largely because of this year we had elections and four multiple phases. So the entire month we saw challenges on that. Prices generally tend to recover after the monsoon season. So I believe post -monsoon , like normal trend, prices should follow the normal trajectory because demand supply tends to match more in the quarters of December and March. And as I mentioned, in the budget, there are very good initiatives which should also help us gi ve that extra respite of demand which should also help improve market sentiments.

Prateek Maheshwari :

Sir actually, I meant from the December quarter to June quarter, the prices are falling by that much ?

Ajay Kapur : I was looking at last year's Y-o-Y, it has gone about 2%-2.5% and Y-o-Y has gone about 6%-7%. Ther e is a 6.5% decline in prices sequentially.

Prateek Maheshwari : Sir, I wanted to check about again the comment on the c ost front , right , so 3,650 of operating cost target by FY28. I think the ask now has become much higher about 800 per ton as well, right. And while you have given us across these segments have given us what is the potential of reduction? This again, sir, on that part, just wanted to understand, sir, is this target of 3,650 regardless of the inflation that we see because everywhere any which ways we are seeing for the last 7-8 years , we have seen 1%-2% o f inflation and that would itself make this number much higher versus 3 ,650. So just wanted to understand is there a margin of 50 or this is at just on the current prices and the inflation would play its role?

Ajay Kapur : So Prateek basically, a s I said, I will repeat again four numbers , 4,844 was the cost in September 22, 4,740 was the cost in 23 , 4,184 was the cost in FY24. From the 4 ,184 cost, we want to achieve at least Rs. 500-Rs. 550 deduction. We are firmly on track. Yes, this is the way things stand today. All other costs we are very clear. It is the energy cost which generally gets adjusted because today coal is, there is an index which gets adjusted every few years. If the index gets adjusted, this cost gets adjusted , but our target is to get to this cost. But if there is a general inflation, it will also still give me relative benefit of my own number versus this number. So I think net-net, it will directly show in the EBITDA .

Vinod Bahety : But there are also some basically other off -fitting items Prateek , like this number which we had given was pre Penna in fact, right now Penna with all the logistic strength , I am not even right now factoring in , so some of this, for example, when you say inflation and then some of the other measures which will offset, on an overall basis, I think it is what we have considered that we should achieve 3,650.

Moderator : Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Deepak Balwani for closing comments.

Deepak Balwani : So thank you for your time. I hope most of the questions have been answered. If you have any unresolved queries, please contact us . We look forward to the next quarterly call before Diwali. Thank you Nomura for organizing this. Thank you.

Moderator : Thank you. On behalf of Ambuja Cement, t hat concludes this conference. Thank you for joining us and you may now d isconnect your lines.

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Note: This transcript has been edited to improve readability

Call: Nov 2024

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CIN: L26940GJ1936PLC149771

4th November 2024

To

National Stock Exchange of India Limited

Scrip Code: ACC BSE Limited

Scrip Code: 500410

Sub: Transcript of Ea rning Call pertaining to the Unaudited Financial Results of the Company for the Quarter and Half year ended 30th September 2024 .

Dear Sir/ Madam,
In continuation of our letter dated 16
th October , 2024 regarding Analyst /
Institutional call scheduled on 2 8th October 2024, the transcript of the earn ings conference call on the Una udited Financial Results (Standalone & Consolidated) for the quarter and half year ended 30th September 2024 is uploaded on the website of the Company at www.acclimited.com .

The Web link to access above transcript is as under - Investor Presentations | ACC Limited | India's Most Preferred Brand .

The said transcript is also attached.

Kindly put the above on your records.
Thanking You,
Yours Faithfully,
For ACC Limited

Manish Mistry
Company Secretary & Compliance Officer

Encl: as above

Ambuja Cements , ACC and Sanghi Industries Limited
Q2 FY '25 Earnings Conference Call
October 28, 202 4

MANAGEMENT

MR. AJAY KAPUR
CHIEF EXECUTIVE OFFICER MR. VINOD BAHETY
CHIEF FINANCIAL OFFICER
MR. DEEPAK BALWANI – HEAD INVESTOR RELATIONS
MODERATOR
MR. SANJEEV KUMAR SINGH – MOTILAL OSWAL

Moderator: Ladies and gentlemen, good day, and welcome to Ambuja Cements Limited Q2 FY '25 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjeev Kumar Singh from Motilal Oswal Financial Services Limited. Thank you, and over to you, sir.

Sanjeev Kumar Singh : Thank you. Good afternoon, everyone, and thank you for joining the call. Without much delay, I will transfer the call to Mr. Deepak Balwani, Head of Investor Relations. Mr. Deepak, over to you.

Deepak Balwani : Yes. Thank you, Sanjeev. Wishing you all a very happy and a prosperous Diwali. It is my pleasure to welcome you all to Ambuja's Second Quarter FY '25 Earnings Call. Ambuja Cements Limited is one of the India's leading cement companies and a member of the d iversified Adani Group, the largest and the fastest -growing portfolio of diversified, sustainable businesses. Our financial results, investor presentation and press release are now available on the company website and stock exchanges.

Joining us on this call are Mr. Ajay Kapur, Chief Executive Officer; and Mr. Vinod Bahety, Chief Financial Officer. Now let me invite Mr. Ajay Kapur to share his insightful perspective on the quarterly results. Over to you, Mr. Ajay.

Ajay Kapur : Thank you, Deepak. Good afternoon to all of you. I extend a warm welcome to each of you for joining us in our quarter 2 and H1 FY '25 Earnings Call of Adani Group's cement business. We continue to strengthen our position as a market leader in the cement in dustry.

Adani Cement is becoming stronger over time with an intense commitment towards capacity expansion to both organic and inorganic groups, along with excellence in operational efficiency, ESG and safety parameters. Adani Cement market share is about 15% with an internal target of 20% by FY '28.

To begin with, I would like to share some of the high -level highlights before I dive into specifics. Ambuja enters into a binding agreement to acquire 46.8% stake in Orient Cements Limited. The acquisition complements existing cement footprint, reducing ov erall lead distance and logistics costs and improving market share in core markets. Post successful completion of this transaction, our capacity will increase to 97.4 million tons, and the acquisition will be met through internal accruals.

We continue to remain debt -free. Our first phase of 200 -megawatt solar power project at Khavda in Gujarat has been charged. 70 million tons of new limestone reserves have been secured in quarter 2 FY '25, 4-million -ton clinkering and 6.4 million tons cement capacity is expected to commence by quarter 4 FY '25, taking the total capacity to 100 -plus million tons per annum.

The consolidated quarterly Y -o-Y performance. We achieved a revenue of INR 7,516 crores, driven by strong focus on our micro market management strategy, expansion of our dealer networks, blended cement at 84%, increase in premium products as a percentage of trade sales by 300 bps up to 26%. On the operational cost for the quarter , it was INR4,497 per ton, showing a decline of 4%.

This is driven by a 10% decline in energy costs, owing to better fuel management and strong focus on green power. Kiln fuel costs reduced by 13% to INR 1.59 per 1,000 kCal from INR 1.82 last year. The transportation cost declined by 7% at INR 1,282 per ton on account of footprint optimizatio

n.

Secondary lead distance reduced by 7 kilometers to 47 kilometers. The direct dispatch to customers increased by 600 bps to 55%. With the improvements mentioned on the cost front, EBITDA stood at INR 1,111 crores at a margin of 14.8% and EBITDA per ton of INR 780. As of 30th September, the consolidated cash and cash equivalents stood at INR10,135 crores. During H1, approximately INR 14,700 crores has been utilized, out of which INR 12,350 crores towards organic and inorganic growth, namely Tuticorin grinding unit, Penna acquisition and ongoing capex programs, besides dividend outflow of INR 555 crores and the balance towards working capital, which we had higher receivables, higher inventory, lower payable, income tax payout, etcetera.

The consolidated half yearly Y -o-Y performance, the revenue stood at INR 15,828 crores, operational cost at INR 4,467 per ton. EBITDA stood at INR 2,391 crores at a margin of 15.1% and EBITDA per ton at INR795. In the best interest of time, I will not discuss the standalone financial performance of the listed companies separately as they are available on the stock exchanges.

Now I will share with you the progress we have made on our announced long -term strategic plan. As we plan to expand our cement capacity, 140 million tons by FY '28, we are pacing well to achieve the stated target. This has also resulted into higher cash outgo as informed above. With the acquisition of Orient Cement, our operating cement capacity will go up to 97 million tons post completion of the transaction.

We are on course to commission our 4 million tons clinker unit in Bhatapara in Chhattisgarh and the associated grinding units in Sankrail and Farakka in West Bengal, Sindri in Jharkhand by the end of this financial year. The grinding unit of Salai Banwa in Uttar Pradesh will be commissioned in quarter 1 of FY '26 and brownfield expansion of Bathinda grinding unit in Punjab and Marwar grinding unit in Rajasthan, Kalamboli unit expansion in Maharashtra, Dahej grinding unit expansion in Gujarat, Jodhpur Penna grinding unit and clinker unit, Krishnapatnam grinding unit to be commissioned by quarter 3 FY '26.

With commissioning of these projects, we shall be reaching cement capacity of 115 million tons by quarter 3 FY '26. Further clinker unit of 4 million ton of Maratha in Maharashtra and grinding unit at Warisaliganj in Bihar are also expected to be commissioned by the end of FY '26, enabling us to reach 118 million tons capacity by end of next financial year. We have also identified 13

additional grinding unit projects for which land acquisition and statutory approvals are under progress, which shall enable us to reach 140 million tons by FY '28.

For the new facilities of 4 million tons clinker line at Bhatapara, 90% of the civil work is now complete and major equipment has been received at the site. Expected completion is quarter 4 FY '25. For its corresponding grinding units in Sankrail and Farakka in Bengal, civil work of 88% and 97%, respectively, have been completed and major equipment has been received at site. Expected completion of these units is by quarter 4 FY '25.

For the new facility of 4 million tons clinker line at Maratha in Chandrapur, contract has been awarded on EPC vendor. 59% of major equipment ordering done by EPC partners, project execution work started, expected completion by quarter 3 FY '26. These Kiln lines will have 42 -megawatt of wast e heat recovery and provision for utilizing 30% alternate fuels.

For the new facility of 3 million tons clinker line in Jodhpur of Penna, 70% civil work and 60% of major equipment ordering done, expected completion by quarter 3 FY '26. For new facilities of 2.4 million ton grinding unit at Salai Banwa, Utt ar Pradesh, 26% civil work is now complete, and delivery of major equipment commenced a

t site. Expected completion by quarter 1 FY '26.

Major equipment ordering for roller press at Bhatinda grinding units, fly ash grinding unit and blending system at Kalamboli and grinding unit at Dahej has been completed and all these projects are under execution. Contract awarded for grinding unit at Mar war Mundwa and Warisaliganj to EPC vendor, and both the projects are now under execution.

Now I will share some of the key initiatives being undertaking for becoming a cost leader in the cement sector. Securing major raw materials at cost -competitive prices and efficiency and productivity improvement capex will further help in optimizing by 8% to 10%. First, let me discuss the steps we have taken to lower our energy costs.

Our wastage recovery capacity at the time of takeover was 40 megawatts, which we are now targeting to increase to 218 megawatts by March '25. Currently, the WH RS capacity is 196 megawatts. We have earlier announced our investments in 1,000 megawatt of RE, which is expected to get commissioned by FY '26 and would ensure that 60% of our power requirement will be green power.

This would help in reducing the power cost by INR90 per ton by FY '28. First phase of 200 megawatt at Khavda in Gujarat have been charged. Over the next 2 quarters, this will reach full capacity. As previously explained to meet our requirements, we aim to have captive coal supplies. As a result, we are bidding for coal mines in the auctions being conducted by the government, a higher share of coal from our captive mines and opportunity to buy imported pet coke will further lower our own fuel costs .

Driven by better fuel management and structure initiatives undertaken, our power and fuel costs have decreased by 10% to INR1,276 per ton in quarter 2 FY '25 from INR1,425 per ton in quarter 2 FY '24. These initiatives include an increase in the share of AFR and Green Power. The share of AFR and fuel mix has improved to 9.5% from 7%. The share of Green Power and fuel mix has increased from 15.6% to 18.2%.

The second cost item is freight and forwarding. There are three focus areas for cost reduction here. Number one, reduction in lead distance, warehouse footprint optimization and railroad mix optimization. We are targeting to reduce the average primary road lead distance by about 100 kilometers. Primary lead distance i n the current quarter was in 271 versus 272, and secondary lead distance at 47 versus 54. This has been done with improvement in direct load dispatch by 600 basis points.

To further optimize our cost in logistics, we have ordered 11 GPWIS rakes , of which all 11 have been delivered and running in approved circuits. These rakes will enable cost -efficient clinker movement from the mother plants. In addition to these, we have also ordered 26 BCFC rakes for safe and cost -efficient transportation of fly ash from thermal power plants to our facilities. Of these 26 BCFC rakes , 3 rakes have been delivered and another 8 are expected to be delivered by March '25. Because of these initi atives, our logistics costs have been reduced by 7% to INR1,282 in quarter 2 FY '25 from INR1,377 in the same quarter last year.

To secure our limestone suppl ies in quarter 2 FY '25, we have won bids for another 2 new mines having reserves of 70 million ton s, 1 in Madhya Pradesh and 1 in Maharashtra. On ESG, we are committed to net -zero by 2050. Ambuja and ACC are the only 2 cements companies in India who are undergoing net -zero target validation by SBTi.

Ambuja is a leader in water stewardship and co -processing of plastic waste. Ambuja and ACC put together used more than 5 million tons of waste -derived resources in quarter 2 FY '25, embracing circular economy. The 2 companies created societal values for more than 4.7 million people by contributing to fields like health care, education,

employment, and sustainable
livelihoods.

The company won many awards and accolades for its responsible and sustainable business practices. On the global front, Ambuja has been the world's first cement company to join the alliance for industry decarbonation and initiative of International Renewabl e Energy Association, became a signatory to transitioning industrial cluster initiative of World Economic Forum and became a member of United Nations Global Compact.

Finally, looking at the industry outlook. I think strong infrastructure demand and ongoing needs from the housing and commercial sectors are anticipated to boost cement demand in H2 FY '25. The introduction of PMAY Urban Housing 2, with an allocation of INR11 lakh crores, along with government's continued focus on infrastructure development as the key to economic growth augurs well for cement sector.

Strategic investments in road, railways, along with urban and commercial amenities is poised to drive robust growth. We expect demand during FY 2025 to grow in the range of 4% to 5%. India's per capita cement consumption currently at 275 kg is still having a lot of headroom for growth, and I believe over the next 10 years can reach 1-billion -ton cement market.

In conclusion, as I mentioned earlier, on multiple occasions, Adani Cement will benefit from accelerated growth, lower costs, and group synergies, all of which will contribute to lead the

market and achieve sustainable performance in the near future. The pace of capex has increased, which will help to achieve targeted growth ahead of time.

With this, I now hand over to our CFO, Mr. Vinod Bahety.

Vinod Bahety: Yes. Thank you, Ajay ji. Good afternoon, friends. Season ’s greetings and festival greetings as well. Good to connect with you all again at a very important junction in our journey of growth, where Ambuja consol is expected to hit 100 million metric tons very soon. And by the end of FY '26, we should be reaching 118 million metric tons, very close to our target of 140 million tons, which is ahead of our target curve.

During the last 12 months, friends, we have successfully completed 3 important acquisitions: Sanghi, Penna, and the recently announced Orient apart from Asian and the grinding unit of Tuticorin of MyHomes . I will share more updates on the integration, which has gone very well.

Friends, you have often heard from us about our drive on the few major areas viz. Growth , Cost and ESG. Since September '22, when we took control, we have been constantly achieving new milestones across the se three important focus areas viz. Growth , Cost and ESG. Cement business has grew almost 50% in 2 years, largely driven by the inorganic growth, while organic is also going very well, and you have heard Ajay ji in terms of the progress made across the various projects, which will add capacities in months to come.

On the cost efficiency, in December '23, we laid out our clearly defined roadmap in terms of cost leadership to improve the margin, and we are well on this track. A good level of investment has been made for this cost optimization, which will start yieldin g us the results in coming quarters, whether it is green power, key logistics, WHRS, AFR, operational efficiencies , amongst others. Ajay ji already highlighted 200 megawatts of our 1,000 -megawatt plant that has already been lighted up, and we'll start gett ing the green power in November itself.

I'm very glad to highlight one important initiative, which we have been working on for the last 2 years, but now getting more prominence is digitization from manufacturing to logistics and sales. We are putting a comprehensive technology platform, which is expected to bring commendable difference in the way we are operating the business, and it will help further to bring improvement in productivity a

nd efficiency.

On the governance part, friends, again, happy to share that we have appointed Grant Thornton to do a detailed independent review of the RPTs and the entire framework around it. The report has been shared. Very satisfactory report, which has been shared wi th the statutory auditors, the audit committee, and the Board. And it only reinforces the systems and processes, which we have placed, and we have been highlighting to you from time -to-time.

In addition, if you remember, in March quarter, we had also used services of proxy advisory firm, IiAS , for the assessment of the governance area framework, and I'm glad to highlight that we scored a Good position in the overall band from them, which is 60 and above score. And this is what, for example, many of the leading corporates of India share this kind of scores. Ambuja has scored in that. We also won Golden Peacock Award from the Institute of Directors, a prestigious award in the field of ESG. We are the only cement company to have won this.

So this half year, very importantly, if you look at our balance sheet, you will see that we have done the purchase price allocation, PPA, for the acquired asset s, which is Sanghi , Asian and Tuticorin. Earlier in March, we had done on the provisional basis, but now this September, we have -finalized the PPA. And more importantly, also for Penna, we have done provision al one, which will get finalized for Q3. So I will answer specific questions around it, but this is like an important half year from that perspective.

Therefore, balance sheet, some of the numbers are not like -to-like comparable. However, on these two major factors of the balance sheet, which is cash and cash equivalent and net worth.

On cash and cash equivalent, I begun the half year -- 1st of April, I was holding INR16,000 crores of cash and cash equivalents. Then in April, the warrant s program gave another INR8,300 -odd crores. And then the operating cash flows, net of taxes, were close to INR 3,100 -odd crores. With this, gross amount was INR27,400 crores. And in terms of utilization, capex is almost INR5,000 crores. The investment, primarily in terms of Penna is INR7,800 crores. Dividend outgo was around INR560-odd crores, and then the changes in the NWC, net working capital close to INR4,000 -odd crores. Therefore, with all these inflows and outflows, if I look at the net figure, as of now, the cash and cash equivalent is closer to INR10,135 crores in Ambuja consol e.

On the net worth also, I'm glad to highlight that beginning of April '24, we were at INR50,843 crores. And I'm closing the half year at INR59,916 crores, which is a jump of almost INR9,073 crores in terms of net worth. Needless to highlight Ambuja remains debt -free, and we are in the highest bracket of all the ratings in terms of AAAs.

Further in the network, some of the analysts have been asking for tangible net worth , which is closer to INR43,000 crores, which means all my intangibles, goodwill, if I remove the net worth stands to INR43,000 crores, which is almost 73% of my overall net worth. So tangible net worth in 73%.

And this tangible net worth in simplified manner, it is represented by cash and cash equivalents of almost INR10,135 crores. PPE of almost INR29,000 crores and NWC of close to INR4,000 crores. So on net worth and cash and cash equivalent, I pre -empted the question. And with this, I would pass on the call again back to the coordinator, Mr. Sanjeev.

Sanjeev, over to you.

Moderator: Thank you very much. We will now begin the question -and-answer session. T he first question is from the line of Rahul Gupta from Morgan Stanley. Please go ahead.

Rahul Gupta : Yes, hi. Thank you for taking my question. I have couple of questions. First, on a console basis, volumes grew by around 9% year -on-year, and this is

on the back of industry struggling at around 1%, 2%. So can you give more color on what's happening on this? What drove such high growth? Similarly, on the pricing side, I understand a strong pricing was also a function of you gaining -- or the expansion of premium products.

But if I look at prices per bag, that has also not fallen a lot from INR249 to INR247. So any additional color on t his front would be very helpful? Thank you.

Ajay Kapur: Yes, Rahul, good question. Our volume growth is driven both by our current capacities and also the acquired capacities. As you know, we've been ramping up. Those capacities are helping us to fill up the voids which are there because we didn't have presence in some markets. Like, for example, Sanghi itself, if we take an example last year versus this year, there's a tremendous increase.
Some volume growth has also happened in B2B segment where, again, we are not having capacity, so they have been used to expand. And therefore, you've seen -- because of premium products and also because of a very structured marketing, we've been varied Y-o-Y, the drop is substantial. I mean you can see that. For 2 quarters, it's not so substantial.
Rahul Gupta : Yes. So just to understand this, you would have substantially gained market share on volume s within the quarter. So anything different that you are doing or was industry not that bad? How should we reiterate this 9% year -on-year growth?
Ajay Kapur: So Rahul, this also has -- this is , I think, the volume of CLC. This also includes clinker sales, which happens from Ambuja to its subsidiaries and otherwise. But even if you remove the clinker sales, I think the volume is still a healthy 7%. And as I mentioned, this is also a function of the acquisition of new assets that we have done.
Some of them are not wor king in the previous period or working at a lower utilization. And with Ambuja ACC brands, we've been able to increase it.
Rahul Gupta : Okay. And when can we get numbers for Penna -- Penna is not included in this quarter, right?
Ajay Kapur: Part of it is. So the number of very, very small quantity of Penna is there .
Vinod Bahety : Almost 45 days of operations of Penna, Rahul, is part of this quarter and half year.
Rahul Gupta : So can you give us numbers around that? What would be volumes, what kind of EBITDA that you have got from Penna because that will not be in the base, right?
Ajay Kapur: That will not be in the base. We can, offline, give it you. Or w e can connect and give it to you.
Vinod Bahety : But broadly, like in terms of volume, from a cement perspective, Penna has given almost 4.5 lakh. But more importantly, on the clinker, Penna is helping us a lot . And we are seeing a capacity of almost a 70% utilization for Penna in 45 days and -- which is also helping us to meet some of the requirements of our southern plants from clinker perspective. Ajay Ji already highlighted that our sales includes both cement plus clinker, right?
So on Penna, as part of our integration has went extremely very well. And within like a month or 2 months, we were able to operate at almost 70%, 75%. During our acquisition, we had given targets to hit 80%, 85% in, say, 3 years' time, but I see that we wi ll be able to achieve much before that.
Ajay Kapur: Yes. Cement volume for Penna woul d be in the range of 1 lakh to 2 .5 lakhs.
Rahul Gupta : Sorry. So earlier, what was this 450,000

Ajay Kapur: That was with clinker you see .
Rahul Gupta : That's including clinker?
Ajay Kapur: Yes, yes.
Rahul Gupta : And excluding cli nker, it would be around 150 .
Ajay Kapur: Around 1 lakh odd.
Rahul Gupta : Okay. So just my -- just a suggestion, I'm sure other participants would have simil

ar questions.
If you can help us more details around what kind of numbers were consolidated from Penna during the quarter, that will be very helpful, otherwise.
Vinod Bahety : Sure. Thank you. So we'll move to the next question please.
Moderator: Yes, sir. Thank you. T he next question is from the line of Navin Sahadeo from ICICI Securities Limited. Please go ahead.
Navin Sahadeo : Yes. Good afternoon. And thank you for the questions. Also congratulations on decent set of numbers. So I have 2 questions. First is, I just wanted to get a better sense of now the cash that we have, which is already mentioned, of course, at INR10,000 crores -odd. But from Penna perspective, also that -- the cash which is lined up for Orient assuming the open offer gets subscribed fully, so in that context, what kind of appetite do we still have from an acquisition perspective is what I would request some color on.
Are we open to doing further a similar size of Orient kind of an acquisition or here on, we could

be looking at more smaller side of acquisition? And how should one look at?
Ajay Kapur: So Navin, very good question. First of all, you'll appreciate both are very strategic acquisitions. And they are helping us both inimproving cost efficiencies, but also improving volume because these are 2 big drivers of value. Now I think we are currently focused on completing Penna. It's a very good asset, multiple tasks ahead of us, and Orient.
So I think our hands are quite full right now with these 2. Having said that, I also mentioned in the opening that we are building 3 kilns as part of our expansion, 2 which we had already started and 1 is part of the Penna . So about 11 million tons of clinker and 20 million, 22 million tons of cement is already underway.
So I think that with 10 million of Penna of 8.5 million of Orient, 18.5 million and add another 20 million. So I think we're already having a substantially low-cost new expansions happening. And I laid out the roadmap right up to 118 million. 118 million minus 140 million leaves only 22 million. So I think that also, as I mentioned, we have plan in place.
With all these consolidations, our balance sheet and also the strength of annual cash generation goes up. In spite of all this, at the group level, we remain healthy, cash positive . And I think generally, we don't comment on the future, so I think I'll leave it at that. Maybe that's for some other day, some of the time.

Vinod Bahety : And Navin, like in terms of net worth of almost INR60,000 crores and debt -free leaves enough opportunity for expansions on both organic and inorganic. So I will just rest myself here, but you can understand the strength the balance sheet has.
Navin Sahadeo : Okay. Helpful. Second question, I'll put it on Penna. If you can just walk a little bit further in detail here because you gave volumes, which is around 100 kt for cement, but you also said it was supporting significantly in terms of clinker to some of the southern plants. So from an incremental perspective, what kind of volumes, first of all, can we expect from Penna because that I'm assuming would be fairly stabilized as of now?
Or does it continue to support more clinker to other units? So I just wanted to understand the actual cement contribution that one can expect from Penna. And also what is the cash now that is yet to be paid? Because your presentation says about INR7,800 -odd crores is the amount allocated. The deal, as we understand, was INR10,400 crores. So the balance amount, how should be that looked as well?
Ajay Kapur: Yes, Navin. So what I'll do is I'll ask Vinod to address the cash part, but let me first address your question on Penna. We're very happy with the Penna ramping up. In fact, our clinker, all the kilns have operating at near 85%, 90% utilization levels. And we

are also doing some small
adjustments because the plants were not running earlier, but we are very happy that already they are producing almost at 80%, 85%. And hopefully, by the time we close this year, we'll be hitting 95%.
And obviously, that clinker is helping some of our grinding units in South, and that will play out. Parallelly, the demand and the sales teams are working. I'm confident in the next quarter when I come in front of you, the sales of Penna would also be quite he althy, and it's going in the right direction. I think we are more or less on track as far as sales is concerned. But for the right reasons, I cannot comment on what's happening this quarter, which I can only comment when I meet you for the results for the next quarter.
Vinod Bhai, could you just throw some light on the cash?
Vinod Bahety : Yes. So Navin, on the cash & the capex , if you remember, during announcement also, we said there are under construction assets. Krishnapatnam grinding unit which is increasing from 2 million to 4 million ton s and also the ongoing capex at the Jodhpur , the Marwar project of Penna. Both of them are progressing very well. And the remaining outgo will happen with part of the progressive milestones to be achieved. That is how it is planned, and which is very much a part of the overall transaction. So your observation is right.
Navin Sahadeo : Yes. To summarize, by end of '26, this entire INR 10,400 crores would have got c onsumed. We have paid about INR 7,800 -odd crores.
Vinod Bahety : Absolutely right. So I said , as per the current year, the milestones are laid out. Now if it is '26 or if it is little 3 months or 4 months here and there, but the progressive payment will be made once the seller achieves the targets.
Navin Sahadeo: Understood. Helpful. Thank you.

Moderator: Thank you. The next question is from the line of Raashi Chopra from Citigroup. Please go ahead.
Raashi Chopra : Thank you. Just -- I want to just come back to the volume question. If you were to exclude the acquisitions -- the volumes on the acquisition on a year -on-year basis, what is the growth o r what is the organic volume for 14.2 million?
Ajay Kapur : We would still be around 5%, 5.5%, Raashi.
Raashi Chopra : Just pure plain organic volume...
Ajay Kapur : Yes.
Raashi Chopra : Okay. On the...
Ajay Kapur : Actually, it's very difficult for us in future also to bre ak this up because as we use ACC and Ambuja two brands largely. And whatever we buy, we try and sell in these two brands because these are premium brands. It also help us in improving our market position. You've already seen in the pricing when we start selling in these brands, we do premium pricing. It gives us that extra leverage. So I think as far we are concerned, we'll continue to report the numbers the way we are.
Of course, if it's needed, we can certainly deep div e with you guys on more detail, b ut I think we will continue to -- because we'll keep buying and we'll also be building our new capacities. So it's difficult then to differentiate. And Penna, any case is a subsidiary of Ambuja. So it will anyway get subsumed 100% in Ambuja consol e.
Raashi Chopra : Right. Okay. Also on the pricing front after the quarter how have prices done?
Ajay Kapur : Beg your pardon.
Raashi Chopra : How about spot pricing versus the quarter, cement?
Ajay Kapur : So let m e comment more on the scenario on demand. I think demand is now opening up with the rains behind us, elections behind us. Diwali hopefully brings a lot of goodwill and good luc k. So I think demand has started opening up now in short. And I think in our guidance, we have said that we're expecting for the full year FY '25, 4% to 5% growth. You already know first half; the growth has been tepid. So obviously, we are looking at growth in t

he range of 8% to 9%
going forward.
And thereby will be average of around 4% to 5%. The early offshoots of demand, we are only seeing. The pre -Diwali demand has been good. Hopefully, this continues post Diwali as well. And I see no reason because the INR11 lakh growth program on infrastructure, all the other initiatives the government is driving this, there is a stable policy regime. And I think that because of elections and also heavy rains got disturbed in the first two quarters. I don't see any reason why it should not really bring that -- the spirit which we are seeing earlier also, except for these two quarters which are an aberration.
Raashi Chopra : So have you seen prices move up -- starting to move up?

Ajay Kapur : The pricing is a very tricky question. I think demand is good, things then settle down. And I don't want to get into this discussion for various reasons.
Raashi Chopra : Sure. So just one last question. On the cost reduct ion, INR 500 target that you had, how much more is remaining from here on?
Ajay Kapur : A lot more. We are on track. And again I laid out all the -- see end of the day INR500 or INR450 is a result of certain inputs. The initiatives multiplied by the saving per initiative. I have laid out and every time when I come before you guys, I clearly lay out what is the progress. So I very clearly detailed out on coal mining. I laid out on gr een power. I laid out on waste heat recovery, general efficiency programs, acquisition of new assets and optimizing it further, increasing capacity util ization, increasing productivity, doing more direct dispatches, improving our warehouse fo otprint, going for our own rakes , in future going for more ships for the Sanghi fleet. When you add all this together, the whole number of INR450, INR500 comes in place. We already reduced cost almost to INR 250 which was, of course, slightly higher I think when we acquired the businesses, but I believe we are very well on track. And every quarter, every year you will see this journey going towards that end -state objective to emerge one of the lowest cost saving producers in the business.
Vinod Bahety : So, Raashi, also like in my opening remarks, I highlighted that somewhere like in December '23, we had come up with this whole program of cost and it is just like almost about a year from there. And March '28 is what, for example, we had put our aspirations to achieve those numbers. So we are very well on that journey. And with every progressive quarter our investments have been made substantial.
And the results will start coming in, as I said, from the coming quarter itself from say December when we start getting green power to the sea logistics. For example, we are placing orders for the vessels to WHRS, which again investments have been committed and so on and so forth. I think that you will see it is not going to be backended , it will be like progressive with moving

quarters.
Raashi Chopra : That's fine. Thank you for detail. I just -- I think just to be more clear what I'm trying to ask you that how much o f the INR 500 has already happened? Is it INR100, is it INR150 or we still have like the entire INR 500 to go.
Vinod Bahety : I would say 25 %-odd has been achieved, 25% to 30%. But -- this is, again, yes as of now our assessme nt, but safe to assume say INR150 -odd has been achieved.
Raashi Chopra: Got it. Thank you.
Moderator: Thank you. The next question is from the line of Ashish Jain from Macquarie. Please go ahead.
Ashish Jain: Hello. Hi, s ir. Good afternoon. Sir my question is again pertaining to volumes. I know you have answered it. Just wanted to ask, it also includes the benefit of My Home this quarter?

Ajay Kapur : Yes. Tutic

orin is yes , but you understand Tuticorin is only a grinding unit. It needs my clinker. So it's basically -- I think it includes that also. Whatever we are paying and wherever we are investing capital, we have to make sure that the capital at charge is delivering its returns. And as you can see in our growth that our growth strategy is clearly in line with our stated objectives.
Ashish Jain: Sir, just to clarify, so you said Penna did 450,000, out of which 100,000 was cement, balance was clinker. Safe to assume large part of that clinker would have gone to Tuticorin?
Ajay Kapur : No. That is -- Penna clinker also goes to our own gri nding units which are there in South. And we would have done an equal amount of sales from Tuticorin also, just to answer that question. About 1 lakh comes from Tuticorin as well.
Ashish Jain: Got it, sir. That helps. Sir, secondly, in terms of the pricing, so while I can see Y -o-Y pricing is down and you alluded to that means most of your peers this quarter have reported a fairly weak pricing sequentially as well whereas our pricing has been resilient sequentially. So is it like mix impact? Have we sold more in specific regions or what has gone behind that a nd if you can just help to understand that as well?
Ajay A. Kapur : I think a couple of things. Number one, OPC sales slightly higher, OPC yields higher price per ton. So that is evident. Number two, as I mentioned, 6 percentage improvement in our premium products across the brands. And number three mix y ou rightly me ntioned. So I think we add all three together, we've been able to do a little better on price, b ut as I said year -on-year, it's still quite a harsh number because it's such a strong 9%, 10% decline. All the work you do on cost and of course someh ow gets into the lower slot more.
Ashish Jain: Right. Sir, lastly, just one question on capacity expansion. So last say two, three quarters we have done a phenomenal job in terms of the organic growth that we have achieved. But our end capacity target has largely remained unchanged while we have spoken about building a lot more capability in terms of limestone acquisition and va rious other project initiatives.
So should we think that post fiscal '28, we will remain in an accelerated expansion phase even let's say, from '28 to '31 or what kind of number should we think b ecause while you're adding capability, we're also acquiring a lot. I just want to understand how capacity could look, let's say, slightly away from '28 as well.
Ajay Kapur : So Ashish, we have been very consistent in our message of doubling our capacity from 67.5 million in September '22. That's the day when we had bought these companies, and our Chairman has given this in his first speech post-acquisi tion that we will double by '28. We remain committed to that target. Should there be a need to revise it in near future, still '28 is a little far away. We'll certainly come back to you. As of now, we are fully committed to make sure that number one we deliver on our p romise and cost.
Number two, we deliver on our promise on growth. And number three, we keep highest governance on ESG. And number four as of now we are debt -free, and we hope to remain debt - free as part of our expense. These are the four stated objectives. We remain steadfast on that. Whenever a good opportunity for acquisition has come, we have taken it. I guess that from the

past track you can more or less project how we have acted and how we have reacted to the changing context.
Ashish Jain: Right. Got it sir. Thank you so much and best of luck.
Moderator: Thank you. The next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi : Hi, sir. Good afternoon. C ongrats on good numbers. If you could mention this MSR despite higher share of nontra

de Q -on-Q, our MSR is positive while the industry wide we have seen 3% realization dip . And also in your capex, there is no mention on the Mundra project on a capex slide. So is there any delays? And also if you could discuss on Sanghi plant, we are seeing no capex progress and even volume ramp -up seems to be not as was earlier in when it w as acquired, the plan was that the ramp -up wou ld happen fast. So if you could share some detail on these, that would be great.

Ajay Kapur: So let me address your concern on capex. First, let me address your concern on price. As I mentioned, we have had a substantial decline Y -o-Y. Quarter -on-quarter, our premium product percentages have gone up; number two, I mentioned we moved some OPC sales in bulk in OPC, the prices are better there; number three, also the mix. So I think that's the reason on the quarter -to-quarter.

On your question on Sanghi, we had a very severe monsoon and impact of that was very severe in Mundra area. In fact, almost for 2 weeks, the plant was flooded. Post that, what we have done is we have 2 kilns there, 1 kiln is fully refurbished, restarted, a nd now it is running the new kiln, the line 2 kiln is now fully running at free capacity. The line 1 kiln is now under maintenance, and this undergoes the entire refurbishment. This was part of our planned strategy. And I believe in quarter 3 and quarter 4, we should start seeing Sanghi clinker production coming at almost near full production. And with that, we'll translate into cement as well.

For Sanghi, we also had to do some work on the channel. So we have finished that work. We are now starting our Marine expansion plan there. So that will also be part of this strategy.

Mundra, we stay on track, and I think we should be commissioning this pr oject somewhere in '26, '27. Again, Phase 1 for grinding unit has already started. Also, the clinker line we are expecting somewhere in '26, '27.

Rajesh Ravi: In Sanghi, what is the end plan 15 million ton which you are targeting, when would that be taken up?

Ajay Kapur: So Sanghi, second kiln, we'll announced in due course. As I speak to you, we are in the process of getting environmental approvals. We are in the process of also getting the jetty expansion, and we are also in the process of placing orders for ships, which are needed to transfer across the coast. We are also fortifying our position across the West South Coast with grinding units and/or bulk cement terminals.

And at some stage, Sanghi will stop, and Penna will take over through its BCTs from Krishnapa tnam onwards right up to Cochin . So I think that whole strategy piece has been worked

out. At some stage in future, you will hear from us in a much more detailed investor deck as well. But give us some time, we'll certainly share with you.

Rajesh Ravi: Just to highlight the MSA volumes is wrongly mentioned in the Q2 Q3 I think the breakeven number is just what has got printed against, if you share that MSA volumes...

Ajay Kapur: Okay. Thanks for bringing it up, our team will address that.

Moderator: Thank you. The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal : Hi, thank you for the opportunity. Most of my questions are answered. I just have one question on the cash flow. There's a sharp increase in other current assets and other current liabilities if you can -- or cash outflow because of these 2 items. If you can please highlight what costs asset items led to this increase?

Vinod Bahety: We also, Indrajit, in my opening remarks, again, when I highlighted, so there is an overall, say, utilization of closer to INR4,100 crores, which is part of the net working capital. And in the net working capital, there are various assets right from inventory to receivables. Ajay ji mentioned about in

creasing trend of the OPC sales.

And typically, as you know that this leads to increase in the receivables, then what we've also done is piled up a good level of inventory for coal, given that the prices of the pet coke has been substantially lower, and then we actually have used the oppo rtunity. As you speak, I'm holding almost 65 to 70 days of inventory of coal, and which will give me the benefit in time to come. So we have been opportunistic in terms of this a, the trend of sales; and b, in terms of building up the inventory. Primarily, these are the 2 factors which will see increase in the current assets, which would have gone up. And then on top of it, as I said , some of the factors are not apple -to-apple comparison because of the overall Purchase Price Allocation of Sanghi, Tuticorin and Asian, which has been finalized this quarter and also provisional numbers of Penna, which has gone into the balance sheet. Mo re specifics, I can off -line connect separately, but these are a few points you should look into it and then I can address separately.

Indrajit Agarwal : Sure, sir. I'll connect with you separately because the numbers I'm looking at in the consol cash flow, other assets, cash outflow INR2,100 crores and other liabilities of INR800 crores.

Vinod Bahety: Broadly in line with what I told initially, like when I say that opening of INR16,000 crores to closing of INR10,135 crores, I broadly highlighted the major inflows and the major outflows

leading it to the net case of INR10,135 crores in the overall consol level.
Indrajit Agarwal : No, that's helpful. Second, while our realizations have been largely flat quarter -over-quarter, if you can give us some broad regional trend for the quarter gone by itself? Like where do you think that prices have declined the most and where you have had l ike more resilient place.
Ajay Kapur: I think that we can do more off -line, too much of a micro detailing at this call.
Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies India. Please go ahead.

Prateek Kumar : Yes. Good afternoon, Sir. My first question is on, we have this notes to account given in results. It says around INR 130 crores incentives at West Bengal unit. Is this a one -off which is benefiting also the revenues? Or is this like an incentive we will continue to accrue like in 60 days? How should we understand this?
Ajay Kapur: Yes, Prateek this is more business as usual because as part of our various incentives states, there are certain accruals. And this, we got a very good case in Supreme Court, got order in our favor and now it's for us to encash it through the state and we are working o n that. So we have a very strong case. And therefore, this is more of business income, which has been booked now, normal course of business.
Prateek Kumar : But ideally, we should address this in revenues to arrive at the realization, right, because this was not there in last quarter. Would that be right?
Vinod Bahety: So Prateek, Vinod here. For example, like I would look at it in a normal course of business. So that is how we would calculate. But it all depends on how you calculate. But as you highlighted, it is like very much part of the incentives, which we will be g etting from the West Bengal government, and it is very much part of the business income, operating income.
Prateek Kumar : Okay. And what are the full year incentives we are expected to get this year and mayb e next year, including this INR 138 crores?
Vinod Bahety: So I'm expecting around closer to INR80-odd crores for the another project. Let us say, together is closer to INR220 -odd crores, which I should be getting from this -- for th ese plant s in West Bengal from the government. By the wa y, we have already received INR 45-odd crores in the past.
Pr

ateek Kumar : No, sir, I was asking just cumulatively overall for the company, how much we are looking to get in FY '25 and as a run rate basis.
Vinod Bahety: Quarterly, my incentives ballpark is around INR250-odd crores. And therefore, if I extrapolate so for a year, we're close to around, I would say, INR600 crores to INR650-odd crores is my incentives which I put in a year.
Prateek Kumar : Okay. Out of INR650 crores, we have accrued INR138 crores specifically we had mentioned, that's why we have given a note around it...
Vinod Bahety: Yes, that is . Therefore, since there was a background to the -- this particular item with respect to one of the Supreme Court cases, therefore, this came into the notes from the auditors.
Prateek Kumar : Okay. My other question is regarding your Mundra limestone grinding plant. We have taken that out from our capacity schedule. Is the timeline for that like sort of push ed out to later year? Or how we are looking to that ?
Ajay Kapur: Which plant you're talking about, Mundra?
Prateek Kumar : There was this coal to PVC project for which you gave some advances for that project.

Ajay Kapur: It's very much in the plan. As I mentioned, it is mentioned in, I think, 2027 we should be commissioning that.
Prateek Kumar : Okay. And last question on organic capex this year. What is the targeted organic capex hits off M&A?
Ajay Kapur: I think we have already done close to INR3,500 -odd crores for the first half, well on track. Maybe there's small 10%, 20% slippage here and there. Some projects are 100%, some projects are sometimes because of permits, sometimes because of land. But I thin k by and large, we are trading quite well.
Prateek Kumar : Okay. Sir, what is the capex number, which we should expect for full year FY '25?
Vinod Bahety: So Prateek, our target when we started the year is closer to, say, INR7,000 -odd crores. And while we have crossed 50% milestone, another INR3,000 -3500 crores, is what we are expecting to end with the full financial year. So closer to INR7,000 – 8000 crores, is what we are expecting for the full year.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah : Thank you and congratulations on good set of numbers. Sir, first, is it possible to tell the MSA volume for second quarter?
Vinod Bahety: Very much, yes. Very much.
Ajay Kapur: So our total MSA volume would be around 3.7 million.
Shravan Shah : Okay. Got it. And second, just wanted to understand both in terms of the green share and whatever the expansions that we have, what I see is green share last time, we said that by FY '25, we will be looking at close to 31%, but now we are saying at 20 %-odd, so currently 18.2%. And for all the expansions, if I see many projects are getting delayed by 1 or 1 quarter. So any specific reason?
Ajay Kapur : See, as I mentioned earlier, there was my rains and this I mentioned more for Sanghi plant. We had a very heavy rainfall in Gujarat and Khavda area also, where our solar power is. As a result, the 200 megawatt, which should have happened 2 months back is now happening in this quarter. So that's one reason.
Second, at one plant, one of our wastage plants also got delayed for about 2 months. So I think other than that, there is no major delay. And as these projects start coming in, you will start seeing the same number which I promised albeit with the delay of maybe 1 or 2 months here and there.
Shravan Shah : Okay. And for the -- even for the grinding expansion, Sankrail, Farakka...
Ajay Kapur : Heavy capex project, so by and large, we are on track. Some projects, we are absolutely on track. Some projects, slight delays. Some projects, delays are more. But then on the other hand, we are

also doing M&A. So what is important is with the Penna addition of 10 million, ongoing another 4 million, with the Orient addition in the future of 8.5 million, straight away 4% market share uptake is there from M&A itself. So I think from the market perspective, it helps us.
Shravan Shah : And then sir, broadly, when we said that out of INR530-odd cost reduction, INR150 we have done. So if I broadly divide and do the math of close to INR120, INR125 per ton for next 3 years that we are looking at, so if someb ody looks at from currently INR 780-odd EBITDA per ton, it has to move up significantly what we were looking at close to INR1,400, INR 1,500 -odd. Then are we assuming a significant price hike to coming from now onwards?
Ajay Kapur : If you look at the price, current prices are one of the lowest ever. So I wouldn't make any future estimate on the current price. You'll have to make a much more analytical estimate, what is the right price and what should be the future price. Therefore, if you adjust for the normal price, and then if you look at our end state costs, whic h we are targeting about INR 3,800, I think then the numbers we're seeing is very much achievable.
Shravan Shah : Okay. And for ACC, is it possible for full year, how much capex we are looking at?
Ajay Kapur : How much?
Shravan Shah : For ACC, how much full year capex are you looking at?
Ajay Kapur : I don't think I have that number, but we can certainly give you...
Vinod Bahety : Yes. So I think maybe offline, we can connect, but if I have to just give you for ACC for t he balance around closer to INR 1,000 -odd crores is what we are expecting to incur and like some of them, for example, Salai Banwa and all are already under progress, and w e should be achieving this part of my 6 million tons of GU, it has to be up and running before March '25, so yes, ballpark within ACC, say, INR 1,000 -odd crores.
Shravan Shah : Okay, and all the best. Thank you.
Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka : Thanks for the opportunity. Sir, my question is around right -of-use assets and the cash flow statement, there is an entry called payment of principal portion of lease liabilities. So this number seems to be quite high for ACC. Could you just help understand what is this -- the item and wh y is it so high for ACC?
Vinod Bahety : Okay. While you are asking for ACC, I have the details on a consol basis, I will just try and attempt that and then maybe separately, we can speak about the ACC part. So the ROU asset, which is there, closer to INR 1,498 -odd crores, which is as of September '24. And when we started, it was closer to, I'd say, INR 1,100 -odd crores.
Typically, right of the use of assets would include some of your long -term assets, which are available to you for use. This would include the RMX assets, the office building if you take it on a long -term lease, some of the guest houses, which we've taken on long -term lease and on

top of it, some of the contracts on shipping or the rate which you enter into long -term leases. So that is like basically right of use of assets. So on an overall basis, for example, when I look at the overall, say, tangible block of asset, this is a smaller portion of the larger block. And I would say it is actually less than 3%, 4% of the overall, say, my block.
And we haven't seen any significant additions per se, in 6 month s, except as I said, around INR500-odd crores, which is for the factors which I mentioned. Again, please bear for me on the point that the numbers are not apple -to-apple comparison given, again, my point that there are 3 companies which have got finalized in terms of their purchase pric e allo

cation and the
fourth company which is Penna, which is provisional basis. Therefore, you will have to also put the lenses from that perspective.
ACC, maybe off -line, I can address your question. I don't have the details right now, but this was on a consol basis for Ambuja. So there will be a glimpse of ACC also in the same manner.
Amit Murarka : Sure. ACC, It's like looking like a big number, I mean, it's almost INR 700 crores for the first half. So that was what I want to understand and although...
Vinod Bahety : So I think all these intangible assets basically, which is where ROU also part of the sale, and you will have this generally, like in terms of any asset which is available on long -term usages, and I will give you some examples of ships to rates to office b uildings to guest houses and likewise, right? So yes.
Amit Murarka : Sure. Because, I also noted that in Ambuja consol e, that number is actually not different from ACC, which means some leases that have happened in Ambuja ACC as well, right?
Vinod Bahety : No, basically because the RMX items get -- which are primary for ACC, and therefore, in consol e, we'll find delta is marginal between ACC and Ambuja. And when we look at ACC as I said to you for RMX, especially for the mixers and the transit pumps, we have been little going our RMX business aggressively now, and this is more on the outsourcing model wherein you will take the transit mixers and the transit pumps on a long -term leases, which will become part of the ROUs.
Amit Murarka : Sure, sir. And just a second question on Penna sales volumes. So is there any sales being made in the Penna brand also or its all MSA with Ambuja ACC?
Vinod Bahety : Ajay ji, would have answered, but I'll just answer on this point. Like so for the interim period, given that there have been ongoing contracts and especially some of the government contract where Penna was listed as an approved brand, we have continued over there. But otherwise, primarily we have used Ambuja and ACC. Having said that, obviously, the brand remains with us, and we are free to use the requirements. But yes, for certain government contracts and some of the institutional sales, we have used Penna brand.
Amit Murarka : And the MSA will be cost plus 10% or because -- like how in Sanghi it was like -- is it similar MSA or it will be different?

Vinod Bahety : In case of Penna, this is similar to what we have applied for Sanghi, which is primarily cost plus 10% kind of formula. And I'm happy, by the way, that Sanghi, as I told you, has come into EBITDA positive, with this formula, otherwise, it was going through negative EBITDA for many years. And likewise, even Penna has seen a very good healthy utilization of capacities. When we acquired, it was less than 30% capacity utilization and which I'm very happy to highlight that now we are almost at 65%, 70% capacity utilization for Penna.
Amit Murarka : Thank you.
Moderator: Thank you. Ladies and gentlemen, we'll take this as a last question. I would now like to hand the conference over to the management for closing comments.
Deepak Balwani : I hope most of the questions have been answered. If you have any unresolved queries, please contact us. Thank you, Sanjeev, and the Motilal Oswal Securities team for organizing this call.
Thank you.
Sanjeev Kumar Singh : Thank you, everyone, again, on behalf of the management team, wishing you all a very, very happy and prosperous Diwali. Be safe and healthy and enjoy festivals. Thank you.
Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.
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Note: This transcript has been edited to improve readability
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Call: Feb 2025

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4th February, 2025
To
National Stock Exchange of India Limited
Scrip Code: ACC BSE Limited
Scrip Code: 500410
Sub: Transcript of Earning Call pertaining to the Unaudited Financial Results of the Company for the Quarter ended 31st December, 2024.
Dear Sir/ Madam,
In continuation of our letter dated 20th January, 2025 regarding Analyst / Institutional call scheduled on 29th January, 2025 the transcript of the earnings conference call on the Unaudited Financial Results (Standalone & Consolidated) for the quarter ended 31st December, 2024 is uploaded on the website of the Company at www.acclimited.com . The said transcript is also attached herewith.
The Web link to access above transcript is as under - Investor Presentations | ACC Limited | India's Most Preferred Brand
Kindly take the above on your record.
Thanking You,
Yours Faithfully,
For, ACC Limited
Bhavik Parikh
Company Secretary & Compliance Officer
Encl: as above

Ambuja Cements, ACC and Sanghi Industries Limited
Q3 FY '25 Earnings Conference Call
January 29, 2025

MANAGEMENT

MR. AJAY KAPUR
CHIEF EXECUTIVE OFFICER MR. VINOD BAHETY
CHIEF FINANCIAL OFFICER
MR. DEEPAK BALWANI – HEAD INVESTOR RELATIONS
MODERATOR
MR. PARVEZ QAZI – NUVAMA

Moderator: Ladies and gentlemen, good day, and welcome to the Ambuja Cements Limited Q3 FY '25 Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Parvez Qazi from Nuvama. Thank you, and over to you, sir.
Parvez Qazi: Thank you, Sagar. Good afternoon, everyone, and thank you for joining the call. Without much

delay, I will transfer the call to Mr. Deepak Balwani, Head of Investor Relations. Mr. Deepak, over to you.

Deepak Balwani: Yes. Thank you, Parvez. On behalf of Ambuja Cements, I extend a very warm welcome to all the participants on the third quarter FY '25 earnings call. Ambuja Cements Limited is one of the India's leading cement companies and a member of the diversified Adani Group, the largest and the fastest-growing portfolio of diversified sustainable businesses. Our financial results, investor presentation and press release are now available on stock exchanges and company website.

Before we begin the call, I would like to give a short disclaimer. This call may contain some of the forward-looking statements, which are completely based on our belief, opinion and expectation as of today. These statements are not a guarantee of our future performance and may involve unforeseen risks and uncertainties.

Joining us on this call are Mr. Ajay Kapur, Chief Executive Officer; and Mr. Vinod Bahety, Chief Financial Officer. Now let me invite Mr. Ajay Kapur to share his insightful perspective on the quarterly results. Over to you, Mr. Ajay.

Ajay Kapur: Thank you, Deepak. Good afternoon to all. I extend a warm welcome to each of you for joining us in our Q3 and 9 months FY '25 earnings call of Adani Group's cement business. We continue to strengthen our position as a market leader in the cement industry. Adani Cement is getting stronger over time, focused on growth both organic and inorganic, along with emphasis on operational excellence, ESG and safety parameters.

To begin with, I would like to share some of the highlights before diving into the specifics. 200-megawatt solar power, the project in Gujarat, Khavda, has been commissioned in Q3 FY '25. 631 million tons of new limestone reserves were secured by us in this quarter. With Orient acquisition at advanced stage, the total capacity by Q4 FY '25 to hit 104 million tons. We have commissioned 8 new ready-mix plants in Q3 FY '25 thereby reaching a milestone of 100 ready-mix plants.

The consolidated quarterly Y-o-Y performance, we achieved a revenue of INR 9,329 crores, driven by strong focus on micro market management strategy, expansion of dealer network, blended cements at 82%, increase in premium products as a percentage of trade sales volume by 400 bps to 26 percentage.

Operational costs for the quarter is at INR 4,618 per ton. This is driven by a 7% decline in energy cost owing to better fuel management and strong focus on green power. The kiln fuel costs reduced by 10% to INR1.66 from INR1.84 per 1,000 kilocal. The transportation costs declined by 6% at INR1,239 per ton on account of footprint optimization. Overall, lead distance reduced by 4 kilometers to 285 kilometers. Direct dispatch to customers increased by 700 bps to 57%.

With improvements mentioned on the cost front, EBITDA stood at INR1,712 crores at a margin of 18.4% and EBITDA per ton of INR1,038. As on December 31, the consolidated cash and cash equivalents stood at healthy INR8,755 crores.

The consolidated 9 months Y-o-Y performance, t

he revenue at INR25,156 crores, operational cost at INR4,520 per ton, EBITDA stood at INR4,103 crores and a margin of 16.3% and EBITDA per ton at INR881. In the best interest of time, I will not discuss the stand-alone financial performance of the listed companies separately as they are available on the stock exchanges.

Now I will share with you the progress we have made on our announced long-term strategic plan. As we plan to expand our cement capacity to 140 million tons by FY '28, we are pacing well to achieve the stated target. This has also resulted into higher cash outgo as informed above. With the acquisition of Orient Cement, our operating cement capacity will go up to 97 million tons post completion of the Orient transaction.

We are on course to commence -- commission our 4-million-ton clinker unit in Bhatapara in Chhattisgarh and associated grinding units of Sankrail, Farakka, both in West Bengal, and Sindri in Jharkhand by the end of this financial year. The grinding unit of Salai Banwa in Uttar Pradesh to be commissioned in Q1 FY '26. And the brownfield expansion of Bathinda grinding unit in Punjab, Marwar grinding unit in Rajasthan to be commissioned in Q2 FY '26.

The Kalamboli unit expansion in Maharashtra and Dahej grinding unit expansion in Gujarat, Jodhpur Penna grinding unit, Krishnapatnam grinding unit to be commissioned in Q3 of FY '26. Further clinker unit of 4 million tons at Maratha in Maharashtra and grinding unit at Warsaliganj in Bihar are also expected to be commissioned by the end of FY '26, enabling us to reach 118 million tons capacity.

We have also identified 14 additional grinding units for which land acquisitions and statutory approvals are under process, which shall enable us to hit 140 million tons by FY '28. For all the new facilities of 4-million-ton clinker line in Bhatapara, the overall project progress is at 78%.

All major equipment has been received at the site and erection is in progress. Expected completion is Q4 FY '25.
For its corresponding grinding units at Farakka and Sankrail in Bengal, the overall project progress is at 87% and 82%. Major equipment has been received at site and expected completion of these units in Q4 FY '25.
For the new facility of 4-million-ton clinker line at Maharashtra, Maratha, contract has been awarded to EPC vendor, 72% of major equipment ordering has been done by the EPC partner

and 34% civil work has been completed. We expect completion by Q3 FY '26. These Kiln lines will have 42-megawatt of waste heat recovery and provision for utilizing 30% AFR.
For the new 3-million-ton clinker line at Jodhpur, which is of Penna, 85% civil work has been completed and major equipment ordering done. We expect completion by Q3 FY '26. For new facilities of 2.4 million ton grinding unit at Salai Banwa in UP, 50% civil work has been completed, and 47% delivery of major equipment has been received at the site. We expect completion by Q1 FY '26.
Major equipment ordering for roller press at Bathinda grinding unit, fly ash grinding and blending system at Kalamboli and grinding unit at Dahej in Gujarat has been completed and all the 3 projects are under execution. Contracts awarded for grinding unit at Marwar Mundwa in Rajasthan and Warsaliganj in Bihar to EPC vendor, and both projects are also under active execution.
Now I shift my focus to share some of the key initiatives being undertaken for becoming a cost leader in the cement industry. Securing major raw material at cost competitive prices and efficiency and productivity improvement capex will help further reduce cost by 8% to 10%.
First, let me discuss the steps we have taken to lower our energy costs. Our waste heat recovery capacity at the time of takeover was 40 megawatts which we are now targeting to increase to 218 megawatts by March '25. Currently, the WHS capac

ity is at 197 megawatts. We had earlier
announced our investment in 1,000 megawatts RE, which is expected to get commissioned by FY '26. On this account, 200-megawatt solar power at Khavda in Gujarat has been commissioned in Q3.
Both WHRS and solar power would ensure that 60% of our power requirements are -- of the planned 140 million tons would be through green power. However, on clinkerisation, the share of green power will further rise to 83%. This would help in reducing the power cost by around INR100 per ton by FY '28.
As previously explained, to meet our requirements, we aim to have captive coal mines. As a result, we are bidding for coal mines in the auctions being conducted by the government. A higher share of coal from captive mines and the opportunity to buy imported pet coke will further lower our fuel cost.
Driven by better fuel management and structural initiatives, our power and fuel costs have decreased 7% to INR1,262 per ton in Q3 FY '25 from INR1,355 per ton in Q3 last year. These initiatives include better fuel mix and increase in share of green power. The share of green power in power mix has increased to 21.5% from 15.8%.
The second cost item is freight and forwarding. There are three focus areas for cost reduction here: reduction in lead distance, warehouse footprint optimization and rail road mix optimization. We are targeting to reduce the lead distance by about 100 kilometers. Primary lead distance in the current quarter is 265 versus 268 and secondary lead distance is 46 versus 53. This has been done by improvement in direct dispatch, which is up by 700 bps from 50% to 57% and our network optimization.

To further optimize our cost in logistics, we have ordered 11 GPWIS rakes, of which 11 have been delivered and running in approved circuit. These rakes will enable cost-efficient clinker movement from mother plants to the clinker grinding units.
In addition to these, we have also ordered 26 BCFC rakes for safe and cost-efficient transportation of fly ash from thermal power plants to our facilities. Of these 26 BCFC rakes, 5 rakes have been delivered and another 4 are expected to be delivered before March '25.
Because of these initiatives, our logistics costs have been reduced by 6% to INR1,239 per ton in Q3 FY '25 from INR1,322 per ton in Q3 FY '24. To secure our limestone supplies in Q3 FY '25, we have won bids for another 2 mines having reserves of 631 million tons, one in MP and one

in Karnataka.
In our ESG commitments, we are taking multipronged actions to meet our ambitious commitment to net zero by 2050. As a step closer to this goal, we recently partnered with Finland-based Coolbrook to implement its proprietary zero-carbon heating technology, cutting fossil fuel use in manufacturing.
To promote the circular economy, we used waste-derived resources, like fly ash, slag and waste gypsum to substitute mineral resources. We also use alternate fuels, such as municipal, industrial, agricultural and plastic wastes, to replace fossil fuels. In Q3, we used 4.8 million tons of waste-derived resources, which otherwise would have been dumped into the environment.
Water stewardship continues to be a focus area for our business. Our efforts on rainwater harvesting and recharge and other water conservation initiatives continue to keep the company multiple times water positive.
In the last quarter, the 2 companies created societal values for more than 4.75 million people by contributing to fields like health care, education, employment and sustainable livelihoods. The efforts and initiatives have resulted in improvement of ESG ratings (DJSI, CDP, Sustainalytics, MSCI). We continue to partner with global national agencies like UNGC, WEF, AFID, GCCA, BEE, etc., to further advance our journey towards sustainable and responsible business practices.
Coming on the

industry outlook. The improved consumption demand in housing and infrastructure segments and increased government spendings are poised to reverse the tepid 1.5% to 2% cement demand growth during H1 of FY '25. This demand is expected to grow by 4% to 5% in FY '25, meaning H2 should be much better than H1, further supported by pro infra and housing budget in the 2025.
Ambuja Cements is well poised to benefit from these trends. The anticipated rebound in demand supported by government initiatives is likely to enhance cement sector performance in the coming quarters. Ambuja Cements will continue to grow at a faster speed than the industry.
To conclude, as I mentioned earlier at multiple occasions, Adani Cement will benefit from accelerated growth, lower costs and group synergies, all of which will contribute to lead the market and achieve sustainable performance in the near future. The pace of capex has increased, which will help to achieve targeted growth ahead of time.

With this, now I hand over to our CFO, Vinod Bahety.
Vinod Bahety: Thank you, Ajay ji. Good afternoon, ladies and gentlemen. Good to connect with all of you at a very important junction in our journey of growth. During our earlier discussions and various presentations, we have been highlighting on the key areas of growth, cost leadership, ESG and stakeholder value creation. We continue to positively progress on this journey.
While the past 27 months since we acquired the Holcim stake, that was somewhere in September '22, the growth was fuelled with acquisitions. From March quarter onwards, you will find more and more growth coming from the organic side. Ajay ji has already given you synopsis of the various projects and the status. Details are further available on the Slide number 26 and 27 of the presentation, which has been uploaded. We should be hitting Century million tons, 100-plus million tons in March quarter and followed by going up to 118 million tons by end of FY '26, followed by 140 million tons to be achieved by 2028, which is a very clear visible plan.
The organic growth will not only add to the overall capacity but also help us increase our market share and foremost be great in terms of adding in our cost leadership journey since the new capacities, which is almost 45-50% of our current base, will be highly efficient in capex, opex, green power and railway infrastructure.
In December 2023, if you remember, we have indicated a cost reduction target of INR530 per ton, wherein we aspire to achieve and reach to INR3,650 per ton by FY '28. And we are going well on this route with investments being committed.
For example, we had announced 1,000 megawatts of RE power last year, and I'm glad to share, which we are going to discuss more in our Q&A, 200-megawatt has been up and running in December '24, and this will keep added more out of the 1,000 megawatts, with each passing quarter. And by June '26, we should be completing the entire plan of 1,000 megawatts.
I'm also excited to share our foundation work on digitization of the entire value chain from quarry to lorry, which has gone extremely well, which will bring more efficiency in operations and also become an important catalyst of our growth and EBITDA expansion.
Some of you must have already experienced the CNOC, what we say is the Cement Network Operating Centre set up in the headquarters in Ahmedabad, and we are adding more and more features to our digital platform with every passing day. I have said before, this century-old industry is getting younger and efficient by the day. I'm glad that Ambuja is making strides and leading on this important transition phase.

Our balance sheet is getting stronger by the quarter. I'm glad to share that we have achieved a net worth of almost INR63,000 crores, which was in April INR51,000 crores, so almost up by I

NR12,000 crores. And we remain nil debt and with the highest rating of AAA. Ambuja's tangible assets, most importantly, out of this net worth, the tangible assets are almost 75% of the net worth and in our press release also, we have highlighted 15% of this net worth is comprised of cash and cash equivalent.

Thus, while the industry is at an exciting time, Ambuja is at the cusp of growth and EBITDA margin expansion led by cost leadership and stronger balance sheet, which will be a key factor in the overall stakeholder value creation.

And with this, I would now pass on the call again back to the coordinator.

Moderator: Thank you very much. Our first question comes from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Yes. So just on the operating performance, frankly, like adjusted for incentives, it seems like quite a weak quarter operationally and in terms of EBITDA per ton, it's only INR537 per ton, if I just remove the onetime incentive in the numbers. So just wondering why the performance has dropped so much sequentially like it is lower realization as well as higher costs, so just wondering about the numbers here.

Ajay Kapur: Yes. So good question. So, if you see, we have done well on the volume growth. Overall, I think our volume has grown by 17%. However, as you know, we also have now volume of Penna and Sanghi in the overall consol volumes. So about 1.4 million tons is coming out of Sanghi and Penna.

And also, the cost structures of both the companies are currently under the phase where we are launching various initiatives to reduce cost. The capacity utilization also of these two entities is still sub-40%. So, I think some part of that cost is obviously now coming into the consol cost of Ambuja and ACC. Besides that, there were 4 big plants of Ambuja, and ACC, which were under shutdown during this phase.

And some of those plants, whether it was Wadi and Kymore for ACC, Maratha and Rabriyawas for Ambuja. Some of them were going in for retrofitting of coolers upgradation and 1 or 2 plants were for routine maintenance. So, I think as a result of that, there was more drawdown from the inventory. So, you also have inventory impact, and also about INR100-150 impact because of the newly acquired assets, which are currently under ramping-up phase.

My estimate is in the next financial year, both the assets should go up, I think Sanghi earlier and Penna because it's also in the market where it takes time to ramp up. But both of them should hit 70% plus utilization levels in the next financial year. And thereby, with our initiatives on costs that we have launched, I think we should start seeing this coming down. So, this is more of a one-off rather than a standard.

Vinod Bahety: A couple of points, Amit, so that it will also pre-empt for other questions as well. See, when we compare Y-on-Y, this is like first full-fledged quarter which will have Sanghi, Penna, Asian and Tuticorin assets. So, like if you compare, say, December '23 versus December '24, December '23, Sanghi was just consolidated for hardly 15-20 days of operation because in December’23, we achieved the closing of Sanghi.

And even for the September’24 quarter, Penna was only for partial period of the quarter, when we acquired in somewhere, 16th of August, it got effectively consolidated. So only 1.5 months was there for September’24 quarter. So, Q-on-Q or Y-on-Y, whatever you take, this is the first

quarter where all these 4 acquisitions, Sanghi, Penna, Asian and Tuticorin, are getting consolidated. Therefore -- you will compare it with this background as well.

Second point, while I don't understand like in terms of how people would look at it, but incentives are very much part and parcel of this

business. And with every investment which is being made is entitled for incentives. Even as we speak, for example, like as an Ambuja consol, we are sitting on a larger incentive bucket of almost INR4,500 crores to be received in due course.

And even the earlier incentives, which have been in arrears, which will be received. Therefore, if you see even September, there has been an income of incentive for the past period. And likewise, the good thing is that at least these cash flows are now coming back to the balance sheet, which were lying somewhere, the working capital was getting blocked.

So therefore, given the legacies of these companies, good thing is the business is able to resolve many of these cases because the next question will also come in terms of the direct taxation where we have also added some of the provisions back and on -- both on the direct tax and the indirect tax, lots of efforts are going on to basically set the disputes and resolve them and bring the money back into the balance sheet. So, incentives plays an extremely important role in the overall business.

Amit Murarka: And -- but realization is also down Q-o-Q. So, I was a bit surprised with that also because we know that there were price hikes in December, and January. I mean industry has seen improvement, but here both ACC and now even Ambuja has reported a Q-o-Q drop?

Ajay Kapur: So, as I mentioned, 1.4 million tons of sales in this quarter that we've reported is coming out of markets and also consolidated of performance of companies, which earlier were almost operating at 0% utilization in the base period. So south, Penna is almost 1 million tons. And the prices in south are more depressed. So that is also having an impact. The December price increases happened towards the mid of December, and you will see impact of that in the Q4.

Amit Murarka: Sure, sure. And just quickly, could you provide the MSA volume also in the quarter, both ACC, Ambuja?

Ajay Kapur: Sure. So, the MSA volumes for this quarter were total about 4.5 million tons overall, more or less equal for both the companies.

Moderator: The next question comes from the line of Navin Sahadeo from ICICI Securities.

Navin Sahadeo: So just to be a little more specific because on the -- if we exclude the incentives, I mean, you did explain that incentives are part and parcel. But if we just try to like exclude the incentive, significantly, there has been an increase in other expenses in particular. The variable cost per se is reasonably okay. But we are seeing significant increase in the other expenses.

Even the employee cost sequential increase is very much understandable. So, wanted to just understand how much of it could be one-off in nature here? Because sequentially, there is an increase of almost INR330 crores in that particular line item. So just wanted to get a sense, is

there any one-offs here? Or this is more like a maintenance run rate that we should see because we have periodic maintenance at other kilns also?

Vinod Bahety: Navin, good observation. And this also has the same reference to what I highlighted. When you compare again Y-on-Y, there is a sharp jump on other expenses on account of, a: because of consolidation of say, Penna, Sanghi and other assets here. And therefore, the fixed overheads of those companies will get consol here, number one.

Number two, there have been a higher consumption of stores and spares and on account of shutdown of some of the kilns, which also we had informed about the plant shutdowns and all. So, some of these kilns like Marwar, Rabriyawas, it has gone through. And especially like for Penna, just to keep it up and running, Ganeshpahad and Tandur also we incurred some of these efficiency investments.

And I'm so happy that the investments have started giving very good results because Penna kilns are opera

ting at very good capacities. And on top of it, if you see the volume growth 17%, that also has been on account of, say, a good level of, say, investment on the branding and marketing, which has seen a higher investment this quarter.

And with this market share, which has been sustained and captured more with these investments, I'm sure this will yield much more better expansion of EBITDA given that Sanghi, Penna, Tuticorin all will now start delivering sizable volumes with the foundation work which has been incurred for this quarter. I mean, it is a highly operating leverage business. So, like the investment which go in one quarter will start yielding sizable returns being an operating leverage concept in the coming quarters.

Navin Sahadeo: Yes, helpful. And second, just a question was on the MSA volume. Ajay ji did mention that total volumes we got from Sanghi and Penna together is about 1.4 million for the quarter. How much would be Sanghi out of that? I mean, if you could just break up.

Ajay Kapur: 0.4 million would be Sanghi and I think -- 0.5 million is Sanghi and 0.9 million is Penna.

Navin Sahadeo: Correct. So -- yes, yes, sorry, you did mention about that. So, Sanghi per se, I just observing some numbers because in Q4, March quarter, it had did almost 8 lakhs, and 0.4 million is very similar to what we saw in Q2 also. So is it still in the ramp-up phase because that's -- all said and done, it's a 6 million ton -- 6.6 million tons clinker and 6-million-ton cement. So, Is it still being highly underutilized? Are there challenges there of evacuation? How should one look at it?

Ajay Kapur: No. So, Navin, very good question. As I mentioned in the previous section, Sanghi has two kilns. We have already completely done cost optimization and shutdown optimization of one kiln.

Second kiln, as I speak to you, is currently shut down, and we are taking all major repairs and maintenance.
One of our power plants is also under shutdown and also being taken into full repairs and maintenance. The 37% is the Sanghi cement utilization for this quarter, which was 22% same quarter last year. And in the sequential previous quarter, it was 23%.

So, in the market, the growth is coming in, however, at a slightly lower pace. But I'm very confident that with all these repairs and maintenance, which was very much needed, I think by March end, these assets should start delivering almost 80%, 85% utilization. So, there is no issue on evacuation. There's purely issue on maintenance, and that's also some of the money which has gone in this quarter in our shutdown expenses.
And Penna, I like to mention what my colleague, Vinod, just mentioned, the clinker utilization of Penna is as high as 78% already. However, the cement utilization is sub-40%, which it takes time to ramp up because, mind you, both Sanghi and Penna, we have transited to Ambuja and ACC brands, which are obviously selling in category A versus the previous brands, which were selling in category B and C.
So obviously, that needs substantial investments in the market. We are also putting more troops on the ground, so that needs more hiring in the front-line sales and then brand and distribution investments.
Moderator: The next question comes from Ashish Jain from Macquarie.
Ashish Jain: Sir, firstly, on growth. So, if we look at the volumes of 16.5 million tons adjusted for Sanghi and Penna because I think they were not there in the base quarter, then the growth is much tepid at around only 6%, 7%. Is that how we should look at it? Or do you think there is something missing here?
Ajay Kapur : Ashish, thanks for asking that question. The way to look at it is the utilization of Ambuja and ACC, if I remove the others, is near 80%. Last year same quarter, it was 76%. So, we have -- the industry in the quarter 3, we believe should have grown aroun

d 5%. So, the traditional
volume that we have, where there is no new capacity, it has grown at about 7%, which is slightly higher than the industry growth. And wherever we are having new capacity, we have grown much more at 11%. So, I think that's a mix. It's a very logical mix.
Ashish Jain: Okay, okay. Sir, secondly, looking at the numbers, so I understand your point on consol numbers. But if I look at Ambuja standalone also, that also is showing a significant jump in costs both on a sequential basis and very flattish cost on a Y-o-Y basis. So other expenses bit, I think, is what you explained in terms of repair and maintenance and all which includes Ambuja facility as well. But apart from that also looks like costs have inched higher on both sequential and Y-o-Y basis. Can you...
Ajay Kapur: So, what happens, Ashish, this I think I'll address for others also who'll come in the queue. I mentioned this last time also. Increasingly, we have to look at Ambuja as a consol balance sheet because when Ambuja does its business, it looks at the -- we cannot look at some of parts. We look at the whole.
And at a whole level, we try and optimize each area, for example, Penna assets immediately in the first quarter of -- second quarter, we have taken it to 78%. Whereas the Sanghi, we have not been able to take because of some plant-related issues. So, I would rather focus on overall Ambuja cost because that's the way I look at the balance sheet now.

Vinod Bahety: Yes, just to like to take that clue also, Ashish, like as also we have disclosed in -- let's go to Slide number 17 of the presentation. You will see that the raw material cost has gone up on account of purchase clinker. Now between the companies, Ambuja standalone says purchase, but on a consol it gets eliminated. So therefore, as rightly said by Ajay ji, we will have to look it on a consol, else you'll find little aberration in some line items.
Ashish Jain: Got it, got it. That helps. Sir, just one last question. So, Sanghi and Penna volumes are flowing both in ACC and Ambuja or it's largely Ambuja where they are flowing in?
Ajay Kapur: That's true. What we follow is whichever brand has a bit of brand value in the market, we position that as a lead brand. But in some markets, both the brands are lead brands. So, this is more to acquire market share at a highest possible price. That's why I said, sum of parts, it would be very difficult for me to answer. If I look at consol, that's the best way to answer.
Moderator: The next question comes from Raashi Chopra from Citigroup.

Raashi Chopra: Just coming back to the sequential pricing question someone had asked earlier. If I just remove the incentives, it appears that the pricing is about flattish sequentially. But then if I move the one-off from the incentive, it appears that the sequential incentives have declined. Can you explain that, please?
Vinod Bahety: No. So, Raashi, I'm sure you're looking at consol numbers, and on a consol number, if you see, last quarter, for example, we had incentives coming for one of the plants for the previous period, which is for the Sankrail. Now if you remove that also, say, closer to INR135 crores, if I remember, and then you will see that the numbers which you will find is almost INR100 crores between both say September and say for that matter for December also.
However, as I said, now, for example, the way we are focusing on all these incentives, you will find some of these items of the previous years, which will keep building on and which is also actually going to help me to release the working capital. So, to summarize, Sankrail was in the previous quarter. This time, it is for the Himachal, which is disclosed in the notes of the financial statements as well.
Raashi Chopra: Sorry, what was the Sankrail amount in the previous quarter?
Vinod Bahety: Ba

llpark around INR130 crores to INR135 crores.
Raashi Chopra: So, if I have to just take normalized incentives for you, not based on prior period accruals, what would that be like on a per ton basis?
Vinod Bahety: It would be on increasing trend now. Historically, say, it was around, say, INR100-odd crores of incentive per quarter, almost INR400 crores for a year. But this will actually now start moving up to INR600 crores, INR650-odd crores prospectively with new capacities coming in and giving the benefit of incentives. So yes, INR400 crores to INR500 crores in the past and now INR600 crores to INR650 crores and prospectively going further up.

Raashi Chopra: Okay. Secondly, on the cost side, I think I just missed some of the breakdown from Mr. Kapur on what are all the cost savings would be. Like logistics, I think you mentioned was INR100. What were the other components on the cost savings going forward from here?
Ajay Kapur: Raashi, I mentioned about coal costs coming down. I mentioned about Khavda 200 megawatts green which got commissioned in Q3. I think you will see the full effect of that coming in Q4, but still better effect coming in first quarter of next year because it takes time to stabilize. As I speak to you, we have almost reached full potential of 200 megawatts in the last week of December -- sorry, January.
So, I believe in February, March, I should see a much better impact of the Khavda 200-megawatt Green project. Waste heat recoveries are further going up. So, I think that you'll see in time to come, the cost improvement. Freight, we continue to be best in class amongst the large cement companies. If you look at benchmarking also, our drop in freight and forwarding cost will be the best.
With the investment, as I mentioned in my opening on bulk cement wagons for fly ash, as they start coming in every month or every quarter, this will continue to further improve our fly ash cost. So, I think increasingly, what Vinod mentioned in the beginning, our end-state target is to drop down the total cost to about INR3,700-3,800 over the next couple of years, that's the target.
Raashi Chopra: And this target still holds despite the Penna, Sanghi, putting all of that together? So, these are on a consolidated basis?
Ajay Kapur: Yes. So, Penna, Sanghi were under-invested in some areas like waste heat in Penna. Sanghi line 2, we have already ordered or about to order the Waste Heat Recovery System. All these initiatives, plus the additional 800-megawatt green, which is currently approved by the Board and currently under active investment.
And all the other initiatives that I mentioned, plus the entire Indian Peninsula Sea network that we are going to do through ships, both from Sanghi and then from Penna. I think all this is going to help us become lowest cost.
Raashi Chopra: Understood. Just one last question from me. On the capex side, it's INR8,000 crores for this year, the target?
Ajay Kapur: Yes. I think our number for the full year should be around INR6,800 crores to INR7,000 crores.
Raashi Chopra: And 9 months, how much is that?
Ajay Kapur: I think 9 months, we are around INR5,500 crores, if I'm not mistaken. Around INR6,000 crores.
Vinod Bahety: INR6,200 crores to be precise, which we have achieved so far, and we are well on our target for the financial year.
Raashi Chopra: Sorry, INR6,200 crores for 9 months and INR7,000 crores for the full year?
Ajay Kapur: No, no. I think then it will be about -- sorry, INR8000 crores not INR9,000 crores

Vinod Bahety: For the full year, it is closer to INR9,000 crores. And so, another INR2,200 crores will go for this quarter. And that's precisely like because a lot of these 4-5 facilities, which are like in the last leg, again, to refresh,

Sankrail, Bhatapara, Marwar, then we have Sindri, and then we have one more, Salai Banwa and all. So, like there's now a good level of say momentum coming in terms of the capex program. So almost INR2,000 crores to INR2,500 crores will be for the March quarter.

Moderator: The next question comes from Rahul Gupta from Morgan Stanley.

Rahul Gupta: Earlier during the call, you mentioned that around INR4,500 crores incentives could be received over a period of time. Any idea over what time period can we expect these incentives?

Vinod Bahety: Rahul, as per the approved schemes, this should come within next 7 to 9 years.

Rahul Gupta: So, is it safe to assume that you would see additional around INR500 crores every year on top of INR600 crores on the expanded capacity?

Ajay Kapur: I would put it ballpark, yes.

Moderator: The next question comes from Indrajit Agarwal from CLSA.

Indrajit Agarwal: One question. On Penna and Sanghi, what is the current cost differential versus our traditional capacities, ballpark?

Ajay Kapur: So, Sanghi, because it is currently not running in full load. So, I would say it's at least about 10% to 15% higher than Ambuja cost. Penna would be also the same. So, we expect 10% to 15% -- 15% maybe reduction in the cost of both the companies on a per ton basis.

Indrajit Agarwal: So, once you have undertaken all your initiatives, can the costs of these companies come in line with your target of INR3,650 or there will be some cost disabilities still there in these two acquired assets?

Ajay Kapur: Okay. So basically, if you see the end state INR3,650 has two major cost buckets, one is your cost of production and one is your logistics cost, largely, these are the biggest buckets. Now depending upon the market, some plants will be even lower than this and some plants will be slightly higher than this because the plants in North, for example, in hills, will have a different cost structure because of the hill rates of per ton per kilometer.

And the plants which are sitting on road-based markets, they have a different cost structure. I think this is an average of the company. Some of the Penna plants, for example, the ones which are located close to big cities like Ganeshpahad, Tandur, I think they would end up at a very low cost.

And maybe one-odd plant might be slightly higher, it all depends on because we also have kilns, which are vintage kilns. We can improve it through solar, we can improve it through waste heat. At this moment, Penna doesn't have any alternate fuels. So, we have to make some investments to make the kilns capable of taking alternate fuels.

On an average, all our kilns range from 10% to some of them at 25%. The moment I bring in 10%, 15% or 20% alternate fuels, which the cost is less than INR1 versus traditional fuel of INR1.60, INR1.70 in that part of the country, you can see a substantial savings coming out of there. So, I think Penna plants and Sanghi -- Sanghi, in fact, I believe in time to come, will be one of our lowest cost operations.

Moderator: The next question comes from Prateek Kumar from Jefferies.

Prateek Kumar: I have a couple of questions. First question is on your cash flow, your current cash and cash equivalent, INR8,800 crores. So, what is the expected outflow for Orient in Q4? And what is the expected like sort of closing cash? Will we like sort of move to like a cash neutral position by end of FY '25?

And my other question is regarding cost. So, like versus the INR3,650 cost targeted, what is the cost we had in Q3 for this year -- I mean, basically the current quarter?

Vinod Bahety: Okay. On the first question, Prateek, in terms of the expected outgo for Orient, that is ballpark around INR4,000-odd crores, which will be there. And what is your second question?

Ajay Kapur: Cost. So, I think the cost I answered already in the opening

, and you will also find it in the deck that we have loaded. It's closer to INR4,600 and end state is INR3,700, INR3,650-odd.

Prateek Kumar: Okay. So INR1,000 swing from current quarter on the back of both new plants, old plants. Is that what we are looking at?

Ajay Kapur: Yes. We have a clear road map, and we can connect offline as well, take you through details.

Prateek Kumar: In Orient's INR4,000 crores cash flow, so INR8,800 crores, nothing is accounted as of now,

right?
Vinod Bahety: Yes, except like whatever you have to deposit with SEBI for the escrow and all, that has been done. Otherwise, when the transaction gets consummated, the promoters will be paid off.
Prateek Kumar: And this includes open offer as well, open offer values?
Vinod Bahety: No, that will be separate. That will follow through, post this quarter, in the middle of next year.
Prateek Kumar: Okay. So that will be next year. Okay.
Moderator: The next question comes from Jashandeep Singh Chadha from Nomura.
Jashandeep Chadha: Sir, my first question is largely on cost. Correct me if I'm wrong, Sanghi has better thermal consumption than I think Ambuja consol prior to the acquisition. I just want to understand how much time and capex will it take to bring Sanghi and Penna to Ambuja's cost structure and operational efficiency. And out of the INR530 per ton cost saving target that you have given, how much of it would have already been realized? That's my first question.

Ajay Kapur: So basically, two things have happened. Some cost has been already realized in the Ambuja ACC balance sheets. However, with the acquisition of new companies, which, as I mentioned already, for the sake of repetition, are still under stabilization phase, an asset to give you its full efficiency and all KPIs needs to operate at 80--85%. Currently, one asset is sub-40%, one asset is sub-50%. As we ramp both of them to 80%, you'll start seeing the cost numbers that we are talking, number one.
Number two, all the initiatives, which is like waste heat in Sanghi Line 2, which we have now ordered, it takes about 12 months to come in. So, I think in the next financial year, you will see that impact coming in. So, I would say a ballpark figure of closer to INR1,000 crores between the 2 entities in various initiatives is what is needed, which is very much in our cash flow plan going forward.
Jashandeep Chadha: And my second question is on realization. So, is Ambuja still selling Penna and Sanghi brand? And is that the reason why per bag realization has dropped because there's a mix of now category B and C products? Is my understanding correct?
Ajay Kapur: I will tell you; 2 things have happened. Number one, South markets also are very largely OPC-led markets. If you see traditional Ambuja ACC, they sell very high ratio of blended cements, largely trade segments. But if you go down south, Bangalore, Hyderabad, Chennai, many of these markets have a very strong OPC, which is B2B segments. So, the volume -- some of it has also gone in that segment, number one.
Number two, the entire volume of Sanghi is in ACC and Ambuja. So, I don't think that's a worry. There's a cost is an issue. Whereas in south, the overall price player itself is depressed. I'm sure you've seen the results of all the companies who have announced south-based results. It already reflects the price which is depressed in that part. And 1 million of our sale is in south from Penna.
Jashandeep Chadha: And sir, that is under Penna brand, right?
Ajay Kapur: No, no, that is under Ambuja and ACC brand. But please understand if the overall market price is depressed there, so even if I sell Ambuja and ACC, while it will sell at the highest end of the market, but the market itself is depressed. That's why I asked you to look at the results which have announced of a few south companies, and you will

see how much of price decline they
have taken.
Moderator: The next question comes from Jyoti Gupta from Nirmal Bang Institutional Equities.
Jyoti Gupta: This is in sequence to the question just asked, when we say north region and west have actually reported double-digit growth. And if I look at the market share in terms of presence per capacity, we should have actually taken benefit of the north and west region, the way UltraTech has taken, while UltraTech also has a pan-India presence and south despite being depressed, the EBITDA per tons have actually improved because of better realization.
So, my worry is that we are seeing depletion in our realization per ton. Of course, with Penna and Sanghi gearing up to Ambuja brands, we might see but if this prolongs for another 1 quarter,

maybe for us to actually command premiumization could be -- do you think could be a challenge?
And I believe all your costs have actually been now accrued in the third quarter. So therefore, fourth quarter should look better -- on the per ton basis, the numbers in fourth quarter should be better off. And of course, volume, we will again see a very high-volume growth in fourth quarter.
But if again, our realization per ton decreases, at least it should stabilize or be higher because

we should again take benefit of the north and the central region if the southeast remains depressed. And 1 million ton in Penna is not such a big amount, I mean, compared to 15 million tons, 15 million what we have sold. I think that benefit should have come, which is not reflecting in the numbers? So

Ajay Kapur: Yes. So, I think you have made -- you're asking me some questions, but more than that, you have made some comments. So, I'll not respond to your comments. I'll try to respond to your -- because I've already responded to most of the comments that you have made already.

For your one statement you made, whether quarter 4 will look better, it's a forward-looking statement. I can only tell you that prices have increased in the December month and also, we are seeing the same trajectory in Jan, number one.

We are in the process of stabilization of the new assets. 1.4 million tons out of 16.5 million tons is 11% growth. A large part of it coming from assets where the cost structures are higher. And I think that depresses the price. I also mentioned about B2B segments where we have to participate.

Wherever our existing brands exist, we continue to be on the premium end. The share of premium products of the trade have seen the highest increase. And I think as a company, we are now nearing 27%. And that focus continues. So, I think in time to come, you will only see Ambuja ACC and the associate brands, whichever become part of the game, will only have a better price premium, will have better premium products, and you'll also see a much more improved EBITDA per ton going forward.

Jyoti Gupta: That will be great because I hope that fourth quarter is far better in terms of EBITDA per ton than what we have seen this quarter. And why don't we actually merge all these companies rather than looking at it on a stand-alone basis? That is my another comment, in fact, suggestion.

Ajay Kapur: Already, we have announced one set of transactions to merge some entities, including Penna Cements, Adani Cementation and Sanghi. So, if you see out of all the entities, we've already announced 3 entities, which is currently under regulatory approval stage. We are very hopeful that in the next financial year, this whole transaction should get consummated, and you will have only limited entities going forward.

Moderator: The next question comes from Ritesh Shah from Investec.

Ritesh Shah: Two quick questions. Sir, how are you looking at the industry supply curve, incremental supply additions, say, for FY '25, '26, '27? The reason is more to understand from a pricing perspective, given there is so much of supply, how are you looking at the marketplace.

Ajay Kapur: So, Ritesh, I would answer it in a little different way. Today, India is -- I think by the time we finish this current financial year, we will hit more like 450 million, 460 million demand and maybe closer to 700 million total capacities, of which the capacity which can produce cement would be 100 million tons lower.

Now if India grows at about 8%, so 8% on 450 million or 500 million is close to 30 million tons, which basically means you need to add 2.5 million tons additional volume either from the existing, the base or add new capacity. I think at 300 per capita, India being the second largest market, GDP still sub $3,000, inching towards $5,000 in the next couple of years.

All this will translate into more housing demand, more infra demand, which is largely led by government. And I think the commercial demand about 15%, all of them will have their own growth trajectory. The question is if the industry does not responsibly add new capacity today, which is totally private sector investments today and totally based on free competition, consumers will end up paying prices which will be much, much higher.

So, I think it's in the interest of the nation that you build cement at a lower cost, you are able to produce cement at a lower cost. And the companies which are able to command brand premiums like the ones fortunate for me to run, Ambuja, ACC, which are top end, which command at least INR30 to INR40 premium over the category B, C players, I think this is a good place to be in.

There will be times when demand supply does not match. Unfortunately, current year H1, the demand after growing a very healthy 7%, 8% for the first time went almost flattish. And that, alongside the new capacity creation, created a short-term sentiment pressure, which I believe will get adjusted because nobody will be able to manage the investments without requisite returns. And I think that's why the price situations will remain better in time to come.

Ritesh Shah: Sir, that's helpful. But would it be possible for you to qualify what is the expected industry level additions that you are looking at internally? So, for '26, '27, based on our numbers, we are looking at 50 million tons plus and hence, the rate what you indicated at 8% won't be adequate to cover up for incremental supply, which puts some pressure on pricing profitability in the near term. So, is that fair? Or you're looking at it in a different view?

Ajay Kapur: I'm sure when you do your models as part of your analyst reports, you don't put 100% capacity of any company in year 1, right? You ramp it up, if 50 million is coming, if you can take 40% to 50% coming in year 1, then you're already removing 25 million to 30 million, which will come most likely at different months during the period and full effect of that will come only over the next 2 years. So, I think that's what has happened in the past. That's what is going to happen in future also.

Ritesh Shah: Sure. Sir, my second question was, how do you look at the industry cost curve? We have given a bold number of INR530. We are actually walking the talk over there. So one is, how do you

see this cost curve for rest of the industry? Will we be on the left-hand side of the cost curve given the initiatives that we are taking, which puts possibly us on the pole position?

And secondly, if one had to marry that with the lease expiries come 2030, how is Ambuja, ACC placed versus the rest of the industry? Will our cost curve inflation be lower than the rest of the industry, which will still ensure that we are better placed on the cost curve?

Ajay Kapur: So, let me answer the first one, which is

more to do with me. See, I cannot comment on whether I'll be in the pole position versus others. Every company, I'm sure, is working very hard. What we are doing, we have stated very clearly quarter after quarter in all our website posts of our analyst calls, I think you'll see this very clear number.

There are clear initiatives, whether it is logistics, whether it is power and fuel, whether it's other fixed costs, whether it is brand building and marketing and whether it is going green. As I mentioned, we'll hit 83% green. That will reduce my power cost to INR3.50. And that's a substantial reduction from the current grid cost of INR8.

Likewise, with own coal mines over the next couple of years, it takes time because many of the coal mines are underground mines. The coal cost itself will drop down, and it will take me out of the vagaries of day-to-day bidding and buying out in auction premiums.

So, I think that I think INR500 is a very clear visibility because it's directly. Each initiative has an action, it has a capex, and it has an opex. What others will do, I cannot comment. I would continue to believe that in the next 5 years, Adani Cement would not just be the lowest cost in India, but perhaps it will compete with the lowest cost in China, which is the world, first part.

Second part regarding 2030, yes, there are a few plants for us, which will have some residual limestone. They would be, in Maharashtra one plant, in Madhya Pradesh one plant, and I think mostly in Chhattisgarh one plant and in Himachal one plant. We are making a lot of initiatives, speaking with the government. IIndustry is also working through various forums, NITI Aayog, etcetera. A little early in the day to comment, but I think who knows. We might also get some respite from the government for that.

Moderator: The next question comes from Sumangal Nevatia from Kotak Securities.

Sumangal Nevatia: My first question is on the cost reduction target of INR3,650, INR3,700 over a few years. Is it possible to give some bridge or some road map as to what would be year 1 and then year 2, year 3, some rough numbers?

Ajay Kapur: I think if I'm looking at, you can say about INR100 next year, another INR150 following year. And then I think a large part of the cost will come towards the end when coal mines start coming in. See there are other initiatives of waste heat, solar power, as I mentioned, Vinod mentioned, so 800 megawatts green will happen. The entire waste heat program will get over in the next 12 months. The entire alternate fuel journey will also get over in the next 24 months.

The overall ramping up of newly acquired assets and bringing them at par with our structures will happen. Mind you, our number of locations, we'll add almost 40 new grinding units over

the plan period when we hit 140 million, 150 million tons. With more units, the logistics cost of 100 kilometres that I mentioned, and each kilometre is PTPK INR4.

So, if you take another INR100 from there, so I think a large part of it will come around 2026, '27. And the last piece would be the coal mines, captive coal mines. The years when they come, you suddenly see a drop of INR0.30, INR0.40 in the coal cost. And I think that's where you'll see a sizable savings.

Vinod Bahety: But good thing is, Sumangal, that this will be progressive, like so every passing quarter, you will find the benefits of these investments yielding the savings on the cost, and we are going to be more highlighting it with each of the press releases. So, you will find the positive developments every passing quarter.

Railways, Ajay ji highlighted that each quarter, we are getting at least 2 to 4 rakes. Then we are also getting new capacities of renewables with every quarter, WHRS, AFR. So, it is not back ended. It is going to be well laid out over the next 2, 3 years. But yes, m

ajor impact is when the coal mines will start giving the captive coal, that will be a game changer.

Sumangal Nevatia: Understood, sir. Sir, and this is more at current commodity prices, right? Or we are also expecting some commodity price deflation, diesel price reduction or something of that sort?

Ajay Kapur: I think there will be a standard inflation of 2% to 3% but we have seen over the last few years, both energy and fuel has been more stable. And also going forward, if globally green is the new norm, you will find a little bit of surplus availability of some of these fuels. So, I think -- I believe there will be less inflation on that count.

Sumangal Nevatia: Understood. And just one last clarification on the capex. Next year, are we expecting the INR7,000 crores, INR8,000 crores kind of further increase or something on FY '26, if you can comment?

Ajay Kapur: I think if you allow us to come back in the full year call, I can give you a much better idea because we would have finished current year. See, what the projects we are already building, which I announced already, that capex will anyway flow.

As I also mentioned, there are about 10-12 grinding units for which active work is going on. That will also come in. So, while I have a number, but I'd rather wait for the financial year to get over, that's the right time for us to come and make a commentary in the next quarter. I hope you understand.

Moderator: Ladies and gentlemen, we would take that as the last question for today. I now hand the conference over to the management for closing comments.

Deepak Balwani: Yes. So, before we end, let me remind you that the playback of this event will be available on the company website in a short while. I hope most of the questions have been answered. If you have any unresolved queries, please contact us. Thank you, Parvez and Nuvama team for organizing this call. Thank you.

Ajay Kapur: Thank you, all.

Moderator: Thank you. On behalf of Ambuja Cements Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: This transcript has been edited to improve readability

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Call: May 2025

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6th May 2025
National Stock Exchange of India Limited
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ubject: Transcript of Earning Call pertaining to the Audited Financial Results of the
Company for the Quarter and financial year ended 31st March 2025
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ontinuation of our letters dated 23rd April 2025 and 29th April 2025 regarding
Analyst/Institutional call scheduled on 29th April 2025, the transcript of the earnings
conference call on the Audited Financial Results (Standalone & Consolidated) for the
quarter and financial year ended 31st March 2025 is uploaded on the website of the
Company at www.acclimited.com. The said transcript is also attached herewith.
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Ambuja Cements, ACC and Sanghi Industries Limited
Q4 FY '25 Earnings Conference Call
April 29, 202 5

MANAGEMENT

MR. VINOD BAHETY
CHIEF EXECUTIVE OFFICER MR. RAKESH TIWARY
CHIEF FINANCIAL OFFICER
MR. DEEPAK BALWANI – HEAD , INVESTOR RELATIONS
MODERATOR
MR. RAJESH RAVI – HDFC SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Ambuja Cement Limited Q4 FY '25
Earnings Call . Hosted by HDFC Securities. As a reminder, all participant lines will be in the
listen -only mode and there will be an opportunity for you to ask questions after the presentation
concludes. Should you need assistance during the call, please signal an operator by pressing star

then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rajesh Ravi from HDFC Securities Limited. Thank you, and over to you, sir.

Rajesh Ravi: Thank you, Alaric , and thank you, everyone, for joining in this call. I welcome you all from on behalf of HDFC Securities.

I now hand over the call to Mr. Deepak Balwani, Head of Investor Relations. Over to you, Mr. Deepak.

Deepak Balwani: Thank you, Rajesh. First of all, apologies for the delay. On behalf of Ambuja Cements, I would like to extend a warm welcome to all participants joining us for the earnings call for the fourth quarter FY '25. Ambuja Cement s Limited is one of the India's leading cement companies and a member of the diversified Adani Group, the largest and the fastest -growing portfolio of diversified sustainable businesses.

As Adani Group continues its rapid expansion across industries and geographies, Cement business is implementing a strategic leadership realignment that sharpens commitment to growth supported by internal talent development. Over the last couple of years, Mr. Vinod Bahety has been setting the foundation for making Ambuja Cements as an industry leader. As CFO, Mr. Bahety led the acquisitions of Sanghi, Penna, My Home, Asian Cement and the most recent Orient Cement. Mr. Bahety has now been elevated to the role of Whole Time Director and Chief Executive Officer of the company with effect from 1st April 2025.

Appointment of Mr. Rakesh Tiwary as Chief Financial Officer of the company. Mr. Rakesh Tiwary is a qualified Chartered Accountant, Cost Accountant, Company Secretary and MBA with about 30 years of work experience in airport, power, utilities, solar panel manufacturing and steel production. Mr. Ajay Kapur has been elevated as a Managing Director of the company.

Before we start, please note that this call may include forward -looking statements based on our current beliefs and expectations. These are not guarantees of future performance and may involve unforeseen risks and uncertainties.

We are pleased to have with us on the call Mr. Vinod Bahety, Chief Executive Officer; and Mr. Rakesh T iwary, Chief Financial Officer. Now I invite Mr. Bahety to provide his relevant insights on the quarterly performance.

Vinod Bahety: Thank you, Deepak. Good afternoon, and a warm welcome to each of you for our Q4 and FY 25 Earnings Call . This quarter and these results will remain special because, friends, I'm happy to share that Ambuja Cement has crossed more than 100 million tons of cement capacity, becoming the ninth largest cement company globally. Others have taken decades, but we have achieved this in 30 months.

We continue to strengthen our position as a market leader in the cement industry. Adani Cement is getting stronger over time, underscoring our strategic focus on growth, operational excellence, increasing market presence, strengthening ground network, efficiency im provements and cost leadership.

We remain committed to sustaining our market share by achieving consistent volume growth and high ESG performance, delivering unmatched value for our stakeholders. We are happy to share that our subsidiary, ACC, has become India's first large -scale cement company with science -based net zero targets validated by SBTi. Through our community

engagement
initiatives, we have delivered societal value for 5.7 million lives.

I would like to share some of the high -level highlights before diving into specifics. 99 -megawatt wind power at Khavda has been commissioned in Q4 FY '25. I had mentioned last time that by June '26, entire 1,000 megawatts will be up and running. Already, w e have achieved 300 megawatts. 367 million tons of new limestone reserves secured in Q4 '25, taking the total limestone reserves to 9,000 -plus million metric tons.

With the completion of Orient acquisition, commissioning of grinding unit at Farakka and the debottlenecking of capacity at various plants, as I mentioned, that we have now crossed 100 million tons. Sooner, we should be also announcing additional grinding units to be commissioned in Q1, primarily Sankrail and Sindri. And with every prospective quarters, we should be hitting 118 million metric tons by end of this financial year.

The consolidated quarterly Y -on-Y performance is as under. We achieved a revenue of INR 9,889 crores, up by 11% Y -o-Y, driven by strong focus on our micro market management strategy, expansion of our ground network, blended cement, which remains at 82% and increase in premium products as a percentage of our overall trade sales, which is up by 5.3% to 29.1%. Operational costs for the quarter stood at INR4,104 per ton. This is driven by better fuel management and strong focus on green power. Kiln fuel cost has reduced by a whopping 14% to INR1.58 per 1,000 kilo calories from INR1.84 per 1,000 kilo calories. The transportation cost

also declined 2% at INR1,238 per ton on account of footprint optimization and closer to market strategy. With increasing grinding units, this is expected to further come down.
Primary distance lead has reduced by 15 kilometers at 265 kilometers and secondary lead by 2 kilometers at 46. Direct dispatch to customers increased by 600 basis points to 58%. With the improvements mentioned on the cost front, EBITDA stood at INR1,868 crores at an EBITDA margin of almost 19% and EBITDA per ton at INR1,001.
As on 31st of March '25, the consol cash and cash equivalent stands at INR10,125 crores. The consol FY'25 Y -on-Y performance is as under: highest ever annual revenue of INR35,045 crores, operational cost at INR4,275 per ton, EBITDA stood at INR5,971 crores and EBITDA per ton at INR915 as we aim -- this INR915 is for the year, but now our journey anyway is going to be towards achieving INR1,500 EBITDA per ton by FY '28.

And you have seen a good level of improvement in the last quarter, March quarter. In the best interest of time, I'm not going to discuss the standalone financial performance of the listed companies separately as they are available on the stock exchanges.
Now I will share with you the progress which we have made on our announced long -term strategic plan. We have crossed the 100 million tons capacity, growth of nearly 50% in 30 months. Our growth journey continues as we aim for 118 million tons by FY '26 and 140 million tons by FY '28 through largely this time driven by organic expansions.
Focus for FY '26 is on commissioning of our fairly advanced stages projects like Sankrail, Sindri, Salai Banwa, Dahej, Marwar, Kalamboli, Krishnapatnam, Bhatinda, Jodhpur and War saliganj.
We are on course to commission our 4 million tons of clinker unit at Bhatapara in Chhattisgarh and the associated grinding units in Sankrail in Bengal and Sindri in Jharkhand by Q1 '26.
The grinding units at Salai Banwa in Uttar Pradesh is expected to be commissioned in Q2 of '26.
Kalamboli unit expansion in Maharashtra is targeted to be commissioned in Q3. Brownfield expansion of Bhatinda in Punjab, Marwar in Rajasthan, Dahej in Gujarat and Jodhpur in Rajasthan -- Jodhpur as an integrated unit of that Penna, which was under constructi

on -- is
expected to be commissioned by Q3 of FY '26.
Further, the clinker unit of 4 million tons at Maratha in Maharashtra and grinding unit at Warisaliganj in Bihar are also expected to be commissioned by the end of FY '26, enabling us to reach 118 million tons capacity by FY '26. We have also identified 9 additional grinding unit projects for which land acquisitions and statutory approvals are under process, which shall enable us to reach 140 million tons, which is by FY '28. So there's a clear, clear blueprint which is there to achieve 140 million, which we had committed way back in 2022 September.
For the new facilities, 4 million tons per annum clinker at Bhatapara, as I said, it is expected by Q1 of '26. We have made 87% progress. Overall, erection work is almost completed. Refractory and P&I work and no load trial is in process. The overall project progress for Sankrail is 88%.
And as I said, it's expected by Q1 of '26. And over there also, major equipment have already been installed and under process of the dry runs.
For the new facility of 4 MTPA clinker line at Maratha in Chandrapur, 76% of the major equipment ordering is done and 44% civil work is completed, and it's expected to be commissioned by Q4. These kiln lines will have 42 megawatts of WHRS and provision for utilizing 30% of AFR in the kilns.
For the new facility of 3 MTPA clinker line at Jodhpur, 95% of civil work is through and major equipment ordering is done. 48% mechanical erection work completed and expected to commission by Q3 of '26.
So and so forth, I think the entire road map for the project expansion is there in the presentation.
I won't take more time on that. Now I will share some of the key initiatives being undertaken -- for becoming the cost leader in the Indian cement industry. Raw material costs, we have secured raw material at competitive prices and efficiency and productivity improvement. capex will further help in raw material cost optimization by 8% to 10%.

Friends, as you know, we have put our commitments to achieve INR3,650 per ton of cost by FY '28. Our long -term fly ash agreements, supply chain synergies and operational efficiencies will ensure that the cost reduction goes hand -in-hand with our relentless pursuit of quality.
On the energy side, as of now, we have WHRS capacity of almost 218 megawatts. And down the line, we are targeting to achieve 30%, including all the new projects at 140 million capacity,

30% to be WHRS. We have already earlier announced our investments of 1 ,000 megawatts of renewable energy, which is expected to commission by '26. 300 megawatt is already up and running, which I have already shared with you.
As previously explained to meet our requirements, we aim to maximize captive coal consumption. As a result, we are bidding for coal mines in the auctions being conducted by the Government of India. A higher share of coal from the captive mines and the oppo rtunistic buying of imported pet coke will help us to reduce our overall basket of, say, fuel and therefore, fuel cost.
Cost reduction possible through multiple strategies of maximization of the domestic coal, 40% of the kiln heat mix, linkage booking , 2.4 million tons for the next 10 years, of which 1.4 million tons by direct rail. Linkage coal rate plant through GPWIS rake, which is like our own rakes, first time in cement industry, thus ensuring regular low -cost linkage movement to expect start from Q2 of '26.
Leveraging of group synergy in booking of low -cost imported pet coke and imported coal is the underlying point, which will be there continuously right from the beginning, it has been helping us. Driven by better fuel management and structural initiatives u ndertaken, our kiln fuel cost reduced by 14% from 1.84 to 1.58. These initiatives include better fuel mix and sourc

e mix
optimization. The share of green power and power mix has increased to 26% from 15.6%, almost 10% improvement.
Coming to the another major cost focus, which is freight and forwarding. There are 3 focus areas for cost reduction here: reduction in the lead distance, warehouse footprint optimization and railroad mix optimization. We are targeting to reduce the lead distance by almost by a bout 10 0 kilometers to 170 kilometers.
Primarily lead distance in the current quarter was 265 versus 280 and secondary at 46 versus 48. And this has been done with improvement in direct dispatch by 600 basis points from 52% to 58% and overall network optimization.
We have enhanced our coastal presence, empowering a model shift towards increased share of marine logistics, driving reduction in the emissions and costs. To further optimize our cost in logistics, we have ordered 11 GPWI rakes, of which 11 have been all d elivered and running in approved circuits. This rakes will enable cost -efficient clinker movement from the mother plants. In addition to this, we have also ordered 26 BCFC rakes for safe and cost -effective transportation of fly ash from thermal power plants to our facilities. Of these 26 BCFC rakes, 8 rakes have been delivered in FY '25. Because of these initiatives, our over all logistics costs have reduced by 2%,

but this is just the beginning. You will see more and more improvement in coming quarters. But this 2% reduction from INR1,258 to INR1,238, which has been achieved.
On the limestone, we have secured almost 367 million tons of limestone. And as I said in my initial remarks, we have reached to 9,000 -plus million tons. This 367 million tons comes from 3 new mines; 2 of them in MP and one in Assam. In terms of ESG, we have made significant progress on our ESG agenda.
We took actions on multiple fronts to inch closer to our ambitious commitment of net zero by 2050. Lots of details on the ESG are already there in my presentation. I won't spend more time on this now.
Coming to the digital part, we have embraced industry 4 predictive analytics, automation, artificial intelligence, ML and several digital technologies to enhance efficiency, streamline operations and improve our customer experience. This is an area of tren d very close to our leadership, and we will drive a lot on this. And you will see lots of good progress coming in terms of the efficiency improvements, optimizers, which will in turn help us in terms of improving our overall EBITDA.
Our brands stand as a testament to the trust and quality with innovation and customer -centric solutions. To better serve our customers, we are strengthening our distribution network through investments in logistics supply chain and overall regional expansi on.
On the industry side, trends, I remain positive as cement consumption grew almost 6.5% to 7% in Q4, and we are expecting that it will have a continued improvement and reach, say, 8% overall demand growth for FY '26. This is supported with improved construc tion activities, rural demand, the overall, say, housing and increased government spending. Cumulative growth for FY '25, we believe is for the industry between, say, 4% to 5%. But as a company, we have delivered better than the industry results.
To conclude, friends, Adani Cement will benefit from accelerated growth, lower costs driven by and supported by group synergies, all of which will contribute to lead the market share and achieve sustainable performance in the near future. We believe that a strong leadership team is

paramount to achieving organizational goals and driving success.
The leadership team set the strategic direction, making critical decisions and inspire the entire organization. We have made significant new additions to our leadership team to make our organization more agile an

d responsive to market demands.
I'm pleased to -- because first time like we are coming on this call after this appointment, I'm pleased to introduce you the new members of our leadership team. Mr. Sanjay B ahl, who is the Head of Sales, Marketing and Logistics.
Sanjay brings with him a wealth of experience and a proven track record in driving sales growth via branding excellence. His strategic insights will be instrumental in expanding our market presence and enhancing customer engagement. Previous to joining Ada ni, Sanjay has worked as CEO in Greaves and Raymond, where he has been instrumental in business turnarounds.

Rakesh Tiwary, our homegrown leader now who has taken over as the CFO. Rakesh's expertise is in financial management and his deep understanding of the industry will be crucial in steering our financial strategy and ensuring robust financial health. Rakesh has been veteran in the group and has led as CFO of many important group companies and most recently worked for the airports business.
Madhavi Isanaka has joined us as the Chief Digital Officer. I told you that digital will be a key focus area. Madhavi's extensive experience in digital transformation will help us leverage technology to drive innovation, improve operational efficiency and enhance the overall customer experience.
Madhvi had a long stint in USA for 20 years, after which she joined Adani a year back. After leading digital transformation agenda in the Adani Green Energy, he has joined Adani Cement to help us drive the digital agenda here.
And our new -- another addition who is a young leader at the age of 46, he is now my Head of Manufacturing, Vaibhav, who joined the business way back in Ambuja -- in ACC, in fact, as a GET in 2000 and Vaibhav's journey from a GET to the Head of manufacturi ng is truly inspiring and serves as an inspiration for any young campus cadre. Through dedication and hard work, a relentless pursuit of excellence, Vaibhav steadily climbed the ranks within the company.
Additionally, we are thrilled to welcome over 1,000 campus graduates who have joined us from prestigious institutions across the country. These graduates have been hired in a first -of-the-kind touchless hiring to eliminate any interview biasness and have b een hired under the overall guidance of our Chairman's vision of building skills and employment at local level.
With this, we are aggressively refreshing our talent pyramid to bring in more agility and optimize our cost of talent. These hires will fuel our growth and innovation and represent the future leaders of Adani Cement.
From an overall talent management perspective, we have deployed new operating model and now working towards a culture of internal nurturing of talent and providing faster road map for growth for our performing talent. In terms of agility and cost optimizat ion, we have now executed the operating model change of incorporating shared services setup wherein we have moved HR, IT, procurement, finance function to the shared services, what is that GCC, what we say it here, with clear service level agreements and rapid technology deployment to rationalize cost and speed of our operations.
These strategic developments in our team at the leadership as well as at the entry level with the operating model changes are a testament to our commitment to build a dynamic and forward -thinking organization. We believe that these changes will drive our c ompany towards greater success and create signific ant value for our stakeholders.
We are happy to be the fastest -growing cement company in the country from being also the highest, which is at Darlaghat to being -- having an oldest operating plant, which is Lakheri, which I call it as OHF story of Adani Cement. And in our journey to beco me most valuable, we are now duly supported by t

alent and technology.

Finally, friends, we are driven by purpose and defined by progress. We too have a small role in building our country , We will show you by doing it . 100 million tons in 30 months is a remarkable achievement. As a team, we feel proud about it to have a contribution in nation

building.
With this now, I will hand over to my newly appointed CFO, Mr. Rakesh Tiwary, for his opening remarks, and then we'll quickly come to the Q&A. Rakesh
Rakesh Tiwary: Yes. Thank you, Vinod, for the inspiring talk, and then it was really great. So good afternoon, everyone, and it's great to connect with all of you today at such a pivotal moment in our journey.
Over the past few quarters, we have been relentlessly focused on 4 pillars, which are growth, ESG, cost reduction an d stakeholders' value creation.
And I'm thrilled I'm going to update you on all these 4 pillars as to how we are delivering across all the fronts. But before I proceed, let me take the first thing first, the major milestone. Ambuja Cement has crossed 100 million tons per annum and a big congratulation to Vinod , under whose leadership the same has been achieved in a very short period of 30 months. And it's really a congratulatory time to Vinod and entire cement team and to the entire Adanian. And this is like we are just getting started.
We are on the course to hit 118 MTPA by financial year '26 and 140 MTPA by financial year '28 as we have promised in September '22. The recent acquisitions of Sanghi, Asian, Tuticorin grinding unit, Penna and Orient, they have turbocharged our growth. And I'm happy to report that the integration of these assets is progressing extremely well, unlocking the synergies faster than what we expected across operations, logistics and procurement.
To put into perspective, the broader environment is also working in our favor. So the current -- I mean, the country's cement demand remains very strong, driven by infra investment, housing need and rapid urbanization. Now Ambuja is uniquely positioned to ride this multiyear growth wave with a robust platform and a future -ready strategy.
Looking back, it has been incredible 30 months since we acquired the Holcim stake in September 2022. And from March '25 quarter onwards, now you will see that there is an acceleration of organic growth complemented by all the brownfield expansion which we have done. This will not only add capacity and market share, but also forti fy our cost leadership journey.
Importantly, almost 40%, 50% of our capacity is new. And it is giving us a huge impetus, huge advantage in terms of higher efficiencies across capex , opex , green power and the infrastructure which is being built. On cost leadership, as we have announced the team, which we announced at that point of time in March '24, we targeted a cost reduction of close to INR500 per metric ton, and I'm happy to share that we are fi rmly on the track for the same.
On the renewable energy front, we had committed setting up of a gigawatt of renewable energy project and the same is starting being delivery and it is on track. Already 200 megawatts of solar and close to 100 megawatts of energy has been delivered by March '25, and the full gigawatt will get commissioned by quarter 2 of financial year '26.

This massive RE shift will not only lower our energy cost, but significantly reduce our carbon footprint, which is underscoring our strong commitment to sustainability and ESG leadership.
Another area where we are making real stride is the digitization pie ce. Our query to lorry digital transformation is taking firm root, enhancing operational efficiencies, and it is becoming a key catalyst for the growth and the EBITDA enhancement which is h

appening and the margin
expansion which is being done.
Most of you who have visited this building, AC H Adani Corporate House, must have seen our CNOC, our cement network operating center, at our headquarters. We are continuously adding new features, which is ensuring that our century -old industry becomes smarter, faster and more agile. And Ambuja is leadin g the traditions towards a younger, more tech -driven cement industry.
On financials, Vinod has given a detail point -wise in terms of how actually we have done. But just to make you a little bit comfortable, the balance sheet has never been so strong. The net worth has climbed to close to INR64,000 crores, up from close to INR50,000 crores a year ago. That is the point number one. Point number two, we still remain debt -free. Point number three, we are enjoying the highest credit rating in this industry.
And point number four, our tangible assets, which is TP and cash, which forms a strong share of our net worth with cash and cash equivalent at the industry -leading level. So these are the 4 pillars on which the financials have been built up. At the same ti me, we continue to follow a disciplined approach towards our capital allocation, I mean, prioritizing high -return projects and maintaining a razor sharp focus on the profitable and sustainable growth.
And lastly, a few words on our organization. See, we have further strengthened our leadership team, which Vinod has totally explained in terms of making it a more young and agile team and a young operating team to support this new phase of accelerated grow th. Talent is the real engine behind this flawless execution, and I'm confident that our team are geared up to deliver superior

results quarter after quarter henceforth.
In conclusion, while the industry is entering an exciting phase, Ambuja is at the forefront, poised for growth, margin expansion and enhanced stakeholder value, powered by cost leadership, green energy, digitization and an exceptionally strong balance shee t. We are building a future - ready Ambuja and the best is yet to come.
With that, I'll now hand over to the coordinator back again.
Moderator: Thank you, sir. We will now begin with the question and answer session. The first question comes from the line of Rahul Gupta from Morgan Stanley.
Rahul Gupta: Two questions from my side. Heartening to hear that cost optimization journey is on track. But can you please help us understand the quantum of cost savings achieved during the year? Also is there any change in the guided benefits of INR100 per ton in fiscal '26 and INR150 in fiscal '27? That's my first question.

Vinod Bahety: Thank you, Rahul. When we started way back in September '22, we had been at the levels of INR4,250 around of cost. And then somewhere like in March '24 quarter , we have been at, say, INR4,170 around that level, and then we committed to achieve INR3,650 . In this journey, so far we have achieved already around INR150 to INR175 per ton of cost and the balance INR300 to INR325 per ton is what we are going to expect in FY '26 to up to '28.
Now this cost largely will be driven by 3, 4 factors. One is our continued investment on WHR S, AFR and renewable power as one component. And second is the fly ash and for which, for example, we are setting up the fly ash handling systems. Just to share and I mentioned last time that we have entered into a 10 -year agreement with Adani Power for 5 m illion tons of fly ash supply at almost negative 400 wherein we have invested into handling the fly ash from the Tiroda power plant to some of our grinding units.
Now these are, like, strategic investments which are being made. Then this BCFC is going to be a game changer for us. So -- and on top of it, still the marine logistics has not taken and achieved its full play, but w

e are in a fairly good stages of orderin g almost like 8 shipping vessels and which will help us to achieve a significant improvement in our marine shipping or marine transportation as well.
So I think the journey is very clear. INR3,650 is, for example, which we have a complete detailed blueprint. And every passing quarter, we are increasing it. In terms of green power, now green power when we got 300 megawatts, it's already started reflecting in my power cost per unit wherein it ha s reduced by almost INR0.20, INR0.25 to what we were getting, say, last quarter. And so on and so forth, I can go with more details. So I think this is a larger broader outline on the cost part.
What was your second question, Rahul?
Rahul Gupta: Yes. So I just wanted an update on the guidance for the next couple of years. I remember last quarter, you talked about higher -- greater than INR100 per ton savings expected in fiscal '26 and another INR150 in fiscal '27. So that's broadly on track, right?
Vinod Bahety: That's absolutely broadly on track. In fact, I'm going to also work -- the whole team is committed here to work to achieve it before what we have committed. So that is like the spirit what we are working on. But like 3,650, absolutely a clear road map.
Rahul Gupta: My second question is on the revenue side. Our share of premium products has improved to 29%. Can you just help us understand how to look at this over the next couple of years, taking into account your expanded capacity, both on organic and inorganic basis ?
Vinod Bahety: Very good question again, Rahul. In terms of our premium cement, right from beginning, I think both the brands have been doing extremely well. And the share of premium cement have been averaging, say, 25%, 26%. And this time, it is like 29%, 30%. Our focus remains very core to promote the premium cement because we also see the customers are looking forward to it.
Towards this, for example, we are substantially increasing our ground network. We are putting a whole lot of branding and promotion activities around this. We are also going to ensure a

consistent quality supplies towards this. The trade sales because this premium product actually becomes part of the trade sales. And precisely over there, our deeper engagement on the ground will help us facilitate it.
Typically, you will know that the premium cement, for example, gives you almost INR200 to INR300 per ton extra realization, and that is what's going to differentiate the leader from the

others. Our target for FY '26 is around 35% on the premium cement.
Moderator: The next question comes from the line of Amit Murarka from Axis Capital.
Amit Murarka: So my first question actually is on ACC. So there were a few like transactions in ACC, which I just wanted to understand better. So one, there was some land purchase under ACC Mineral Resources, which was for about INR680-odd crores. So could you help understand like to what is this land for? And by when can we expect -- I believe new capacities also are planned on this. So some clarity on that, please.
Vinod Bahety: Yes, yes, sure. I think there have been these investments which is coming from ACC. I can actually answer your question on a larger level so that if there are any other questions, which will -- I'm pre-empting it so that it can be replied in one go.
See, overall, for example, in terms of ACC, there has been an outgo of, say, almost INR1,100 crores in terms of the cash balance from INR4,660 crores to INR3,590 crores. Now on top of it, we also had this EBITDA and other income. So if I add to that, then the overall investment is around INR4,500 crores in case of ACC, out of which INR2,300 crores is towards the overall, say, investments in the fixed assets and some of them in CWIP.
This is like a broader number, then I will c

ome to specific items. Then also, there has been a working capital deployment of INR1,300 crores, and this is absolutely to the third -party companies wherein, for example, an early payment to the MSME vendors, then also in terms of the opex vendors which we have also taken a treasury arbitrage .
Then there has been this lease liability payment of INR750 crores, and this is like one area which I will highlight. And then on top of it, it's a dividend payout and tax outgo. So almost like closer to, for example, INR4,500 crores in terms of deployment.
To your question about this land and particular, say, investments, which is closer to about INR690-odd crores, this have been invested especially for the land in the western side of the country where we have plans to set up the grinding units and also acquire the -- we have acquired the coal mines. So this is as a business overall is going to benefi t. This is closer to Chanda. And as I said, the plants are there in terms of the overall coal and plus the grinding unit. So this is like one point.
Second is in terms of the BCFC wagons for Ametha, Kymore, Wadi, ACC has also invested around INR750-odd crores. Then for my Salai Banwa and Sindri, which is like work in progress, some of you would know that ACC is in fairly advanced stages of commissioning them, close to INR500 crores has gone towards the investments around that. Then we have also put in WHRS

investments for Chanda and Wadi II, and we have also put into investments with respect to the overall the coal mines and the BCFC and so on and so forth.
So from a land perspective, this has gone purely from grinding units to the prospect of the coal mines for which the land is required. Now as a business, sometimes we cannot segment out between Ambuja and ACC because as I said, these are like a one single composite business. Sometimes Ambuja will invest and sometimes ACC will invest.
When Ambuja invests, ACC gets the benefit of MSA. When ACC invests, Ambuja gets the benefit of MSA. So this has to be looked upon instead of completely clinically segmenting it. And this is, for example, which will also help you to understand the perspecti ve.
What was your next question, Amit?
Amit Murarka: Yes. So this is helpful. So the land purchases for coal mines largely is w hat I understand then. And some…
Vinod Bahety: Coal mines and the grinding units both actually.
Amit Murarka: Okay. But no clinker plans in this?
Vinod Bahety: There are coal blocks also, they are around Chanda , so 3 of them, so limestone blocks, the grinding units and the coal blocks.
Amit Murarka: Sure. Okay. And also there was some impairment of cement plant …
Moderator: Sorry to interrupt, Amit. I would request you to fall back into the queue if you have any more questions so that the management can answer as many participants as possible.
Amit Murarka: Just this last one if I can. It's related to the earlier question. So there's some impairment also of the cement plant. So I also wanted to understand that what was this impairment for?
Vinod Bahety: Amit, we have also, I think, highlighted that some of the old assets, which are clinker units, but we find now unfeasible are like Barga rh, Chaibasa and the Wadi line number 1, so which we have decided right now to put them off. And therefore, proactively, we are providing for those assets.
If I'm not wrong, it is around close to INR200-odd crores, which is what we have provided. But this is purely like a proactive prudently prudent accounting so that down the line, we will decide not to -- to actually discontinue these assets from a clinking perspective. So far as grinding is

concern ed, Bargarh is right now working from a grinding perspective.
Wadi one line, for reference, we already have started the process of dismantling.
Moderator: The ne

xt question comes from the line of Indrajit Agarwal from CLSA India.
Indrajit Agarwal: I have 2 questions. First, on other financial assets on consol, there is about a INR1,700 crore increase from March last year to this year. So one, what is this related to? And second, on the

land acquisition that you have done in ACC, the grinding unit that you talked about, is it part of the plan to INR140 crores? Or would it be beyond that?
Vinod Bahety: Okay. Let me address to the first question. And in terms of your other financial assets, let me just figure out. So other financial assets, this is closer -- so the numbers which I have right now with me, which is 18, this is the one probably what they're referring to. Just a sec, Indrajit.
Indrajit Agarwal: Yes. I'm looking at the noncurrent part.
Vinod Bahety: With me. So there is an increase in terms of the government grant, which is close to overall increase of INR109 crores. Then there is -- basically, it's more about the fixed deposits, which are getting reclassified between current and noncurrent. So there are 2 components here. One is the fixed deposits. So like from an accounting perspective, if it is with rema ining maturity of, say, more than 12 months, then it gets classified as noncurrent.
So this purely is like an accounting reclassification. But otherwise, then from a government grant receivables perspective, which is also lying here, which is close to about, say, INR109 crores. That's how it is.
Indrajit Agarwal: Okay. This is clear. And on the ACC pipeline of capacity expansion?
Vinod Bahety: Some of these accounting reclassification queries, what I proposed to the team between, say, 4 to -- between 4 to 6, 2 hours also, Deepak and team will be available for any specific questions on accounts and some details, they will be available. The team w ill be available to give you the answers, okay?
Indrajit Agarwal: Okay.
Vinod Bahety: So Deepak number is available to all of you.
Indrajit Agarwal: And sir, on ACC grinding expansion, is it part of 140 or beyond that?
Vinod Bahety: No, no, everyone is very much part of the 140. Right now, my entire capex program is adhering to 140.
Moderator: The next question comes from the line of Navin Sahadeo from ICICI Securities.
Navin Sahadeo: Great commentary indeed, very assuring. Two questions. One is that of the total promoter fund infusion, which was sum of INR20,000 crores, post the -- I think the Orient deal and of course Sanghi, the entire cash deployment is largely done. And also, I think a couple of months back in one of your maybe media interviews, you did mention that Ambuja will focus on more on organic expansions now.
So from that perspective, having deployed the cash and the recent -- I mean, the interview, which I may be mentioning, in general, your view, can we say that the competitive intensity in the industry can be expected to get soften a little bit from here on and overall industry profitability could improve? Or you think that no, there is still room for more M&As and hence, it can be remain volatile?

Vinod Bahety: Navin, very interesting. Thanks. So in fact, the promoters infusion of INR20,000 crores -- and as you know, sum total of all our acquisitions so far after Ambuja and ACC, the enterprise value is almost INR25,000 -plus crores. Therefore, in fact, we have also used the existing cash and cash equivalent for the overall, say, acquisitions, and we are also sitting on a good level of, say, further for the growth prospects.
Now so far as the prospects for the industry is concerned, I would say more than the action of, say, M&A, I think overall demand levers are better in terms of the government spending. The overall cost in

itiatives for the mature companies who are -- whose b alance sheets are basically -
- have the strength to invest will be better, they will have an arbitrage. Therefore, the prospects of the industry definitely looks better.
And to me, FY '26 should be far, far better than FY '25. In fact, FY '25, if you slice it, the first 9 months and the last, say, 3 months, you will find the key differentiations already and that March '25 quarter is also spilling over to now, say, June as well. Therefore, I think the prospects are

better. And with the discipline of, say, overall cost and also the uptick in the demand.

And as I said in my commentary that the premium cement, the overall aspirational demand coming for the good brands, it is there. And with -- and when I look at my brands and my team's strength, they are focusing a lot in terms of the ground network and ove rall leadi ng technology and digitization.

We will differentiate and they will actually augur me very well in terms of the growth versus the industry. So these are like the trends which I am going to look at it. And yes, my focus will be more in terms of the organic growth to achieve this 20 million ton additional, which we are expecting in '26, but not that we are averse to any M&A if it is coming at the right opportunity.

Navin Sahadeo: Understood. My second question was then about the ramp -up of the acquired units of both Penna and Sanghi. And Sanghi, if I understand, it's still -- utilization is still under 60% in the peak quarter like March, having acquired -- I think it's almost the f ifth quarter for that entity. So if you can just throw some light as to how we can see the ramp -up for Sanghi going ahead? And of course, how is Penna doing so far in the ramp -up there?

Vinod Bahety: Penna, I would say we are so happy with the assets of Penna. In terms of my clinker utilization, it is almost 75% to 80%. So far as cement is concerned, the south markets have been sluggish. Therefore, in terms of cement capacity, it may be a little lower than what the clinker capacity has been -- utilization has been. But clinker is doing great from Penna perspective.

So far as Sanghi is concerned, you are right that compared to our own target, we may be a few months behind because more so that it's an island plant, and therefore, we will have to take care of some of the requirements in terms of the power and in terms o f the dredging. And these, like, plants have been , like, not so well maintained.

So it has gone into refractory linings and so on and so forth, I think. But as of now, both the kilns are up and running, and you will see a significant -- already I'm seeing it in the month of April. Sanghi for me is one of the best assets in terms of the cost. It will be my jewel, I tell you, in terms of the overall clinker cost . It will be my hub of clinker.

So Sanghi, for example, it takes time because these are the assets which are sitting on 1,000 million tons of limestone. They have their own typical issues, which are getting addressed. So -- but as a strategy, Sanghi for me is going to be very important. And this year, you will see significant capacity for Sanghi in terms of utilization.

Moderator: The next question comes from the line of Prateek Kumar from Jefferies Group.

Prateek Kumar: Congrats for the results. My first question is on your capex and cash flow position. So your cash flow was INR10,000 crores. So after Orient Cement pay down, what will be the cash position in April? And is there open offer? What is the timing of that? And overall cash also related to Orient Cement, what is the expectation?

Vinod Bahety: Okay. Thank you, Prateek. So in terms of open offer, we have already deposited the entire amount under open offer closer to around INR2,000 crores into SEBI escrow, and we are expecting the SE

BI's clearance of the detailed letter of offer, so that it will move faster. That is one on the open offer. But in terms of the investment, it's already put into the SEBI escrow.

So far as the overall cash flow is concerned post Orient, and as you know, that Orient, we have acquired 46% at closer to overall outflow of around INR5,500 crores, INR5,600 crores. After that, I'm sitting almost now on, say, INR5,000 crores of cash, and this is getting added with improved operating performances every passing month.

On top of it, we also have some of the areas of incentives and some of the taxes which have already got in our favor. So we are sitting on a good level of projection for the cash flows. And therefore, my entire capex for growth will be self -funded and on top of it, I will be sitting on a decent level of closing cash and cash equivalents. So from a cash perspective, we are fairly in a decent position as of now.

Prateek Kumar: So including as an offer payment second, your current cash position would be expected INR500 crores. Your annual capex expectation is around INR10,000 crores outside of that.

Vinod Bahety: No. So I did not -- I could not hear it properly, but your point is whether your open offer amount is outside INR10,000 crores or within -- it is part of this overall, say, INR10,000 crores. Like in April, we have already put into SEBI escrow. So it is part of this INR10,000-odd crores.

Prateek Kumar: No, no. I meant organic capex is over and above this INR5,000 -odd crores which is paid towards Orient Cement, right?

Vinod Bahety: Yes, yes, of course. My organic capex is over and above that, of course.

Prateek Kumar: Right. An d just one last question on the…

Vinod Bahety: And that is what I think that we are operating will be met by the existing cash -and-cash equivalents, then recovery of the working capital block and on top of it, my monthly improved operating cash flows coming from the business.

Prateek Kumar: Right. There is some que stion on the cost, sir…

Moderator: Sorry, Mr. Prateek, those were your 2 questions. I would request you to call back into the queue.
Vinod Bahety: Your voice is not clear. I'm not able to hear properly. Yes, sorry, yes, over to HDFC because I'm not able to hear his voice properly. There is some disturbance.
Moderator: The next question comes from the line of Parvez Qazi from Nuvama Group.
Parvez Qazi: Congratulations for a good set of numbers. So just one question. What would have been the contribution from Penna and Sanghi in terms of volumes in Q4?
Vinod Bahety: So in terms of volumes of Penna and Sanghi, so far as Penna is concerned, Penna's volume together, I would say, like both together is around 1.6 million tons for the quarter of March '25.
There is a mobile -- there is a disturbance again. Can you, someone, switch off the mobile also, please? Yes. So around, say, 1.6 for the quarter, but as I said no, this will ramp up substantially with Sanghi coming into its fullest avatar.
Moderator: Parvez, there is a disturbance at your end. Could you please move to a quieter area? Parvez, are you there? I hope that answers your question.
Parvez Qazi: So, see, 1.6 is for Penna or Sanghi? I'm sorry, they both…
Vinod Bahety: It is both together. I will not give you specific details, but it is for both together, it is there. I can come back to you with specific, but on an overall basis, it is 1.6.
Moderator: The next question comes from the line of Sumangal Nevatia from Kotak Securities.
Sumangal Nevatia: Sir, the first question is on the capex . Can you just share for FY '26 and '27 for our existing ongoing, what would be our organic capex ? And broadly, if one could split between projects -- not projects, but on expansions on WHRS, on overall renewable, some breakup?
Vinod Bahety: Sumangal, in te

rms of capex , let us say the growth capex is closer to around INR6,000 crores.
And so far as my efficiency capexes are concerned, let us say, between INR2,500 crores to INR3,000 -odd crores, so we are looking at closer to, say, INR9,000 -odd crores. Some of them are discrete and some of them are ongoing.
So as you know that -- and I mentioned to you around 18 million tons of cement, which will be coming. So one component of this capex out of this INR6,000 crores capex will be that part.
Now so in terms of my efficiency capexes , it will be primarily with respect to the WHRS, the BCFC rates. In terms of my growth capexes , I mentioned to you about the geos, which we are looking at to achieve closing or commissioning this year and some of the clinker units.
The clinker unit will be Bhatapara, Maratha and Marwar Mundwa and also the Mundra. So the Mundra petchem also is now progressing very well. So these are the 4 lines of clinker. And in terms of grinding, Warisaliganj, Naultha , Salai Banwa, Bhatinda, Raigarh, these are all part of the 140 million tons of capacity. And couple of more will also come. This is the progress which we achieved in terms of the land acquisitions and all. So this is in substance about the capex for FY '26 expected.

Sumangal Nevatia: Okay. And si r, maintenance will be around…
Moderator: Sorry to interrupt, Sumangal, that was your question. I would request you to fall back in the queue for more questions. Thank you.
The next question comes from the line of Ashish Jain from Macquarie India.
Ashish Jain: Sir, on the capacity for ACC, which -- the clinker capacity, which you think will be dismantled, what is the total capacity for the 3 plants put together? And the second part of the same question is then versus the 89 million ton clinker capacity that we are indicating in the presentation, does it include any further expansion which is currently not listed there? Or the real number will be lower than 89 once you scrap the 3 plants?
Vinod Bahety: No. So in terms of -- let us first address in terms of the capacity for, let us say, Wadi I, it is around, say, 1 million tons. So far as Bargarh is concerned, also like 1 million. And so far as Chaibasa is concerned, around 0.6 million. So altogether, say, 2 or 2.5 million. And when we say 89 million for FY '28, this is already after factoring in this -- basically reduction of these capacities. This is part of the whole plan of 140 million tons journey.
Ashish, does it answer your question?
Ashish Jain: Yes. Sir, it does.
Moderator: The next question comes from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Yes. Sir, 2, 3 things. First, the INR3,650 cost reduction that we are talking, what's the number for fourth quarter for that or maybe for FY '25?

Vinod Bahety: So far as the fourth quarter number is concerned, we are actually at closer to INR4,250 a ton, right? So we are -- in a way, we should be higher of, say, around INR500 as of now. But this is like a variable which keeps moving. So this INR4,200 is what we'll be moving to INR3,650 with all the investment what we are planning to.
Shravan Shah: Okay. Got it. And second, on the incentive part…
Moderator: Sorry to interrupt. Following that question, I would request you to fall back into the queue for more questions.
The next question comes from the line of Ritesh Shah from Investec.
Ritesh Shah: Sir, what is the industry level supply that we are looking at for next 2 fiscals? The average number would also do fine.
Vinod Bahety: So, Ritesh, I will actually stretch myself to, let us say, up to 2030. And to me, industry supply will be at, say, 6% CAGR while demand will be at 7% to 7.5% CAGR. And therefore, I am at least bullish in terms of demand outpacing supplies. And therefore, w e should have a good level of c

apacity utilization and holding up of the prices with a positive uptick.

So these are like we should be targeting to, let us say, hit around, say, 950 million tons of cement capacity by 2030. And versus that, while demand overall in absolute terms will be lesser, but the overall growth, it will be bridging closer to the industry. So if I do a math, so far, 65% is what, say, industry capacity versus demand, but this w ill inch towards getting closer to 67%, 68% at the industry -wide level. This is like my reading for the next 4, 5 years.
Moderator: The next question comes from the line of Satyadeep Jain from Ambit Capital.
Satyadeep Jain: Just want to check on, follow up on the question around impairment. How long have these plants been non-operational ? What has been the main reason? And when you look at some of the other assets ACC has, are you confident that Lakheri, Kymore and all will also not have some impairments in the next couple of years?
Vinod Bahety: Thank you, Satyadeep. I think Kymore is one of the best assets. I just was there recently 2 days back. There is no per se any thoughts of anything on that. It's like 100 -plus years of plant. But as you know, that we already have invested into overall up gradation of this plant. So generally, when you have the limestones, so Kymore, Ametha are like neighboring plants and with sizable limestone reserves. So that is, for example, you should allay any kind of concerns over there.
So far as these 3 assets which I have mentioned, they have been -- basically, they are always an opportunistic asset depending on at what price of coal and therefore, what is the clinker cost, which you are able to get. And generally, now that we are putti ng up almost 10,000 to 12,000 TPD of clinkering units, therefore the cost arbitrage will be much higher for these new assets compar ed to some of these old assets.
So we have been using them for some of the quarters, which is the opportunity. But in long run, we had always thought that we will have to redefine our strategy around it. And therefore, now we have taken a holistic call to do a proactive provisioning for these assets. The assets can be still operated if the coal prices c omes down heavily, for example.
So these are all like opportunities which are available. But as a long -term strategy, we think that the new assets which we are putting are substantially competitive as compared to these old assets. Therefore, we'll have to upgrade ourselves on that.
On the Lakheri part, again, for example, Lakheri is, as of now, for example, doing very well. Although it is one of the oldest assets in the ACC setup, but it is doing again very well given the market and all. So per se, this will also continue to operate till the time we find it is adding value. And for right now, it is adding very good value.
Satyadeep Jain: And what's the strategy for northeast, sir, given the limestone you've acquired there?
Vinod Bahety: So as you know, we have acquired the limestone and therefore, like, of course, we will evaluate in due course in terms of the strategy. We already are serving the market through our plants from Bengal, Farakka and Sankrail. So there is a very huge good pop ularity and demand for ACC and Ambuja, and that is a very positive thing for us and natural choice for us to move into looking up for a unit. So right now, we have just taken the limestone reserves, but we'll come to specific plans in due cou rse.

Moderator: The next question comes from the line of Pulkit Patni from Goldman Sachs.
Pulkit Patni: Sir, if you could just talk about exit capacity utilization for Sanghi, Penna and Orient, that will be helpful.

Vinod Bahety: Exit for FY '26, I have the number.

Pulkit Patni: No, FY '25.

Vinod Bahety: Okay. FY '25. So far as FY '25 is concerned, Sanghi is around 40% to 45%. So far as Penna is concerned, as I said, clinker is at a very good levels of 75%, 80%. And so far as cement is concerned, it is also hovering around, say, 45% to 50%. And so far as O rient is concerned, it's a listed company, you would know, b t it is hovering between 60% to 75%.

Moderator: The next question comes from the line of Hiten Boricha from Sequent Investments.

Hiten Boricha: Sir, my question is on the profitability. So last couple of days, our peers have been reporting the numbers and have been looking at their profitability. So especially the question was on the EBITDA per ton. So our recent peer has reported our EBITDA per ton in around 4 -digit numbers. And we are looking at mostly our capacity is pan -India. When our peers currently, I can name Dalmia Bharat, which has mostly capacity in the south where there has been more pricing issue.

Then to the EBITDA per ton of this company is around INR1,000 per ton. So if you can comment on that, how are we looking to increase? I know you have given sort of like roadmap for like 2, 3 years, but if you can give some color on that.

Vinod Bahety: The bulk is good. Like in terms of Dalmia, if you have seen, since you have specifically highlighted his name. So like you will know that Dalmia's overall ratio on the AFR and W HRS, especially on the AFR, they have a very healthy ratio. And the cost of fuel, therefore, for them is an advantage, which is a matter of time for us also now that we are already having a pipeline of all the AFR assets. And I told you, we are targeting ar ound 75% at the overall, say, business level.

And therefore, what -- for example, during Holcim days, what they have not done the investment and the other players did the investment, it's a matter of like time, timing gap, actually, which we will also achieve it. So far as -- so that does it answer yo ur question in terms of, therefore, the cost part? So you look at the cost part and you will find the answer.

So far as price is concerned, matter of time, like I'm like so far, prices of south was there, it was beaten till December. If you see the March quarter, the delta performance improvement of Ambuja Consol, which is almost, like, INR400 EBITDA, you have not seen this in any other leading companies' improvement. So you look at the quarter -on-quarter, December quarter versus March quarter, you will see that the delta improvement of Ambuja is far, far better and larger compared to any ot her larger company.

Hiten Boricha: Okay. And sir, you also mentioned something like…

Moderator: Sorry to interrupt, Hiten. That was your question. I would request you to fall back in the queue. The next question comes from the line of Pankaj Tibrewal from IKIGAI Asset Manager.

Pankaj Tibrewal: Congratulations to Mr. Bahety on the elevation and congrats on good numbers. Just can you give us a flavor on the pricing across pan -India? And what's your view in overall pricing terms, whether it be south or north? And how do you see the scenario going f orward?

Vinod Bahety: Good question, Pankaj. Like price is the biggest value driver in our industry. And like if you look at from December to March, different companies have already given the numbers. So the prices have improved price per bag between INR7 to INR10, for example. And as we move into, say, this financial year, again you are seeing a healthy trend on the price, which is better than what people have achieved in March.

So prices in last 4 months, I will say that there's a good momentum backed by a buoyancy in the demand in the government capex spending and overall, say, consumption markets of the cement . So far as the pockets are concerned, pockets, for example, like overall, it

is healthy, but you will see a good imp rovement in, say, south market.

You have seen some good improvement in, say, central to western market. But eastern are a little subdued or for that matter, even north is a little subdued. But when I say subdued, maybe not as good as south because south has seen a substantial fall. There fore, the delta will be a little higher and better in terms of percentage. But overall, at the country level, if you take a weighted average, we are seeing a good healthy traction on the prices.

Pankaj Tibrewal: And the second question is that you have done a few acquisitions in the last 12 to 18 months. Do you think from a company perspective, we'll digest those acquisitions, consolidate and then move forward? The traits of a great leader is that. And now the cap acities are there. So from a cultural perspective, from plant efficiency perspective, do you think this year will be a year, FY '26, more of consolidation rather than being aggressive on acquisition?

Vinod Bahety: Pankaj, we highlighted that for FY '26, I think our key focus is and remains on the organic growth. And of course, you are right that in terms of consolidation, in terms of the overall

integration, and we are in a very strong now ground in terms of integra tion. I mentioned to you, Sanghi. I highlighted about Penna. Orient is one of the best, for exa mple, asset which we have seen.
And therefore, integration of these companies is natural because we are an acquired business. And we have actually tested the success of integration right from Ambuja and ACC. They were the giants who were operating as an independent company, and you'll see that how well it has been now ach ieved in terms of integration.
And therefore, these smaller companies are going to be much easier and much better. And those employees are looking forward now that they are part of a 100 million tons cement capacity platform. From where they were like 4 million to 5 million or 8 million tons, I think now they're in a much, much larger platform. And in fact, I will get a lot of advantage on cost, on logistics and the motivation levels are very high.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing comments.
Deepak Balwani: Thank you. I hope most of the questions have been answered, and we are available to discuss it separately between 4:00 to 6:00 p m. You have my number. Please call me separately for unanswered queries.
Vinod Bahety: Thank you, friends again. It is my pleasure that on this quarter, which is special, achieving 100 million capacity milestone is always special. And thank you that we are part of this journey.
Look forward to achieve many more such successful milestones. Th ank you again.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of HDFC Securities Limited, that concludes this conference. You may now disconnect your lines.
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Note: This transcript has been edited to improve readability

Call: Aug 2025

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6th August 2025
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Scrip Code: ACC BSE Limited
Scrip Code: 500410
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ub: Transcript of Earning Call pertaining to the Unaudited Financial Results of
the Company for the Quarter ended on 30th June 2025.
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ontinuation of our letter dated 18th July 2025 and 31st July 2025 regarding
Analyst / Institutional call scheduled on 31st July 2025 the transcript of the
earnings conference call on the Unaudited Financial Results (Standalone &
Consolidated) for the quarter ended on 30th June 2025 is uploaded on the website
of the Company at www.acclimited.com .
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Industries
Q1 FY '2 6 Earnings Conference Call
July 31 , 202 5

MANAGEMENT

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2 - Ms. Nidhi - Moderator :

- Ladies and gentlemen, good day and welcome to the Ambuja Cements Limited Q1 F Y26
Investor Call hosted by Prabhudas Lilladher Pvt. Ltd. As a reminder, all participant lines
will be in the listen -only mode and there will be an opportunity for you to ask questions
after the presentation concludes. Should you n eed assistance during the confer ence call,
please signal an operator by pressing star and then zero on your touch -tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Satyam Kesarwani. Thank you and over to you, sir.

- Mr. Satyam Kesarwani - Equity Research Associate, Prabhudas Lilladher Pvt. Ltd. :

- Thank you Nidhi. Good evening and a very warm welcome to everybody. On behalf of PL Capital, I am pleased to welcome you all to the earnings call of Ambuja Cements for the first quarter of financial year 2026. We are very happy to have the management with us today for the Q&A session with the investment community. The management is represented by Mr. Vinod Bahety , CEO, Ambuja Cements, Mr. R akesh Tiwari, CFO, Mr. Deepak Balwani, Head of Investor Relations.

- We will begin with the opening remarks from the management followed by an interactive Q&A session. With this, I hand over the call to Mr. Deepak Balwani. Over to you Sir.

- Mr. Deepak Balwani – Head of Investor Relations, Ambuja Cements Ltd.:

- Thank you. On behalf of Ambuja Cements , I am pleased to welcome all participants to our earnings call for the first quarter of FY 2026. Ambuja Cements is the ninth largest building material solution company globally and part of the diversified Adani portfolio. Ambuja Cements is one of the four large -scale cement companies globally and the only one in India to have its science based net zero and near -term targets validated by the SBTi.

- Before we start, please note that this call may include forward -looking statements based on our current beliefs and expectations. These are not guarantees of future performance and may involve unforeseen risk and uncertainty.

- We are pleased to have with us on the call, Mr. Vinod Bahety , Chief Executive Officer and Mr. R akesh Tiwar i, Chief Financial Officer. Now I invite Mr. Bahety to provide his valuable insights on the quarterly performance.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Thank you Deepak. Good evening and a warm welcome to all of you joining u s for the first quarter of FY 26 earnings call. Ambuja Cements started this fiscal year on a high 3 note. Our momentum is built on strong value focus, robust volume growth, price improvement, deeper channel engagement, premium product sales improvement, agile supply chain, str onger brand pool, market across and smart cost efficiencies, amplified by seamless integration of Orient Cement, which we acquired in April 25.

- We have reimagined business fundamentals. This has helped us achieve the highest revenue in a qu arter, highest quarterly EBITDA and improve our market share by 2%. Our channel network is vibrant, our assets are reliable more, our efficiencies have improved and our EBITDA gains are well noteworthy. This sets a bold tone for the year ahead as we scale with purpose and precision. We are up on our demand estimates by 1% from 6 -7% before to now 7 -8%.

- Our consolidated financial performance highlights for the quarter are as under - Highest ever sales volume of 18.4 million tonnes, up 20% YOY with market share up 2% to 15.5% . Revenue crossed 10,000 crores mark at Rs.10,289 crores, up 23% YOY with price gain of 4% supported by higher share of premium products as a percentage of trade sales which is now at 33% , up by 43 % YOY. Cost has improved by Rs. 119 per metric tonne YOY. This has also supported in achieving the highest quarterly EBITDA at Rs.1,961 crores . EBITDA per metric tonne of cement at Rs.1,069 of 28% YOY and EBITD

A margin
stood at 19.1% , up 3.8% and we have a blueprint to ach ieve our targeted EBITDA of Rs.1,500 per metric tonne by 2028. P AT, we have achieved at Rs.970 crores , up 24% YOY. Earning per share at 3.20 , up 22% YOY and net worth stood at Rs. 66,436 crores and we continue to remain debt free.

- Our rating remains highest at CRISIL AAA stable and A1 plus ratings.

- In the best interest of time, I am not going to discuss the standalone financial performance of the listed companies separately as they are available on the stock exchanges. The merger of Adani Cementation Industries Limited has received all the statutory approvals. For Sanghi and Penna, we have received approvals from both the exchanges BSE and NSE and further process of completion is ongoing.

- We continue to make decisive strides in operational excellence in the quarter. Some of them are as under. We are proud to be the lead cement supplier for the world's highest single arc Chenab Railway Bridge which speaks volumes of our product quality and trust. For the fourth year in a row, TRA Research has recognized us as the most trusted cement brand. This brand equity is also immensely supporting in terms of volume improvement and price improvements. Our privileged exclusive partnership with CREDAI has gone very well. Continu ing this, we have launched NirmA Anotsav program along with CREDAI wherein the first event took place in Ahmedabad and this will be hosted in almost 20 plus cities going forward in this financial year.

- Our supply chain is becoming smarter, leaner and agile with AI enabled technology . We are proud to be the firs t in the industry to adopt Digip in.

- We commissioned 5 million tonnes of grinding capacity over the last 3 months and target additional , another 13 million tonnes this financial year. We are getting younger with new assets, digitally smart platforms and latest cohort of future young leaders fueling a culture of continuous innovation and excellence. Digitalization initiatives continue to be a focus area leveraging the business growth with strong focus on EBITDA maximization, AI driven advanced business and cost optimizer tools, end -to-end seaml ess applications of channel partners and the plants of future concept is progressing very well.

- On growth and journey expansion, our total cement capacity currently stands at 104.5 million tonnes. In our larger aim of achieving 140 million tonnes by FY28, we are well poised to achieve 118 million tonnes by end of FY26 powered by our strategic brownfield expansions across v arious sites including Bhattapad a, Salai Banwa, Dahej, Marwad, Kalamboli, Krishnapatnam, B hatinda, Jodhpur and Warishali Ganj. Our disciplined capex management is ensuring these timelines are made efficiently enabling us to deliver both scale and profitability.

- On the cost leadership, our targeted cost reduction journey with the planned initiatives primarily envisages reduction in power and fuel cost, logistics cost and raw materials cost optimization. We have one of the lowest manpower cost at Rs. 223 per metric tonne amongst the peers in the industry.

- Green power share uptake with every passing quarter . It improved by 9.7% to 28.1% and it is targeted to reach 60% by FY28. This will reduce the existing power cost which is aroun d Rs.5.9 per unit to almost Rs. 4.5 per unit by FY28. The power consumption per metric tonne of cement also is expected to improve by at least 5 units. This is the efficiency of the new assets and the efficiency improvement of the existing assets. Coal cost ha s improved from Rs.1.73 to Rs. 1.59 per 1000 k ilo calories and expected to sustain near these levels. Importantly, the heat consum ption will improve by at least 35 to 40 kilo calorie per kg of clinker for the various initiatives outlined including mix of the new kilns.

- Primary lead distance reduced by 8 km this quarter at 269 km and is expe

cted to further
reduce by almost 50 km when we achieve 140 million tonnes by FY28. This will help to reduce the logistics cost by almost Rs.150 per metric tonne , also supported by a higher component of rail and sea logistics. Currently, our cost is almost around say, Rs.3 tonne per km.

- On the ESG leadership, sustainability remains our strategic operating system as we are India's only and globally the fourth large -scale cement company to have our science - based net zero and near -term targets validated by SBTI. We have commissioned 473 megawatt of renewable energy out of 1000 megawatt , achieving almost 28%. As I mentioned earlier, we want to achieve 60% by FY28.

- Our green power share has risen consistently and improved by 9.7% this quarter. We remain an industry leader, achieving 12 times water positivity, 11 times plastic negativity, exemplifying responsible stewardship. We continue active global collaborations w ith WEF, GC, CA, UNGC and AFID, reinforcing our commitment to setting and achieving ambitious environmental goals.

- On the community and social impact, we continue to positively impact our community through engagement initiatives in education, healthcare, livelihood and infrastructure. We are upskilling our communities through robotic labs, drone labs, rural KPOs, youth skilling, women empowerment, creating a blueprint for our inclusive growth. Making the new era of a holistic education in the presence of our board members, we inaugurated a new building of DAV, the ACC Public S chool, Kalpashila and a heritage wing at our Kymore plant. Through the Adani Vidya Daan initiative, our leadership continues to inspire and shape the future of more than 10,000 students across the Adani Vidya Mandirs, Tezi campus institutions at our plants.

- In the first quarter of 26, we accelerated our efforts to build, recognize and purpose - driven partnerships across our network. CEO se Samvad , a direct engagement platform with channel partners and contractors, has deepened trust through open dialogue, recognition and shared growth. These efforts have sparked a strong homecoming of more than 500 dealers , strengthening our distribution network and reaffirming the mutual confidence. Adani's certified technology, ACP, was implemented at more than 21,000 custome r sites, enhancing the construction reliability and technical superiority, making a significant milestone in scalable impact and customer trust. With more than 325 scale building workshops conducted, we have empowered almost 9,000 plus contractors creating ripple effects in quality, safety and upskilling across the regions.

- CEO Club, a first -of-its-kind recognition platform in the industry, now anchors top - performing channel partners and contractors into a unified community. Through certified training, plant visits, safety gear distribution and family -focused experiences, we are building a family of builders aligned wi th our vision. Dhan Varsha Grah Lakshmi Saubhagya Awards embodied emotional intelligence in action. This hybrid celebration brought together over 50,000 plus families of our dealers, merging performance with purp ose and laying foundations for enduring relationships beyond the balance sheet. Coincidentally, today also we have a program which is for our influencers , which will see more than 25,000 influencers online and offline coming together to celebrate a program similar to Dhan Varsha.

- On the industry outlook, cement demand grew by almost 4% Y -on-Y in first quarter FY26, driven by Pradhan Mantri Awas Yojana, Pradhan Mantri Sadak Yojana, Bharat Mala, Sag ar Mala and other INSA projects a nd we remain bullish for this financial year. We are upping our demand estimate by 1% from earlier 6 -7% to now 7 -8%.

6 - I now invite our CFO Rakesh to detail our financials in detail further. Thank you.

- Mr. Rakesh Tiwari – Chief Financial Officer, Ambuja Cements Ltd.:

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Thank you Vinod for giving such a strategic and comprehensive outline for Ambuja Cements . It was really great.

- Good afternoon, ladies and gentlemen. It's a pleasure to connect with you all at this pivotal junction in our growth journey. Over the last few quarters, we have consistently articulated our sharp focus on four key pillars, growth, cost leadership, ESG and stakeholder value creation and I'm pleased to share that Q1 financial year 26 has reinforced our conviction and momentum across all these dimensions.

- Our cement capacity has now reached 10 4.5 MTPA following the successful commissioning of Sankrail and Sindhri Brownfield Grinding Unit. We remain firmly on track to scale up to 118 MTPA by March 26 and 140 MTPA by FY28.

- Our inorganic growth story strategy is progressing seamle ssly. Sanghi, A sian, Tuticorin, Penna and more recently, Orient, which we have successfully integrated. The results were out a few days back, accelerating our market presence all across the geographies. Integrating synergies are being realized ahead of schedules, validating our disciplined M&A playbook. Alongside M&A, our Greenfield and Brownfield projects are designed with an emphasis on long -term competitiveness and roughly close to 40% of our capacity now falls under new generation assets that are optimized for capital eff iciency, lower op -ex costs, increased use of renewable energy and improved logistics, including rail infrastructure. In this quarter of 26, we commissioned 57.7 megawatt of wind energy, taking our total renewable power to 473 megawatt . Additionally, our WHRS capacity stands at 228 megawatt . Together, our green energy is contributing close to 28.1%, underscoring our position as a sustainable leader in India.

- We are also laying a strong digital foundation for the future. Our end -to-end digitization of the value chain, from qu arry to lorry , is yielding measurable operational benefits and improving EBITDA delivery. Our Cements Network Operating Center, which is live at our headquarters, is growing in scope, enabling predictive analysis, real -time visibility and agile decision -making. So this is a transformative journey and I am proud that Ambuja is at the forefront of making th is traditional industry younger, smarter and more efficient.

- We continue to maintain a fortress balance sheet. As of quarter 1 financial year 26 , our net worth stands at 66,500 crore, up from 63,811 crore in March 25. We still are debt - free with AAA ratings, giving us a lot of headroom to fuel growth and return value to the shareholders.

- To conclude, Ambuja is uniquely positioned at the intersection of capacity growth, margin expansion, digital evolution and ESG leadership. As the industry enters an
7 exciting new phase, we are confident that our strategy and execution will drive superior stakeholder returns in the quarter and years ahead. With that, I now hand over back to Deepak.

- Mr. Deepak Balwani – Head of Investor Relations, Ambuja Cements Ltd.:

- Yeah Nidhi, we can open the call for Q&A.

- Ms. Nidhi - Moderator :

- Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press star and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Rahul Gupta from Morgan Stanley. Please go ahead.

- Mr. Rahul Gupta – Morgan Stanley:

- Hi, thank you for taking my question. My first question is , if we look at on a sequential basis, there is a sudden increase in power and fuel logistics and other opex , even adjusted for volumes. Can you please help us understand in detail what's happening over here? Thank you. That's my firs

t question.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Rahul, I am presuming you are referring to consolidated financi als, right?

- Mr. Rahul Gupta – Morgan Stanley:

- Yes.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Okay. If yo u actually refer to Rahul and I am not sure which line items you are referring to because there is an overall reduction in terms of the power and fuel and raw material on a y -on-y basis. If you go to slide number 12 of the investor presentation.

- Mr. Rahul Gupta – Morgan Stanley:

- I am looking at slide 19 and I am more concerned about quarter -on-quarter changes. Any color on that will be very helpful.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:
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- Let me just go to slide 19 of the investor deck.

- Mr. Rahul Gupta – Morgan Stanley:

- Yes, that's right.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Okay. Let me just pull the particular slide, Rahul. Again, if you refer to slide 19, there is a reduction in …… the only point which is the 'other expense ' is 12%. Otherwise, there is a reduction in all the other items, Rahul?

- Mr. Rahul Gupta – Morgan Stanley:

- Not really. If you look at power and fuel, it has moved from 1263 to 1367.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- That you are comparing q -on-q while I was referring to y -on-y. In terms of q -on-q also, Rahul, for example, when i t was 1263 for the last quarter and with for example, when you have these acquired assets, especially when you have now Orient also, there will be some disruption on the overall say, cost compared to say, March. In March, for example, you did not have Orient and now you have, say, Orient.

- Second is, if you also notice, the fuel cost, in fact, has come down from 1.7 3 to 1.5 9 actually. The second element of cost, which is the power cost, over there I have highlighted that we have a higher, as of now, consumption of the power units. Some of these again, acquired assets have that but there is a good opportunity for us to reduce by at least five units minimum in coming quarters in terms of the power consumpti on. So both this power and fuel basically will come back to the sequential numbers very soon.

- In terms of the fuel, for example, we have demonstrated a sharp reduction by almost, say, 20 basis points this qu arter compared to last quarter and prospectively also, I am sustaining myself at those levels. So this is like , one time when you have a quarter , when you have an acquired asset. Otherwise, you will have quite sustainable numbers on this front.

- Coming to the other expenses, where, for example, my overall branding and sales and promotion expenses, we actually are investing into our marketing and brand expenses and our supply chain network. And you have seen some uptake over there.

9 - And on top of it, the Orient asset also, for example, when you have acquired, it has also actually added to my overall other expenses. So this quarter, you will have to look at the color of Orient being acquired and consolidated as compared to the previous quarter. But on a y -on-y basis, you will see all of them are on a really healthy trend, even with the Orient acquisition.

- Mr. Rahul Gupta – Morgan Stanley:

- No, I understand. Thank you for the color that this is because of Orient acquisition a nd that's exactly why I want to understand this. What would be this number without Orient? Because, see, Orient would not be that big in the overall console numbers perspective, right? So any color from that perspective would be very helpful. And second, by when should we expect this number to normalize to pre -Orient acquisition levels? Thank you. These are my questions.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah. No, I think coming to this quarter itself, you will see a sharp improvement on that. And in terms of my outline also, when I said that

now the assets have started generating, giving us good results, for example, my power costing with the renewables push this quarter has come do wn. So this quarter itself, you will see a good level of improvement in terms of sequential quarter. So that is how, for example, when we have this acquisition and when we have this integration, it will take you a couple of months here and there. But if you look at the volume part and that is like very interesting, and all of my, for example, therefore, this acquired assets have done very well in terms of the volume part. So integration has gone ve ry well in terms of the revenue and therefore, you have seen a 20% jump on the volume part. And so far as the costs are concerned, like this quarter itself, you will see a good level of stabilizing there.

- Mr. Rahul Gupta – Morgan Stanley:

- Got it. Just for the bookkeeping, what would be volumes out of Orient business this quarter?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- No, I would refrain doing that because we, for example, as we have highlighted, overall 18.4 million ton nes, because Orient and all these are part of the MSAs and therefore, per se, Orient does not have its own, say, direct sales because we have migrated from Orient brand to now Ambuja and ACC. But I am happy to say that these assets, for example, are operating at a very healthy level , at clinker and cement both, and therefore, on an overall basis, we have a good, healthy utilization of the cement capacity.

10 - Mr. Rahul Gupta – Morgan Stanley:

- Great! Thank you so much. Just one final question. On an unadjusted basis, your volume grew by 20% year -on-year. Now, when you say that industry gre w by 4%, where would be Ambuja C onsole compared to that 4% for the industry?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Ambuja C onsole is what we have said, the 20% overall improvement.

- Mr. Rahul Gupta – Morgan Stanley:

- Yeah, but that's unadjusted, right? I mean, for fair comparison, when industry grew by 4%, then ……..

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Okay, let us see. Thi s is unadjusted here, right? So if I adjust and if I only consider Ambuja and ACC erstwhile capacity, it comes to almost 13%.

- Mr. Rahul Gupta – Morgan Stanley:

- Got it. Thank you so much. This is very helpful.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Thank you.

- Ms. Nidhi - Moderator :

- Thank you. Ladies and gentlemen, please limit to two questions per participant and rejoin the queue for the follow -up question. The next question is from the line of Atishy Rathi from J.P. Morgan. Please go ahead.

- Mr. Atishy Rathi – J.P.Morgan:

- Yeah, hi. Thank you for the opportunity. I just had one question. This is pertain ing to slide 18 of the deck. So I noticed that the same volume on a consolidated basis is 18.2 for the last quarter in the deck. But if I look at the last quarter's deck, the number was at 18.7 and the EBITDA , on the EBITDA, total EBITDA hasn't changed. So just trying to understand how do I, how should I reconcile the two numbers?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

11 - Yeah, hi. Thanks. So basically what we have done , because so far CLC, which is like clinker plus cement, both were considered but we are not in the business of selling clinker. We are more in the business of cement and therefore like all the other

competitors, we also now will move into reporting in term s of factor of cement and therefore, for example, what we have done is also for the March, 18.2 is the cement sale. The difference between cement and clinker at 0.5 , primarily is actually for the CLC factor and therefore 18.4 when I a m saying is purely a cement sale . There is no clinker factor here. That's how the whole basically calculation is.

- Mr. Atishy Rathi – J.P. Morgan:

- Understood. Thank you so much.

- Mr. Vi

nod Bahety - CEO, Ambuja Cements Ltd.:

- Thank you. And that is how all the other industry players what I understand, they do it and that's how we have also recalibrated and put it on basis of the cement volumes and therefore EBITDA and everything as a factor of cement.

- Mr. Atishy Rathi – J.P. Morgan:

- Understood. Thank you so much.

- Ms. Nidhi - Moderator :

- Thank you. The next question is from the line of Harsh Mittal from MK Global. Please go ahead.

- Mr. Harsh Mittal – MK Global:

- Thank you for the opportunity. Good evening. Firstly, congratulations to the management for a great set of numbers. So my question was pertaining towards the earlier participant ’s concern on the volume front. So continuing with his statement, if I just exclude Orient's and P enna Cement's volume in this quarter, we are standing at around 1 -1.5% of volume growth YOY. Is it a fair set of assumptions, sir?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- No, no, no. Absolutely not! In fact, as I said, if I adjust, for example, the acquired assets, I am sitting on still a very good healthy volume growth of 13%.

- Mr. Harsh Mittal – MK Global:

12 - So what would be the volume for Penna Cement this quarter, if you can just share that number?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Penna, Orient, Sanghi for example, as a fact, for example, we are at 18.4 million ton nes for a capacity which has now gone up to 105 and you can safely assume that the average capacity would have been almost 95. So therefore, on an overall capacity utilization, I am around 77 -78%. So please allow me to give a larger volume instead of going with, because all of these are companies under the MSA, so it will be inappropriate to give you for individual unlisted compan y. It will be better to speak on a console v olume and a console capacity. I can give you this number that around 78% is the capacity utilization.

- Mr. Harsh Mittal – MK Global:

- So that was my question. Thank you.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah, so this will answer you and now you can do your math actually.

- Mr. Harsh Mittal – MK Global:

- Yes.

- Ms. Nidhi - Moderator :

- Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

- Mr. Amit Murarka – Axis Capital:

- Yeah. Hi. Thanks for the opportunity. So the first question is on capacities. I see that the timelines are no longer indicated in the presentation. So what is the commissioning for each of those capacities which you were giving earlier? So like what is the updated timeline now? If you can throw some light on that?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Okay. Amit, perhaps I think because we are actually hitting now, so out of the earlier we used to indicat e almost like 18 million tonnes out of which 5 has already been achieved. So 13 is also in fairly advanced stages of each passing month. I'm going to announce the commissioning. So I can tell you that this quarter , you will see some of these capacities 13 and by, for example December , most of my capacities will be there including Salai Banwa , Penna Jodhpur, the Bhattapad a and couple of more. And then by March , whatever we have indicated here is what, for example, we are going to achieve. So 118 million by fiscal year FY26 is there to be achieved.

- Mr. Amit Murarka – Axis Capital:

- Sure! Got it. And Bhattapada , like, is facing some delays, is what I understand, because I remember, right, you had earlier indicated March 25 as commissioning. So, like, why is it getting delayed? I mean, frankly like, concern is more around, because what I understand is that the Chinese equipments is what these plants are based on and we have been reading that Chinese engineers are not bei ng allowed into the country. So is it something to do with that or like, is there

any other issue over here?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- No, no, per se, not, I mean, like, in fact, we already have this particular company who has, who is the vendor which you are referring to, already, like, a vendor to us for a couple of our other assets. So we do not see any issue on that. This March, what you are indicating is something which is our management target and so far as but….. the outline timing is concerned, w e are well on that. I do not see any, per se, any issues over there. So to rest you on any anxiety, no concerns on the vendor, no concerns on the execution and completion. Of course, projects of this scale, for example, when you have a brownfield expansion, a couple of months here and there, because you are operating for, you are actually executing in an established estate, which is also, should not be dera iled in any form and manner. So these are, like, very nominal months, couple of months here and there. I do not see any issue or any anxiety over there.

- Mr. Amit Murarka – Axis Capital:

- No, thanks for clarifying that. Very comforting. Also, you could provide, like, the cash position at the end of June.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So Amit, we can pick up from where we left and I thin k March end was almost 10,2 50 odd crores, if I remember. And from there, for example, when I look at the overall, say, cash flow, we are sitting right now closer to 3,000 odd crores. And this includes the overall acquisition of, say, Orient, then also my capex of almost 2,000 crores, which has been for the June quarter, then almost 600 CR, 550 to be precise, for the dividend and so on and so forth. So overall, basically, right now, we are holding 3,000 od d crores of cash and cash equivalent. Yeah?

- Mr. Amit Murarka – Axis Capital:

- Sure. And lastly, what was the effective date of Orient acquisition?

- Ms. Nidhi - Moderator :

- Sir, sorry to interrupt but I request you to rejoin the queue for the follow -up question.

- Mr. Amit Murarka – Axis Capital:

- Sure, sure. Thank you.

- Ms. Nidhi - Moderator :

- Thank you so much. Thank you. The next question is from the line of Naveen Rameshwar Sahadev from ICICI Securities. Please go ahead.

- Mr. Naveen Sahadev – ICICI Securities:

- Yeah, yeah. Good evening. Good evening, Vinod ji, Rakeshji. Thank you for the opportunity. Two questions and I think that is similar to what Amit was trying to ask. Is the expected date for Orient is 22nd Apr il to be merged or consolidated or will it be 18th June to understand the, like, you know, integration better?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah, Naveen, it is 22nd April.

- Mr. Naveen Sahadev – ICICI Securities:

- Understood sir. And my second question was on the overall, like, you know, cash outflo w towards capacity creation. So as you mentioned, current cash balanc e is more like 3,000 crores. So just wanted to understand, how much do we have to pay for Penna? Because I believe there was some retention money and of course, subject to the capacities which were to get commissioned. So to answer the question is, how much money for PENNA is likely to be paid? I am assuming it will happen this year. And when will these P ENNA capacities, especially the clinker in North, will come on board?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So Naveen, clinker should be coming to us, you know, let us say, Q2 itself, by the end of September. And so far as then, there are a couple of other assets like Krishn apatnam, which will be there and small CAPEX at Tandu r. So these are all actually going well, so far as PENNA assets are concerned. And when we have factored in the CAPEX program, the balance small payments which are left to be paid, those will be paid within the overall 15 guide, our contractual terms of the DSPA . Yeah, but in terms

of the progress on the
Jodhpur asset, it is absolutely bang on time, progressing well. And personally also, I have a couple of times, a beautiful asset which has come out actually. And this is like technology.

- Mr. Naveen Sahadev – ICICI Securities:

- Great. Only one related just a clarification. So, of course, you said Penna the balance payment is included. So, is it safe to assume ■10,000 crore kind of CapEx for FY26 as a number?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- You can consider maybe couple of thousands. So, you can actually consider ballpark 1,000 here and there. So, 10,000 is a good amount to assume. I would have considered between say 9 -10, but, yeah, 10 is okay. That includes Penna also.

- Mr. Naveen Sahadev – ICICI Securities:

- That’s very helpful, Sir. Penna, of course. So, all in ■9,000 crore kind of an outflow for FY26. Thank you, Sir. Thank you so much.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah -yeah

- Ms. Nidhi - Moderator :

- Thank you. The next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

- Mr. Rajesh Ravi - HDFC Securities :

- Good evening and congrats on good set of numbers. Firstly, could you share the volume numbers for the full year now adjusted for the clinker sales ? And second, can you share for the 2 listed subsidies, Orient and ACC, what would be the CapEx in these 2 companies individually? And what are the capacity enhancement? For Orient, particularly, there were talks of a grinding unit and a clinker expansion in Karnataka and a grinding unit in M.P. And, similarly, for ACC any progress on the Wadi clinker? Or any other asset beyond what we have recently commissioned?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah, thanks, Rajesh. So, first to start with, your question was about the overall volume.

- Mr. Rajesh Ravi - HDFC Securities :

- Console volume ex of clinker sales for full year.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah. So, for the full year, while in terms of the capacity, as I mentioned, we are targeting to hit 118 million tons. And what is my overall say estimated volume? That is like, for example, you can broadly consider a current trend of 75% -78% and that you extrapolate that.

- So, far as the second question, which is about the CapEx at Orient, I think right now our priority is to improve the overall efficiency at Orient then immediate expansion. And, therefore, this financial year it is more of achieving the desired cost numbers and some of the deep bottlenecking. But definitely there's an opportunity for us, as the previous promoters also, we're doing in terms of expansion at Chittapur and a bit of at Devapur but that is like we will look at it in the next financial year.

- So far as M.P. is concerned, again, that for example, we'll work it on but not an immediate priority. The immediate priority for us right now is the 7 -8 sites, which I mentioned to you and which are strategically well located and integrate very well in our overall plan of 140 million tons. But more detailed plan for Orient in terms of the growth will come out separately.

- Your third question was…Is that good for you? Anything else?

- Mr. Rajesh Ravi - HDFC Securities :

- Yeah, ACC. CapEx at ACC.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So far as ACC is concerned, as you know, Ametha was the one which we did followed by acquisition of Asian and now Salai Banwa right now is progressing very well and in next few months you will see Salai Banwa up and running. Salai Banwa , as you know, is in U.P.

- Then, again, for ACC I have been highlighting our focus has been in terms of improving it's, again, cost efficiency, its green power, WHRS. Apart from Salai Banwa , if you also know Sindri we have expanded when we announced in March in terms of expansion. So, Sindri , Salai Banwa .

Wadi line is also very much in the plan and that is in the drawing boards and I have highlighted before the dismantling of the line 1 is already been commissioned. Therefore, that is very much in the pipeline but not for this financ ial year, it will be limited initial groundwork but it will come in the next financial year.

- So, these are like the CapEx program for ACC but more importantly is on the efficiency factor because the bridge between the overall EBITDA for ACC versus other peers is what for example we will bridge it very fast. And as you see that in last many quarter s ACC has been catching up on that.

- Mr. Rajesh Ravi - HDFC Securities :

- Sir, out of this ■9,000 -10,000 crore, how much of the CapEx one can work out in the standalone ACC…

- Ms. Nidhi - Moderator :

- Sir, sorry to interrupt but I request you to come back for the follow up question.

- Mr. Rajesh Ravi - HDFC Securities :

- I am just completing this follow -up. Just completing this follow -up.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah, okay. Nidhi, I will just answer that. So, Rajesh, generally like you will factor off 75:25 between parent company and…So, which is like Ambuja and ACC. Sometimes like 70:30 or 75:25 kind of thing.

- Mr. Rajesh Ravi - HDFC Securities :

- Okay, great. I will come back in queue, Sir. Thank you. All the best.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Sure.

- Ms. Nidhi - Moderator :

- Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

- Mr. Ritesh Shah - Investec :

- Hi, Sir. Thanks for the opportunity. A couple of questions. Sir, first is on ACC, there was a significant cost bump on a sequential basis for both raw mat as well as other costs. How should one look at it? And is it by any means tied to a few clinker units that we have 18 actually shutdown in South? Is it because of higher inter -regional trade, higher clinker cost? How should we treat it to that?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So, Ritesh, as you know that given the early set of monsoon which started in June basically, what we have also done is in terms of the scheduled maintenances and, therefore, like Wadi and all, for example, which is ACC, we have actually done that. So, ther efore, you will find a bump. Whenever you have scheduled maintenances, you will generally find a bump in the particular quarter but on an overall year basis you will see it gets neutralized basically. So, the benefits of that will come in the subsequent qu arters.

- So, that was like say one part. And, again, like in terms of the other expenses, I actually mentioned earlier that especially for ACC in terms of the settlement cost, the VRS, the employees separation and also in terms of the brand promotion and sales prom otion activities which will get intensive this year and lots of investment is being done on the brand equity, on the channel vibrancy. I also put in my initial remarks and you are already seeing the results of that in terms of the price improvement, in ter ms of the overall volume improvement. This will continue.

- So, the delta positive impact is coming on the revenue part while some of these investments will happen in terms of this brand and sales promotion. So, those are basically the trend.

- Mr. Ritesh Shah - Investec :

- Sir, my question is basically we have taken out Wadi 1 Bargarh and Chaibasa , so how are we substituting that clinker for the GUs in South for ACC?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah. So, therefore, like if you see in the MSA, there is also a good moment of clinker between Ambuja and ACC. So, the high cost clinker which goes off of ACC, almost like if I have to highlight between ACC and Ambuja, this time clinker movement has been almost like 0.47 million metric tons. So, it gets applied, for example. So, Bargarh and Chai

basa .
So, I have say Penna assets now, I have got say Orient also. So, sometimes when Wadi is down and I have say Chittapur for Orient which is available to supply and so on and so forth. So, therefore, the logistics wise whichever is the best suitable is what being used in terms of the clinker movement and, therefore, supplies of cement.

- So, do not worry, overall if you look at overall balance of the cement versus clinker, it is well balanced.

- Mr. Ritesh Shah - Investec :
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- Sure. Sir, my second question is…

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- As you know, I have 64 million tons of clinker capacity and I have almost 105 million tons of cement capacity. So, you can apply the factor and then it is well balanced. Sorry.

- Mr. Ritesh Shah - Investec :

- Sir, my second question. Yeah -yeah. Hi, Sir. Am I audible?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yes, please. Yes, you are.

- Mr. Ritesh Shah - Investec :

- Sir, during the Marwa visit , you had indicated that we are looking to simplify our marketing structure , we will have like only 3 layers. Have you already progressed on that? What should we make out of that particular outcome? That is one.

- And other quick one is , one of our peers has announced commercialization of Telsa enclave, y ou did elaborate quite a lot on ESG , is this particular variable up for us on priority? If not, why so? Thank you.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- No, so, Ritesh, as you know like calcined clay or otherwise if you have fly ash and PPC, I think, I would say that I am sitting on a huge opportunity of fly ash and , therefore , those who do not have the opportunity they will look around for different types of products.
But we have a natural advantage as a group synergy. So, therefore, I would right now focus on. And there is no better substitute to fly ash actually because the whole chemical process of fly ash which blends with cement, the cement quality and the cement strength is far, far superior and which is well demonstrated in many labs also. Point number one. And, therefore, the calcined cement and all the specific applications and all are, for example, different to what normally a cement can be.

- Point number two. What was your second question, Ritesh?

- Mr. Ritesh Shah - Investec :

- 3 layers.

20 - Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- 3 layers.

- Mr. Ritesh Shah - Investec :

- Sir, on the marketing side…

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- That is more internal, Ritesh. I think not right to discuss on this forum. But, yes, we are simplifying and, as I said, we are reimagining the whole structure, the whole org structure, the whole plant structure and you will see prospectively a positive imp act and results out of it. But exactly that is not the point to discuss on this forum, Ritesh. Offline we can connect on that.

- Mr. Ritesh Shah - Investec :

- Sure, Sir. Sir, can I just squeeze in one? In your initial remarks, you indicated…

- Ms. Nidhi - Moderator :

- Sir, sorry to interrupt but I request you to come back for the follow -up question, please.

- Mr. Ritesh Shah - Investec :

- Sure. Sure, sure. Thank you.

- Ms. Nidhi - Moderator :

- Thank you. Ladies and gentlemen, please limit to 1 question for participant and rejoin the queue for the follow -up question.

- The next question is from the line of Rashi Chopra from Citigroup. Please go ahead.

- Ms. Rashi Chopra - Citigroup :

- Thank you. Just had a question on realizations post the quarter. How have the realizations been across different geographies?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Rashi, thank you. I am very upbeat about realization. Although, definitely through your channels you will get a different impressions but especially when we are focusing on
21 solutions oriented as a cement an

d, therefore, for example, at least we have the strong
brand equity and we are actually able to get the right price and we have also upped the price of our premium cement while you would also hear this positive from our sid e. So, I think, realization is better off only and it will remain better off for the leaders and those who are decisive in terms of providing high -quality premium cement and addressing the solutions. And with good investment on brand equity, I think, it is also seeing a good turn and volume moment.

- So, that is like my submission overall but we will see different views from different corners of the industry but I would refrain because sometimes we are no w following and bringing a good discipline in terms of adhering to the whole channel network and in terms of pricing and all. So, that will continue as a trend from our side.

- Ms. Rashi Chopra - Citigroup :

- So, just to understand this, are prices today better than what you expected in June?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- I would not say because that is like, again, I am saying June you have seen an improvement in prices and I can only say that our focus in terms of continuously addressing to the requirements of the customers is only going to help us and differentiate us be tter as compared to the industry in terms of prices. But I remain positive on demand and I remain positive on this factor also.

- Ms. Rashi Chopra - Citigroup :

- Got it. And just on the cash that you said ■3000 crores, this is on a consolidated basis including Orient, everything?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah. Now, this call generally we always speak about consol because companies have their own MSAs and different companies are investing and they share the assets and also MSAs they always make sense to discuss consol.

- Ms. Rashi Chopra - Citigroup :

- So, on the cash balance of ■3000 crores it is possible to split it up between ACC and Ambuja and Orient?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

22 - I would say that as of now I do not have direct information but yes, it is broadly between like Ambuja and ACC you can say 60 -40 or 50 -50. So, that is the trend. Sanghi and Orient and Penna, for example, they would not have bearing the working capital beca use the cashflows have been used to make them debt free also, Rashi. Therefore, the major cash is lying with Ambuja and then ACC. So, that is like, for example, a broad split.

- So, Sanghi, Penna and Orient would not be sitting on that otherwise their minimum working capital.

- Ms. Rashi Chopra - Citigroup :

- Got it. Thank you.

- Ms. Nidhi - Moderator :

- Thank you. The next question is from the line of Jashandeep Chadha from Nomura. Please go ahead.

- Mr. Jashandeep Chadha - Nomura :

- Yeah, hi. Thanks for the opportunity and congratulations on a good set of numbers, Sir. Sir, my first question is regarding the cost saving target, which we gave last year or maybe just last year of ■530 per tonne. I understand there are some consolidation costs and higher fixed costs because of the assets that you…(Audio lost)

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Jashandeep, we are not able to hear you.

- Ms. Nidhi - Moderator :

- Sir, the current participant has been disconnected from the line. Can we move to the next one?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yes, Ma'am, please move to the next one.

- Ms. Nidhi - Moderator :

- The next question is from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.

- Ms. Jyoti Gupta - Nirmal Bang :

23 - Good evening, Sir. Good set of numbers.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Hi, Jyoti. Good evening.

- Ms. Jyoti Gupta - Nirmal Bang :

- I just wanted to understand what has been the contribution of South -based plants in terms of EBITDA per tonne? And since we

are expecting that the prices in the South will further strengthen, will that have a significant impact on our EBITDA per tonne?

- And the second part is that while we have taken an estimate of EBITDA per tonne improvement of almost like 530 till FY25 and I think this year alone from cost we should be somewhere, I mean, price increase should commensurate to the overall EBITDA per tonn e with cost. So, what is your sense that where should we end this year in terms of overall consol Ambuja's EBITDA per tonne?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Thank you, Jyoti. Jyoti, as you know, South now we have a good large share. As part of my overall capacity almost 26% while West is 23%, which is disclosed on Slide#15 of my investor deck. Now, definitely South has been a good contributor for the June quar ter but South you know that how it works because of the excess capacity. Therefore, you cannot predict in South generally. But I am bullish with respect to demand and, therefore, I am also positive with respect to prices.

- I would not comment about the overall price expectations or the EBITDA expectations but I can only say that the EBITDA which we have highlighted and given and reported is what the EBITDA we are targeting to sustain and improve from here and, therefore, lik e both demand and prices I am positive. Giving specific numbers will not be possible and will also not be appropriate.

- Ms. Jyoti Gupta - Nirmal Bang :

- Okay. Thank you, Sir.

- Ms. Nidhi - Moderator :

- Thank you. The next question is from the line of Jashandeep Chadha from Nomura. Please go ahead.

- Mr. Jashandeep Chadha - Nomura :

24 - Yeah. Hi, Sir. Am I audible now?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah, Jashandeep.

- -Mr. Jashandeep Chadha - Nomura :

- Yes, hi. Sir, sorry for that and congratulations on a good set of numbers. So, firstly, I want to ask about the cost saving, the target that we gave about ■530 per ton and I understand in the last few quarters there have been some consolidation costs becau se of the assets you have acquired. But if we want to do an apple to apple comparison from FY24 days, how much of the cost benefits would have come in based on the initiative that you have taken? And under what major hedge will those be? If you can give in sight on that, that would be great.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah. So, Jashandeep, you are right, the journey of ■530 continues. And if I have to give a broad range, we would have hit almost 35% -40% of that journey by now. So, let us say closer to ■200 a ton basically; ■175 -■200. Now, primarily, let us say power is one of the factors, with the green power. Second is now you will see on the fuel side, for example. And third is the logistics. These are like my primary and, of course, my raw material cost which we have sustained with advantage in terms of the long -term agreement on fly ash which we have entered into on a competitive bid basis with the group company and all. So, I think raw material we have sustained and from here onwards I am going to see improvement on raw material, continued improvement on the power a nd the efficiency of the power also and also the heat consumption while we will sustain and improve on the coal cost.

- These are like major factors and apart from that logistics cost. With every improvement and increase in my grinding capacity and location, therefore, my overall lead distance comes down. And we are also working on a few initiatives on EV and all which will actually bring down the overall PTPK. So, these are like broad numbers and, therefore, gives me much more high visibility to achieve. Even for the acquired assets, they will actually complement and help us to move on our Rs.530 reduction.

- So, I am quite bullish about that. And this quarter for example, which we had to fix some of the issues on the revenue par

t which we have done successfully and which we will see
a further improvement on that part with a more vibrant channel network and all and cost anyways remains our forte and focus. So, both will complement now to each other and, hence, my overall comfort to sustain and improve the EBITDA from here further is very high.

25 - Mr. Jashandeep Chadha :

- Understood, Sir. Just an extension to this before I ask my second question. On a consol basis does your Rs.530 target still is there? Why I am asking because when you gave this target, Orion was not in picture and now Orion comes in and I believe there wil l be some CapEx involved to bring it to Ambuja's cost structure. Just want to understand on a consolidated basis on the increased capacity is it still Rs.530 over FY24 days or the number has changed, the target has changed?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- No, it continues. So, even like, for example, when we had given the numbers, we had envisaged that there will be some acquisitions and all. Therefore, we will adhere to that number.

- Mr. Jashandeep Chadha :

- Understood. My second question is largely, Sir, I think I heard you…

- Ms. Nidhi - Moderator :

- Sir, sorry to interrupt but I request you to come back for the follow -up question.

- Thank you. The next question is from the line of Patanjali Srinivasan from Sundaram Mutual Fund. Please go ahead.

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- Thank you for the opportunity. I have a couple of doubts. I do not know if I made a mistake but our ‘Other expenses’ on our presentation is mentioned 678 but there is a footnote that says excluding new assets and one -time gain. Could you quantify or mentio n whether these are like startup costs or something because of the integration of the new assets or what is the difference? Will it continue or is it a one -time expense?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So, you are referring to the ‘Other expenses’, which is 678 versus 699 of March and 689 of June. Is that the numbers you are referring to?

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- Yeah. Because if I take it on a reported cost basis it is 788 but in the presentation it is mentioned as 678. So, I think there is a delta of about ■110.

26 - Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Ya it is the one -time gain which was there in the previous year. So, we have actually put it/aligned with the comparison and, therefore, comparison on YoY basis is what we have done. And if you see the footnote also which is there, so it excludes the new assets and it also excludes the one -time gain of the previous year.

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- Okay. So, it will not be recurring, would that be your right understanding for this?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- That gain was not recurring. Therefore, it has been aligned .

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- No-no, the new asset cost . The new asset cost, it won't be recurring, right?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah -yeah , that will not be recurring. That will not be recurring and, therefore, you will see now considerable improvement on these other expenses.

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- Okay. Sir, and just one last question . Like between ACC and Ambuja, why do we see such a big difference in profitability? Like given that this quarter south prices went up, ACC has better region presence in south and east but ACC still reported very weak numbers compared to Ambuja.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So, Patanjali, thank you . But not very weak, for example. Let us say, yeah, ACC has its own and from beginning if you know, A, the advantage Ambuja has is with respect to the captive coal mine, while ACC is all third -party purchase. So, fuel b

ecomes an important
factor.

- Then in terms of the power cost also because of again the vintage and legacy of ACC, so therefore the power cost also , when I look at it, broadly in case of ACC, it is almost like ■6.10 per unit compared to when I look at Ambuja it is say ■5.30 and on overall it becomes say ■5.90 paisa. Then some of the efficiency investment which are in process but Ambuja has a higher WHRS factor, almost21 %, while in case of ACC the WHRS factor is say 14 %, one-fourth. So, there is a reason . Therefore , I said for ACC our p rimary efforts are to work 27 on the investments and the efficiencies gain on the cost and that will help us to bridge this gap of whatever ■300-■400 a ton and come to 4-digits sooner for ACC as well.

- Of course, the brand equity, the brand pool is now started giving us very good results and more so the ACC Gold, that is a block buster product in the industry in terms of the premium and, therefore, more and more focus on that will also help us to further improve the topline and the realization, which has happened in fact this quarter also. But this certain, which is like a time bridge, so investments are being done, they are in the plan and, therefore, this journey of cost improvement when we say it, it h as actually a significant improvement of cost journey for ACC.

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- Sir, I see a lot of spends being done for ACC in terms of market.

- Ms. Nidhi - Moderator :

- Sorry to interrupt but I request you to come back for the follow -up question.

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- No, it is a continuation of the previous question, Ma'am. Sir, can I continue?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Nidhi, allow please. Yeah, Patanjali.

- Ms. Nidhi - Moderator :

- Yes.

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- Yes, Sir. So, we see a lot of brand spends, Sir, that is being done for ACC but the pricing gap between ACC and Ambuja is still pretty elevated. So, are we positioning the two brands slightly differently in the market or is there any other factor to it tha t I am missing out on?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Both the brands have a strong brand equity and both the strengths of the brand equity is leveraged very prominently now. So, there is no per se promoting differently but using their own advantages. So, in many pockets ACC has a better price compared to Ambu ja for the brand equity and in many pockets Ambuja has because they have their natural 28 strengths. For example, East and South is where ACC has been very dominant from past and North and West is where Ambuja has been very dominant from past and that continues.

- In fact, now with the synergy, the blend is actually helping us on an overall basis. So, please look it on an overall basis. And, of course, ACC, with its brand equity strength, it is getting the benefit. Therefore, my overall consol and also standalone AC C you will see a good improvement in the price per bag.

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- Sure, Sir. Thank you so much.

- Ms. Nidhi - Moderator :

- Thank you. The next question is from the line of Sumangal Nivatia from Kotak Securities. Please go ahead.

- Mr. Sumangal Nivatia - Kotak Securities :

- Yeah. Thank you, Sir, for the chance. Most of the questions are answered. Sir, just one or two left. One on the next phase of expansion, which is 21 million tons, what is our preparedness? And, I mean, if you can give some color as per will it be largely g reenfield now given the brownfield phase is in the first phase? And also what are preferred locations?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So, Sumangal, good question. Again, the 21 million which will be actually from FY27 -28 basically, lots of groundwork has been done. So, groundwork in terms of land, in terms

of
the overall approvals of CTOs, environmental, public hearings, for example, lot s of this groundwork has been done. And, therefore, it will not take more time when we actually start the project execution. And, therefore, preparatory civil work, basic civil work and pre-operating expenses and all, for example, in some of the sites have already started to happen, including appointment of the technical consultants and owners engineers and so and so forth. And importantly , in terms of our negotiations with the vendors as well , which is already at a very, very advanced level and you will hear positive developments on that front also , so that 20 million tons is also well on track and , therefore , very confident to achieve 140 by end of March ’28.

- Mr. Sumangal Nivatia - Kotak Securities :

- And, Sir, some color on which regions will be the priority there? Any geographical mix are we looking at?

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- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Primarily, I think we are like PAN India but if you be more specific then north you will see a good capacity , in center also you will see a couple of assets, then east already we have commissioned, therefore, for example, east have already seen those additions , couple of them in west. So , you will see actually . So, that will balance it out because right now in center we are, let's say, on a n overall basis 8% of my cement capacity . So, we'll see more of this balancing happening across these 5 regions of the country. So , it is not per se biased towards any particular belt.

- Mr. Sumangal Nivatia - Kotak Securities :

- Understood. Understood. Sir, for the JPA bid what would be a strategy in case we win for the non -core assets?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Sorry , I could not follow , Sumangal.

- Mr. Sumangal Nivatia - Kotak Securities :

- Sir, we, we are keen to acquire JPA through the NC LT, so what would be our strategy for the non -core assets which comes along with the cement assets there?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So, Sumangal, basically as you know Adani Enterprises Limited as a company has actually applied for that and , therefore , would not be fair from my side to comment and, hence , cement and non -cement as a complete pack . It's AEL which is actually have applied for it , so I would refrain then anything further on that.

- Mr. Sumangal Nivatia - Kotak Securities :

- Okay. Thank you, Sir, for the clarification and all the best.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Thank you, Sumanga l.

- Ms. Nidhi - Moderator :

- Thank you. The next question is from the line of Kunal Sh ah from DAM Capital. Please go ahead .

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- Mr. Kunal Shah - DAM Capital :

- Yeah. Hi, Sir. Just one question from my end. So, just wanted to understand how is the brand integration process progressing in south, especially from Penna's plants? Like any positive or negative surprise there? And specifically , how is Ambuja's brand positioning in the trade channel in south?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Very positive . Why Penna , in fact, now Orient also completely brand penetration has happened and migrated to Ambuja and ACC. So , both, for example, Penna and Orient have done very, very well. Dealers have received it very, very well. All the dealers have also got onboarded into Ambuja and ACC platforms. So , in terms of my overall volume improvement, for example, and when you see and obviously you can do an assessment because when I do the adjustment 13% is there and without adjustment almost say 20%. So, this 7 %-8% which has come from Orient also and Orient and Penna is nothing but coming from this integration and penetration of this brand of Ambuja and ACC and they have also helped us to improve with a better price realization. So , I'm very happy with this transition.

- Mr.

Kunal Shah - DAM Capital :

- Just clarifying this one thing, like geographies of north and west , where Ambuja is specifically A or A +, is it the same positioning in south also where, you know, Ambuja is not present like your AP, Telangana, Tamil Nadu? So , just wanted that bit clarity.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So, yeah , I think from a positioning perspective, both Ambuja and ACC remain as a n A category brands PAN India, including south.

- Mr. Kunal Shah - DAM Capital :

- Understood. This is very helpful, Sir. Thanks a lot.

- Ms. Nidhi - Moderator :

- Thank you. Ladies and gentlemen, we'll take this as the last question for today. I would now like to hand the conference over to Mr. Deepak Balwani. Over to you, Sir.

- Mr. Deepak Balwani – Head Investor Relations , Ambuja Cements Ltd :

31 - Yeah , thank you. I trust that most questions have been addressed. Should you wish to discuss any outstanding query, we are available for a separate conversation from 5:20 pm to 5:45 pm today. You have my contact number , please free to call me. Thank you.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Thank you , Nidhi. Thank you very much. On behalf self and Rakesh, thank you all again.

- Mr. Rakesh :

- Thank you.

- Ms. Nidhi - Moderator :

- Thank you very much. On behalf of Prabhudas Lilladher Private Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

- END OF TRANSCRIPT

Call: Nov 2025

Ambuja Cements , ACC Ltd, Orient Cement and Sanghi
Industries
Q2FY26 Earnings Conference Call
November 03, 202 5

MANAGEMENT

MR. VINOD BAHETY
CHIEF EXECUTIVE OFFICER MR. RAKESH TIWARY
CHIEF FINANCIAL OFFICER
MR. DEEPAK BALWANI – HEAD , INVESTOR RELATIONS
MODERATOR
MR. NIRRANSH JAIN – BNP PARIBAS SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Ambuja Cement s Limited Q2 and FY 26 Earnings Conference Call, hosted by BNP Paribas Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nirransh Jain. Thank you, and over to you, sir.

Nirransh Jain: Yes. Thank you. Good evening, everyone. On behalf of BNP Paribas Securities India, we welcome you all to the Q2 FY '26 Earnings Call of Ambuja Cements Limited. Without any further delay, I'll hand over the call to Mr. Deepak Balwani, Head of Investor Relations. Over to you, sir.

Deepak Balwani: Okay, thank you. On behalf of Ambuja Cements, I'm pleased to welcome all the pa rticipants to our quarter 2 FY 26 earnings call. Before we start, please note that this call may include forward - looking statements based on our current beliefs and expectations. These are not guarantees of future performance and may involve unforeseen risks and uncertainty. We remain committed to furthe r strengthening our disclosure standards and improving the quality of our capital market communications to the be st in the industry.

What a quarterly performance! Existing capacities increased to 107 MTP A in quarter 2 with EBITDA reaching 1,060 PMT. The total target capacity is now set at 155 MTPA among other several notable updates. We are pleased to have with us on the call Mr. Vinod Bahety, Chief Executive Officer; and Mr. Rakesh Tiwary, Chief Financial Officer.

Now I invite Mr. Bahety to provide his valuable insights on the quarterly performance.

Vinod Bahety: Thank you, Deepak. Good afternoon. On my behalf and behalf of my management team, welcome to all joining us for this second quarter of FY '26 earnings call. Wishing you a very vibrant festive season, which has also got extended with our women in blue, winn ing the maiden ICC Cricket World Cup '25.

Likewise, trends, I'm equally jubilant to share the all -around robust performance of Ambuja Cements maintaining a strong momentum. This was driven by concerted branding, marketing and other initiatives thereby increasing our customers' preferences for prem ium products and a larger vibrancy amongst our dealers and supply chain partners.

This resulted in differentiated volume growth and improved realizations, thereby helping us achieve EBITDA of INR1,060 per metric ton, a jump of 32% Y -on-Y, while EBITDA margin stood at 19.2%, uptick of 4.5% compared to last year's of 14. 7%. This quarter has been noteworthy for the cement industry.

Despite the headwinds from the prolonged monsoons, the sector will benefit from the tailwinds of several favorable policy measures, including GST 2.0 reforms. Likewise, this quarter has been instrumental for Adani Cements. Our group synergies and efficiency measures have started yielding results. Total costs reduced by 5% Y -on-Y led by Kiln fuel cost at INR1.65 per 1,000 -kilo calories, and this is excluding the AFR.

If I include the AFR, it becomes INR1.60 per 1,000 -kilo calories. At INR1.65, excluding the AFR, it is lowest among the peers, and it is likely to sustain/further reduce with increasing trend of AFR. Exit of FY '26, we are targeting to deliver total cost of ~ INR4,000 per metric ton, which is 5% reduction from current levels of ~ INR4,200. The exit of September has been ~ INR4,200 cost per ton, which I'm targeting to deliver at INR4,000 by March '26.

Likewise, in FY '27, we aim for a 5% reduction and another 5% in FY '28. So, by end of March '27, we are aiming t

o hit INR3,800 a ton . And by end of March '28, it would be around another 5%, which will be INR3,650 per ton . Another important initiative we have launched during this quarter is the debottlenecking of our plants and the logistics infrastructure.

These debottlenecking initiatives across the plants will add 15 million tons in our capacity at a much lower capex of $48 per ton. And this capex is on an integrated investment basis. There were some questions I want to clarify. This $48 per ton is on an integrated basis, which would be in a combination of GU and IU investments. This is the combined capex for clinkerization plus grinding, as I mentioned.

With this additional 15 million ton s, we now revise our target capacity from 140 to 155 by FY '28. Simultaneously, my clinker capacity also goes up from the current target of 84 million to almost 96 million tons by FY '28. In addition, friends, we have also initiated logistics debottlenecking and this will improve current capacity utilization by 3%, so which would mean that my current 107 million tons will have a better evacuation of 3 million tons. And this, we will achieve in over 24 months.

We are also installing 13 blenders at our plants over a period of 12 months, which will optimize the product mix and increase the share of premium cement, and thereby improving our overall realization. Very importantly, we have launched CINOC, C -I-N-O-C, C ement Intelligent Network Operations Center.

This will enable a paradigm shift across the business operations. AI will run deep into our enterprise fabric, bringing efficiency, productivity and deeper engagement with the stakeholders across the value chain. As a business, we are getting younger by the day with our average plant age falling by almost 50% by FY '28.

Our average age of employees has also substantially improved from where we started and now we stand at almost 38 years. Integration of Penna and Orient Cement has been of the fastest, I would say, wherein the entire sales, except the initial few days for O rient, otherwise, the entire sales has been under the Ambuja and ACC brands. This has been well received by the customers,

supply chain partners. This has also resulted into sharp improvement in the profitability of these companies.

Adani workplace management system has been institutionalized and helping to reinforce plant working conditions and overall help on reliability, environment, safety, quality, which we call it as a rescue program. We are also engaging and investing in R&D and technologies, which will provide an edge in our ESG scores improvements.

Such programs have also helped us in the past to provide cement for several marquee national projects, the most recently Navi Mumbai International Airport; a few months back, Chenab single -arch railway bridge; the upcoming world's tallest temple, amongst s o many other projects.

In terms of the consol financial performance, friends, I'm happy to share, we have achieved highest ever sales volume in Q2 series at 16.6 million tons, up 20% Y -on-Y, which is almost 5x higher in terms of the industry average, which has grew at the industry level, the 4%, we have grew 20% Y -o-Y. Market share is also up 1% to now 16.6%.

Revenue stands at INR9,174 crores, up 21% Y -on-Y, and there has been a price gain of 3%. This is also supported by share of premium products as a percentage of total trade sales at 35%. However, if I look at the expanded volume of the premium products on the larger capacity, t here is an overall growth of 28% Y -on-Y of sale of premium cement.

Cost has improved by INR238 per metric ton Y-on-Y. This has also supported in achieving the quarterly EBITDA of INR1,761 crores, which is up 58% Y -on-Y. Profit after tax is at INR2,302 crores, up 364%. And of course, you will have some or a few questions on onetime INR1,697 crores of pro

fit provision for the tax write -back and all, which I have already highlighted in more detail in the investor deck.
But even if I exclude that, there's a onetime substantial improvement on the profit after tax.
Earnings per share is at INR7.2 per share for the quarter, which is up 267%. Net worth at INR69,493 crores, up INR3,057 crores for the quarter and company remains debt -free with highest rating of CRISIL AAA Stable and short -term A1 plus ratings, we have maintained that.
In the interest of time, friend s, I will not discuss the stand alone financial performance of the listed companies, as these details are already available on the stock exchanges. In terms of the operational excellence, Green Power shares has increased to 33% in second quarter, with renewable energy capacity at 673 megawatts expected to reach almost 900 -megawatt by the end of this financial year and 1,122 megawatts by FY '27.
We also strengthen the ecosystem engagement through collaborative efforts wi th CREDAI initiatives like Nirman U tsav. We launched the Adani Cement FutureX and which covers almost 400 academia, both schools and institutions over covering 4 lakh students. We deepened our B2B engagemen t with initiatives like Samvaad . Then we launched Dhanvarsha, the CEO Club platforms and some of this you -- some of you would have already experienced it.

Strategic partnership with CONCOR for the movement of the tank container it will support in terms of net zero emission commitments. And also, there will be opportunity of setting up the bulk cement terminals. In terms of my growth and expansion journey, friends, my current capacity stands at 107 million metric tons. And this is cement for so far as clinker is concerned, it is almost at 65 million metric tons.
The ratio is generally around 0.6% to 0.62% of the cement. Our FY '28 target, as I mentioned, has been revised to cement at 155 million tons and clinker almost at 96 million tons. This incremental 15 million tons, as I mentioned, comes from debottlenecking at a much lower capex on the integrated basis.
Greenfield and brownfield expansions progressing quite well at Salai Banwa, Marwar Mundwa -- sorry, Penna Marwar, Dahej, Kalamboli, B athinda, Jodhpur, Warisaliganj , all of them will be up and running by end of this financial year. Three of them will be coming in Q3, which is Salai Banwa, BCCI and one more, which is Dahej. And rest will be coming by end of this financial year.
Trial runs have started for the Bhatapara clinker line, which is 4 million tons. While I already announced the operation of Krishnapatnam 2 million tons of grinding unit, which takes up my capacity to 4 million tons at Krishnapatnam. We are adding so almost 11.2 million tons in FY '26, and we will be hitting almost 118 million tons by end of this year. By FY '27 and FY '28, we should be then in a good sh ape to achieve 155 million ton s.
For this disciplined capex management ensures timely execution, scale profitability, and the optimize of the operating leverage. On the cost leadership front, which is our key focus area and from the beginning, we have been highlighting this. Our cost has reduced by almost 5% Y -on-Y, primarily led by the kiln fuel cost. And I mentioned the numbers.
In terms of my second half, by end of this financial year, we should -- and we are actually aiming at almost INR4,000 a ton followed by INR3,800 and then INR3,650 by FY '28. Green Power share is up by 14.3% to almost 33% in Q2, and it is progressing very well. So, by FY '28 we should be hitting 60%, in line with our earlier announcements. This will help me to achieved almost INR1.5 per unit cost reduction from my current levels of INR6 to almost it should be hitting INR4.5 by FY '28.
The efficiency factors in terms of the kiln heat consumption and the power consumption are going to improve with the addi

tions of the new capacities which are with the latest technologies.
The Kiln fuel cost, including the AFR reduced by 2%, which I mentio ned to INR1.60 and so and so forth.
So, as far as logistics is concerned, logistics, the primary lead distance is down by, say, 2 -kilometer and now stands at 265 kms, and we're expecting another 50 -kilometer reduction as we expand our geography in terms of the GUs. For this quarter, logistic s cost has come down by almost 7% Y -on-Y at INR1,224.

CiNOC, which is a key subject which we are working in terms of digital transformation and that is something which I will invite some of you to actually experience it. Because that is instrumental in terms of bringing a paradigm shift in my day -to-day busin ess working,

efficiency, transparency and real -time collaboration across the value chain with the stakeholders.
From the ESG leadership perspective, friends, we have noteworthy improvements right from SBTi validating us for the near term to long term and lots of developments are happening in this regard. I had mentioned earlier, we have signed an MOU with the Coolbr ook of Finland, and things are progressing quite well. We are water positive 12x on an annualized basis. Plastic negative and in terms of tree plantations and so on and so forth. Lots of works are going from an ESG perspective.
CCTS augurs very well given that the new capacities are very efficient one. Then, therefore, it will help me -- it will help the business in terms of generating positive carbon credit and which will be also incremental in terms of generating income as and when the overall model matures. As per my rough estimate, it should provide at least INR200 crores to INR225 crores additional income by virtue of positive Carbon Credit as and when this framework gets more mature. This has calculated at $8 to $10 per ton of the Carbon Credit.
So far as people at the core, we are actually building a future capability by blending the fresh talent with digital skills and a culture of ownership and continuous learning and empowering our people to deliver results. Lots of initiatives and actions are being done for community and social impact. We are also putting lots of efforts on brand and stakeholder engagement.
The Brand Track Research with IPSOS. IPSOS is the agency, and it has revealed -- recently the report which has come, it has revealed quite positive trends in top -of-the-mind awareness and strong Adani brand association. By the way, some of you would know that now Adani brand has got shipped into our overall cement business, and it is giving us quite positive results.
And so, the synergies are really bringing that positive trend in the business. We have through digital and mass media, we have touched this almost 300 million individuals, pan -India. And the series of initiatives like Heroes of Adani, and so and so forth, for example, which are available on digital platforms. And I'm sure some of you have seen it, it brings quite stories of -- vibrant stories of our dealers and brings a very close emotional brands with -- connect with them.
Technical Services, which is like a very important focus area, which was initiated long back within, say, Ambuja and ACC, that is like seeing a very robust trend. And we have now, this year, 35,000 contractors enrolled, almost 14,000 sites, what we say, Ad ani certified technology sites, which actually uses -- purely are premium cement and these numbers are growing. And we do lots of workshops and lots of technical events.
On the industry outlook and my closing thought, friends, cement demand, I remain bullish. In Q2, although it was moderate and grew by -- at the industry level, say, 4%. But my overall yearly

target remains between 7% to 8%. GST reduction of -- from 28% to 18%, where all the be

nefits
have got passed to the customers.
And I'm sure this will bring more demand for especially good brands like Adani Cement and more so, the demand for the premium cement. There is an improved economic sentiments, higher investments in both public and private sector. And in summation, it augurs very well for the industry. I would now hand it over back to the moderator for the questions and answers. Over to you, BNP team. Thank you.
Moderator : Thank you, sir. Thank you very much. Ladies and gentlemen, we will now begin with the question and answer session. O ur first question comes from the line of Amit Murarka from Axis Capital.
Amit Murarka: Sir, the first question is on cost. So, while it's a great reduction in the cost. But just wanted to understand a bit more on other expenses. Because like usually like other expenses per ton as well are dropping in Q2 versus Q1 given that Q2 is a maintenance quarter. Just wanted to understand, like, is it like lower kiln maintenance has happened in Q2? Or is there some other factors like lower advertisement spend and all, which has driven dow n other expenses?
Vinod Bahety: No. So, Amit, thank you. So, you are referring to so far as other expenses of INR774 a ton versus INR712 a ton . And this primarily, Amit, no, of course, the kilns have gone through maintenance and the benefits of the -- this maintenance will actually come in the coming quarters. Costs, for example, remains a focus area for us, Amit. And therefore, this reduction of almost INR62 per ton comes from the improved synergies and efficiency gains.
In terms of -- we have also improved our overall sales promotion and marketing strategies with a very analytics -driven branding and sales promotion, which with the more effective media than the costly media. So, for example, you will see more of us into lo ts of digital and other footprints.
So, I would say that other expenses is a factor of all of these initiatives, but nothing to worry about any maintenances, et cetera, which have been underplayed in this quarter.
Amit Murarka: Okay. Sure. And just secondly, on the working capital, like your cash flow statement shows an increase of about INR2,000 crores in working capital in the 1H. And even earlier, like last year

also, we saw some increases in working capital. So, just wanted to understand like, what is the reason for this increase? Is it like some receivables, some advances, what would rea lly are the reasons for this?
Vinod Bahety: So, yes, Amit, so far as Q2 is concerned, there are two factors. One is, yes, receivables, when you have a higher degree of sales on the non -trade side, and Q2 being generally subdued given the monsoon and all. This tends to increase your overall receivabl es to the B2B customers. Second is the overall inventory. And somewhere you will find our response is that, there is a higher closing stock of both finished goods.

And also, when you said about maintenance, so a higher stock of the spares and consumables, which is there, for example. So, I have the numbers. But essentially, this year INR2,000 crores is a combination of these three factors. And then, what we have done is, as part of the mitigation, we have built up almost 2, 3 months of coal inventory. And if you see, this has moved very well in our favor.
So therefore, even for Q3, I'm optimistic to sustain the coal cost and remain the lowest cost on the kiln coal in the industry. Because of this inventory of coal also available to us, which is at a lower price. So, coal, finished goods inventory, then inventory of clinker, then inventory of stores and spares, and then, of course, receivables, which are also tends to go up when it comes to quarters like September. And then, these are like the factors, but I have a very strong improvements of plant in the Q3 on this front.
Amit Murarka: Understood. Thanks fo

r the elaborate response. And just a very last question on the debottlenecking. While the cement debottlenecking plant wise, I think is given in the presentation, you mentioned that there is clinker debottlenecking also. Can you provid e maybe further details on that as well as to which units will see the debottlenecking at clinker level?
Vinod Bahety: Yes, yes. So, like we will be setting up another three kilns, Amit, almost 12 million. So, earlier, we had given 80 million -- sorry,82 million -- sorry, it was 84 million tons for FY '28 target, if you remember. And now that 84 million is becoming 96 million. Generally, my kilns are 4 million tons. So, three more kilns will come up.
Broadly, I remember one is going to come up in Bhatapara itself. So, we have like two major blocks over there. One is the existing Bhatapara, and second is Chilhati, which is about, say, 25 -odd kilometers from Bhatapara. So, Chhattisgarh is like one area w hich we have sizable limestone reserves. We are going to look at that.
Then one more, for example, we have plans in terms of -- as we improve and progress is like Sanghi, which we will announce in due course. But these are like my low -- potentially low cost, Sanghi, for example, has all the potential to become one of the low est cost of clinker. So, it has all the good probability of me setting up clinker there.
Bhatapara, it has been our strength, and a few more, for example, which will come up. So, North and West primarily, for example, remains where we have a substantial strong advantage, and we have -- we have also seen a significant improvement in terms of ou r brand loyalty. These are like geographies, which we'll see these expansions coming up.
Moderator: Our next question comes from the line of Navin Sahadeo from ICICI Securities.
Navin Sahadeo: Congratulations on a good set of numbers. Two questions. One is on debottlenecking. So, if my memory serves me right, under the previous management, we never really heard ACC Ambuja doing any sort of debottlenecking, while every other company would have th rived on this

opportunity. Now in the presentation, you've given 13 locations, whereas I believe you have 45, 46 locations in total. So, just wanted to understand...
Vinod Bahety: Navin, you're not audible, we lost you.
Moderator: Please go ahead with the question.
Navin Sahadeo: Sorry, I lost, again, and I'll just repeat the question. So, I'm saying that if my memory serves me right, historically or in the previous management, I mean to say, there was never a debottlenecking kind of a thing, which we heard from ACC and Ambuja. And now that we are hearing and congratulations for that. But my question is, it is at 13 locations.
So, is it fair to say that this is all that we have identified or given that we have 45, 46 locations, there is more scope. And in the same breath, you said we are adding new kiln -- new clinker lines altogether. So, this is not per se like debottlenecking of clinker in that sense. We'll be adding new clinker, whereas adding more mills to get cement capacity. If you could just help us

understand this overall de bottlenecking, a bit of it?
Vinod Bahety: Yes. Thank you, Navin. I think, debottlenecking in cement, first of all, we should know that how it happens. So, like some of our plants which are having the roller press and with -- sorry, with some of these plants which have the ball mills, for example, you actually put up a roller press also, which will complement with this ball mills, and that actually helps you to have a higher grinding capacity. So, that is like a simplified way of explaining the debottlenecking.
Now, this is -- yes, we have identified 13 locations and which would mean that these 13 locations would have the ball mills and which would be complementing with the roller press. To your point of -- this is like our Phase

1, Navin, and which comprehensively covers it. But whether we will have more of them, yes, we will, I think, down the line. But right now, these are like low hanging fruits for us to immediately move on that.
So far as clinker is concerned, clinker for us, for example, we will keep adding it to also meet our expanding GUs and also these additional capacities of the debottlenecked assets. One -to-one mapping, you would not do, because these are like all phased ma nners. But suffice to say that we are now going to add up almost three more lines, which would take my clinkering to almost 96 million tons. And as I mentioned, that Bhatapara and Maratha will be commissioning sooner. And Penna Marwar also will be commiss ioning sooner.
So this month, for example, we should be having light up of Penna Marwar as well. So, every passing quarter, we are seeing a good movement of clinker capacity additions also. So -- but what comes first, for example, that is like a complete detailed plannin g. We will be well balanced on clinker and GU at 155 million tons.
Yes, third, in the same brief, then I would say debottlenecking of logistics. Now this 3%, when we look at it, because we have the grinding, but sometimes the evacuation becomes a bottleneck

and therefore, this exercise, which has been done quite extensively through consultants and all.
And this 3%, which will be straight 3 million tons of unlocking of capacity through logistics debottlenecking will get complementary to us.
I would say then when we say blenders and all, it is nothing but in a way, debottlenecking of the product portfolio, because otherwise, the silo storages and all are very that way like limited to any plant, you cannot have unlimited storages. And therefore, when you can have blenders and all, it will help us to have much more optimized product balancing and move into the premium cement.
All of this actually helps you to unfold the overall capacity. But clinical debottlenecking also will come through and for which we are actually doing studies around that. And I will come separately on that aspect. So, my current 65 million tons of clinker capacity, would definitely also have a scope for debottleneck. Yes?
Navin Sahadeo: Thank you for clarifying, because I just want other clarification I thought that existing clinker, you're saying there is scope to debottleneck in that as well?
Vinod Bahety: Yes. Navin, like, Sanghi at 6.5 million tons. Now, Sanghi, for example, the 6.5 million -- typically, these kind of plants always have a 5% to 10% of in -built cushion also, Navin, for example. And when I speak to my technical guys, they tell me that if things a ll go well, Sanghi can actually produce 7.5 million tons. So, I think in cement, the plants have inherent and intrinsic in-built capacity for debottlenecking. To start with, these are like low -hanging fruits for me on the grinding and cl inkering will also follow soon.
Navin Sahadeo: Understood. Sir, my second question then was on the maintenance cost. So, in the last couple of quarters, the other expenses was on the higher side and reason given was that acquired assets like, there is a higher maintenance for the acquired assets, so to say. Now in this quarter's press release, you have mentioned that these -- maintenance of these acquired assets is largely completed.
Now what I wanted to understand from you is that given the backdrop of digitalization or AI integration and also the overall like modernization initiatives that the company was taking. Will this other expenditure continue to be on the higher side or this i s where we can say that it has peaked out and now it will taper down from here on?
Vinod Bahety: Thank you. I won't say this picked out, because the digital initiatives have to step in, Navin. In terms of, let us say, the operating leverage benefit will surely help you to

get the benefit in the coming quarters. So, when it comes to utilization of Penn a or Sanghi, for example, which are still lower as compared to our estimates, for example, and therefore, the benefits will surely flow in.
But that is the advantage of the operating leverage. But so far as technology is concerned, and

that is where comprehensively, we are doing at the plant level and at the business level, those,

for example, will step in maybe at least 2 quarters, I will require to bring a strong revamping of the foundation and then put on the additional layers of the AIs and all platforms.

So, like these initiatives have been launched, they will bring marginal improvements apart from the operating leverages, which I mentioned. But the real improvements will begin from the next financial year. However, my optimism for INR4,000 a ton by end of this financial year remains there in terms of the overall total project cost.

Moderator: Our next question comes from the line of Rahul Gupta from Morgan Stanley.

Rahul Gupta: A few questions. So first, continuing on the previous question, you reported around INR70-odd per ton of additional cost on back of both sales promotion. And second, on maintenance. Now how much of this 70 -odd would continue over the next two quarters? So that's my first question ?

Vinod Bahety: Yes. Rahul, INR70 per ton will proceed now with improved volumes coming from some of these acquired assets. And because we are doing it in a very systematic manner. And therefore, some of the time which -- some of these assets, for example, Penna and Sanghi have taken, now that investments have gone, results will start flowing in. So, far as the brand is concerned, see, that is like a very continuous exercise.

And therefore, you will see more benefits coming from it with a higher share of premium cement. So even, for example, when I say that this will be maintained, sustained and improve in terms of cost for marketing and sales promotion. But the delta effect, for example, when I look at it, it is far, far superior.

The Y -o-Y growth of 20% volume, for example, or even if I remove the acquired assets, the Y - on-Y growth becomes 11%, which outbeat the industry in all means. And that is actually, for example, I would not be so concerned about that. I would be rather looki ng at how it is helping in my overall metrices of revenue and the overall EBITDA and the premium cement so and so forth. So, the opex part for the maintenance will now be controlled, sustained and reduced with the benefits of the improved capacity utilizat ion for the acquired assets.

Rahul Gupta: Got it. My second question is, just help me understand, it's more like a clarification. When you say that you would exit the year with INR4,000 per ton of cost, is it fourth quarter end? Is it March end? Can you help us understand that? And secondly, when you say INR3,650 by fiscal '28, is it the full year or March '28 o r is it a fourth quarter March '28? Any clarification over here would be very helpful?

Vinod Bahety: Rahul, I would say, pick it as March. So, like INR4,000 is exit of FY '26. Therefore, pick it as March '26, likewise, March '27 and then March '28.

Rahul Gupta: Got it. Got it. One final question is, your RMC business is ramping up quite fast. If I look at the numbers, fiscal '25, share of RMC was more like 4% in overall revenues. This has become around 4.5% in first half. How should we look at this business from second half perspective and

next couple of years' perspective? At what level share of RMC revenues would s tabilize? That's it from my end?

Vinod Bahety: Good observation, Rahul. So, like RMX is building up quite well for us. And on a full -blow basis, let us say, FY '28, and when I say in terms of my cement consumption in RMX, which will giv

e you that glimpse, it would be around, say, ballpark around 5%. So ,5% of my full -blow capacity of cement RMX will consume, almost we are targeting 365 -odd RMX plants in next couple of years. And good thing is now RMX has also built up quite well on the EBITDA margin as well. So, yes, around 5% by FY '28 fo r the cement consumption in RMX.

Rahul Gupta: And how much does it reflect into your revenues, if you can help us understand?

Vinod Bahety: In terms of revenue, I think...

Rahul Gupta: Or let me put -- let me ask this way. What would be the cement consumption of RMC right now?

Vinod Bahety: Cement consumption of RMC is quite, right now, around between, say to, around 2% odd. And as I said, this is ramping up to go up to 5%.

Rahul Gupta: Okay. Got it. Thank you so much.

Moderator: Our next question comes from the line of Mani sh Somaiya from Cantor Fitzgerald & Company.

Mani sh Somaiya: Congratulations again on a good set of numbers. There's been a lot of discussion about costs, and maybe I'll switch to volume growth. I think you had 20% volume growth in the latest quarter. And obviously, the industry is growing at much less. My question is, how sustainable is this growth? And then secondly, as you sort of go upmarket, go more premium, how are you

balancing pricing and volume?
Vinod Bahety: Thank you, Manish. A very interesting question. I would go with the last quarter and the current quarter trend, Manish. Last quarter also, we delivered 20% year -on-year and this quarter also 20% year -on-year. Now in terms of sustainability, I think quite bullish to achieve double -digit growth may not be 20% when the acquired assets mature a nd therefore, the base goes up. But surely double -digit growth is what we are targeting on strength of the strong brands what we have with top of it, now the Adani brand also getting shipped into it. So far as the whole structure, when it comes to premium cement versus the overall volume growth, Manish, that will get very well balanced out.
And there, for example, we are looking at both the market share on one side and also the proportion of the growth of our premium cement, both will go very well. And we'll see a good level of progression. And I will be looking at double -digit growth for next many quarters from here. With the kind of capacity expenses and what we have, already planned.

Now for example, from 107 million tons, we are growing to 118 million ton s by end of this financial year, then almost like around 130 million, 135 million tons by FY '27 and 155 million tons by FY '28. So, the capacity itself is growing by almost 10% to 15% every year. Therefore, I'm bullish about double -digit growth.
Mani sh Somaiya: My second question is, as you talk about the integration of Orient, Penna, Sanghi, how should we think about volume growth, margin growth, and market share growth over the next, call it, 12 to 15 months? If you can help us understan d, that would be really helpful?
Vinod Bahety: Very interesting. Thank you again, Manish. See, I also highlighted, excluding the acquired assets, my EBITDA is almost at the base capacity at around almost INR1,189 per metric ton. But with the acquired assets, which have -- which are right now giving me lower EBITDA. So, let us say, the EBITDAs for Penna and Sanghi, for example, although there's an MSA and all. But with the capacity utilization improvement, they should also get cl oser to the current levels. And even if I expect it to achieve 4 digits, we see a very healthy improvement in terms of the EBITDA to sustain 4 digits and then to grow from there. And target of FY '28, we had given our aim to achieve INR1,500 EBITDA. And that is where, for example, these acquired assets will mature apart from all our initiatives on the efficiency on the debottlenecking on the Green Power and so on and so forth.
Th

at also, for example, entire table, which we have given in the Investor Day, the journey of a reduction of INR400 of cost and this INR400 is from my exit of March. So, like INR4,000 exit of March minus INR400, INR3,600 is what for example, INR3,650 will actually come in. So, EBITDA, I'm optimistic to achieve for this acquired assets also healthier and now that investments have gone into the maintenance and all.
And there's also very good uptick in the demand in those clusters, for example, we are seeing a very healthy uptick of demand in the Western market where Sanghi is there. We are seeing a very positive uptick of demand in the southern markets, for example, where Penna assets are there. And of course, Orient caters to West as well as to South, but primarily to West, which is again a very healthy, high contribution, high EBITD A market like Mumbai.
So, I think acquired assets are doing -- Orient has got one of the best like profitability and all within a short period of time and Penna has also picked up quite well. Sanghi is now going to swing into a very substantial positive zone from this Q3 in ter ms of capacity and therefore, like from overall performances. I hope I've addressed your point, Manish, on both EBITDA and then the capacity in the acquired assets.
Moderator: Our next question comes from the line of Raashi from Citigroup.
Raashi : Just a couple of questions. On the balance sheet, you did talk about the working capital. Could you just give the bridge of the cash reduction from June until September?

Vinod Bahety: From June to September, Raashi, for example, I have in the investor deck given you that the bridge from March to September, right? March to September. So, if -- can I just refer to the particular page, particular -- yes. So, if you go to the slide number -- this slide is right? Slide 37. If you please go to the Slide number 37, Raashi, over there, there's a bridge in terms of the starting point, which is INR10,125 crores and the closing cash of September, which is INR1,813 crores. In between June, there was this INR2,971 crores and there is this capital market event of acquisition of INR5,910 cr of Orient. And then there's a whole lot of investment activities of

capex programs and likewise. So -- but if you have any specific details on this Slid e number 37, I will be happy to answer. But this bridge is there in terms of cash flow.
Raashi : I just wanted to understand INR2,971 crores to INR1,813 crores ?
Vinod Bahety: INR2,971 crores to INR1,813 crores. Okay. Give me one -- a minute more. But if you can come up with your next question, and I will just dig on those details.
Raashi : So, the overall utilization was how much in this quarter?
Vinod Bahety: Utilization of capacity?
Raashi: Yes. Including all your acquired assets.
Vinod Bahety: So, including all the acquired assets on a consol basis, Raashi, it will be around 65% to 67%. And of course, therefore, I have the benefit of to improve it further. Even at 65%, for example, we are in the volume numbers and the advantage of operating leve rage will flow in for the coming quarters. Yes. So, it's around 65% to 67%.
Raashi: Also, like you mentioned that Penna was there in last year only for 45 days. And Orient was not in the base. So, if I were to exclude both these, would you have grown in line with the market? Or would you have gained market share this year, this quarter?
Vinod Bahety: I would have grown almost, Raashi, 2.5x better than market. Industry average at 4% growth without Orient and Penna, I would be at 11% growth.
Raashi: Okay. If I take Penna for 45 days and no Orient, it's a 11%?
Vinod Bahety: Yes.
Raashi: Got it. And just, sorry, one more question. On the clinker expansion that you're talking about from 84 million to 96 million tons. Is this -- do you have a breakup of...
Vinod Bahety: Raashi

, not able to hear you, please? Can you just repeat.

Raashi: Sure. The cement expansion, you've given us, the debottlenecking expansion. The clinker debottlenecking that you were talking about is the 12 million tons, that's 84 million going to 96 million. Any of this is in ACC or the whole thing is going to be in Ambuja?
Vinod Bahety: That is not debottlenecking, Raashi. I told debottlenecking on the clinker will come out with more comprehensive separately. That was for the incremental lines which I mentioned to Navin.
Raashi: Okay. Alright. Those are my question. Got it. So, for debottlenecking -- sorry.
Vinod Bahety: No, okay. You continue, then I would respond on your cash and the difference between .
Raashi: Yes. So, just if I can just -- if you could just repeat the clinker expansion. So, we're going to get with 73 million tons of clinker by FY '26, right? By the close of FY '26. And then, what are the next steps from there? 73 million goes to?
Vinod Bahety: That is true. 73 million goes to almost -- now FY '28 numbers will go to around 96 million. And in between FY '27, I will just let you know. But coming to your -- like just give me FY '27 clicker. And so far as, because you'll have Marwar and all, so anoth er you put, say, two -- 8 million tons in between. So from 73 million becomes 81 million and from 81 million, it becomes 96 million, Raashi. This is the journey.
So, far as cash and cash equivalent is concerned from INR2,971 crores, majorly it is going in terms of the capex program. Almost INR1,400 crores is actually from capex program with respect to all these ongoing capex. So, which are going to get commissioned in Q3 and some of it is going to get commissioned in Q4.
Raashi : Got it. So, INR1,400 crore s was the capex in the second quarter and INR2,800 crore s is for the first half, the capex?
Vinod Bahety: Yes. So, my hit rate for -- average hit rate for the quarter is almost INR2,000 -odd crores. And we hit almost INR8,000 crores of capex program in a year. So, that is right.
Moderator: Our next question comes from the line of Ritesh Shah from Investec.
Ritesh Shah: First question, three parts. Sir, somewhere in the mail, we have written that we will be adopting latest technology on new capacities. And it will improve operational efficiencies. And also it will reduce the average age of plants by 40%. Sir, how should w e read into this? One is, if you could elaborate on the technology.
The second is on the operational efficiency, what you indicate on heat and power, if you could quantify something? And third, basically, I presume average age of plants, that's only because of the new assets, nothing to do with the old assets? If at all with the old assets, would we need to reassess the residual life of the plant and hence, also depreciation going forw ard?

Vinod Bahety: Ritesh, one by one. Let's -- first, your question is in terms of the efficiency. These technologies, for example, when we say latest technologies, they are all like the 4 million tons of clinker, for example, when you look at that, the heat factor, the heat consumption comes to almost 680 -kilo calories, yes?

And compared to that, for example, the existing heat consumption is almost like around 730 kilos to 740 kilos. Now that straight away, for example, this new clinkering lines will give the benefit in terms of the averaging the heat consumption. When it comes to power consumption, I'm aware of that our power consumption is slightly higher than the industry leaders and peers. And that is where precisely we have an advantage to catch up on that. Typically, for example, if the current consumption is upwards of 60 units on an average, the latest assets -- basically overall, say, investments, they will bring -- the new assets will come at less t

han 50 units per ton
of, say, clinker.

Now -- and effectively, when you look at composite basis also, both cement and clinker, it will come down substantially. So nothing, for example, the only thing is when you add up the new investments, new assets, it will help us to improve the overall aver age of new plus existing ones. So that is like where, for example, we see a good advantage what we have. Despite a little old assets or higher average age, our current performance, therefore, has to be looked upon in that context. And then the improvement plan has to be seen in that con text. That scope for us to improve. And hence, I this time mentioned, 40% reduction which happens in my overall average age by FY '28 when we go for these expansion plants.

You've had a couple of other questions, Ritesh. So therefore, for the journey of this INR400 a turn, you will find INR250 in terms of power and fuel. And these are like factors of consumption apart from mitigating in terms of the rate and all, which we have demonstrated.What is your second question, Ritesh, I'm missing that.

Ritesh Shah: Sir, just a related question. So would we look to reassess the useful life of the assets that we have after the debottlenecking and equipment upgrades that we are doing?

Vinod Bahety: No. So, we have done that, Ritesh. I think, one or two assets, for example, we will look at mothballing and I will separately share with you the details -- with all of you separately with the details, but that is like insignificant in the overall scheme of things. So, for example, we constantly do that in context of the market share and the overall additions of the new assets. So, as and when the new assets keep adding it, we will look at the -- some of the variable assets in terms of mothballing, and then look for another level of expansion programs in those areas. Yes? But for right now, all my assets are up and running.

Ritesh Shah: Sure, sir. This is quite useful.

Vinod Bahety: For Wadi, we have -- for Wadi, the line number 1, for example, I did mention to all of you before, w e have stopped using Wadi line number 1, but that doesn't really affect any kind of a source of clinker, et cetera, because that was pretty, pretty old, and we have dismantled it.

Ritesh Shah: Sure. Sir, second is just to have the comfort on the timelines for the commissioning. Because when we look at one of the slides, what we just -- when we compare it with the prior quarter, we find six of the projects, there is a dela y of a quarter. This includes B athinda, Bhatapara, Maratha, Salai Banwa, Jodhpur, Krishnapatnam. Sir , how should we read into this o r is it something like, it will come on the revised timelines. Sir, how should one get more confidence over here, please?

Vinod Bahety: Again, for example, you have torrential rains and you have, what say, flood -like situations across many parts of the country. And therefore, for example, some of this has become a result of some of the factors of delays. But generally, like, for example, w hen I, for example, say anything operational, I look at commercial operationalizing of the plant more than basically trial run and all.

Therefore, for example, you will find meaningful outcomes of all this, for example, ongoing when the commercial production will start, definitely before the Q4 and start giving us the benefits. So, some of them are seeing at different stages of their pre -trials and all. And the trials will commence and then commercials will start coming in. So, I don't see any unreasonable delay. These are all part and parcel of the situations when you have rains and other issues.

Ritesh Shah: All right. Sir, if I can squeeze in one. Sir, you gave a very interesting data point that the average age has reduced by -- it has reduced to 38 years. Sir, how are you reading into this particular number ? Like is

it natural attrition o r is it hiring younger workforce. How do you map it with the productivity of the firm? How are you looking at this number?

Vinod Bahety: This is important. This, I would love to answer this. I think, what we have done is now, we kind of hire program, for example. So, we have hired almost 1,300 GTs and DTs and who are going through a very well structured program of training almost by end of this year, they will complete

1 year. And they will be available in terms of absorption, right, number one.
I think we are putting a lot of good focus in terms of the holistic training across our -- the various functions in the entire business. I see productivity has been improving substantially. And on top of it, when you put the layer of technology.
Therefore, for example, if you look at the HR cost per ton of cement, you will find Adani Cement HR cost is one of the most efficient compared to my peers and all. And I think the productivity will further improve once the digitization will ship in on a full -fledged basis.
Moderator: Our next question comes from the line of Pathanjali Srinivasan from Sundaram Mutual Fund.
Pathanjali Srinivasan: Sir, Congrats, sir, on a good set of numbers. I just have a couple of doubts. One is we have done a very good job in ramping up our capacity from the time we've acquired assets, and we are

going towards the cost reduction journey. What is be hurry for us to expand very fast given that we are in a very good position where we are and our utilizations slightly dropping because of this?
Vinod Bahety: Okay. Pathanjali, thank you. I think you have a right observation in terms of the growth what we have achieved from 67.5 million when we acquired in September '22 to now 107 million. So, almost like 1 million tons per month is what we have grown. But in terms of ramp -up, I think from beginning on first day of the board meeting we have announced, we will go up to 140 million tons, and we are well on our journey to achieve that. There is quite organized and well - articulated strategy around that.
What we have now just added is this 15 million tons of debottlenecking, which will take me to INR155 million. And again, this will substantially help me in terms of the overall efficiency and advantage of operating leverage. So far as capacity utilization is concerned, I don't think that is a concern so far as brands like Adani Cement, Ambuja and ACC is concerned.
I think, from a capacity pricing perspective, we have more have been spending time in terms of the reliability of the machines, especially for the acquired assets post our Ambuja and ACC, more so like Sanghi and Penna, for example. And therefore, I told you, Sanghi will have a sizable uptick in terms of capacity, so is Penna in coming quarters. And I'm quite optimistic on this part. So, I think our share of market will continue to go up.
As of now, this quarter, we have increased by 1%, and our target is to hit almost 20% to 22% by FY '28, and this will continue on support of a very strong supply chain. For example, right now, we are having almost 29,000 dealers, more than 50,000, 60,000 r etailers and almost 7 lakh contractors. They're all, for example, quite bullishly looking at the business and the business prospects on the strength of Adani Ambuja and Adani ACC.
Pathanjali Srinivasan: Sure, sir. And just one last question, slightly arithmetic. So, our consolidated EBITDA per ton is INR1,060. Stand -alone level, I think it's INR708 for Ambuja. ACC is around INR900. How - - can you explain the bridge between this? Does this mean that because of the MSA, we get better profits at consol level? Is that the right understanding of the numbers?
Vinod Bahety: That is true. That is true, Pathanjali. Because, when you -- even that therefore, like look at the volume, you'll find individual companies will add up. If

you simple add up, the volume will be higher. But when it comes to consol, the volumes get lower. Be cause in consol, the inter sale between the companies gets knocked off. And hence, this happens from arithmetic perspective.
Pathanjali Srinivasan: Okay. So what would be the utilization at these assets, acquired assets, roughly?
Vinod Bahety: See, my base capacity assets are at a very good utilization factor of upwards of 75%. And my acquired assets will vary. Therefore, for example, Orient is at a healthy level. It's of the Western markets and more so Bombay and all. Penna is southern market, therefore, gets influenced with the typic al trends of Southern industry.

And Sanghi, for example, being a coast -based plant and having torrential rains and all for Q2, I would not say that it will be reflective of its trend, but Sanghi should now be moving around in the range of 65%, 70% in Q3 and Q4.
Pathanjali Srinivasan : Got it, sir. Thank you.
Moderator: Thank you, sir. Ladies and gentlemen, due to the time constraint, that was the last question for today. I would now like to hand the conference over to Mr. Deepak Balwani for his closing comments. Thank you and over to you, sir.
Deepak Balwani: Thank you. I trust m ost questions have been addressed. Should you wish to discuss any outstanding query, we are available for a separate conversation from 5:15 PM to 5:45 PM. You

have my contact number, please free to call me. Thank you.
Moderator: Thank you so much. O n behalf of BNP Paribas, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you, team. Have a great day ahead.

Note: This transcript has been edited to improve readability

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Call: Feb 2026

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February 04, 2026

To,

National Stock Exchange of India Limited

Scrip Code: ACC BSE Limited

Scrip Code: 500410

Dear Sir/ Madam,

Subject: Transcript of Earning Call pertaining to the Unaudited Financial Results of the Company for the Quarter and nine months ended on December 31, 2025 .

In continuation of our letter dated January 13, 2026, and January 30, 2026, regarding Analyst / Institutional call scheduled on January 30, 2026, the transcript of the earnings conference call on the Unaudited Financial Results (Standalone & Consolidated) for the quarter and nine months ended on December 31, 2025, is uploaded on the website of the Company at www.acclimited.com .

The said transcript is also attached herewith.

The Web link to access above transcript is as under – Earnings Conference Call | Transcript
Kindly take the above on your records.
Thanking you,
Yours Sincerely,

FOR, ACC LIMITED

BHAVIK PARIKH
COMPANY SECRETARY & COMPLIANCE OFFICER

Ambuja Cements, ACC Ltd, Orient Cement and Sanghi
Industries
Q3 FY '2 6 Earnings Call
January 30 , 202 6

MANAGEMENT

MR. VINOD BAHETY
CHIEF EXECUTIVE OFFICER MR. ROHIT SONI
CHIEF FINANCIAL OFFICER
MR. DEEPAK BALWANI – HEAD, INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to Ambuja Cements Limited Q3 FY '26 Earnings Conference Call hosted by Antique Stockbroking. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Krupal Maniar from Antique Stockbroking. Thank you, and over to you.

Krupal Maniar : Thank you, Iqra. Good evening, and a warm welcome to everyone. On behalf of Antique Stockbroking, we welcome you all to the third quarter FY '26 earnings call of Ambuja Cements Limited.

I will now hand over the call to Mr. Deepak Balwani, Head of Investor Relations. Thanks, and over to you, sir.

Deepak Balwani : Thank you. On behalf of Ambuja Cements , I'm pleased to welcome all the participants to our quarter 3 FY '26 earnings call. Ambuja Cements Limited is part of the diversified Adani portfolio and the world's ninth largest building material solutions company. Before we start, please note that this call may include forward -looking statements based on our current beliefs and expectations. These a re not guarantees of future performance and may involve unforeseen risks and uncertainty.

We are pleased to have with us on the call Mr. Vinod Bahety, Chief Executive Officer; and Mr. Rohit Soni, Chief Financial Officer. Now I invite Mr. Vinod Bahety to provide his valuable insights on the quarterly performance.

Vinod Bahety : Thank you, Deepak. Good evening, and a warm welcome to everyone joining us for the third quarter results of FY '26. This has been our decisive and strategically important quarter for Ambuja Cements . We delivered industry -leading performance, growing our volumes at 2x the industry average. This was supported by stronger market execution, improved availability across both trade and non -trade channels and higher base capacity utilization.

Our actions on premiumization and mix improvement helped us capture significantly higher market share, better realization than the peers and thereby reinforcing our leadership position.

The operating environment remained favorable throughout the quarter. Cement demand growth was driven by infrastructure activity, sustained housing demand and a recovery in the rural construction after a favorable monsoon. Our defining development this quar ter has been the proposed amalgamation of ACC and Orient Cement with Ambuja Cements . This marks the beginning of a unified One Cement Platform that will accelerate our growth trajectory, support EBITDA expansion, strengthen operational excellence leverage , improve logistics density and enhance capital efficiency.

We see this driving long -term value creation over the next 24 to 36 months. Regulatory approvals are progressing quite well. We are seeing an early operational success across the acquired assets, the capacity utilization for the quarter improved meaningful ly for the acquired assets at 58%, improvement of 21% compared to the previous -- to the last year Y -on-Y, which was at 37%. Utilization had further improved -- the exit of December, by the way, is 65%, although my quarter average is 58% for the acquired assets, but the exit is at 65%. And we are confident and looking forward to achieve almost 80% on these acquired assets.

These outcomes reflect disciplined execution of our integration and optimization playbook.

Pricing has entered January on firmer ground as we are seeing a similar uptick in price in January, along with double -digit volume growth. Southern markets are leadi ng increases in the range of INR15 to INR2

0 for non -trade, while the Northern market has witnessed price increase in the range of INR5 to INR10 in non -trade range. Importantly, these hikes have helped making a departure from the rollback -prone patterns of the previous years. With a comprehensive focus on value and market share, realizations improved INR5 per bag as compared to last year.

Trade pricing continues to outperform non -trade with gaps widening up to INR31 per bag as non-trade remains more sensitive to the infra -led offtake and seasonal disruptions. On capacity, we commissioned 2.4 million tons of Marwar Grinding Unit ahead of the schedule. With this addition, our total capacity now stands at 109 million tons per annum. We were looking earlier at 120 million tons in FY '26. 2 million tons of Sindri and Jamul has also been included here in addition to our 118 million tons of target , but the Warisaliganj commissioning is now scheduled for first quarter of '27.

So there is a delay of 3 months in Warisaliganj such that now we will be exiting March at 115 million tons as compared to earlier 118 million tons. Alongside this, we are unlocking an additional 15 million tons of debottlenecking capacity at lower capex cost. These initiatives will provide a clear and capital -efficient pathway to reach our aim of hitting 155 million tons by March of '28, which will position us strongly for sustained growth.

Premiumization continues to be a powerful value driver for us. Premium cement volumes accounted for 35% of the trade sales. And in absolute terms, it increased 31% compared to last year, amongst the highest in the industry.

Ambuja Kawach and ACC Gold, they remain our blockbuster premium cement products under the super premium segment. And GST reduction only has helped in terms of shifting of the consumer preference towards the higher -quality performance -driven products.

Cost leadership remains a key strategic advantage, although I'm sure you have seen that in this quarter, my costs have gone up, and you would be keen to know about the reasons, but I can only give in more details when I come to the cost part. But we have d elivered visible Y -o-Y reductions across the value chain. Kiln fuel cost declined by 6%, power cost reduced 15%, green power share increased by 15% to now 37% and logistics costs reduced by 1%. Our narrative on reaching INR3,650 per ton of cost by March ' 28 continues.

A little bit more on the cost so that while our December quarter comes at INR4,500 a ton as compared to our September quarter, it is almost INR250 hike. In the -- right in the beginning, I can highlight that these are like specific onetime expenses because my exit of December is below INR4,000 December month. So that this INR4,500, I would say, is an aberration of one of these initiatives. For example, the brand transition, the B2B and the B2C segment. As you know, that we have introduced and more larger a mplification of Adani Cement brand.

We have also done a substantial overhauling of the assets of Sanghi, Penna, which has seen a significant capacity improvement. I must also tell you that Sanghi is now operating. The December month exit is almost at, for clinker, 80%; and for cement, 65%. P enna is also showing a very healthy improvement in the capacity utilization. There were 1 or 2 plants which had some unfortunate equipment failures and one of them was Tandur for the Penna and Jamul for ACC. But these are like under now going to be operational very soon. So these are like expenditures which have come in terms of the quarter, but this will not be there for the March quarter. Therefore, exit of December already, as I said, we are below INR4,000 a ton.

Coming back to my commentary, our renewable energy footprint now stands at almost 900 megawatts, strengthening both sustainability and cost resilience. The real benefits of this 900 -megawatt trends will come in coming quarters because many of this power as of now, I'm selling in the market because it will require certain approvals in terms of consumption at my site, but that will happen very soon. And therefore, the benefit will significantly come in the coming quarters. But the good thing is these assets a re operational, and I'm able to sell this power in the market.

We expect to reach 1,122 megawatts by FY '27, providing this long -term insulation in terms of the energy price volatility. This green power, when I consume captively, as I said, it will significantly improve my overall power cost per unit. As of now, I can tell you it is almost closer to INR6.1 per unit (excluding green power sale) . When I look at the competition, they have an advantage over there, but that advantage will sooner come to Adani Cement once this is fully operational and we are able to consume it.

Digital intelligence continues to be central to our operating model. We have launched CiNOC, Cement Intelligent Network Operations Center, which is AI -enabled central control system. Lots of applications, user interfaces, simplified apps and smart tabs hav e been given to our people. And I strongly believe that this will be a game changer and will bring substantial efficiency and productivity with power of analytics to the cement business. Both IT and OT will have a significant improvement.

Our ecosystem continues to deepen our execution advantage. We expanded engagement across the priority industry platforms. You are all aware of our engagement with CREDAI, BAI, NAREDCO, Institute of Town Planning, amongst many. These are like first of its k ind institutional partnerships which we have initiated in the last 9 months, and they are giving us significant results. On -ground programs and brand activations continue to build trust in our product quality and services.

FutureX, which now engages almost 750 -plus institutions. Some of you would know that we launched this program on 15th of September, which is turned out to be the largest industry academy initiative. Almost now it encompasses 1.3 million students, which wil l give us a significant advantage to bring the synergies of academia with the industry apart from getting the mind share and market share.
In terms of the consolidated financial performance, we delivered a strong performance this quarter, supported by higher volumes, improved realizations and discipline on the cost, although as I said, the December month has been a significant improvement and which will percolate down to March quarter as well.
We reported our highest ever quarterly sales volume at almost 18.9 million tons, up 17% and the market share improved to 16.6%. By the way, we have been giving a consistent double -digit volume growth for the last 9 months. So even if you look at my 9 months volume growth, it is in the range of almost 19%.
On a normalized basis, we achieved the highest quarterly revenue at INR10,277 crores in the third series of the year, Q3, up 20% supported by INR5 per bag improvement in realizations. I think you will find some of the industry players have seen a decline in the prices Y -on-Y, but our focus on market, our focus on premium cement, our focus on blended cement, and you will see more accelerated focus, it is now giving us a delta improvement in the realization, which in this case has improved by INR5 per bag Y -o-Y.
PAT for the quarter was INR378 crores, a jump of 258%. Again, for the sake of clarification, we have put the entire table on the one -off exceptional items so that PAT is apple -to-apple comparable. Unlike if you go with the reported numbers, you will find a steep fall, but that is incorrect because there are exceptional items sitting in terms of the income tax refunds and onetime of the items or the excise duty drawback for Himachal, which I have clarified i

n my IR
deck also, in my reported numbers also in press release. So that is -- for apple -to-apple comparison, PAT is up 258%.
Operating EBITDA was INR1,353 crores, up 53%. And again, I've given a clarification that the Himachal excise drawback is a one -off item. Last time also, you all had suggested the same thing, INR826-odd crores. So when you remove that, my EBITDA is up 53% Y -o-Y and the per-metric -ton EBITDA is closer to INR718 per ton, up 31%.
I have given you some explanation of earlier when in second quarter, September, when my EBITDA was almost INR1,060 per ton, the delta of INR250 per ton ballpark, for example, is what I told you in the element of cost, which is slightly higher as compared to last quarter. But as I said, December exit is phenomenally below INR4,000.
The EBITDA performance was supported by Y -on-Y basis, 2% cost improvement. Kiln cost declined 6%. Of course, I can tell you that the kiln rate is better for me, but the kiln efficiency, I'm still -- when I look at some benchmarks, I'm still at 25 to 30 kil ocalorie heat consumption higher, which is an area -- which is clearly earmarked for us to run down. Power cost reduced by 15% on back of the green power share, which is increased by almost 15% and my logistics

costs -- and there's a good scope for me to further reduce my logistics cost, but as of now, it is reduced by, say, 1%.
The diluted earnings per share for the quarter is INR0.82. Net worth is almost at INR70,000 crores; to be precise, INR69,854 crores, and it increased by the INR361 crores, which is equal to closer to the PAT, which we have made for the quarter. Company remains debt -free, CRISIL and CARE AAA stable and A1+ ratings, which are the highest in the country.
From the operational excellence trends, our operations have strengthened on back of disciplined execution, capacity expansion and network optimization. And in terms of the low capex logistics initiatives, which, for example, are on the track, some of them, for example, so we have already ordered the vessels, almost 7 of them, which will be delivered to us by somewhere like mid of '27. We also are working right now in terms of the EV for which we already have given some orders. So you will see more of this.
We also are putting the blenders at the plants. We are also debottlenecking on the logistics. We

are also putting a sharp increase in terms of the production of the premium cement. So all of this, for example, will bring a substantial improvement in the ov erall, say, plant efficiency. By the way, we have substantially run down the SKUs, which used to be multiple SKUs from a plant, almost 30%, 40% of that efficiency has also been brought in.

On the digitalization, I have covered it, so I won't repeat more. But on the ESG and sustainability, this quarter marked another step forward in extending our climate and sustainability leadership, efficiency improvements from the modern assets, and by the way, more and more modern assets because this March quarter itself, we will have almost around 8 million tons of cement, which will be up and running and commissioned. So this efficient new assets will help to average out the overall efficiency factors. It will help me to bring down the lead distances.

As of now, I see that my lead is relatively higher compared to the -- some of the peers, but that is obviously in terms of the location advantage what others have since they have a number of GUs. But in my case, as we move up with new assets, it will come down. We accelerated our breakthrough on decarbonization pathways, while we have been the first in the universe in terms of the commercial scale installation of Coolbrooks RDH, which is RotoDynamic Heater technology for the kiln electrification. This will help me substantially to improve my AFR. As you know, that we are doing it in Boyareddypalli plant in

Andhra.

Additionally, the Indo -Swedish carbon capture unit pilot project in partnership with IIT Bombay and the Government of Sweden is already in the process. And we have become the first Indian cement company to adopt the TNFD framework, bringing our nature -related disclosures in line with the global benchmark. So on the ESG front, friends, I can assure you that we are front runners, and we will not leave any stone unturned to achieve the ESG desired parameters.

On people, community and capability building, our organization is becoming younger. As I told you last time also, my plants are becoming younger. We are becoming more digital savvy, and we are more focusing on smart execution. Across the communities, we ar e expanding access to

future -ready skills through robotics, drone labs, rural KPOs, so on and so forth. I think so in terms of our community engagement, it is on a very strong footing.

And therefore, you will see more approvals coming on the -- at the various public hearings and all. Brand, customer and stakeholder engagement has been very strong. Our presence across the 29 high -impact industry platforms enabled us directly engage with more than 38,000 key stakeholders, including builders, developers, engineers, architects and policyma kers, which I mentioned to, some of the CREDAI, BAI, NAREDCO so and so forth. It is giving us a direct interface.

Brand visibility remained widespread with outreach and activations touching over 300 million individuals across the cinema, OTT, digital so and so forth. I think so our team is very forward in terms of using the digital media. In terms of the technical ser vices, which is the -- one of the key strengths of Adani Cement, and I have a very sizable team on technical services. We have strengthened considerably. What we call it as ACT, Adani Certified Technology site, which are like the houses which are built by our premium cement, this is growing every quarter.

And this quarter, we had almost 36,000 ACT sites. We have a network of 70,000 -plus contractors, influencers. We have almost like taken 400 workshops and so on and so forth. So on the technical engagements also, we are on a very strong footing.

Now friends, on the last concluding for my opening speech in terms of industry, I'm very positive. I've been positive for last 4 quarters. When I -- at the beginning of this financial year, in the first quarter itself, I told I see a demand growth of almos t 8%. And in between, there were headwinds of the war and monsoon and seasonal dynamics and so on and so forth, but you are seeing a strong revival coming back. And therefore, FY '26, I strongly believe the industry will close at almost 8% growth of deman d, which resembles also like 1.1x of the GDP of almost 7.5%. So demand comes around 8%.

Exit of trend of December was robust and with demand strengthening from early December and carrying into January also, I mentioned to you that even in January, we have seen a good level of, say, price improvements, and we are also seeing a similar trend ex pected in February. So the overall revenue are going to improve. It is expected almost, as I said, 8% demand growth and almost 2% to 3% improvement -- another improvement in the quarter -- coming quarter, which will be a healthy finish for the year.

Against this backdrop, our R&D -backed customized cement solutions, you will hear it very soon that we are also doing some specific R&D -backed customized cements, and that is going to strengthen my value -added products of cement and thereby the weighted ave rage realizations. Institutional demand is very healthy, but growing focus is on the blended cement which will consume lots of, say, fly ash or slag. So that is what, for example, will be a key driver for me.

Currently, my share of trade and non -trade is almost, 65% is trade and non -trade is 35%

. Down
the line, it will be moving towards 70% -30%. By the way, end of December, exit of December, we are seeing this trend of 67% -33%. And January already, we are at 70 %-30%. So that is, for

example, what we are focusing more on the trade channels, which is going to give healthy kind of realizations.

Overall, strategies are working very well on the market -led leadership and the cost leadership is going to unfold in quarters to come as already started with December at almost below INR4,000. And I'm seeing the same trend, which will follow through in the March quarter. And needless to mention that all the benefits of AFR, WHRS, green power, new cement capacities gives me lots of confidence that our journey to achieve INR3,800 per ton of cost by March '27; INR3,650 by March '28, that conviction and confid ence continues.

Thank you, although it was a little longer, but I thought I will go into more details, but now back to the moderator.

Moderator: The first question is from the line of Navin Sahadeo from ICICI Securities.

Navin Sahadeo : So 2 questions. One is on your volumes. So in the quarter, you have reported about 17% growth. But if I were to just exclude Orient from it, which you have reported -- I mean, first of all, congratulations for the transparent kind of entity -wise reporting, which helps us really understand and even pose this question in the first place. So congratulations on that.

My question was, if I exclude Orient, from the total volumes, then the volume growth comes to more like 6%. And even I'm assuming Penna would have ramped up. My question was that if the realization decline, as I see, is much less than peers. So is it that in Q3, we were focusing more on premiumization or on pricing or value versus volume and which is why we saw a slightly lesser growth in other regions, if I may think it that way? And how should one look at them incrementally going ahead about volumes ex o f South from a market share and growth point of view?

Vinod Bahety : Okay. So you had 2 questions. So Navin, you're through with your both the questions?

Navin Sahadeo : Sorry. My second question then was on the renewable energy. So 898 out of 1,112 is already commissioned, which is nearly 80%. But in your opening comments, you also said that you're not able to utilize it fully pending approval. So you're selling it in the market.

So is it that this -- whatever you are selling in the market is -- how is that reported in the first place? And then what kind of savings -- by when can we expect and how much savings in the renewable space?

Vinod Bahety : Okay, Navin. So let's come to the most important question is in terms of the volume growth. I think 17%, which includes all the entities Ambuja as a consol, right, Y -on-Y. So you're right that in the previous year quarter, Orient was not there. I can do th e math. And Orient, if I exclude, that would come somewhere like 8%. And if I completely remove all the acquired assets and then if I go with the base capacities, Navin, that comes to -- in fact, that is a tad better than the industry, it com es to closer to around 6%, yes. Now -- which would mean the base capacities of Ambuja and ACC, right?

Now if you do a similar thing for other companies, you will find that those companies are at somewhere like 3% to 4%. I'm not naming anyone, but generally, like that is the trend, but we are actually better than that.

Second question -- so second point, you're right that in terms of the gear shift, of course, now the strong brand of Ambuja and ACC and now with the loaded power of Adani and therefore, now it's like Adani Ambuja, Adani ACC, our whole larger drive is to re gain the market share on the trade side. So many companies will end up doing a larger share of volume because they will end up d

oing on the non -trade side and all. Our focus will be to regain the leadership position of Adani Cement on the trade side on bac k of the strong brand equity, what we have.

So therefore, forward -looking, I can say 70% -30%. I mentioned in my opening remarks, 65% - 35% to now the exit of December 67% -33%. And then in March, already, although in the month of January, I'm seeing 70% -30% and gradually down the line, 75% -25%, for exa mple. So that is like our wish list and are working to achieve. So that will definitely help me to improve my realization.

It will help me to penetrate more premiumization. And therefore, the NSP will be better than the industry peers. This is a clear earmarked strategy and which is played in the month of -- in the quarter of December.

And more so you will see it actively being played in the month of January as well as coming quarters, which also brings another point that the digital strength will help me more in direct engagement with the -- and simplified working with the dealers and t herefore, the retailers and therefore, the end customer. Therefore, I'm very confident the whole logistics and the technology optimizers and the algorithms will help me on a speed of orders and all. So therefore, the blended cement and the trade will be a higher growth percentage.

Coming back to your question on the renewable energy. As of now, renewable energy, there are 2 factors. One is certain government approval. Second is also that my capacities when they come up and running. I told you like 8 million tons of the grinding units, then also the clinker in Bhatapara Line 3, the clinker in Maratha, which is expected in first quarter of the next year. Clinkering facilities obviously consumes more power.

So as things move forward and when my new capacities come fully operational, they will be able to draw more power. Pending that, therefore, you can say that I'm ahead in terms of power and therefore, I'm also able to sell those power in the market. And I h ave a combination of both wind power and solar power. As of now, this income of power, it resides under the other operating income in the P&L, yes. So that is how it is. If I net it off in my power cost, then it will be much lower. But from an accounting perspective, right now, third -party sale is residing under the other operating income.

Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah : A couple of questions. Sir, first is, how are we looking at the JP assets, which are now sitting at AEL? Would it make logical sense for Ambuja to digest it based on what the AEL decides upon? That's the first question, sir.

Vinod Bahety : Yes, you complete, Ritesh, and then I can -- in one time, I can...

Ritesh Shah : Yes, sir. And sir, second question is more on accounting. In ACC press release, we have written that plant maintenance from next fiscal will be amortized over 12 months. I just wanted to understand the rationale for it. And the other accounting -related que stion was in the notes to accounts, again, we have indicated that with respect to coal sales as other operating income, now basically, we net it off under power and fuel.

In the earlier quarters, we have seen something similar for sales promotion expense. So just wanted to understand the thought process for the all 3 line items. One was maintenance, second is coal sales and third is promotion expense?

Vinod Bahety : Yes, Ritesh, thank you. Good observations. First, Ritesh, on the JP assets. Last time also, I think a similar question would have -- had come rather, and I said that AEL is a separately listed company, and it would be better that this question is asked to them. As of now, I will keep it on an arm's length basis. And therefore, I would say, no comment right now from Adani Cement from Ambuja on this.

Second is in terms of the accounting of the plant maintenance -- this is very important, Ritesh, because otherwise, what happens is so far, as of now, the accounting has been done, for example, say, December quarter, the accounting results into distorted s ometimes picture of a quarter because the cost gets booked on an actual basis when the maintenance happens. What now we want to bring it, which is more logically to all of you also that this amortization will happen over 12 months so that the quarters don 't get distorted with the scheduled plant maintenances.

Right now, the accounting policy has been to book it in the quarter when the maintenance activity actually happens, yes. So that is like a very proactive step so that all of you are able to then properly look at the quarter in a real sense.

So far as your third question is in terms of the coal sales and the -- which is like whether it is netting off my other opex , I will just like want some details from my CFO.

Rohit Soni : Yes. So in ACC, because of the MSA, what we have between the One Cement Platform, so the coal sale which happens, earlier we were netting it off on the expenditure. Given the discussions which we had with our auditors, we have shown it as gross at both the ends. So that is going under the revenue from operations instead of netting it off on the power and fuel and the value was INR315 crores for the period.

Ritesh Shah : Sure. Sir, can I just squeeze in one more question?

Vinod Bahety : But again, Ritesh, I think the moot point here is I just want to again check that there is no impact...

Rohit Soni : Per se. It's only grossing up of...

Vinod Bahety : It is only the grossing up. No impact on the P&L item, right?

Rohit Soni : Absolutely.

Vinod Bahety : No impact on the EBITDA, right? So yes -- so Ritesh, over to you again.
Ritesh Shah : Yes. And sir, last question was basically, how should we understand the change in inventory on a sequential basis at Ambuja consol level?
Vinod Bahety : Change in inventory, like what is your question specific?
Ritesh Shah : It's moved from minus 3 81 to minus 84. The swing is quite substantial.
Vinod Bahety : Yes. So okay, Rohit, do you want to address that?
Rohit Soni : So Ritesh, if I can answer here. I mean, if you take quarter 2, that's where we have a big swing, and that's predominantly on account of the stock buildup, which happens in the quarter. That's the seasonality of the business, which is a low quarter sale fr om that perspective. So you'll have buildup on the cement stocks. You also have a buildup on the clinker stocks, which gets pushed out in quarter 3, quarter 4 and quarter 1, but it gets smoother now.
So you see in this current quarter, we don't have much of it reflecting it. It's predominantly on buildup of the quarter 2, which we have. Otherwise, it's a seasonality which impacts. So there is nothing more to add out.
Moderator: The next question is from the line of Rahul Gupta from Morgan Stanley.
Rahul Gupta : My first question is, in the September quarter, you had mentioned that a majority of consolidation of Orient and Sanghi -related costs were largely behind. In fact, there was around INR42 per ton of maintenance -related cost in September, which should have subsided in this quarter. Can you help us understand what exactly is driving opex higher Q -on-Q? Any quantification over here would be helpful. And my another question is, by when can we expect clarity on the expansion? You gave us the 15 million ton debottlenecking breakdown, but what about the rest on your road map to 155 million ton?
Rohit Soni : So Rahul, I think if you go back to Slide #38, so while it captures broadly the overall phasing of the expansion plan, so FY '26 exit is 115 million tons -- actually, it is 117 million tons, but then I'm also going to do mothballing of 2 unviable and -- economically unviable units basically.
So therefore, I'm seeing 115 million tons on a net basis. And then on top of it, the overall phasing of FY '27 and '28, that will cover balance almost -- so it will have a combination of both the new GUs and the debottlenecking also. Ballpark around 130 million tons to 132 million tons will come by exit of March '27 and the balance will then come to me at exit of March '28.
Rahul Gupta : No. What I was looking for was breakdown asset -wise. When can we expect details around that?
Vinod Bahety : Breakdown of the capacity or breakdown -- what breakdown?
Rahul Gupta : Yes.
Vinod Bahety : Capacity?

Rahul Gupta : Yes.
Vinod Bahety : Okay. That we can -- so as things first, let's achieve the end of March so that we are happy at, say, 118 million tons -- 117 million tons, sorry, and minus 2 million tons of the mothballing, so 115 million tons, for example, let's achieve that. Then as things progress, we will keep giving you further details because the blueprint is ready. But as things progress, we also want to go progressively with the quarters.
Rahul Gupta : Got it. And my -- the earlier question on opex .
Vinod Bahety : Sorry, earlier question was on cost of what? Of Penna and Sanghi?
Rohit Soni : Debottlenecking.
Vinod Bahety : Debottlenecking. I think in the last previous analyst call also, I told the debottlenecking comes below $50. So I was at, say, $48 per ton.
Rahul Gupta : No, no, that's not what I was looking for. The last quarter, you had mentioned that Sanghi and Orient were largely fully transitioned and...
Vinod Bahety : Okay, the operating cost -- the operating cost, you are saying? The O&M cost.
Rahul Gupta : No, no.
Vinod Bahety : I think the O&M cost, for example, Rahul, of course, like that point of time, Sanghi and Penna are through. But now for you to have a substantially more capacity utilization, there were some items which were left. And then as I said that for Penna, there w ere a couple of these plants like more so like Tandur was down.
And in case of ACC, a couple of old assets were down on certain equipment. So that is where, for example, some of the scheduled maintenance, which was supposed to happen in, say,

January, February got preponed in December itself, and that results into -- and which is precisely my point when Ritesh asked that how you want to schedule in terms of the overall maintenance cost.
And I told that from coming financial year, we will have a proper amortization of the O&M cost over the quarters in terms of spread over the month as part of the budget so that there is no per se distortion of the cost on the actual basis, yes, unless ther e is any other breakdown. Otherwise, it will be like scheduled over the 4 quarters.
Rahul Gupta : So let me ask this question differently. So how much of your opex was one -off during the quarter?
Vinod Bahety : No. So like a good level of, for example, almost like in terms of my branding and my repairs, for example, almost INR125 is sort of like one -off. In terms of my higher freight, because sometimes you then go with a larger lead, and it is almost like INR25 to INR35 higher per ton.

In terms of my -- some of the legal costs, onetime in terms of some of the legal cases, which we have won by the way, but then this adds to the cost. So ballpark around, say, INR150-odd is, say, onetime. And therefore, like when I look at now my December exit, my December exit is clearly below INR4,000, while compared to -- which was almost like INR4,500 a ton for the quarter, yes.
So with every passing month, with every better utilization of green power, with every better utilization of the WHRS capacities and the alternate fuels, these costs are going to come down. So therefore, in terms of giving you an estimate, I can only give y ou an e

stimate ballpark, but the actuals will be positively surprising to all of us.
Moderator: The next question is from the line of Siddharth Mehrotra from Kotak Securities.
Siddharth Mehrotra : Sir, just to sort of elaborate on the previous participant's questions. Could you perhaps give us some breakdown in terms of direction for each of the cost line items, say, for example, in terms of power and fuel costs, how much do you expect them to trend downwards, upwards, same for other costs, so on and so forth?
Vinod Bahety : Yes, Siddharth, good point. I can give you a ballpark. I think in the initial commentary also, I mentioned, let us say, for example, my overall, say, power consumption per ton of cement, which I find there's a scope for me to reduce by almost 10 to 12 units per ton. And in terms of rupees per unit, almost INR1.5 to INR2, which is like although end objective, but INR1 immediately. So ballpark, INR100 to INR125 a ton, I see improvement possible quickly on the power.
While my end target is by FY '28, INR4.5 per unit as compared to INR6.1(excluding green power sale) in terms of my power cost and my consumption almost -- which is from here, I can improve by almost minimum 15 units. But as of now, I'm saying the 10 units is quite possible in the coming quarters and this INR1 reduction. So like, let us say, around INR150 -- INR100 to INR125 reduction on the power cost.
On the fuel, almost like power -- the fuel is almost INR150 reduction is what, for example, we would like to peg ourselves. And back on the strength of -- on the strength of the new assets, which will come to us, which will reduce my overall, say, fuel -- the heat consumption. And with every passing quarter, my fuel cost is coming down and that you will see further trend.
Look at the raw material, like now fly ash and all with the group synergies, we will be benefiting on the fly ash. We are putting up the BCFC rates all across the major centers of consumption, which will bring me benefits of logistics. So on logistics part , for example, when I look at it, almost INR150 reduction is what we are targeting to. And on the raw material, almost INR100.
So plus/minus around, say, INR300 to INR350 is what, for example, will come, and that should come to bring it down my cost to al most INR3,800, again, as I'm saying, exit of '27 of March and INR3,650.
But this is like, for example, as I said, positively will surprise with every passing quarter. But the blueprint is very clearly laid down.
Siddharth Mehrotra : So these are basically longer -term goals, not exactly visible, say, over 1 or 2 quarters, right?

Vinod Bahety : No, they will come down because, as I said, like the moment my line is ready for commissioning, Bhatapara, for example, line 3 is commissioned and it is ramping up. Maratha will come in Q1.
This quarter, 8 million tons of cement will come. They will all be geared up to consume green power, which is right now, for example, which we are selling in the market.
So like -- it's not like long -- mid- to long term. It will be possible to consume as they start to

ramp up on an immediate basis also, number one. The moment they commission and get -- giving commercial production, this 8 million and all, the efficiency i mmediately improves because these are all efficient new kilns as compared to my almost -- the existing old assets. So like this, combination will give you quick returns on a quarterly basis. So every passing quarter will give you the improvements.

Needless to say that, as I mentioned, the revenue pattern also will keep improving because all these new assets and all will be focused on premium and trade sales focus, blended cement focus. Many of my rakes, BCFC rakes are getting delivered. So like typi cally, once in -- almost 3 to 4 rakes gets delivered a quarter. The moment they get delivered a quarter, it stra

ight away helps me to deploy for movement of fly ash on railway logistics and therefore, the blended cement portion will go up. So I think don' t look it as a long term. Look it as a every passing quarter kind of action.

Siddharth Mehrotra : Got it, sir. Just one bookkeeping question, sir. What would be your guidance for capex , say, in the next couple of years?

Vinod Bahety : So capex , Siddharth, as I have also highlighted in the investor deck, around ballpark -- for the growth part, say, ballpark, INR8,000 -odd crores and for the efficiencies and all, another, say, INR2,000 -odd crores. So I would peg it -- but this is like a modular kind of say, capex because basis the various opportunities. My foremost focus remains and continues on capacity utilization of my existing assets. So that is like straightaway helps me to bring substantial KPIs improvement. And therefor e, this capex , when I indicate to you, it also will be a factor of how the existing assets also spans out in terms of utilization of the capacity and all. But ballpark, yes, INR10,000-odd crores, you can consider.

Siddharth Mehrotra : Over 2 years, 3 years?

Vinod Bahety : No, no. This is like I'm saying yearly capex .

Siddharth Mehrotra : Annual capex . Okay, okay. Got it, got it.

Moderator: The next question is from the line of Amit Murarka from Axis Capital.

Amit Murarka : So just on your expansions, while you have put out the numbers, but specifically on the clinker unit, which is Maratha and the Rajasthan clinker unit and Penna, by when is that expected to commission now?

Vinod Bahety : Good. So Penna -- Amit, thank you. Penna is expected in this quarter itself. It is being targeted somewhere like third week of February, but hopefully, like mid of February, yes. So this quarter itself, the commissioning will happen.

And so far as Maratha is concerned, I mentioned earlier, it is expected somewhere like in Q1 to Q2. I would just keep a buffer of 1 quarter. So Q1 to -- let us say Q2. But -- so Bhatapara and Penna -Marwar, Bhatapara is commissioned, Penna -Marwar in February, then Maratha somewhere like in Q2 kind of scenario.

Amit Murarka : Sure. Understood. And beyond these then, which are the other clinker units that you plan to take up in order to reach that 155 million ton of grinding?

Vinod Bahety : Again, good question, Amit. Thank. See, primarily for me, the engines of growth in terms of clinkering, Bhatapara remains my engine of growth so far as East is concerned. Sanghi is my engine of growth so far as West is concerned. And in terms of South, we have Wadi and Chittapur basically.

But primarily, Sanghi is where we will grow. Mundra, we are already expanding in terms of the calcium sludge -based cement basically. You are aware of that. And Bhatapara, which I mentioned.

So -- and another important thing is for North, Marwar. Marwar remains my major, for example, mother unit in terms of the expansion. So the clinkering lines will be more primarily as a brownfield expansion. And therefore, the benefits of brownfield capex and therefore, the economies of scale and all will come. That's how, for example, our whole blueprint will emerge and all the GUs are therefore -- and BCTs and all.

Good thing is railways have also come out with the bulk movement discount policies, our tie -up with CONCOR. So in fact, my capex actually will be a tad lower because now instead of GU, you can also very well plan BCT and the advantage of fly ash which the group has. So this will get -- the model is getting now reemerging because of these various dynamics, which are positive for the industry. Yes, but as I said, Bhatapara, then Marwar, then Sanghi are our mother units for these 3 locations. And in South, I have Chittapur and Wadi, which are like primarily our growth engines in South.

Amit Murarka : That's very helpful. And also on grin

ding, when will you be coming out with more details from
that 24 million tons, which you have mentioned for '27 and '28?
Vinod Bahety : I will go back to what I think Rahul had asked this question or Siddharth would have asked this question, Amit. I think give me time that with every passing quarter, I'm going to keep you posted. Because as I said, the industry is in a very interesting, ve ry supportive of policies by government. And therefore, instead of saying you that grinding units, I will rather put a blend of BCTs and grindings and container movement and so on and so forth. Therefore -- the models are reemerging. And ther efore, I will keep updating you all in terms of the footprints with every passing quarter.
Amit Murarka : Just a last question, if I may. So you were earlier also contemplating giving out the operations on a contracting basis. So has there been any progress on that attempt that you're making?
Vinod Bahety : I must appreciate, Amit, you have been keeping so close track. Of course, yes, whatever we are discussing with you on every investor call, we are moving our journey on that. So in terms of

the outsourcing also, I must compliment my team and the efforts which has been coming out that we are in a good momentum on that, and you will hear positive things on that part as well.
Moderator: The next question is from the line of Raashi from Citibank.
Raashi: My first question is on cost. Sorry to -- and you had several questions on costs. But just to understand this, you mentioned that in the second quarter, the costs were INR4,250 and that's gone to about INR4,500. And as of the close of the quarter, you are at INR4,000. Are these numbers correct?
Vinod Bahety : That is true, Raashi.
Raashi: Okay. So then -- and you also mentioned that the one -off expenses in the quarter were about INR150 or so. So from INR4,500, if I remove INR150, I come to INR4,350. But that INR350 is such a fast decline. Like how did that quick decline come from like the quarter to current?
Vinod Bahety : No. So Raashi, I gave you some quick headlines when it was asked, like what are the items which are like one -off and I explained. But I explained in terms of broadly the branding, the O&M, the logistics costs, for example, which came in and some of the leg al costs, which additionally came in and also.
In terms of this delta, INR250, which was there as compared to September quarter, ballpark INR250 resides in some of these items. But primarily, the first 2 months have seen it's more on the maintenance and all. December was lean and clean, and therefore, December is almost like below INR4,000. And as I progress in January also, it is actually below INR4,000. Therefore, my confidence to circle back to you on March exit at below INR4,000 is very high.
I can share further to you details more if you require, but this is like ballpark what I have been explaining right from my initial commentary to now. And as I said, with every passing month, the benefits of green power, the benefits -- and all of that, I won't repeat, are actually coming in. So therefore, like some of these items get stayed off also, yes. So these are like ballpark, my answers to that.
Raashi: Okay. And on pricing, you mentioned that in the South, non -trade prices are up INR15 to INR20 a bag; in the North, INR5 to INR10 a bag. Are there any incremental trade as well or it's just only in the non -trade segment?
Vinod Bahety : So there is an improvement on trade also, but the level of speed of growth is more on non -trade as compared to trade because the downfall also was much accelerated for non -trade and therefore, the corrective action happened. But of course, yes, even in the trade segment, it has improved, yes.
And good thing is now, again, for South also, for example, our focus on the blended cement, and I'm happy to share that t

he -- some of the first kind of initiatives in terms of Penna assets where the blended cements are now moving out from the factories, j ust like 2 days back, that started. I'm also happy to share with you that in Bombay, the blended cement in form of premium

cement. Otherwise, Bombay is more of an OPC market. But Bombay also, for example, we have launched our premium cement and it has got a huge response for the tube.
So -- yes, so I think coming back to South has seen trade also improvement and South will see more of our blended share of cement improvement in an accelerated manner.
Raashi: Would you be able to quantify on average where your realizations today are versus the last quarter?
Vinod Bahety : Raashi, that would be too much of details, but basically -- but I can ballpark tell you that, yes,

things are improving, I think, all clusters, all zones. And good thing is like the brand equity is now pulling a good level of demand from the customers and the Adani added advantage of brand actually is bringing lots of positive euphoria in the supply chain partners. So you will find the benefits coming in every passing quarter in terms of market realizations.

Raashi: Got it. And just one last question for me. Your balance sheet is suggesting there's a slight decline in the cash quarter -on-quarter. Could you explain that, please?

Vinod Bahety : No, Raashi, when you operate -- when you are looking at commissioning 8 million tons of cement, obviously, it will have a capex outgo. All your clinkering of 8 million tons, which will be coming right now from Penna to Bhatapara, for example, to the commissioning of Maratha, all of this is a plant scheduled capex .

And therefore primarily -- but if you look at -- obviously, you know that from March to June and from June to September, there has been this acquisition of Orient and all. So Orient, if you keep it aside, which was almost like outgo of INR6,000 -odd crores. But if you keep that aside, huge capex , which is there in terms of the capacities which are getting added and the volumes growth will come in coming quarters.

Raashi: Understood. So capex in 9 months is how much total, growth and efficiency?

Vinod Bahety : So in terms of capex for the 9 months, it is ballpark around INR6,000 -odd crores. And I would put the run rate -- therefore, I've given it initially that almost INR10,000 crores is what we are expecting between growth and efficiency. And for the next 3 months also, for example, another INR3,000 -odd crores. So this will be ballpark INR9,000 -odd crores for this year and the same plus/minus, say 10% run rate, we will follow passing quarter -- passing years also.

Moderator: The next question is from the line of Jyoti Gupta from Nirmal Equity.

Jyoti Gupta : My question is on your Slide #10, where you have said that the cost reduction would be INR4,000 per metric ton March '26 exit. 9 months, we are averaging around INR4,000 -- roughly INR4,300. So do you -- can I assume that last year fourth quarter, I did INR900-odd EBITDA per ton. And with the improved conditions in the first 2 months of this quarter, can I see that improvement reflecting in the EBITDA per ton, so maybe INR900 plus INR300 or maybe anywhere close to it could be the EBITDA per ton for fourth quarter? And can we end the full year with something like INR1,000 plus EBITDA per ton?

Vinod Bahety : So Jyoti, I can give you commentary on cost. So far as EBITDA has 2 elements. Therefore, like -- of course, I've hinted that and informed basically that January price momentum is very positive. And therefore, you will see that upside in terms of price also . And of course, on the cost, which I mentioned that exit of March, it will be below INR4,000.

So you will -- definitely, you can expect improvement overall. But what woul

d be, 4 digits or 3 digits, I would not give a forward -looking EBITDA number.

Jyoti Gupta : But are we sure we'll be around INR4,000? Will we average INR4,000 full year?

Vinod Bahety : I'm giving exit of March, Jyoti.

Jyoti Gupta : Yes. So that's a full year , if quarter 4 is also INR4000 then too…

Vinod Bahety : For the month of...

Jyoti Gupta : That is number of March '26, so in March '26 if we are going to be INR4000 and you're already 9-month average of roughly around INR4,300, so that INR300 per ton improvement should reflect in the fourth quarter alone, which means overall – there should something seen, sir?

Vinod Bahety : No, no. It will be definitely, but just like put the numbers properly. When I say March exit, in this case, I'm meaning of March month exit, yes. So therefore, you do your math on that basis.

And in terms of price and EBITDA, the cost, definitely, the perf ormance improvement will come on EBITDA.

Moderator: Next question is from the line of Jashandeep Singh Chadha from Nomura.

Jashandeep Singh Chadha : Sir, my first question is regarding the acquired assets. It feels like for a year or so, these acquired assets have been a drag on the performance of Ambuja consol. In your presentation also, you mentioned that from the organic assets, you delivered INR1,045 per ton EBITDA. I just wanted to understand from the management point of view, from the strategy point of view, by FY '27 end, what are the utilizations that you are targeting from these assets? What is the internal EBITDA per ton target?

And what will be the key levers in generating those numbers? I just wanted to get a sense of how you are planning to ramp up the acquired assets?

Vinod Bahety : Jashandeep, now that we have acquired and we have integrated, so therefore, I would say that it's now under Adani Cement. All these assets, including my existing assets, the target is to hit 80% utilization. And the target is to hit EBITDA, which is almost closer to INR1,250 to INR1,300 a ton and then gradually move towards INR1,500 per ton.

So the acquired assets are doing very well. I told you Sanghi, which is now a good turnaround, and we are hitting almost 80% on clinker for December month. And I told you 65% on cement and which will move up further. Some debottlenecking, which I have to d o it in Sanghi so that I get almost as of now, say, 25% of the clinker, which is like 20,000 tons per day, I have to do a small capex part, which is already in the process. So by June or July, I should have 2,500 tons utilization.

As of now, I'm handicapped to 17,500 tons per day kind of utilization. So that will happen, yes. So when you acquire assets like this and most of the assets which are financially challenged when they were acquired and when the erstwhile company promoters could not do overhauling and all, it takes time because these are like strategically important ass ets.

You get 1,000 million tons, you have a huge play. You have a mother plant now, which will set up more clinkering units over there. Therefore, I would give enough opportunity for the asset. And by the way, I'm planning for a site visit also for all of you in the month of February. Team will come back to you shortly on this so that seeing is believing and therefore, like you will get a larger comfort of the turnaround of Sanghi. That was on the acquired assets.

So like for me now, acquired and existing, it gets all as an Adani Cement platform, One Cement Platform. And now I would be confidently discussing with you in terms of the capacity in line with the Adani norms and Adani standards for all of these assets.

Jashandeep Singh Chadha : Understood, sir. Sir, my next question is more from a strategy point of view, from an industry point of view. Adani Cement is one of the largest player we have. Just wanted to understand your view on consolidation.

Do you think -- I mean, you have already told us that organic capacity expansion, you will be discussing in a later call. But do you think that, is the consolidation phase over? Or there is more scope? I mean, just a structural view, if you can give us how are you looking at the industry right now?

Vinod Bahety : No, consolidation phase, of course, like till 1 to 1.5 years back has seen a good run -up on that and now taken a pause because the companies which have deeper pockets when they have acquired and therefore, they are just taking a pause to basically ramp up the existing assets, and that trend will continue. And therefore, the focus on ramping up the acquired assets and then capacity utilization of the assets remains a focus area.

But as things turn around, obviously, then companies become more bullish. And this is like a cycle which will continue. So it takes a pause. It again comes back to the circle and there are companies which will be available for consolidation right from smal l size to midsized companies. But the pace will be not that what we have seen 1.5 years back. The pace will be a little lesser. The size and scale will be relatively lesser.

And -- but I would say that, yes, there will still be opportunities. And I'm sure those opportunities, I've been always saying that we are always open to at the right price and right value. So therefore, no one, for example -- because I have a very strong balance sheet, INR70,000 crores of net worth and 0 debt as of now. So therefore, opportunities will come. At a right price, we will be very open to that.

But the current deeper focus is right now on the ramp -up of the existing facilities and the organic growth, which is already -- we have put a blueprint to work on.

Moderator: The next question is from the line of Prateek Kumar from Jefferies.

Prateek Kumar : Please allow a couple of questions. Can you tell how the EBITDA per ton would look in different regions in 3Q or particularly maybe which region underperformed versus your INR715 per ton blended average due to specific plant performances?

Vinod Bahety : Well, generally, it's like you all know the answer. It's like South will generally be modest compared to the other markets. West, for example, is generally better. And in this case, markets like Bombay are always far, far better. In terms of East was also subdued, although it picked up in the last month of the December. Center has been completely subdued. So the pricing was very -- the aggression of competition was very high in center.

North, you will generally find -- so North and West clusters are generally mitigated from this kind of, say, immense pressure on competition, but Center and East and South remains vulnerable and -- South generally is vulnerable and East and Center can surp rise on either side. That's how it spans out.

Prateek Kumar : Sure. One other question, and this was asked earlier. So you had like INR4,500 per ton average for this quarter, exit at INR4,000. Simplistically for modeling purpose, next quarter, you will have like a swing of INR500 per ton on cost and likely will flow completely to EBITDA per ton. So you can like report INR1,200 plus pricing increase. Is that the expectation for next quarter?
Vinod Bahety : I would be very happy to give you some forward -looking statements on this, Prateek, but I would resist on that because I can give you with comfort that what I can target on cost. But on the EBITDA, I think this question came with Raashi also -- Raashi or w ith Jyoti, I think. So I would resist on any commentary on the EBITDA. But you can do your math and I think you are smart enough.
Moderator: The next question is from the line of Ashish Jain from Macquarie Capital India.
Ashish Jain : Sir, my first question is on power consumption, like the point you made earlier that power consumption can come down by

10 units. And one of the drivers you listed was commissioning of the new clinker plants. But like our understanding under the erstwhile management was that one of the reasons power consumption here was the limestone and the aging of the plant. So are you saying that the 11 million tons will really help you to bring down portfolio level consumption by 10 units? Or are you also working on efficiencies of the existing clinker plants as well?
Vinod Bahety : Both, Ashish. I mentioned to you in terms of the stability, reliability and therefore, the utilization factor of the existing plant, and that will be a key for every kind of KPIs. And on top of it, the blend of the new assets. So it will be a benefit of bo th coming together. On an overall basis, the reduction of 10 units.
Ashish Jain : And this is high visibility, do you think based upon whatever technical assessment you may have done?
Vinod Bahety : Yes, yes. I think I'm already seeing that visibility. As I said, with capacity utilization improving for the acquired assets. With the efficiency, capex is done for the existing assets. And you're right, some of the assets which are old from ACC and all.

And therefore, when you debottleneck, you will actually be able to get a higher volume of cement from the same assets and straight away your efficiency improves. So there's a high degree of visibility on that. And that's how, I think we have done our math on that and then come up with this weighted average reduction of minimum 10 units.
Ashish Jain : Right, right. Sir, secondly -- again, I understand that JP assets are with AEL and you don't want to comment on it. But in case, let's say, those assets come to us, then will it be like incremental above 155 million ton or you will have flexibility in the existing potential pipeline and you will still stick to 155 million ton by FY '28?
Vinod Bahety : No, I think my larger point is 155 million ton has an element of both organic and inorganic. So that continues. Although I'm not commenting anything on AEL transaction, but whether it is JP or whether it is XYZ, 155 million ton will subsume as an overall both organic and inorganic.
Moderator: The next question is from the line of Pinakin from HSBC.
Pinakin : I have 2 questions. My first question is, again, going back to the costs, which were very disappointing this quarter. So over the last 2 years, the costs have been volatile. And going forward, while you maintain the guidance of cost coming down, there will also be a lot many new capacities which will ramp up, which will have lower utilizations to start with. So shouldn't that cost also be a drag?
So I'm just trying to understand the cost picture. Will the overall cost for the company come down? Or will the new plants cost be higher in the ramp -up phase and the existing plants costs will come down?
Vinod Bahety : No, good -- I think good, Pinakin. First, your question is in terms of volatility, I think I wanted to address that part when I said that the accounting of this O&M cost, which should actually ideally get amortized logically over, say, 12 months, so that v olatility comes down, point number 1. Point number 2, the new capacity, right, ramp -up. So in terms of GU, the ramp -up happens very fast. Unlike in clinkering, the ramp -up happens in a phased manner.
The ramp -up doesn't really increase the cost because they already are sitting at efficiencies. So ramp -up will not increase, but it incrementally will improve the cost. And any cost which is required at the time of commissioning, anyways that gets capitali zed. So these 3 answers, for example, will help you to -- so volatility answer is right. In cement, if you do it on an actual basis, it becomes volatile.
And therefore, like I will take those corrective steps in terms of -- equalizing in terms of the quarter so that it is not on an ac

tual basis, but it is properly amortized. Number two, in terms of
capacity I mentioned to you. And therefore, the new capacit ies don't tend to increase the costs.
Pinakin : Sure. My second question is on the capacity number, 155 million tons. So the pipeline of 24 million tons, which includes both organic and inorganic. While there will be an inorganic element, which you cannot detail right now, but given that you have given a target for capacity as of 2 years down the line, when can we expect the organic capacity road map to b e detailed

out? Because I'm just trying to wonder where the capacities are not detailed, then how confident we are of that March '28 number?
Vinod Bahety : No, I told. I think in terms of the end target for FY '27, we are at around 135 million tons, and then it moves to 155 million tons, right? So I think end target for the year is there. Now in terms of the question was specific GUs and all, that I said that we will come back with every quarter so that whether it is GU, whether it is bulk cement terminal, whether it is container termina l, I think lots of options have now come out.
And we have the synergies and advantage of the power plants and of course, on arms and all , but we have the advantages wherever, for example, we can very easily now put up some of the BCTs and all. So this whole model requires a detailed review to bring more efficiency on the capex and still get the benefit of the capacity. I think that is what we are going to come back and circle back to you. But the larger numbers very much remain intact.
Second, as I said, that focus will be to sweat the existing assets much better, smarter and efficient. And therefore, at any stage, when we are able to meet the same demand and market share with sweating of the existing assets, I think 5%, 10% here and the re cannot be basically ruled out because that is where, for example, the whole opportunity will be to bring more efficiency in the existing assets.
So 155 million tons, 135 million tons, 115 million tons, these are like 3 ladders to the next, say, 3 fiscal years and plus/minus 5%, 10% when you are able to achieve your capacity utilization, that's all like part of the whole strategy.
Moderator: The next question is from the line of Ashish Jain from Macquarie Capital India.
Vinod Bahety : Iqra, already we are at 6:20. So I would say like maybe last 1 or 2 questions. Yes, Ashish.
Ashish Jain : Sir, I just had one bookkeeping question. Sir, earlier on the call, did we comment that INR315 crores of coal sales is booked differently this time, which is both in revenues and cost, which was earlier being netted off in the power cost? And is that the reason why our realizations are flat sequentially and the cost is also significantly higher? Is that one of the reasons? Or help me...
Vinod Bahety : So Rohit will answer you on this. Rohit?
Rohit Soni : No, no. So that's not the reason. It's just a gross up and gross down from accounting perspective. So all the numbers, what we report, they don't consider that. We report it from the management this thing. That is just a gross up, gross down. Nothing to do with any of the numbers what we report.
Vinod Bahety : But affirmation that prices -- affirmation that NSP is not influenced on that.
Rohit Soni : No.
Vinod Bahety : Affirmation number two, that EBITDA is not influenced on that. These are 2 points. Now Rohit, if you want to still clarify.

Ashish Jain : Sorry, if I can. But is that accounting change effective this quarter on coal booking, if you can just clarify that?
Rohit Soni : Yes, it is there in last quarter also. The value was less. Might be in this quarter, it's a value bit larger. That's the only thing. It has been there in the past also.
Ashish Jain : Sir, can you give the value for the pre

vious quarter, please, if possible?
Rohit Soni : I have for the current quarter. For the past quarter, I'll pull it up, and I'll ask Deepak to share it with you.
Vinod Bahety : How much is the current quarter?
Rohit Soni : INR315 crores.
Vinod Bahety : INR315 crores. So for the current quarter, it's INR315 crores. And previous quarter, while you -- while the next question comes, if you are able to dig out, then we will tell you. Otherwise, Deepak can separately inform you.
Rohit Soni : Yes. And I'll again clarify, Ashish, this is only at ACC level. Otherwise, at consol level, everything is eliminated because all these things are within the One Cement Platform, what Mr. Bahety ji was trying to explain. At consol level, 0, 0, 0.

Vinod Bahety : So again, I think this is coming -- there is a question again. My point is, Rohit, and we can just confirm it again. Two things. EBITDA is not influenced. Price is not influenced, right?
And it's purely, purely accounting and it nullifies -- absolutely nullify at the consol level. So friends, this is like very, very clear so that -- and then any specific further details, circle back with Deepak.
Moderator: The next question is from the line of Rajesh Ravi from HDFC Securities.
Rajesh Ravi : Congrats on very detailed presentation and the discussion. Sir, my few questions. You have talked about the 3 clinker units, which will get commissioned over next 3 to 4 months. For FY '27, are there specific targets beyond these 3 clinker, which would get commissioned? And also, could you share demand outlook for Q4 overall, how is the industry growing?
And my third question, what we have seen, and I remember a few quarters back, you had alluded to this that there's a lot of value unlocking you're doing in ACC Ambuja, which is below the EBITDA, the tax refunds which you're securing or getting it cleared f or prior periods. So some discussions around that, please?
Vinod Bahety : So your first question is in terms of the new kilns beyond -- so there are 4 of them right now in the discussions. One is -- so of course your 3 -one, which you said and the fourth one, which I mentioned was the Mundra, right? So this together, for example, right now, 16 million tons because each one of them is say, 4 million tons. So 4 million tons x 4 million tons, 16 million tons x ballpark 1.5 million tons. So you have 24 million tons GU.

Right now, I'm sitting at, say, 109 million tons. So 109 million tons plus 24 million tons, we are at, say, 133 million tons, 135 million tons, which I mentioned. So this is how, for example, this -- so basically, these 4 kilns are very much there in terms of process. And then I mentioned that Bhatapara, Sanghi and Marwar -Mundra are our centers of growth from clinkering perspective.
And sooner that you will find our additional announcements and narratives coming on the capex program for the -- by the way, Assam also, we have signed up -- we have entered into agreement with the government in terms of setting up another 1 line of 4 million tons in Assam, which is the fifth one, by the way. So which is like brings to you 20 million tons of clinker, yes.
So Assam, Mundra are -- let us say, Mundra is still a brownfield because we have a great ecosystem there. Assam is greenfield and Maratha is brownfield and Penna anyways is in a fairly advanced stage, which will be up and running in February.
Rajesh Ravi : Great. Great. And on the demand outlook and value unlocking through tax refund for prior period?
Vinod Bahety : Tax refunds of the prior period, I think we have done a major efforts on that and unlocked the working capital. I think we have also -- if I give you a ballpark, we have resolved a substantial of the legal cases also. So we are strengthening our balance sh eet from that perspective. I hope you're not asking me about the past year refunds and all.

I'm more like forward -looking, which
you are -- I think your question is more about the forward -looking?
Rajesh Ravi : No, no. The tax refunds which you have secured for both ACC and Ambuja in the past few quarters, quite sizable relating to prior periods. So are there more which is available to be realized on that...
Vinod Bahety : So in the future, not that this magnitude. I think there will be, but this magnitude may not come, I think. But a few points on the GST and a few points on some of the specific taxes and all from a couple of states. And then some incentives which has to co me in form of long pending. So I think those are the ones which will be adding up to the overall cash flows. But on the income tax, I think we have sizably resolved majority of the cases.
Rajesh Ravi : Okay. And on the demand, sir, Q4, what is the industry outlook you're looking at Q4, how is January? And what is the outlook for next 2 months in your assessment?
Vinod Bahety : I remain bullish on demand for the cement industry. And industry as a whole, I would say that Q4 should also see around 8 kind of percentage. And therefore, the leading players will find double -digit growth again in the quarter of March.
Rajesh Ravi : Great. Great, sir. Just last question on the capacity, which you mentioned, Assam, when do you target this line to be operational?
Vinod Bahety : Which line?
Rajesh Ravi : Assam capacity, which you are planning, you mentioned that you will be setting up a greenfield in Assam...

Vinod Bahety : Yes. I would say that since Assam is Assam and therefore, like it could take around, I would say, ballpark, say, 24 -odd months -- 18 to 24 months is what, for example, we should be looking at.
Rajesh Ravi : Okay. So somewhere closer to FY '28 exit, we would be looking at this?
Vinod Bahety : Yes, yes. I think the work on the ground has already started. Land has been secured. And the incentive program and all, for example, is well -- moving very well. So Assam will see a good level of work at the site.
Rajesh Ravi : Sir, you talked about 2 capacities getting mothballed, 2 million ton odd. Could you elaborate if it is already done and at which location?
Vinod Bahety : These are like very old assets. One of them is in, say, Sindri and second is basically at Jamul. So on Slide #38 of the IR deck -- see, again, I'm sure like you would appreciate, our IR decks are very transparent and very full of information. So on 38 page number, you will see the mothballing of these 2 capacities, Jamul and Sindri very old mills.
Rajesh Ravi : So these are already done, right, in the current capacities?
Vinod Bahety : They have already -- they are nonoperational practically. And therefore, like I'm not -- therefore, I'm removing them from my operative capacity. I can still use it on an opportunistic basis. But as of now, they are economically unviable. Therefore, I've k ept them nonoperative.
Moderator: We'll take the last question from Kunal Shah from DAM Capital.
Kunal Shah : Firstly, on Sanghi, now it continues to operate around 50% odd, sub -50% on an average level in terms of grinding. Now this is despite this asset being acquired for more than 2 years, remains and this -- the ramp -up remains much lower versus our initial gui dance. And the geography is Gujarat where we already have a very strong presence. So what is going wrong here structurally? Or what was the negative surprise here that we realized post the acquisition, if any?
Vinod Bahety : Good observation again. Nothing per se wrong. I think we have to understand the topography of Sanghi. It's like a classic island plant. And you have seen some of the harsh seasons. So last year, for example, you have seen flooding and all and huge storms. Some of the plants were affected and Sanghi was also -- some equipments were damaged.
Second is in terms of some impr

ovements, for example, the transmission line was a little low -
voltage transmission line and which is -- if you would just track it, therefore, already now the transmission line from government is getting revamped and strength ened to take a higher load factor, which will straight away help me to bring at least 20, 25 megawatts of green power in Sanghi. Therefore, it will benefit me in a sustained power and at a reduced cost.
Sometimes otherwise, when this kind of storms and winds and bad seasons, the power tripping happens very often. So nothing wrong with the asset per se, except some of the debottlenecking and investment which you had to do, including some dredging activity, which had to be done, which has been done now. So now, I think with 80% in December exit -- when I say December

exit is December month, 80% of clinker capacity being used and almost 65% for cement. I think from here, things are now only improving.
Earlier, you would see that the colony was also, the plant life was very badly managed. But it takes time for us to also revamp the whole quality of life over there, the infrastructure, the facilities. And therefore, I'm very eager to take you all now to S anghi. And therefore, like the right contractors, the right talent will also now move in. Earlier it becomes a very mufasil area.
So those were the issues. But we know that when you acquire an asset of this scale and which gives you sizable potential and which has 1,000 million tons opportunity so that you can set up multiple lines, I think it's a game of doing it -- setting it right gradually so that it performs overall in due course.
Kunal Shah : Understood. This is helpful. And one last one. If we look at the current status, we have underutilized acquired assets, a capacity expansion target of maybe 15% to 20% over the next 2 years, this in the backdrop of industry demand at roughly 8% odd, right? So how are we thinking on volume growth targets over the next 2 to 3 years?
Or is there like any guidance that you can give on volume growth or capacity utilization or market share, that would be helpful.
Vinod Bahety : See, volume will be growing double digit. While my base will keep increasing, but double digit is what we are expecting. But it is very important for me to highlight that we are balancing it between volume and value. And therefore, you will see more accele rated improvement on my realization, on my blended cement, on my premium cement. And therefore, even at the risk of losing some low EBITDA volume, which we will do, but we will play a balance game of volume and value.
Kunal Shah : Understood. And one last bookkeeping. Can you just give Penna's utilization levels, both on clinker and grinding, if possible?

Vinod Bahety : Penna ballpark is -- for the month of December is ballpark 52% to 55%. And as I mentioned, like this asset of Tandur of Penna was down, but now it is going to be up and running in the next week or 10 days. And therefore, like you will see a good level of u tilization, sharp improvement in Penna assets.
So some of the assets we have done a substantial overhauling. That also, for example, results into -- whenever I do an overhauling, it sharply improves my O&M cost and which gets booked when the actual cost is incurred. Penna is a classic case on that. So lots of this work has gone to bring these assets back to their desired asset reliability factor. And therefore, like -- and I mentioned to you that Penna asset now will start sending blended cement also, and therefore, it will help me to improve substanti ally the capacity utilization.
The Krishnapatnam grinding unit of Penna, for example, which was there, which now say 2 million tons becoming 4 million tons. And once I start substantially using this 4 million tons, because right now, the ramp -up of the additional 2 million tons has not happened.

But the
moment that happens is 55%, we'll see a sharp jump in terms of capacity utilization.

Kunal Shah: Understood sir. This is very helpful. Thanks and all the best. And thank you for extending the call as well.
Vinod Bahety: Thank you very much. We are almost at 1 hour 45 minutes. So I'm sure now Iqra will take a judicious call.
Moderator: Yes, sir. Ladies and gentlemen, due to time constraints, that was the last question. I now hand the conference over to Mr. Deepak Balwani, Head, Investor Relations at Ambuja Cements Limited for closing comments.
Deepak Balwani : Thank you. I trust most questions have been addressed. You have my contact number, please free to call me. Thank you.
Moderator: On behalf of Antique Stockbroking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
Note: This transcript has been edited to improve readability
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Call: May 2026

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May 10, 2026

To,

National Stock Exchange of India Limited

Scrip Code: ACC BSE Limited

Scrip Code: 500410

Subject: Transcript of Earning Call pertaining to the Audited Financial Results of the Company for the Quarter and Financial Y ear ended on March 31, 202 6.

Dear Sir/ Madam,

Further to our letter dated April 14 , 2026 regarding Analyst / Institutional call scheduled on May 04 , 2026, please note that the transcript of the earnings conference call on the Audited Financial Results (Standalone & Consolidated) for the quarter and financial year ended on March 31, 202 6, is uploaded on the website of the Company at www.acclimited.com .

The said transcript is also attached herewith.

The Web link to access above transcript is as under – Earnings Conference Call | Transcript

Kindly take the above on your records.

Thanking you,
Yours Sincerely,

FOR, ACC LIMITED

BHAVIK PARIKH
COMPANY SECRETARY & COMPLIANCE OFFICER

Encl: As above

“Ambuja Cements, ACC Ltd and Orient Cement
Q4 FY '2 6 Earnings Call ”
May 04, 202 6

MANAGEMENT : MR. KARAN ADANI , DIRECTOR – AMBUJA CEMENTS
MR. VINOD BAHET Y, CHIEF EXECUTIVE OFFICER –
AMBUJA CEMENTS
MR. ROHIT SONI, CHIEF FINANCIAL OFFICER –
AMBUJA CEMENTS
MR. DEEPAK BALWANI , HEAD INVESTOR RELATIONS –
AMBUJA CEMENTS

MODERATOR : MR. DHARMESH SHAH – JM FINANCIAL

Moderator: Ladies and gentlemen, good day, and welcome to the Ambuja Cement s Limited Q4 FY '26 Earnings Call hosted by JM Financial Ins titutional Securities Limited. As a reminder, all participant lines will be on listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that thi s conference is being recorded.
I would now like to hand the conference over to Mr. Dharmesh Shah from JM Financial. Thank you, and over to you.
Dharmesh Shah: Thank you, everyone. Without much delay, I will transfer the call to Mr. Deepak Balwani, Head of Investor Relations. Mr. Deepak, over to you.
Deepak Balwani: Thank you, Dharmesh. On behalf of Ambuja Cement s, I'm pleased to welcome all the participants to our earnings call for the fourth quarter of FY '26. Ambuja Cement s is the ninth largest building material solutions company globally and part of the diversified Adani Portfolio.
Before we start, please note that this call may include forward -looking statements based on our current beliefs and expectations. These are not guarantees of future performance and may involve unforeseen risks and uncerta inties.
We remain committed to further strengthening our disclosure standards and improving the quality of our capital market communication to the best in the industry. We are pleased to have with us on the call Mr. Vinod Bahety, Chief Executive Officer; and Mr. Rohit Soni, Chief Financial Officer.
Now I invite Mr. Bahety to provide his valuable insights on the quarterly performance.
Vinod Bahety: Yes. Thank you, Deepak. Thanks, Dha rmesh. Good evening, everyone. FY '26 was a year of resilience for the Indian cement sector marked by industry consolidation and the GST 2.0 reforms on one side, while the adverse and the extended weather conditions, global geopolitical factors and the various state elections also affec ted the industry and demand in some or the other way.
Against this backdrop, Ambuja delivered a resilient performance for the year, achieving its highest ever annual sales volume of 73.7 million tonnes, up 16% Y -on-Y, year -on-year in that manner. And on a normalized basis, the EBITDA of INR6,539 crores, up 3 1% at INR887 per metric ton, which is on a PMT basis, up 12% and the PAT of INR2,647 crores, up 17%. The company continues to remain debt -free and with highest credit rating. Annual volumes grew well ahead of the industry. Trade sales volume grew steady at 10%, while the premium cement accounted for 35% of the trade sales during the year, reflecting sustained progress on premiumization.
During the year, company's cement capacity increased to 109 million tonnes, supported by commissioning of 10.7 million tonnes of new grinding capacity at various locations like Marwar, Farakka, Sankrail, Sindri, Krishnapatnam and the additional clinker ca pacity of 7 million tonnes at Jodhpur and Bhatapara.

During financial year '26, we also made meaningful progress on the portfolio integration. Successful amalgamation of Sanghi Industries and Penna Cement with Ambuja Cement s is now completed, while ACC and Orient Cement is under process.
The One Cement platform is a strategic initiative and will help to bring sharper focus on the operational performance, business synergies and the overall higher degree of compliances.
Therefore, this time, the balance sheet of Ambuja consol now has finali zed purchase price

allocation of Orient and Penna. Till December, it was on a provisional basis. The numbers, you will find marginally changes in the balance sheet, basis the classification of goodwill and the other intangible assets. While in the P&L, you will fin

d some changes in terms of amounts for
depreciation and the deferred tax accounting treatments.

Further friends, you will see in the notes of the accounts, you will see various tax -related provisional notes with respect to reversals. Details are there in the published financials. Please also note, financial year '25 and financial year '26 are not comparable lik e-to-like since FY '25 does not have Orient Cement, while Penna was acquired and consolidated from 16th of August '25, that is only 7.5 months for the FY '25 as against 12 months for FY '26. And while Orient is only for 11 months in FY '26 and was not there in FY '25.

Now let's again come back to the business part. My green power share increased almost 32% now in Q4 compared to 26% before. The newly acquired assets, particularly Sanghi and Penna, they witnessed lower utilization levels. Sanghi still remains at around, say, at 57% on cement capacity utilization, while Penna is 46% However, last time I mentioned to you that in December quarter, we have seen a good improvement, especially for Sanghi.

The turnaround initiatives have taken a little longer than the expected time lines. And some of these plants, especially of Penna, needed higher than expected time for maintenance capex and overall upkeep of the assets. So on a cost front, we have seen a bit of higher cost compared to our own expectations and therefore, some disappointments.

Primarily, if I have to look at the reasons, higher freight cost due to increase in the overall sale lead, primary and secondary both, increase in some of the states like the additional goods tax, especially in Himachal.

Then in terms of the higher packing costs, which we more so have seen that in the month of March, which has seen some abruptions given the West Asia war. The higher fuel cost on account of a little higher -than-expected heat consumption, what we have and m ore so for the acquired assets, the higher branding cost, now that we have focused more on trade sales starting from the Q4 .

And while we have also improved our trade sales to 74% compared to in December quarter of '25, it was 68%, so which would clearly mean we are focusing on blended cement. And if you also see my clinker factor has improved from 67% in December quarter to now 65% -- this has also one of the costs, which is the branding cost and the sales promotion costs have gone up. And some of the other issues like the raw material costs, which we could have improved in terms of the fly ash, but pending some of the railway infrastructure, which will be completed in the

coming months, and you will see a good level of improvement on that. But pending that, we have not been able to meet our -- some of the raw material costs to our desired levels. Essentially, there is a 3 to 6 months delay on some of the efficiency capexes , which has happened. And hopefully, like in coming quarter, we should be gaining momentum to complete and get the benefits of it. So therefore, in FY '27, our focus firmly remains on streamlining the operations and margin expansion.

So we will continue to focus on trade sales and more so on the premium product sales, which we have a huge leadership. Almost 36% of my trade sales has been premium cement sales for Q4. We will continue to improve the reliability at Penna and Sanghi and th e overall asset utilization. Together, they have 19 million tonnes of capacity, and the target is to increase the utilization by at least 5% to 10% for these assets.

In terms of the cost, so while we are cognizant of the overall ongoing global geopolitical situation, and we have already seen cost escalation in Q4, more so in the month of March, almost by INR25 a bag, closer to, let's say, ballpark, INR400 to INR500, if I have to go on a full -blown basis, cost increase is there in the industry and so it's to our company. So we are reca

librating
our cost for this financial year.

I have mentioned earlier about our journey to achieve cost of almost INR4,000 a tonne by March '26 exit. Meanwhile, in terms of the full year of '26, we have given a figure -- we have achieved a figure of INR4,400 a tonne, which is almost 10% higher to our own target for the reasons which I have mentioned before. Although in the month of March, we are closer to INR4,100 a tonne.

Since there are -- these are like fast -moving global situations and dynamisms over the energy costs and other basically expected hikes in the fuel and diesel and all, therefore, it will be very difficult to provide any long -term estimates for right now ti ll the time things stabili ze over the next 2, 3 quarters.

Therefore, I would say that on strong conviction on certain components of costs, for example, which I have, a, is in terms of the overall, say, raw material cost led by fly ash and in terms of the green energy cost, for example, which is going to see a sub stantial improvement further in our overall utilization. Therefore, I strongly believe INR150 to INR200 savings will come from these components.

On our overall consol volumes, we are expecting it to grow in FY '28 -- '27 by almost, say, 8% to around 80 million -odd tonnes. And we are cognizant of the fact that we will focus on value with trade volumes and premium cement. And therefore, we are keepi ng it till moderate overall, say, growth in the volumes part.

At an industry level, we believe that given the headlines of inflation and weak monsoon, the industry may grow at around, say, 5% to 5.5%. We continue to remain committed to our end - state sales volumes targeted, supported by a sharper focus on higher util ization of the existing capacities and while operationalizing the new capacities and stabilizing them. Therefore, with this proposed ongoing additions of 10 million tonnes of GU, which you are aware of -- which

I've already shared with you in the Investor D eck, some of them, for example, Salai Banwa and Warisaliganj and so on and so forth. We are expecting to hit capacity of almost 119 million tonnes by end of FY '27.

Capacity expansion plans, we are recalibrating in line with our approach to take the advantage of the recent railway policies on bulk cement terminals, with additions pursued more gradual in terms of first focusing on optimizing the current capacities in hand. This will also help in terms of a very disciplined allocation of capital and a steadfast commitment to maximizing the returns on the capital employed.

Looking ahead, India's long -term infrastructure story remains fundamentally very strong and secular. However, with the expected inflationary pressure, weak monsoon and cement demand is expected to remain a little soft. Against this backdrop, Ambuja remain s focused on disciplined execution, strengthening brand penetration, scaling trade sales, driving premium cement sales and maintaining the cost and capital discipline.

Thank you, and I will now hand it back to the moderator back.

Moderator: Thank you very much. We'll take our first question from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Vinod Bahety: So friends, also just to inform you that we also have our Director and senior, Mr. Karan Adani also on the call. He has just joined us. So I welcome Karan bhai. And yes, I just -- basically Karan bhai did the opening remarks, and we are now on the Q&A. So over back to the moderator, please.

Moderator: Yes. We have a question from Navin Sahadeo.

Navin Sahadeo: My first question was on the volume growth front. So in this quarter, as per the investor deck, volumes have grown by about 10 -odd percent. But if I adjust them to the Orient cement volumes, they are more like flattish on a Y -o-Y basis. And here, my questi on is that if we are seeing some pressure

on volumes because for FY '27, we have given a guidance of 80 million tonnes, which is roughly a growth of 9% to 10% against the backdrop that we are expecting a much softer industry growth of 5%. So I'm just wanting to reques t overall color on your volumes?

Vinod Bahety: Yes. Sorry for this. So Navin, so you're right, absolutely, in terms of the volume, especially for this March quarter, it has been a little muted. But now for the FY '27, when I given you indication of 80 million, which is around closer to, say, 8%, we hav e the visibility in terms of, a, stabilizing the acquired assets of Sanghi, Penna, which I told you; b, the ongoing expansions, which will get commissioned in the next few months, like between, let us say, now to September, we'll see the capacities will ge t commissioned, and we'll also then stabilize them.

So I have the incremental volume also coming from these capacities, which I mentioned almost around 10 million tonnes and of course, stabilizing the acquired assets of Penna and Sanghi.

Yes. So on that basis, basically, we are expecting although with a sof ter demand for the year.

Did I answer your question, Navin?

Navin Sahadeo: Yes, yes. My second question then was on the overall capex plan. So as mentioned in this presentation, we are recalibrating our entire growth plan. We have visibility of taking that overall capacity to 119. But I'm just trying to understand by when will we get a color on the next leg of capex because the first day when the asset was acquired, the vision was to like, I think, double

the capacity and take it to 140 in the interim, we even increased it to 155.
And now we are taking a slightly a step back. So my question was, from a growth point of view, is there a -- by when, first of all, can we get a color of the big picture or the next longer -term plan? And in the same breath, is it that we are more open to p ursue inorganic growth, which helps us catapult to that overall growth target? Or we still believe organic is the way to go? That will help.

Vinod Bahety: So, Navin, our primary focus remains organic in terms of stabilizing our ongoing expansions and also already acquired assets. So therefore, I would say that, that remains the primary focus. I think we have a good headroom to improve our overall, say, mark et share by improving the capacity utilization of these plants. And therefore, as I said, we are going to follow quite a disciplined capital allocation.
And given the headwinds right now for the industry, it makes sense to push a little bit of the capex , but without losing eyesight on the overall, say, market share and the volume improvement from the existing assets and the ongoing expansions. To answer your question, I think maybe what I would say that the target plans of FY '28, it could move a year or 2, let us say, on a safer side, I would say that FY '30.
But as I said, it doesn't really matter. What matters is how you're able to ramp up the volume from your overall existing assets. And I have a substantial good headroom to ramp up over there. Even if I hit 120 million tonnes by end of '27, it will give me a good leverage of the overall market opportunity.

Moderator: Next question is from the line of Raashi Chopra from Citi.

Raashi Chopra: Just on the -- continuing on the previous question, what is the clinker capacity as of now?

Vinod Bahety: So Raashi, as of now, we are sitting on 69 million tonnes of clinker capacity.

Raashi Chopra: And you will be adding another 4 million this year?

Vinod Bahety: Yes. So at Maratha we have 4 million.

Raashi Chopra: Okay. And the next question on cost. Now for the full year, the cost is INR4,400. For the quarter, what was the average cost, INR4,500 for FY '26 for the same?

Vinod Bahety: In terms of quarter cost, Raashi, we are sitting at almost INR4,250 for the overall quarter and pl

us some of these increases what we have seen from the overall escalation. So I would like -- let us say that a normalized was almost INR4,250 and plus another INR250, which we have seen increases. So almost we are at now INR4,500 a tonne for the quarter of March.

Raashi Chopra: Right. And you are saying that the industry costs have gone down by anywhere -- gone up by anywhere in the range of INR400 to INR500. So is it safe to assume that because of the crisis, you will see another INR200, INR250 increase in costs, which will get offset by your fly ash, green energy, et cetera? Is that how we should be thinking about it?

Vinod Bahety: So Raashi, like as I said, the INR4,500, which is for the March quarter has already taken the hit of existing increases of almost, say, INR250. So I would say that INR4,500 safely, I would say, is on a peak basis, let us say, on a higher basis, which we have seen, barring like any aberration of plus/minus INR50.
But otherwise, you will see a journey which will actually start coming down in passing quarters. So although like, for example, with the overall situation, how the overall energy situation emerges, I would not give with conviction, but I strongly believe t hat, yes, this is like the peak which we have hit and should see a progressive improvement.

Raashi Chopra: So if I can just rephrase this, if nothing increases further in terms of global prices, you will see a decline of at least INR150 to INR200.

Vinod Bahety: Absolutely well summarized. Absolutely.

Raashi Chopra: Okay. And on the pricing, what has happened to offset these cost pressures, cement pricing?

Vinod Bahety: So that's interesting, Raashi. So you're hitting on both the right questions. On the pricing, like industry has seen a modest improvement of, I would say, INR10 in a few pockets, let us say, INR15, INR20, but that's like in a very selected area, geographies. Otherwise, ballpark for the quarter of March, around ballpark INR10.
Now with the demand getting a little softer, the pressure on pricing definitely is higher. And despite the circumstances of costs gone up, unfortunately, industry is still under the relentless pressure and not able to pass on the price.

Raashi Chopra: Got it. And just last question for me, what was the capex for the year?

Vinod Bahety: So capex for the year, we are keeping it a little moderate and ballpark, when you say this year - - so you're saying for FY '26. FY '26 is closer to about INR7,500 -odd crores. And I will just answer because there would be another question. So for FY '27, we are keeping an estimate of almost INR6,000 crores to INR6,500 crores. And that too will also -- which is how things span out. It may change a couple of hundred crores here and there, but that's the estimate what we

have.
Moderator: Next question is from the line of Indrajit Agarwal from CLSA.
Indrajit Agarwal: Congratulations on increasing both trade sales and premium mix. But on that note, if I look at Slide 27, the realization has hardly moved Q -o-Q versus for peers, it is up somewhere between 1.5% to 2%. So is it mainly because of mix? Or what is driving this weaker revenue?
Vinod Bahety: So Indrajit, absolutely, you are right. I think the journey has just begun when we change the gears. And therefore, you will see more differentiated benefits coming in the subsequent

quarters. What we have done is we have sustained the price levels at INR254 a bag compared to in December. So from our own December quarter, we are up by, say, modestly at say, INR1. And compared to, say, last year, we were at say, INR255 -- so yes, the journey would further see improvements with higher blended cement and more premium cement sales. So it has just begun.
Indrajit Agarwal: Second, if I look at your blended utilization for next y

ear would we add best 71%, 72% on your
expanded, let's say, weighted average capacity. So on that note, probably you will not need additional capacity in FY '28 as well. Is that what is driving a mor e calibrated capex approach?
Vinod Bahety: So I have Karan Bhai to answer this question, just a sec.
Karan Adani: So I think the way we are looking at this -- how we would look at capex is 2, 3 things. One is when we look at our performance, we need to -- we know where are the places we need to improve on. There are certain capacity which is there, which is in the wrong places. And -- so we will be adding a few capacity in places which w ill help us in terms of reducing our cost, logistics cost, especially as well as help us improve our penetration into those markets.
I'm talking specifically into the markets where we have high market share and high recall value.
So those are the places that we would definitely look at expanding our capacity over there.
The second thing is as we would be looking at as we are expanding our clinker capacity, the correspondingly GU capacity will also increase. And this year, we are -- apart from Rajasthan and Maharashtra, as you know, that we have won a limestone block in A ssam. Again, that's a completely new territory for us. So that is one new area which we will start in maybe end of this year.
And the second new area that we will be starting is in Mundra, which is, again, a completely new clinker line. So these are the 2 new projects apart from the new GUs that will help us in terms of reducing our costs.
Indrajit Agarwal: One last one, if I may. In light of this, how would we see any inorganic opportunity that comes up? Would you be interested or the focus would squarely be on organic growth right now?
Karan Adani : Inorganically, we keep evaluating, but our focus right now is on organic development and greenfield expansion. That is our number 1 priority.
Moderator: Next question is from the line of Jashandeep Singh Chadha from Nomura.
Jashandeep Singh Chadha: Sir, my first question is regarding the cost structure, especially in the fourth quarter also, we saw that the fixed cost, which is employee plus other cost has increased significantly Y -o-Y versus when we compare it to your peers also. I just wanted to u nderstand while you say there were some West Asian conflicts that impacted the cost. However, the conflict started towards the end of February and the packaging cost was also in the mid of March, which impacted the industry.
I want to understand why among all your peers, Ambuja is seeing such an increase in its cost structure?

And secondly, in your presentation, you also mentioned that the freight cost was high because of some planned shutdowns. If I'm not wrong, in third quarter also, you took planned shutdowns.
Normally, the industry takes shutdowns in the second quarter. So in quarter 3 and quarter 4, where the volume growth was really strong, the management decided to take planned shutdowns, which resulted in higher cost. So I just want to understand what is the rationale behind taking planned shutdowns in volume push quarte rs and why Ambuja's fixed cost is increasing way higher than its peers? My first question is regarding this.
Vinod Bahety: So Jashandeep, I think when Raashi asked this, and we have tried to explain. So in terms of picking out on our cost at INR4,500, which I mentioned, and from here, you will see improvements. But yes, your question is in terms of compared to the competition, why? Now a few components which are relevant to my business, I mentioned about a higher focus now on the branding advertisement to promote the trade sales and premium cement.

Second is in terms of higher repairs and maintenance costs. And you're right that ideally one should do it during the off seasons like monsoons, but not all the machines can be don

e during that period. And there have been a few breakdowns also of the acqu ired assets of Penna's and all. So under the planning and also under out of planning, we will do it. So therefore, there have been those additional expenses of repairs and maintenance.

Then in terms of the bad cost, which although came in the last week of February to the overall, say, full month of March. When you promote and sell more premium cement, then there also some additional costs of logistics and handling, which also sits into to increase your cost. I also mentioned to you the journey which we want to achieve in terms of improved heat consumption, it is still not coming in the range.

And therefore, we still have a higher heat consumption, and I would say, ballpark, 35, 40 kilocalories minimum which we have to improve. Again, I will attribute to some of the acquired assets. Actually, when I look at the EBITDA of Ambuja and ACC, minus of the acquired assets, the EBITDA is actually higher by INR70, INR80. So it will be almost like INR800 and actually more when I normalize it, but it is at least INR800.

So I would say that the acquired assets still are not basically coming in the range to our desired levels and for which I had mentioned that the first priority is to stabilize the overall operations, achieve a good level of performance improvement. Hence, in the -- I think maybe a couple of months, we had taken the entire investor community to Sanghi plant just to showcase that how Sanghi is now in state of readiness and give higher improved volume improvement. This, I think we did in somewhere like March i tself, right? Okay, March itself. Now that is like, for example, we want to showcase that, yes, some of the assets have taken time, but now they are in the state of readiness.

Sooner that I will take you -- take all of you to Penna assets also. But before that, we took you to Marwar. Now -- so the journey is known. The issues are known. And therefore, in my opening remarks also, I mentioned about certain disappointments to us a lso where we think that INR4,500 is on a higher side, and we are basically in a position to bring it down in coming

quarters. So therefore, like you will see this is peaked out, and you will see an improvement prospectively from here.

Jashandeep Singh Chadha: My next question is largely taking forward Navin's question only. So first of all, Ambuja is the only company which has given such a bearish scenario for FY '27, and I understand, will be the rationale that you have given behind it. But with 5% industry g rowth and Ambuja expecting an 8% growth, there are certain capacities which are coming. I completely understand that. But what is your target utilization from the assets of Shanghi, Orient and Penna for FY '27? And I understand ther e are some challenges. So will there be additional capex required to bring the acquired assets to Ambuja's set of standards? I just want to understand this.

Vinod Bahety: Thank you, Jashandeep. So like Orient, for example, is operating at full capacity. So far as Sanghi is concerned, I will peg myself at almost like 65% to 70%. And so far as Penna is concerned, I will consider around 55% to 60% in terms of the utilization factors. And the existing assets of Ambuja and ACC, I would peg it to closer to around 75% to 80%.

So on an overall basis, at the Ambuja consol level average in the situation -- the scenario which I have mentioned to you, I would say 70%, 75% ballpark utilization for -- and you're right, like we have -- we anticipate the softer demand, and therefore, we would go with this belief. But if for any surprises positive in the industry and which we would all wish to, this number will definitely look positive. But as of now, situation is softer.

Jashandeep Singh Chadha: And sir, any further capex to bring these assets to Ambuja Cement?

Vinod Bah

ety: So as mentioned by Karan bhai, the overall, say, disciplined approach of capex where we want to now set up in the high potential market, which we have now completely done mapping, where we have market leadership, so which we will -- we have -- so he has already indicated a few of the assets in his narrative.

But progressively now, for example, let me first commission the existing assets in hand, which are ongoing, basically this 10 million and come to you all with the stabilization and achievement of the capacities for them. But passing quarters, then we will also highlight to you the capex program as it firms up. Mundra is very much now in the pipeline and so are a few assets which he mentioned.

Moderator: Next question is from the line of Manish Somaiya from Cantor.

Manish Somaiya: Vinod bhai, I just wanted to ask, we have talked quite a bit about fiscal '27 outlook. But what I'm trying to reconcile is how should we reconcile between the improvements that you're

planning in fiscal '27 is that dependent -- how much of that is depende nt on internal execution versus external normalization? Maybe if you can just help us understand that.
Vinod Bahety: I would say that the external factors will affect most of the industry players. Therefore, I will give more weightages on the internal factors and the execution of the same, which will bring the overall differentiation and leadership leverage on that. So t hat I would put it in this manner.

Karan Adani: So Manish, if I may just come here, Karan here. I think if you look at our performance, we realized that where the gaps are. And that's exactly where we are hyper focused on and improving on those performance. And based on whatever guidance we are giving, this is 100%, which is controllable by us. And if we are not able to achieve the guidance, it's purely because of our internal execution and not any other factor. And that's where the whole team is really focused on and delivering on the numbers now that w e are talking about. And we are very confident that this year, we will be able to hit the numbers that we are talking about.
Manish Somaiya: The other -- my second follow -up is on the premium products. Now they constitute about 35% to 36% of trade. What should be the realistic target that we should have in our models as we go out to fiscal '27 and maybe even beyond? What's the upside to that 3 5% to 36%?
Vinod Bahety: So Manish, right now, for example, I would say that 36% is a good number for us to sustain. And therefore, that is what, for example, can be considered in terms of the share of premium cement as a percentage of trade sales.
Moderator: Next question is from the line of Prateek Kumar from Jefferies.
Prateek Kumar: My question is on cost again. Yes. So in the last third quarter con call, which happened like around start of the February, management talked about like cost of INR4,000. Yes, we are talking about INR4,100 -- INR4,000 in January. We're talking about INR4,100 in exit of this quarter. So how the quarter cost is INR4,500, I'm unable to understand.
Another question is on the balance sheet. So your ACC's operating cash flows are negative, sharply negative for the year. And your overall consolidated Ambuja's cash flows also like negatively impacted by negative working capital. Can you throw some light on this?
Vinod Bahety: I will take the second question first. In terms of the ACC Ambuja, if you see ACC has receivable from Ambuja under the MSA. And you also would be aware that we have taken shareholders' approval in terms of the ICD, wherein the receivables will get paid of f. So like you will find in the coming quarter, this will get knocked off with the ICD number one.
So it's like as a one consol business under the MSA, the receivables are there. Therefore, ACC will find negative operating cash flow. So far as Ambu

ja is concerned, I think if you would have seen, we have a good level of inventory, which is higher. But w hen it comes to receivables, these are under good control with the higher degree of trade sales. And therefore, on an overall working capital of Ambuja, you will see only improvement for the March quarter compared to December quarter.
Your question about the cost. So Prateek, I think what we had envisaged to what is the reality, yes, there are differences because of the overall acquired asset situations. And many times, those anticipations, for example, have not worked upon. And then s uddenly, the packing bag situations which have come up and which also, for example, when Navin mentioned about a tepid 10% growth, we also lost a good level of volume because of the packing bag issues and all.

So there are these situations which will have to be dealt with. But luckily now, at least we know that this is the peak level of, say, cost, which we have hit. And from here, for example, as Karan bhai also mentioned, that the numbers will be tapering down with every passing quarter.
So reasons I've already explained right from branding to repairs and maintenance to the higher freight costs, the higher lead, for example, the AGTs or the -- for example, when it comes to EBITDA, the lower government incentives, which we are now -- that also, for example, we have a lower government incentive, a, because of the GST rates, which have come down; b, we have also exhausted some of the plants which we are giving -- having the incentives.
And third, in some of the states, we are now accruing on incentive on virtual visibility basis, basically, certainty basis basically so that we don't want to have pending long -term accruals and all. So there are a combination of these accounting policies and the situation of some of the plants, which have not matured to what we thought, more so for the acquired assets.
Prateek Kumar: So just some clarification on -- yes, one clarification in the opening remarks, it was said that you had like INR4,100 of cost. Is it just a day cost or a month cost or a last ? Like what is that cost?

Vinod Bahety: We had basically hit it INR4,100 for the month of March, Prateek, but as I said, that except those -- the escalations of war, for example, almost INR250, which affected us. So on a normalized basis, I was saying INR4,100 for the month of March.
Moderator: Next question is from the line of Amber Singhania from Nippon India AMC.
Amber Singhania: Just my question is also following up with the Prateek's question on the cost front. So if I see on the first week of February when we had the last con call and if I may quote the average cost for the quarter was INR4,500 along with the one -off, whereas we have exited December quarter well below INR4,000 of cost ?
That was the commentary on the first week of February. I understand we do carry a good amount of inventory as well, at least a month on that account for most of the raw material and input s on that pa rt. Further, we had some one -off in the Q3. We have increased or enhanced our premium contribution in this quarter. Pricing was slightly better than the previous quarter. Seasonally, this is a better quarter which logically contribute towards better profita bility.
Despite everything and also with the previous answer that March month was INR4,100 which is of course, we trying to understand how should one add up the entire cost for the quarter on the light of the previous commentary of December INR4,000 that was given on first week of February with the inventory, generally the people carry along with your comment currently on the March INR4,100 avera ge cost. Also the reason which most of them are generally macro factors which should impact every player or most of the players in the industry.
So far whatever results we have seen from the

large size with smaller size or the medium size.
These factors are not effecting too much in a totality in this quarter, in Q4. So just wanted to understand how should we reconcile your last quarter commentary along with the exact numbers which were reported along with the peers who have reported numbe rs, then how should we look at making our outlook on that ? Just help us to understand.

Vinod Bahety: Okay. I think, see, basically, when -- in the December, for example, we have been very upbeat in terms of some of the turnarounds, which you will see in some of our acquired assets of Penna, for example, more so especially. And as you know, Penna is geogra phically more in South. And if you actually look at the numbers and South, for example, has been one of the most affected geography for the March quarter. Therefore, we have taken so me of the machines on shutdown. And basically, there have been a couple of breakdowns also and therefore, which has increased my higher repairs and maintenance for the quarter of March number one. Number two, in terms of some of the acceleration which we have to give to our sales and branding and advertisemen t is what we have given.
And the results of the same, we will get actually as an investment on our supply chain, but this will more be accounted as an operating cost. So that is where, for example, the branding and advertisement costs are higher. Then, of course, for the month of March, there have been this abnormal cost for the packing, for example. And we have also seen a higher fuel cost and higher fuel consumption.
Also, for example, the moment if you don't have a right blend of fuel, the consumption of the fuel -- the feed consumption is also higher. So those also, for example, technically, the technical KPIs have got affected. Now that was when we also -- in Decem ber, our quarter was at INR4,500 cost for the quarter, INR4,500.
And March also, for example, we are almost at say, INR4,500, yes. So I think look at it in this manner that certain planned movements for the March could not fructify or we could not also fulfill. And therefore, we have basically been at the same level to what we were in December '25.
Amber Singhania :So just I understand that part of INR4,500 versus INR4,500. I'm just trying to reconcile the commentary this quarter of INR4,000 exit in December vis -a-vis current commentary of INR4,100 for the month of March. Just because 1 month in February, I'm just trying to understand how the entire cost shoots up because of that when we move that inventory gets carried on for a couple of months, which is there. I mean I will appreciate if you can share us quantification of various cost item -- large cost item along with the benefits also which has come in from exi t of INR4,000 to now exit of in March. It may not be now, but later on, if you can release that...
Vinod Bahety: No, I think because the commentary, I think, again, even if you remember the last call, I had always said that the exit month of March. So while you are considering for the whole March quarter of '26, no, that was not the -- the commentary was more about our aspiration and our plan to get closer to INR4,000 by month of March. Now basically. Therefore, while the average would still be higher than not at INR4,000. Therefore, please don't mistaken with INR4,000 as average for the March quarter, n umber one.
Number two, of course, like -- therefore, I was highlighting that month of March, for example,

barring this aberration of the West Asia prices, and you might say that we would have got a little bit affected more compared to -- as compared to others could b e. But yes, we have -- we got affected with the overall packing bags and all.

And therefore, the pressure of volumes and therefore, the pressure on s

ales and hence, the higher advertisement branding or sales promotions have been there. So therefore, like we unfortunately could not come below INR4,500 for this entire quarter of March '26.
Moderator: Next question is from the line of Pulkit Patni from Goldman Sachs.
Pulkit Patni: I have a couple of them. One is, sir, for the Sanghi plant, which is operating at 57% utilization, how important is for the Naliya railway line to be ready? And how far do you see Naliya being connected and ramp up in volumes at Sanghi? That's question nu mber one, sir.
Vinod Bahety: So Pulkit, our base model is not linked to Naliya railway line. It is more with the our marine infra, for example. And therefore, as you would know that we have already ordered 7 vessels, which will be delivered in a progressive manner starting from next y ear. So that is what, for example, Sanghi will bring the strength. And then otherwise, we are counting on the road movement from Sanghi. The railway line only will be an add -on, but not being considered in the base model.
Pulkit Patni: Sure. So the plan is to ramp up even if Naliya takes a little longer to be ready. Is that the right way to look at it?
Vinod Bahety: Yes, yes. For right now, although in Sanghi, we don't have a ramp -up per se of capacity expansion, but yes, ramp -up of the existing capacity, the utilization part. Correct.
Pulkit Patni: Absolutely, sir. Sir, my second question is, is it fair to assume that as and when there is a final resolution on the JP assets that those assets would come to us? Or is there a possibility given that we already have our own organic growth plan, a lot of work to do on increasing capacity utilization that we could also not be considering having those assets? How should we look at it?
Vinod Bahety: So Pulkit, I will still consider that for JP, the RP is another listed company, and therefore, it would be inappropriate from my side to answer anything on that. But as things progress, whatever development happens, we'll come to know.
Moderator: Next question is from the line of Pinakin from HSBC.
Pinakin: I have 2 questions. My first question is, given Ambuja is the fourth company to have reported earnings and the EBITDA per tonne is the lowest with high -cost inflation. Do you see the industry and the company raising cement prices in the next few months to pass on the full cost inflation? Or can we expect further margin deterioration with the inability to raise cement prices?
Vinod Bahety: So Pinakin, I would say that given the scenario of demand will be very important to basically see the price being passed on to the customers. And as of now, I anticipate the overall demand looks to be for right now, when I look at, say, April and now in M ay, a little subdued and soft. Therefore, for example, when you attempt for, say, X, I would be happy even if the industry gets half of the same. So that is like, for example, right now, the situation is.
But yes, cost on the other side has gone up by at least INR25. So that is like the only way then to resolve and protect the margin is to focus on our own cost of production. And that is --

therefore, I was highlighting the internal factor will be playing more important what Manish Somaiya had asked. The internal factor will be more important compared to the external factor.
Pinakin: Sure. My second question is, given Ambuja's cost delivery has been all over the place over the last few quarters, can you give us some guidance where you move away from cost to EBITDA per tonne by FY '28? Given where your EBITDA per tonne is today and ove r the next 2 years, where do you see the EBITDA per tonne reach? And what are the building blocks of that margin? What kind of price increases, what kind of cost savings? What kind of turnaround do you want to see or do you expect in the next 2 yea rs?
Vinod Bahety: So P

inakin, I think it will be Herculean task for any industry person to give any estimate of EBITDA per tonne at this stage. I would rather still continue my efforts on cost and therefore, for example, one thing is like INR4,500 a tonne, let us say, it peaks out and then it starts coming down from here to what journey we will go. I think progressively, we'll keep you posted and especially in next 2, 3 quarters as things look some more brighter and clear. But for right now, cost remains a key focus area. Obviously, like when you focus on trade sales and when you focus on premium cement, this will keep giving you more mitigations. But I think any guidance on EBITDA will be difficult at this stage.

Karan Adani: But let me just add that cost, we are looking at roughly INR250 a tonne reduction this year and then another reduction of INR250 next year as well. That is the minimum reduction that we are looking at.

Moderator: Next question is from the line of Rahul Gupta from Morgan Stanley.

Rahul Gupta: My first question is now that you have talked about cumulatively INR500 per tonne of cost improvement over the next couple of years, are we shying away from the earlier target of INR3,650 that you had shared earlier? That is my question number one.

Karan Adani : So we are not shying away from our target. I think as we told earlier also, we need to focus on our execution. We still have -- there are multiple steps on the cost that we need to take between manufacturing, between raw material and between logistics. An d we are confident that we will be able to achieve that number.

I think it's just -- we are giving you realistic in terms of where we will be able to achieve in the next 2 years' time. But that does not mean that we don't have the runway to go to the earlier target that we have said. We know what are the steps we need to take. We know where we need to improve in terms of our efficiency, and that's where we are focused on. But this is something INR500 is what we can commit right now for the next 2 years.

Rahul Gupta: Got it. Got it. So I have one more clarification that I want, Karan, is you talked about shifting away from 155 million tonne capacity. So just a clarification that the company had earlier guided for 15 million tonnes of debottlenecking exercises across as sets. So does that stay or there will be some change on that as well?

Karan Adani: So those still continues. I think it's just timing, which will differ based on where we get the maximum return of the -- return on the investment.

Rahul Gupta: Got it. One final question. I remember in second quarter and third quarter, the company was already accelerating your branding and advertisement cost. So it would be helpful if you can help us understand what would be overall branding and advertisement co st for full fiscal '26?

Vinod Bahety: So for the full fiscal year '26, we are closer to almost like INR700 a tonne basically -- INR70 a tonne basically -- yes, INR70 a tonne basically on the full year basis of '26.

Moderator: Next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: One question for Karan bhai, one for Vinod ji. Karan bhai, one question. What prompted us for a reset right now? If you could highlight 5 key monitorables that probably you have set for yourself for last -- for next 1 year? And how does SLA fit in overall scheme of things after the reset?

Karan Adani: Sorry, can you repeat the question? I couldn't hear you properly.

Ritesh Shah: Yes. So the first question is, what prompted us for a reset right now? Second, what are the 5 key monitorables that you have laid out for yourself? And third, how does SLA fit in overall scheme of things after the reset?

Karan Adani: Yes. So I think why the reset, I mean, it's quite evident our performance has not been great. We've not been able to -- we've not been a

ble to deliver what we have promised to our shareholders. And so that is number one. I think if we have to assess ourse lves, we really need to improve on our cost. That is number one. I think the key KPIs that we are putting for ourselves is we need to reduce. We need to -- I would say 5 things that we need to focus on.

One is L1 plants delivering to the market, the discipline on L1 plants delivering to the respective markets. Second discipline is on trade versus non -trade sales. Number three is on our raw material consumption, reducing our cost on raw material as well as on the electricity front, energy consumption. And number four is improving our, I would say, channel networ k. In terms of to help us increase our sales. So I think these are the 5 things.

But predominantly, if I would say, 80% of it is to do with the cost, and we really need to get our act in order in terms of to make sure that we are able to reduce our costs. And so that is what we are looking at. Until the time we are not able to deliver on what we are promising. I don't think so it makes sense to make more capital investment because you don't get the returns on those capital invested as well. You had a second question?

Ritesh Shah: Yes. On SLA service agreements, I think, for a few of the plants that we have tied up with, how should we look at that on overall?

Karan Adani: So SLA -based contracts. This is something that is part of these initiatives because we do believe that what we need to -- what we need our teams to focus on and what -- where do they need to put their energy on. We do believe that there are -- at least in India now there are enough competent partners out there who can run the plants at the efficiency level that we would aspire to. And that's how we are looking at.

And second, obviously, given the history of Ambuja in ACC. I think the SLA partners help us in terms of cleaning up all the past union issues and all of that. So from that perspective, it really helps us in terms of reducing our cost and improving our eff iciency.
Moderator: Next question is from the line of Ashish Jain from Macquarie.
Ashish Jain: Sir, it is great to see explicit capital discipline. But in that context, I just want to understand this INR65 billion to INR70 billion of annual capex for the next 2 years that we're talking about, can you break it down ballpark in terms of growth versus cost efficiency versus any other initiative that it includes?
Karan Adani: Yes. So roughly INR4 billion is what is already the capex , which is already under execution, and it is implementation of that, which includes capacity, which includes WHRS, which includes your fly ash transportation system that we need. And the balance is, I would say, debottlenecking plus maintenance capex .
Vinod Bahety: So yes, Ashish, basically, I hope that answers your question.
Ashish Jain: Yes.
Moderator: Next question is from the line of Amit Murarka from Axis Capital.
Amit Murarka: I just wanted to understand more from a strategic perspective, like when Adani had acquired these cement assets, you had voiced out an ambition to kind of become the industry leader and double capacity and volume. So in that context, the current guidance seems to be quite subdued. So is it fair to say that there is a reset in ambition kind of from the earlier kind of thought tha t was there at the time of the acquisition?
Karan Adani: So we'll be honest with you. Yes, partially, there is a reset. We are not moving away from the target. Yes, we are moving away from the time line. That is to do with the -- we know that we are not delivering in terms of what we have what we had committed. And so it definitely makes sense to step back to look back and to see where we are going wrong and to course correct and then to -- and then that's where we are. And that's why we are giving yo

u the new guidance in terms of where -- what is th e capacity -- revised capacity enhancement that we are looking at and the time frame that we are looking at.
Amit Murarka: Sure. And is there a target IRR in mind when you are doing your capex program now?
Karan Adani: It's capex -- I mean, the project IRR has to be 18%. this is all equity money. So you have to look at equity return like anybody else.
Moderator: Next question is from the line of Rajesh Ravi from HDFC Securities.
Rajesh Ravi: Happy to know that the management focus is more graded on capex and also focused on cost execution. My only question, while you have been candid on the guidance, when you say INR250 cost reduction you're looking for FY '27 over FY '26. And at the same time, from exit Q4, we are seeing around INR250 to INR300 cost inflation because of the packaging and fuel price increase. So is this INR250 net off? Or net -net, we would see INR300-odd increase and

INR250 decline. So from current level, we would still see our cost going up by INR50 to INR100 in Q1 or in FY '27?
Vinod Bahety: So Rajesh, thank you. What we would put it is INR4,500 is the peak and this INR250 reduction is from here. So essentially, then it would mean INR4,250 as a target for '27.
Rajesh Ravi: Right. This is factoring in the cost inflation that we have already in place?
Vinod Bahety: Yes, that is true.
Rajesh Ravi: Okay. And in Q1 also, you are looking at similar cost structure in Q1 versus -- Q4 versus Q1, what sort of you're looking at basically the current inflation and your cost savings?
Vinod Bahety: So right now, for example, the headwind still continues, and therefore, it could be flattish for Q1. And as things comes out better, that it will start tapering.
Rajesh Ravi: Sorry for the -- flattish means your current cost, which is some of the cost inflation is factored in Q4 the energy and the packaging.
Vinod Bahety: Almost like INR4,500, I would peg it for say, Q1. And then from there, we will have the reduction journey continue. And for the year, therefore, we are targeting to have reduction of INR250.
Rajesh Ravi: Right, right. And on the non -core working capital, if I look at your core working capital has come down year -on-year from 30 days to 20 days. But if I look at your non -core working capital ex cash, that seems to have gone up significantly. So is there any strategic reason from what 40 days, which has now gone up to 49 days. That is where your total noncash working capital seems

to have shot up significantly from INR1,300 crores to INR5,500 crores.
Vinod Bahety: Rajesh, therefore, like, for example, some of the points which I mentioned that on certain incentives and all now, we will be looking to book it on an actual basis when received, then the actual basis, for example, so that this non -core working capital of operating working capital can be controlled.
Second is, I think some of these are -- which you are referring to could be purely accounting working capital. So maybe separately, we can connect. But generally, the core working capital, as you also mentioned, has come down and that efficiency of workin g capital will continue.
Which specific non -core you are referring to, for example, you can connect to me offline and I will...
Rajesh Ravi: Yes, just on this 2 clinker plants which you are looking forward to. One was Mundra And what was the other beyond what is getting commissioned right now?
Vinod Bahety: So 2, the ones which I mentioned was one was -- so in our 73 million, for example, the 4 million -- and just to correct to what Raashi asked me the first question, my current capacity is 69 million and this 4 million tonnes we'll have at Maratha, that would be like 73 million. Now on top of it, the upcoming Mundra will be another 2 million of clinker. So that will be over and above this 4

million, which I mentioned. And then the Assam one, which will be another 2 million. So that will be pair of additional new assets.
Rajesh Ravi: And that would actually take 2, 3 years from now?
Vinod Bahety: Let's say 24 to 28 years, 28 months is what we are targeting.
Moderator: Next question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Sir, just to clarify this INR250 cost reduction, this is on a full year average FY '27 that we are saying?
Vinod Bahety: Yes. So thanks, Shravan. This is for the full year FY '27 as an average. And therefore, for example, when I said that June quarter will be flat from the March quarter, then the degree of acceleration will have to be more for the rest 3 quarters. So you're right, the INR250 will be average for the year.
Shravan Shah: Got it. And second, when you mentioned about the prices, was it INR10 and the INR15, INR20 hike that you mentioned, this was for the April you wanted to say or this is for March. So currently, on an average, from the exit of March, have the prices for us have increased by INR10-odd. That's what we are trying to say?
Vinod Bahety: Yes. Basically, I was hinting on that only. So April over March as a trend for the hike cost.
Shravan Shah: Okay. And lastly, for full year FY '26 RMC EBITDA in Q4, you mentioned INR102 crores. But for full year FY '26, what could be the number?
Vinod Bahety: Just a sec. I have to just dig on this number. So full year RMX EBITDA you're asking, right?
Shravan Shah: Yes, sir.
Vinod Bahety: Okay. Around INR300 crores. So full year RMX EBITDA is a number of INR300 crores basically for the FY '26.
Moderator: Next question is from the line of Raghav Maheshwari from Equirus Securities.
Raghav Maheshwari: Sir, just one question from the capex side. Our capex is continuously getting delayed. As Adani standard, we are known for a pro capex and the very fast execution. But at the cement side, we are continuously getting delayed, especially like Maratha plant, we have already delayed plus our earlier plant also got delayed for this one, Chhattisgarh one . What is the issue behind the and continuously, we are getting some breakdowns at our bigger plants. Is it the maintenance -related issue or what we are facing currently right now ?
Karan Adani : So you're right. Your observation is right that capex -- our capex has not been up to the mark, and that's one of the reasons why we are pausing and correcting ourselves, and we want to first complete our projects that we have taken in our hand before we start any new projects. One of the main reasons why we have not been able to deliver as per what our standards are is 2, 3 things. I think one is we did not choose the right contractor for execution.

Number two is, we started these projects when we acquired Ambuja and ACC. And at that time, there was no team. So it took us time to build up that team as well. And we are confident that at least now we will be able to complete these projects in the time line that were given.
And number three is a lot of these projects were started without full engineering being done in place. So we are using the 6 months to complete all our engineering for the new projects that we

are thinking of starting. And once that is in place, then we w ill be looking at starting the project. So that's where you are -- but you're right, that's a correct observation that we've not been able to deliver projects in the stipulated time.
Number two, I think the breakdown, I would say it is predominantly in the acquisition assets where we have seen major breakdowns happening, especially Penna and Sanghi. And that's where the problem area has been for us, and that's where the team is focuse d on in terms of improving the reliability of the plants. And that's one of t

he reasons why you are seeing higher R&M costs in this year, partially because a lot of the repairs and maintenance, which was supposed to be done was not done and which is why we are -- why one of the reasons for this breakdown as well.
Moderator: Next question is from the line of Harsh Mittal from Emkay Global.
Harsh Mittal: So my first question is that in your pursuit to focus on premiumization, what is the current average gap between Ambuja brand versus the nearest competitor currently? And what is the target to narrow it further? That my first question.
Vinod Bahety: So you are referring to premium cement, and I can highlight that the gap between my base product and the premium cement product is closer to, let us say, INR50, INR55 for the super premium and INR20, INR25 for the premium one. I think that was like first.
Then second, your question is about the gap between our price and compared to that competition. I think, see, everyone looks to his price better than others. And therefore, every time when the industry people try and compare us, there is always different opinions. I would say that the pan - India players like us and basically the other player, number 1 Ultra trade, I think the prices are more or less in the similar range in a few districts, INR5, INR10 here and there, either they are higher or we are lower o r whatever reverse way. But that's how the trend has been. And that is also reflected in the overall NSP of the quarter, which is close to each other for the number 1 and number 2.
Moderator: Next question is from the line of Satyadeep Jain from AMBIT Capital.
Satyadeep Jain: This question is for Karan. Karan, I just want to understand the comment you made about recalibrating capacities that earlier, the capacities were not in the right location. Now the capacity you're looking at are in the right location. So where were you i nitially looking at these capacities? I believe Sanghi was also there in terms of expansion initially. So maybe could you just discuss where is this recalibration coming from in terms of capacity?
Karan Adani: No. So the recalibration is coming basically -- especially where we have the integrated units, those are the locations where we are recalibrating because we find that the grinding units, the

operating cost, the logistics cost -- one of the reasons for the logistics cost being so high compared to competition is because the distance travel by the integrated units is quite higher than what it should be.
So one of the things that we are working towards is shutting down the grinding units in a lot of these places and moving them closer to the market. So that is the recalibration we are looking at. I don't think so we are looking at recalibration of, let's s ay, clinker units.
The second is, we are -- Sanghi is predominantly a clinker plus cement. We are moving towards in the next 3 years, you will see Sanghi moving predominantly into clinker, and you will see new capacities coming up on the coastal region of Gujarat.
And Dahej Line 2 is one of the classic examples of that, where we would look at Sanghi supplying clinker and moving and cement being supplied from these. So some of this recalibration is happening. Majority of the recalibration is happening in the North UP and Bihar region and Southern Gujarat -- Southern Gujarat and Maharashtra.
Satyadeep Jain: So this is not something ACC specific because I believe ACC had more integrated units. But you're mentioning...
Karan Adani: It's both ACC and Ambuja. It's ACC and Ambuja, both of them had issues. So I'll give you an example. Like today, we move -- we supply our Bihar market through Chhattisgarh and though we get the EBITDA, but it is not the optimal movement of the cement that we are seeing. So that's where we are looking at. We need to set up grinding units in Bihar to serve the Biha

r
market and Chhattisgarh unit should be just a clinker unit.
Moderator: Ladies and gentlemen, we'll take that as a last question for today. I now hand the conference over to Mr. Deepak Balwani for closing comments. Over to you, sir.
Deepak Balwani: Yes. Thank you, Karan bhai, for joining the call and sharing your insights. Thank you all. I trust most questions have been answered. You have my contact numbers, please feel free to call me.
Thank you.

Moderator: On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited to improve readability and accuracy

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